CHAPTER : 2 – ACCOUNTING PROCESS
UNIT : 1 – BASIC ACCOUNTING PROCEDURES - JOURNAL ENTRIES

THEORY

Question 1 :
What do you mean by Accounting ?

Answer 1 :
The word Accounting can be understood with the help of following 4 stages :

(i) Economic Activity
Every Individual performs economic activity to meet his day to day expenses.

(ii) Results
He wants to know the results at the end of the year – Whether Profit or Loss?

(iii) Records keeping
Accurate results can be known by him only if he maintains proper records of each and every transactions i.e. purchase, sale, income, expenses etc.

(iv) Accounting
It is simply an art of record keeping.

Question 2 :
State the Accounting Process.

Answer 2 :
ACCOUNTING PROCESS :

SOURCE DOCUMENT
↓
PRIMARY BOOKS (JOURNAL)
↓
PRINCIPAL BOOK (LEDGER)
↓
TRIAL BALANCE
↓
FINAL ACCOUNTS

Question 3 :
Explain the Accounting Process.

Answer 3 :

(i) Source Document or Voucher :
- The document on the basis of which entries are recorded in the original books (Journal) is called Source Document.
- For ex. Purchase Invoice, Sales Invoice etc.
- All business transactions are evidenced or supported by documents or vouchers.
- It means origin of transaction is source document.

(ii) Primary Books (i.e. Books of Original Entry or Primary Entry) or Journal
- The Journal / Subsidiary books are those books in which transactions are first recorded. Ex. Cash Books, Purchase Book, Sales Book, Journal etc.
- In Journal we get information date wise. (Chronological order)

(iii) Principle Books or Ledger

- After recording transactions in Primary books, they are transferred to Ledger. It is called "Posting".
- In Ledger we get information account wise.
- It is basically classification of transaction (expense wise, income wise, asset wise, liability wise).

(iv) Trial Balance – It is basically a statement in which summary of ledger balances are recorded.

(v) Final Account – It is divided into 2 parts :

I. **Income Statement** – To show profit / loss for the year. For that "Trading and Profit & Loss A/c" is prepared.

II. **Position Statement** – To show the financial position of entity i.e. position of assets & liabilities as on a particular date (i.e. year end). For that "Balance Sheet" is prepared.

Question 4 : **[PEQ-DEC.21 - 6 Marks]**

State the 4 basic concepts of accounting.

Answer 4 :

I. Business entity concept :

- Business & Business man are two different persons. That's why transactions with proprietor is recorded.
- Accounting Records are kept from the business point of view and not from businessman's point of view. That's why personal expenses of proprietor is not recorded.

II. Periodicity Concept :

- Accounting Records are maintained for a particular period say 12 Months.
- It generally starts with 1st April and ends with 31st March.

III. System of Accounting : **[PEQ-JUNE.24 - 2 Marks]**

There are following **3 methods** of accounting :

- **Cash Basis** : Income is recorded when it is actually recd. And Exp. is recorded when it is actually paid.
- **Accrual / Mercantile Basis** : Income is recorded in the period to which it relates whether recd. or not. Similarly Expenses is recorded in the period to which it relates whether paid or not.
- **Hybrid/ Mixed Basis** : In this method some income & expenses are recorded on cash basis and some are on accrual basis. It means it is mixture of both the above method.
- **NOTE : The most logical method is Accrual method.**

IV. Double Entry System (Dual Aspect Concept)

- This system was developed in the 15th century in Italy by **Luca Pacioli**. He wrote the book **"D. Cumutary".**
- As per this system every transaction shall have **2 aspects** and according to this system, both the aspects are recorded. Out of the two aspects of a transaction, **one aspect is debited and the other aspect is credited** according to **certain prescribed rules**.".
- Further Total of Debit amount and Credit amount shall always be tallied.

Question 5 :

What do you mean by the word "Debit & Credit" ?

Answer 5 :

Basically Debit & Credit is an accounting language to explain the business transactions.

(i) Meaning of Debit :- The word debit has been derived from Latin word **'Debitum'**. It means **'due for that'**.

(ii) Meaning of Credit :- The word credit has been derived from Latin word **'Creder'**. It means **'due to that'.**

Question 6 :

State the approaches to be used for accounting or state the rules for debiting or crediting transaction in the books.

Answer 6 :

Following **2 alternative approaches** can be used for debit & credit :

(i) Traditional Approach or Golden Rule of accounting.

(ii) Modern Approach or Accounting equation approach.

Question 7 :

State the Golden rule of accounting (Traditional Approach).

Answer 7 :

GOLDEN RULE OF ACCOUNTING : It means how to make debit and credit entries in the Primary books of account i.e. **Rule of Debit & Credit**.

PERSONAL ACCOUNT (Person)	**REAL ACCOUNT (Assets) ↓ Other than Personal A/c**	**NOMINAL ACCOUNT (Income & Exp.)**
DEBIT – RECEIVER	DEBIT – WHAT COMES IN	DEBIT – ALL EXPENSE & LOSSES
CREDIT – GIVER	CREDIT – WHAT GOES OUT	CREDIT – ALL INCOMES & GAINS

Question 8 :

Explain the meaning of Personal, Real and Nominal Accounts.

Answer 8 :

Classification of Accounts :

I) **Personal Accounts** – Accounts relating to persons with whom the business deals with. For ex. debtors, creditors etc.

II) **Impersonal Accounts** – Accounts relating to Assets (i.e. Real Account) and Income & Expenditure (i.e. Nominal Account).

I. Personal Accounts – 3 types

i) **Natural Account -** I.e. Ram, Mohan etc.

ii) **Artificial Legal Person** I.e. Bank, Government, Company etc.

iii) **Representative Account** I.e. Capital, Drawings, Prepaid or Unexpired expenses (eg. Prepaid salary, Prepaid interest etc) & Outstanding Expenses (eg. Outstanding Rent, Outstanding Salary), Accrued Income or Unearned or Prepaid Income or Income received in advance etc.

II. Impersonal Accounts

i) **Real Account -** Relating to Assets (whether tangible or intangible). Ex. of Tangible Assets - Land, Building, Plant & Machinery, Investment, Furniture, Stock, Equipments. Ex. of Intangible Assets - Goodwill, Patent etc.

ii) **Nominal Account –** Relating to Revenue items i.e. Income, Expenditure, Profit & Loss.

Examples :

(a) Income : Sales, Discount recd., Interest recd., Commission recd. etc.

(b) Expense : Purchase, Salary, Rent, Discount paid, Interest paid etc.

(c) P&L : Profit / Loss on sale of assets.

Note : The balances of Personal & Real accounts are shown in "Balance Sheet" whereas Nominal accounts are shown in "Trading & P/L A/c"

Question 9 :

What is an accounting equation approach or modern approach ?

Answer 9 :

As per Accounting Equation Approach, Assets = Equity + Liabilities

- **Assets** means total assets i.e. fixed assets + current assets.
- **Equity** means owner's fund or net worth or capital.
- **Capital** means amount invested by owner of the business. Since capital is affected by expenses and incomes of revenue nature, there are two more categories of accounts - **Expenses and Income**. The difference between incomes and expenses are taken into capital account.
- **Liability** means outsider's liability (Long term liability + current liability). For ex. Creditor's, Loan taken etc.

Rules For Debit And Credit - Accounting Equation Approach		
Types of Accounts	**Rules for Debit**	**Rules for Credit**
(a) For Assets Accounts	Debit the increase	Credit the decrease
(b) For Liabilities Account	Debit the decrease	Credit the increase
(c) For Capital Accounts	Debit the decrease	Credit the increase
(d) For Drawing Accounts	Debit the increase	Credit the decrease
(e) For Revenue Accounts	Debit the decrease	Credit the increase
(f) For Expenses Accounts	Debit the increase	Credit the decrease

Question 10 :

What do you mean by the word "Journal", "Journalising" and "Journal Entry"?

Answer 10 :

Meaning of Journal, Journalising and Journal Entry :

(a) **Journal** : Journal is a book in which transactions are recorded **date wise i.e., in chronological order.** A journal is called a book of prime entry (also called a book of original entry) because all business transactions are entered **first in this book**.

(b) **Journalising** : The **process** of recording a transaction in the journal is called Journalising.

(c) **Journal entry** : An entry made in the journal is called a Journal entry.

Question 11 :

State the format of Journal and give explanation.

Answer 11 :

FORMAT OF JOURNAL :

Journal in the books of M/s A & Co. for the accounting year ended 31st Dec. 08

Date	Particulars	L/F	Debit Amt.	Credit Amt.
2008	Cash A/c Dr.	15	10,000	
Jan. 1	To capital A/c	1		10,000
	(Being capital introduced in cash)			

Explanation on Format :

(a) **Date column** – Under this column, the date on which the transaction is entered is recorded. The year and month is written once, till they change.

(b) **Particular column** – Under this column, first the names of the accounts to be debited, then the names of the accounts to be credited and lastly, the narration (i.e. a brief explanation of the transaction) are entered.

(c) **L.F. i.e. Ledger folio column** – Under this column, the ledger page number containing the relevant account is entered **at the time of posting**.

(d) **Debit amount column** – Under this column, the amount to be debited is entered.

(e) **Credit amount column** – Under this column, the amount to be credited is entered.

Note:

1. Journal is divided into **5 columns**.
2. Except the L.F. column, all other column are recorded at the time of Journalising. The L.F. column is recorded at the time of Posting.

Question 12 :

What do you mean by Compound or Combined Entry ?

Answer 12 :

COMPOUND ENTRY –

- **Meaning :** When **more than two accounts are involved** in a transaction and the transaction is recorded by means of a **single journal entry** instead of passing several journal entries, such single journal entry is termed as **'Compound Journal Entry'.**
- A compound entry may also be passed if there are more transactions of the **same nature taking place on the same date**.
- **How to Pass ?** It may be recorded in the following three ways:
- By debiting one account and crediting two or more accounts; or
- By debiting two or more accounts and crediting one account; or
- By debiting several accounts and crediting several accounts.

Question 13 : **[PEQ-SEP.24-4 Marks]**

Differentiate between Book-keeping and Accounting.

Answer 13 :

The difference between Book keeping and Accounting are as follows:

S.N.	Book-keeping	Accounting
1.	It is a process concerned with recording of transactions.	It is a process concerned with summarising of the recorded transactions.
2.	It constitutes as a base for accounting.	It is considered as a language of the business.
3.	Financial statements do not form part of this process.	Financial statements are prepared in this process on the basis of book-keeping records.
4.	Managerial decisions cannot be taken with the help of these records.	Management takes decisions on the basis of these records.
5.	There is no sub-field of book keeping.	It has several sub-fields like financial accounting, management accounting etc.
6.	Financial position of the business cannot be ascertained through book- keeping records.	Financial position of the business is ascertained on the basis of the accounting reports.

Question 14 : **[PEQ-SEP.24-4 Marks]**

Differentiate between Periodic Inventory System and Perpetual Inventory System.

Answer 14 :

The difference between Periodic Inventory System and Perpetual Inventory System are as follows:

S.No.	Periodic Inventory System	Perpetual Inventory System
1.	This system is based on physical verification.	It is based on book records.
2.	This system provides information about inventory and cost of goods sold at a particular date.	It provides continuous information about inventory and cost of sales.
3.	This system determines inventory and takes cost of goods sold as residual figure.	It directly determines cost of goods sold and computes inventory as balancing figure.
4.	Cost of goods sold includes loss of goods as goods not in inventory are assumed to be sold.	Closing inventory includes loss of goods as all unsold goods are assumed to be in Inventory.
5.	Under this method, inventory control is not possible.	Inventory control can be exercised under this system.
6.	This system is simple and less expensive.	It is costlier method.
7.	Periodic system requires closure of business for counting of inventory.	Inventory can be determined without affecting the operations of the business.

ACCOUNTING FOR GST

Introduction to GST

Goods and Services Tax (GST) is a comprehensive Indirect Tax* which has subsumed multiple Indirect Taxes in India such as State Value added Tax (VAT) which was levied on sale of goods, Excise Duty, which was levied on manufacture or production of goods, Service Tax which was levied on provision of services etc. GST is a single tax on the supply of goods and services, right from the manufacturer to consumer.

* An indirect tax is a tax whose incidence is borne by the consumers who ultimately consume the product or service. The immediate liability to pay the tax may fall upon another person such as a manufacturer or provider of service or seller of goods, but the same is collected from the person purchasing the goods (recipient of goods or services).

Salient features of GST

- GST is levied on supply i.e., manufacture or sale of goods and provision of services. In other words, supply is taxable event which own its occurrence creates or attracts the liability to pay tax.
- Under GST, tax in levied only the value added at each stage of the supply chain.
- GST is a destination-based consumption tax, i.e. the tax is levied at the place where the goods or services are consumed, rather than the place where they are produced.
- There is no tax on tax or cascading of taxes under GST system.
- Under GST, there is a harmonization of laws, procedures and rates of tax across the country.

Types of Taxes under GST

The Concept of intra-state supply and inter-state supply depends upon on the location of the supplier and place of supply (place of supply is the place where goods/services are consumed.

As a general rule, where the location of the supplier and the place of supply of goods or services are in the same State/Union territory, it is treated as **intra-State supply** of goods or services respectively.

Similarly, where the location of the supplier and the place of supply of goods or services are in (i) two different States or (ii) two different Union Territories or (iii) a State and a Union territory, it is treated as **inter-State supply** of goods or services respectively.

GST has a dual aspect with the Centre and States simultaneously levying on a common tax base. There are three main components of GST which are:

(i) **Central Goods and Service Tax (CGST)** is levied and collected by the Centre on the **"Intra -State"** supply of goods and services.

(ii) **State Goods and Services Tax (SGST)** is levied and collected by the State Governments (including Union Territories with legislature, for example Delhi, Pondicherry, Jammu and Kashmir) on "**Intra state"** supply of goods and services

(iii) **Union Territory Goods and Service Tax (UTGST)** is levied and collected by Union Territories without Legislatures [i.e. Andaman and Nicobar Islands, Lakshadweep, Ladakh, Dadra and Nagar Haveli & Daman and Diu and Chandigarh] on "intra-state" supply of goods and services.

(iv) **Integrated Goods and services tax (IGST):** It is the GST levied on the "**inter state**" supply of goods and services and is collected by the Centre. IGST is equivalent to the sum total of CGST and SGST.

GST is a "Consumption Based Tax" i.e. the tax is received by the State in which the goods or services are consumed and not by the state in which the goods and services are manufactured.

Input and Output GST

The tax paid by the recipient on procurement of goods /services is called **Input tax**.
Output tax means the GST charged on supply of goods or services made by a supplier.
Input tax means the credit of Input tax already paid.

Utilisation of Input Tax Credit under GST

Tax credit of CGST, SGST and IGST can be utilized in the following manner:

- Utilization of IGST Credit: IGST credit has to be first utilized against IGST liability and if any balance is still available, the same can be utilized against CGST or/and SGST in any order and in any proportion.
- Utilization of CGST Credit: CGST credit has to be first utilized against CGST liability andif any balance is available, same can be utilized against IGST. However, CGST credit cannot be utilized against SGST.
- Utilization of SGST Credit: SGST credit has to be first utilized against SGST liability andif any balance is available, same can be utilized against IGST. However, SGST credit cannot be utilized against CGST.

	Input GST (credit can be availed, hence asset)	**Output GST (charged to the consumer, payable by the supplier, hence liability)**
Nature	At the time of purchases of goods (including fixed assets) or services, input GST A/c (CGST and SGST or IGST) is debited.	At the time of sale of goods/assets or supply of services, Output GST A/c (CGST and SGST or IGST) is credited.
Intra-state transaction	CGST paid is debited to "Input CGST Account" and SGST paid is debited to Input SGST".	CGST charged is credited to "Output CGST Account" and SGST charged is credited to "Output SGST Account "
Inter-state transaction	IGST paid is debited to "Input IGST Account".	IGST charged is credited to "Output IGST Account"
Reversal of GST	Input GST paid at the time of purchase are reversed in the following situations: (i) Purchases Return (ii) Drawings (iii)Goods distributed as free samples (iv)Goods distributed as gift (if the same does not qualify as "supply under GST"). (v) Goods lost in fire or theft. (vi)Input tax credit of supplies which are not allowed to be availed by recipient.	Output GST charged is reversed when the goods are returned by the purchaser.
Utilization of Input tax credit	Input GST A/c is credited when tax is paid by utilizing input tax.	

Double entry book-keeping with GST

The Double entry book-keeping records need to show the GST values separately so that thepurchases, expenses and sales are posted net i.e. without the addition of GST.

Journal entry in case of Sales of Goods or services

Account Receivable/Debtors A/c	Dr.	Gross Amount (including GST)
To Sales A/c		Net Amount (excluding GST)
To Output GST		Amount of GST

Journal entry in case of Purchase of Goods or services

Purchases A/c	Dr.	Net Amount (excluding GST)
Input GST A/c	Dr.	Amount of GST
To Account Payable/Creditors		Gross Amount (including GST)

Journal entry in case of Utilization of Input Tax Credit towards payment of Output Tax

Output CGST A/c	Dr.	Amount of GST liability
Output SGST A/c	Dr.	Amount of GST liability
Output IGST A/c	Dr.	Amount of GST liability
To Input CGST A/c		Amount of output GST liability paid utilizing Input CGST
To Input SGST A/c		Amount of output GST liability paid utilizing Input SGST
To Input IGST A/c		Amount of output GST liability paid utilizing Input IGST

CLASS WORK QUESTIONS

Question 1 :

Analyse the following transactions according to the Traditional Approach :

1	Ganesh started his business with cash.
2	Borrowed from Mahesh
3	Purchased furniture
4	Purchase furniture from Mohan on credit
5	Purchase goods for cash
6	Purchase goods from Ram on credit
7	Returned goods to Ram
8	Sold goods for cash
9	Sold goods to Shyam on credit
10	Shyam returned goods
11	Received cash from Shyam
12	Paid cash to Ram
13	Deposited into bank
14	Withdrew cash for personal use
15	Withdrew from bank for office use
16	Withdrew from bank for personal use
17	Received a cheque from a customer, Shyam at 3 p.m.
18	Deposited Shyam's cheque next day
19	Bank intimated that Shyam's cheque was dishonoured
20	Paid Ram by cheque
21	Paid salary
22	Paid rent by cheque
23	Goods withdrawn for personal use
24	Paid an advance to suppliers of goods
25	Received an advance from customers
26	Paid interest of loan
27	Paid installment of loan
28	Interest allowed by bank.
29	Post dated Cheque received.

Solution 1 :

Analysis of Transactions (Traditional Approach)

Transaction व्यवहार	**What are the Accounts involved ?** संलग्न खातों के नाम	**What are the nature of account involved** संलग्न खातों की प्रकति	**Which rule applied ?** कौन सा नियम लागू	**Whether to be debited or Credited**
1				
2				
3				
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29				

Analysis of Transaction (Modern Approach)

Transaction	What are the Accounts involved?	What are the nature of account involved	How Affected	Whether to be debited or Credited
1.				
2.				
3.				
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9.				
10.				
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12.				
13.				
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22.				

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26.				
27.				
28.				
29.				

Question 2 :

Journalise the following transactions in the books of Aeran Trading Co.:

(1) Goods worth Rs. 8,000 was given as charity.
(2) Goods worth Rs. 2,000 was given away as free sample.
(3) Goods worth Rs. 5,000 was stolen by an employee.
(4) Proprietor withdrew for his personal use goods costing Rs. 5,000 (selling price Rs. 6,500) and Cash Rs. 2,000.
(5) Goods worth Rs. 15,000 (Selling price Rs. 17,000) was destroyed by fire and the Insurance company accepted a claim for Rs. 12,000.

Personal Note:-

Question 3 : (Accounting Equation) **[SM-ILL.4]**

Analyse transactions of M/s Sahil & Co. for the month of March, 2022 on the basis of double entry system by adopting the following approaches:

(A) Accounting Equation Approach.
(B) Traditional Approach.

1. Sahil introduced cash 40000/-.
2. Cash deposited in the City Bank 20000/-.
3. Cash loan of 5000/- taken from Mr. Y.
4. Salaries paid for the month of march 2022, 3000/- and 1000/- is still payable for the month of march 2022.
5. Furniture purchased 5000/-.

Required

What conclusion one can draw from the above analysis?

Personal Note:-

Question 4 : **[SM-PQ.2][RTP-May 18, 21, Nov. 22]**

Pass Journal Entries for the following transactions in the books of Gamma Bros.

(i) Employees had taken stock worth Rs. 10,000 (Cost price Rs. 7,500) on the eve of Deepawali and the same was deducted from their salaries in the subsequent month.

(ii) Wages paid for erection of Machinery Rs. 8,000.

(iii) Provision for discount on creditors is to be made amounting to Rs. 1500.

(iv) Income tax liability of proprietor - Rs. 1,700 was paid out of petty cash.

(v) Purchase of goods from Naveen of the list price of Rs. 2,000. He allowed 10% trade discount, Rs. 50 cash discount was also allowed for quick payment.

Personal Note:-

Question 5: (Classification) **[SM-ILL.6]**

Show the classification of the following Accounts under traditional and accounting equation approach: (a) Building; (b) Purchases; (c) Sales; (d) Bank Deposit; (e) Rent; (f) Rent Outstanding; (g) Cash; (h) Adjusted Purchases; (i) Closing Stock; (j) Investments; (k) Debtors; (l) GST Payable, (m) Discount Allowed; (n) Bad Debts; (o) Capital; (p) Drawings; (q) Interest Receivable account; (r) Rent received in advance account; (s) Prepaid salary account; (t) Bad debts recovered account; (u) Depreciation account, (v) Personal income-tax account;

Personal Note:-

Question 6 : (Accounting Equation) **[SM-ILL.2]**

Develop the accounting equation from following information available at the beginning of accounting period:

Capital	100000
Loan	50000
Creditors	70000
Fixed Assets	80000
Stock	60000
Debtors	50000
Cash & Bank	30000

At the end of the accounting period the balances appear as follows :

Capital	?
Loan	50000
Creditors	80000
Fixed Assets	72000
Stock	90000
Debtors	50000
Cash at Bank	60000

a) Reset the equation and find out profit.

b) Prepare Balance Sheet at the end of the accounting period.

(Answer : Profit = Rs. 42,000, Closing Capital= Rs. 1,42,000)

Personal Note:-

Question 7: (Accounting Equation) **[SM-ILL.3]**

Mr. Dravid has provided following details related to his financials. Find out the missing figures:

Particulars	**(Rs. in'000)**
Profits earned during the year	5,000
Assets at the beginning of year	A
Liabilities at the beginning of year	12,000
Assets at the end of the year	B
Liabilities at the end of the year	C
Closing capital	35,000
Total liabilities including capital at the end of the year	50,000

[Answer: A=42,000/-, B=50,000/-, C=15,000/-]

Personal Note:-

Question 8 : (Accounting Equation) **[SM-PQ.3][MTP SEP – 24, 4 Marks/ MAY. 22 - 4 Marks]**

Calculate the missing amount for the following.

	Assets	Liabilities	Capital
(a)	15,00,000	2,50,000	?
(b)	?	1,50,000	75,000
(c)	14,50,000	?	13,75,000
(d)	57,00,000	-2,80,000	?

Personal Note:-

Question 9 : (Accounting Equation) **[SM-PQ.5]**

Following is the information provided by Mr. Gopi pertaining to year ended 31st March 2022. Find the unknowns, showing computation to support your answer:

Particulars	**Rs.**	**Particulars**	**Rs.**
Machinery	**12,00,000**	**Trade Receivables**	**B**
Accounts Payable	**1,00,000**	**Loans**	**C**
Inventory	**60,000**	**Closing Capital**	**D**
Total Liabilities including capital	**14,15,000**	**Opening Capital**	**10,00,000**
Cash	**A**	**Loss incurred during the year**	**35,000**
Bank	**80,000**	**Capital Introduced during the year**	**1,00,000**

Additional Information: During the year sales of Rs. 15,55,000 was made of which Rs. 15,00,000 have been received.

[Ans.- A Cash= 20,000/-, B Trade Rec.= 55,000/-, C Loan= 2,50,000/-, D Closing Cap.= 10,65,000/-]

Personal Note:-

Question 10 :

Journalise the following transactions :

2022

Jan. 2 Deposited Rs. 38,000 into bank current account.
Jan. 3 Received cheque for Rs. 1200 from Raj & Co. on account.
Jan. 7 Paid into bank, Raj & Co.'s cheque for Rs. 1,200.
Jan. 10 Paid Varun & Co. by cheque Rs. 660 and allowed discount Rs. 40.
Jan. 12 Kamal & Co. deposited into our bank account Rs. 950.
Jan. 13 Sold goods to Mali Ram for Rs. 10,000.
Jan. 15 Received cheque for Rs. 900 from Z and allows him discount Rs. 70. The cheque was deposited into bank.
Jan. 20 Received cash Rs. 150 and cheque for Rs. 200 for cash sales.
Jan. 25 Paid into bank Rs. 2,000 and deposited the cheque for Rs. 200
Jan. 27 Paid by cheque for purchases Rs. 550.
Jan. 28 Paid sundry expenses in cash Rs. 100.
Jan. 28 Paid L & Co. Rs.750/- in cash and he allowed dis. Rs.70.
Jan. 30 A cheque was drawn for private use Rs. 750.
Jan. 30 A cheque was drawn for office use for Rs. 800.
Jan. 30 Paid office rent by cheque Rs. 400 and sold old newspapers for Rs. 30.
Jan. 31 Paid cash for stationery Rs. 50.
Feb. 2 Sold goods to Usha at a list price Rs. 5,000. Trade discount 8% and cash discount 3% was allowed to her. She paid full amount on the same day by cheque and availed the cash discount. The cheque was deposited into bank on the same day.
Feb. 5 Bought shares in 'Ram Tea Co' for Rs. 80,000 and brokerage paid @ 2%. All payments were made through a cheque.
Feb. 7 Received an order of goods for Rs. 10,000 from Ankit.
Feb. 9 Ankit's order was executed and cartage Rs. 500 was paid in this connection which will be charged to him.
Feb. 11 Paid Income Tax Rs. 2,000 and GST Rs. 3,000.
Feb. 15 Amount of Rs. 5,000 received from Kailash which was previously written off as bad debts.
Feb. 28 Bank debited Rs. 200 for charges

Personal Note :-

Question 11: **(PEQ-JAN.26) (SM - ILL. 8)**

Journalise the following transactions in the books of Mr. Rohit:

(i) Purchased goods from Sahil for ₹ 50,000 plus CGST and SGST @ 9% each.

(ii) Purchased goods from Sam for ₹ 40,000 at a trade discount of 10% plus CGST and SGST@ 9% each. ₹ 20,000 was paid immediately and balance payable after 3 months.

(iii) Goods costing ₹ 20,000 withdrawn for personal use. Such goods were purchased by paying CGST and SGST @ 9% each.

(iv) Paid rent to Gagandeep for ₹ 20,000 plus CGST and SGST @ 6% each.

(v) Goods costing ₹ 5,000 (before trade discount of 10%) returned to Sam. Such goods were purchased by paying CGST and SGST @ 9% each.

(vi) Purchased furniture for ₹ 44,800 including IGST @ 12%.

(vii) Purchased machinery from M/s Symphony industries for ₹ 1,40,000 plus CGST and SGST@ 9% each. Paid ₹ 1,00,000 immediately and balance to be paid after two months.

Personal Note:-

Question 12 :

Prepare Accounting Equation of the following transactions and also the Balance Sheet:

		Rs.
1.	Manu started business with cash.	1,00,000
	Opened a Bank Account and transferred Rs. 4, 00,000 from his Savings Account,	
2.	Purchased a building from Sohan for Rs. 12,00,000 paid by taking a loan from SBI.	10,00,000
3.	Paid interest on loan Rs. 20,000 and installment of Rs. 1,00,000	
4.	Purchased goods from Rohan on credit,	1,00,000
5.	Goods returned to Rohan costing	20,000
6.	Sold goods costing Rs. 40,000 for Rs. 50,000 on credit to Ram.	
7.	Took goods from business for personal use.	10,000
8.	Accrued interest.	5,000
9.	Commission received in advance.	20,000
10.	Cash received from Ram.	10,000

Personal Note:-

Question 13 : **(SM - ILL. 9)**

Journalise the following transactions in the books of Ms. Nidhi traders July, 2022

3 Sold Goods for ₹ 50,000, charged CGST and SGST @ 6% each.

4 Sold goods to Surjeet for ₹ 28,000 including CGST and SGST @ 6% each.

5 Received ₹ 25,200 from Surjeet in full settlement of his account of ₹ 28,000.

6 Sold goods to Kapil for ₹ 30,000 charged IGST @ 12%. Received ₹ 12,000 immediately and balance to be received after one month.

10 Kapil was allowed rebate of ₹ 5,000 as goods supplied to him were defective. These goods were sold by charging IGST @ 12%.

12 Sold goods to Manpreet for ₹ 1,00,000 at trade discount of 20% and charged IGST @ 12%

13 Goods of list price ₹ 20,000 returned by Manpreet.

17 Received commission of ₹ 15,000, charged CGST and SGST @ 6% each.

Personal Note:-

Question : 14 **(SM - ILL. 10)**

Record the following transactions in a Journal, assuming CGST and SGST@ 6% each.

(i) Sold goods to Mukesh at the list price of ₹ 50,000 less 20% trade discount.

(ii) Sold goods to Mukesh at the list price of ₹ 1,00,000 less 20% trade discount and 5% cash discount.

(iii) Sold goods to Mukesh at the list price of ₹ 1,50,000 less 20% trade discount. Out of the amount due 60% is received out of which three-fourth is received by cheque.

Personal Note:-

Question : 15

Shine India, Ludhiana, Punjab has following balances in its GST Accounts:

Particulars	IGST (Rs.)	CGST (Rs.)	SGST (Rs.)
Input GST	2,50,000	3,00,000	3,00,000
Output GST	3,25,000	2,00,000	2,00,000

Show how Input GST will be set-off against Output GST and which accounts will have the balance after set-off? Pass the Journal entries for set-off GST.

HOME WORK QUESTIONS

Question 16 :

(i) Mohan commences business with Rs. 5000.
(ii) Out of the above, 500/- deposited in the bank.
(iii) Furniture is purchased for cash 200/-.
(iv) Purchased goods for cash 400/-.
(v) Purchased goods for 1000/- credit from M/s RN Bros.
(vi) Sold goods to M/s R & Co. for cash 600/-.
(vii) Sold goods to Ramesh on credit for 300/-.
(viii) Received cash from Ramesh 300/-.
(ix) Paid to M/s RN Bros. 1000/-.
(x) Paid rent 100/-.
(xi) Paid 200/- to the clerk as salary.
(xii) Received 20/- interest.

Personal Note:-

Question 17 : **[SM-ILL.7]**

Transaction of Ramesh for April are given below Journalise them.

2022			**Rs.**
April	1	Ramesh started business with	10,00,000
”	3	Bought goods for cash	50,000
”	**5**	**Drew cash from bank**	**10,000**
”	13	Sold to Krishna goods on credit	1,50,000
”	20	Bought from Shyam goods on credit	2,25,000
”	24	Received from Krishna	1,45,000
”		Allowed him discount	5,000
”	28	Paid Shyam cash	2,15,000
”		Discount allowed	10,000
”	30	Cash sales for the month	8,00,000
		Paid Rent	50,000
		Paid Salary	1,00,000

Personal Note:-

Question 18:

Pass journal entries for the following transactions:

2022

April 2 Cash Purchases Rs. 20,000 less 20% trade discount

April 4 Received Rs. 69,700 from Ramesh and allowed him Rs. 300 as discount

April 6 Purchased goods from Pramendra Rs. 50,000.

April 8 Purchased machine from Sandeep Rs. 10,000 and paid Rs. 500 as freight and Rs. 1,000 as installation charges.

April 10 Sold goods to Amar on Credit Rs. 20,000.

April 11 Salary paid to Arpit Rs. 5,000.

April 14 Paid Rs. 39,500 to Suresh in full settlement of a claim for Rs. 40,000.

April 16 Amar became insolvent and could pay only 75 paise in a Rupee.

April 17 Interest charged to Mahesh Rs. 800.

April 18 Deposited in to Bank Rs. 20,000.

April 19 Paid rent by cheque Rs. 4,000.

April 20 Cash sales Rs. 2,000.

April 21 Goods returned to Pramendra Rs. 3,000.

April 24 Withdrew for private expenses Rs. 20,000.

April 25 Withdrew goods for personal use Rs. 2,000.

April 26 Gave goods on charity Rs. 1,000.

Personal Note:-

Question 19 : (Nature of A/c) **[SM-PQ.1]**

Show the classification of the following Accounts under traditional and accounting equation approach:

a	Rent outstanding	g	Capital
b	Closing Inventory	h	Sales Tax Payable
c	Sales	i	Trade receivables
d	Bank Fixed Deposit	j	Depreciation
e	Cash	k	Drawings
f	Bad Debts		

Personal Note:-

Question 20: **[SM-ILL.5]**

Journalise the following transactions. Also state the nature of each account involved in the Journal entry.

1. December 1, 2022, Ajit started business with Cash Rs. 40,000.
2. December 3, he paid into the Bank Rs. 2,000.
3. December 5, he purchased goods for cash Rs. 15,000.
4. December 8, he sold goods for cash Rs. 6,000.
5. December 10, he purchased furniture and paid by cheque Rs. 5,000.
6. December 12, he sold goods to Arvind Rs. 4,000.
7. December 13, Goods given as free sample Rs. 1000.
8. December 14, he purchased goods from Amrit Rs. 10,000.
9. December 15, he returned goods to Amrit Rs. 5,000.
10. **December 16, he received from Arvind Rs. 3,960 in full settlement.**
11. December 18, he withdrew goods for personal use Rs. 1,000.
12. December 20, he withdrew cash from business for personal use Rs. 2,000.
13. December 24, he paid telephone charges Rs. 1,000.
14. **December 26, cash paid to Amrit in full settlement Rs. 4,900.**
15. December 31, paid for stationery Rs. 200, rent Rs. 500 and salaries to staff Rs. 2,000.
16. December 31, goods distributed by way of free samples Rs. 1,000.

Personal Note:-

Question 21: (Accounting Equation) **[SM-ILL.1]**

Following are the transactions entered into by R after he started his business. Show how various accounts will be affected by these transactions using Accounting Equation Approach.

2022 April		**(Rs. in 000)**
1.	R started business with	5,000
2.	He purchased furniture for	1,200
3.	Paid salary to his clerk	1,100
4.	Paid rent	1,150
5.	Received interest	2,000

Personal Note:-

Question 22: **(Accounting Equation)** **[SM-PQ.4]**

Show the effect of increase = (+), decrease = (-) and no change=(0) on the assets of the following transactions:

a. Purchased office furniture, payment to be made next month.
b. Collected cash for repair services
c. Goods sold on credit.
d. Withdrawl of cash by the owner for personal use.
e. Hired an employee as sales manager of the north wing.
f. Returned goods worth Rs. 50,000.
g. One of our debtor agreed to pay his dues to Mr. C who is a creditor of the company with the same amount being due to him.
h. Entered into an agreement with Mehta & Co. to purchase all raw materials from their company from next year.

Also give reasons.

Personal Note:-

Question 23: **(Accounting Equation)**

Draw an Accounting Equation from the following transactions:

(i) Commenced business with cash Rs. 50,000, cheque Rs. 1,00,000, goods Rs. 30000 and furniture Rs. 20,000.
(ii) Car, personal asset of the proprietor, was sold Rs. 1,00,000 and deposited in his Savings Account.
(iii) An account of Rs. 50,000 was transferred from his Savings Account to the firm's Bank Account.
(iv) A new car was purchased for Rs. 6,00,000 for office use. It was paid by taking loan from Bank of Rs. 5,00,000 and balance by issue of cheque from firm's Bank Account.
(v) Sold goods to Ajay on credit costing Rs. 4,000 for Rs. 5,000.
(vi) Sold goods for cash costing Rs. 12,000 for Rs. 16,000.
(vii) Purchased goods for cash Rs. 40,000.
(viii) Purchased goods on credit for Rs. 20,000.
(ix) Paid rent Rs. 3,000 including Rs. 2,000 in advance.
(x) Paid salaries Rs. 2,000.
(xi) Sold goods costing Rs. 8,000 for Rs. 10,000.
(xii) Salaries outstanding Rs. 1,000.
(xiii) Charge depreciation on furniture Rs. 500.

[Assets: Rs.7,73,500 = Liabilities: Rs.5,21,000 + Capital: Rs.2,52,500]

Personal Note:-

Question 24:

Journalise the following transactions:

(i) Rajan commenced business by introducing capital in cash Rs. 11,000 and by cheque Rs. 1,50,000.

(ii) Purchased car for Rs. 5,00,000 by taking loan of Rs. 2,50,000 from bank and also gave his personal car valued at Rs. 1,50,000 in exchange. Balance was paid by cheque.

(iii) Purchased goods on credit for Rs. 1,00,000 and availed Trade Discount of Rs. 10,000.

(iv) 1/4th of the goods were returned being defective.

(vi) Paid Rs. 5,000 to bank as instalment Rs. 2,000 towards Principal and Rs. 3,000 as interest.

Personal Note:-

Question 25:

Journalise the following entries :

(i) Goods worth Rs. 500 given as charity.

(ii) Sold goods to Mayank of Rs. 1,00,000 Payable 25% by cheque at the time of sale balance after 30 days of sale.

(iii) Received Rs. 975 from Harikrishna in full settlement of his account for Rs. 1,000.

(iv) Received a first and final dividend of 60 paise in a rupee form the official receiver of Rajan, Who owed us Rs. 1,000 .

(v) Charge Depreciation on plant Rs. 1,000.

(vi) Charge interest on drawing Rs. 1,500.

(vii) Sold goods costing Rs. 40,000 to Anil for cash at a profit of 25% on cost less 20% trade discount and paid cartage RS. 100, which is not be charged from customer.

Personal Note:-

Question 26: **[RTP-May-22]**

You are required to pass necessary journal entries in the books of Kewal:

(i) Cheque amounting Rs. 9,000 from Hari Krishan in full settlement of his account for Rs. 10,000.

(ii) Withdrawn for personal use: Goods (Sales Price Rs. 8,000, Cost Rs. 6,000), cash Rs. 1,000

(iii) Goods costing Rs. 3,000 (Sale price Rs.4,000) distributed as free samples.

(iv) Received commission Rs. 10,000, half of which does not relate of current year and is received in advance.

(v) Purchased second hand machinery from Jawahar for Rs. 30,000 against a cheque. Goods of Rs. 12,000 (Cost Rs. 9,000) used in repairs of this machinery which is necessary to make it ready for working.

Personal Note:-

Question : 27

Give Journal Entries Corresponding to the narration given below:

Journal of …….

Date	Particulars	L.F.	Amt. (Dr.)	Amt. (Cr.)
2022 May 1			Rs.	Rs.
	…….. Dr.		…….	
	…….. Dr.		…….	
	To…….			
	(For Business started with cash Rs. 1,50,000 and goods Rs. 50,000)			…..….
May 2	…….. Dr.		……..…..	
	…….. Dr.		…….	
	To…….			…….
	(For goods of list price of Rs. 10,000 sold at 5% trade discount and 3% cash discount)			
May 5	…….. Dr.		…….	
	To…….			…….
	(For Deposit of cash Rs. 10,000 into bank)			
May 8	**…….. Dr.**		**…….**	
	To…….			**…….**
	(For old machinery purchased for Rs. 90,000 and repair charges paid there on Rs. 5,000)			
May 10	**…….. Dr.**		**…….**	
	To…….			**…….**
	To…….			**…….**
	(For Dishonor of cheque Rs. 24,500 which was received in full settlement of Rs. 25,000 from Manoj)			
May 12	**…….. Dr.**		**…….**	
	To Cash A/c			**9,700**
	To…….			**…….**
	(For Mohit's account settled at 3% cash discount)			
May 15	**Cash A/c. Dr.**		**…….**	
	……. Dr.		**7,000**	
	To…….			**…….**
	(For Payment received @ 30% on insolvency of Mr. Mukesh)			
May 20	…….. Dr.		4,500	
	To…….			…….
	(For goods used by the proprietor for his personal use)			

Personal Note:-

Question : 28

Record the following tansactions in the journal of Ashoka Furniture Traders:

2022		**Rs.**
Jan. 1	Started business with cash	4,00,000
Jan. 2	Deposited into bank	3,50,000
Jan. 10	**Purchased machinery of Rs. 1,00,000. An old Machine (personal) valued at Rs. 15,000 was given in exchange and balance was paid by cheque.**	
Jan. 15	Paid installation charges for machinery	2,000
Jan. 20	**Purchased timber from Singh & Co. at the list price of Rs. 20,000. He allowed 10% Trade Discount.**	
Jan. 25	**Timber costing Rs. 5,000 was used for furnishing the office**	
Jan. 31	Sold furniture to Rakesh on the list Price of Rs. 10,000 and allowed him 10% Trade Discount	
Jan. 31	**Old Furniture valued at Rs. 500 was taken from Rakesh in exchange.**	
Feb. 10	Sent cheque to singh & Co. in full settlement	17,500
Feb. 15	Received From Rakesh in full and final settlement	8,000
Feb. 20	Paid wages	15,000
Feb. 25	**Issued a cheque for Rs. 5,000 in favour of the landlord for rent of February.**	

Personal Note:-

Question : 29 (GST) **(PEQ. June – 24, 4 Marks, SM PQ. 5)**

Pass journal entries for the following transactions in the books of Mr. Kapil:

(i) Purchased goods from Sonu for ₹ 1,50,000 at a trade discount of 10% plus CGST and SGST @ 6% each.

(ii) Sold goods to Mohit for ₹ 50,000 and charged CGST and SGST @ 5% each. Out of the amount due 40% is received by cheque immediately.

(iii) Goods costing ₹ 25,000 withdrawn for personal use. Such Goods were purchased by paying CGST and SGST @ 6% each.

(iv) Machinery purchased from M/s Bright Industries for ₹ 2,00,000 plus CGST and SGST @ 9% each. Paid ₹ 1,00,000 immediately by cheque and balance to be paid after two months.

Personal Note:-

Question and Solution : 30 **(SM)**

(i) Mohan commences business with ₹ 50,00,000 in his bank account. This means that the firm has ₹ 50,00,000 in bank. According to the rules given above, the increase in an asset has to be debited. The firm also now owes ₹ 50,00,000 to the proprietor, Mohan as capital. The rule given above also shows that the increase in capital should be credited. Therefore, the journal entry will be:

Bank Account	Dr.	₹ 50,00,000	
To Capital Account			₹ 50,00,000
(Being capital introduced by Mohan)			

(ii) Out of the above, ₹ 25,000 is withdrawn from the bank. By this transaction the bank balance is reduced by ₹ 25,000 and another asset, cash account, comes into existence. Since increase in assets is debited and decrease is credited, the journal entry will be:

Cash Account	Dr.	₹ 25,000	
To Bank Account			₹ 25,000
(Being cash withdrawn in Bank)			

(iii) Furniture is purchased for ₹ 12,00,000. Applying the same reasoning as above the entry will be:

Furniture Account	Dr.	₹ 12,00,000	
To Bank Account			₹ 12,00,000
(Being Furniture purchased vide voucher No ....)			

(iv) Purchased goods for ₹ 4,00,000. The student can see that the required entry is:

Purchases Account	Dr.	₹ 4,00,000	
To Bank Account			₹ 4,00,000
(Being goods purchased vide voucher No. ....)			

(v) Purchased goods for ₹ 10,00,000 on credit from M/s Ram Narain Bros. Purchase of merchandise is an expense item so it is to be debited. ₹ 10,00,000 is now owing to the supplier; his account should therefore be credited, since the amount of liabilities has increased. The entry will be:

Purchases Account	Dr.	₹ 10,00,000	
To M/s Ram Narain Bros.			₹ 10,00,000
(Being goods purchased on credit vide Bill No. …)			

(vi) Sold goods to M/s Ram & Co. for ₹ 6,00,000. Amount is received in cheque. The amount of bank increases and therefore, the bank amount should be debited; sale of merchandise is revenue item so it is to be credited. The entry will be:

Bank Account	Dr.	₹ 6,00,000	
To Sales Account			₹ 6,00,000
(Being goods sold vide sales invoice No. ...)			

(vii) Sold goods to Ramesh on credit for ₹ 13,00,000. The Inventories of goods has decreased and therefore, the goods account has to be credited. Ramesh now owes ₹ 13,00,000; that is an asset and therefore, Ramesh should be debited. The entry is:

Ramesh	Dr.	₹ 13,00,000	
To Sales Account			₹ 13,00,000
(Being goods sold vide Bill No...)			

(viii) Received cheque from Ramesh ₹ 13,00,000. The amount of bank increased therefore the bank account has to be debited. Ramesh's liability towards firm has decreased in fact in this case he no longer owes any amount to the firm now, i.e., this particular form of assets has disappeared; therefore, the account of Ramesh should be credited. The entry is:

Bank Account	Dr.	₹ 13,00,000	
To Ramesh			₹ 13,00,000
(Being amount received vide cheque No……. against sales invoice No….)			

(x) Paid rent ₹ 1,00,000. The bank balance has decreased and therefore, the bank account should be credited. No asset has come into existence because the payment is for services enjoyed and is an expense. Expenses are debited. Therefore, the entry should be:

Rent Account	Dr.	₹ 1,00,000	
To Bank Account			₹ 1,00,000
(Being rent paid for the month of.....)			

(xi) Paid ₹ 22,000 to the clerk as salary. Applying the reasons given in (x) above, the required entry is:

Salary Account	Dr.	₹ 22,000	
To Bank Account			₹ 22,000
(Being salary paid to Mr..... for the month of……)			

(xii) Received ₹ 2,20,000 interest. The bank account should be debited since there is an increase in the bank balance. There is no increase in any liability; since the amount is not returnable to any one, the amount is an income, incomes are credited. The entry is:

Bank Account	Dr.	₹ 2,20,000	
To Interest Account			₹ 2,20,000
(Being interest received from……for the period .....)			

When transactions of similar nature take place on the same date, they may be combined while they are journalised. For example, entries (x) and (xi) may be combined as follows:

Rent Account	Dr.	₹ 1,00,000	
Salary Account	Dr.	₹ 22,000	
To Bank Account (Being expenses done as per detail attached)			₹ 1,22,000

When journal entry for two or more transactions are combined, it is called composite journal entry. Usually, the transactions in a firm are so numerous that to record the transactions for a month will require many pages in the journal. At the bottom of one page the totals of the two columns are written together with the words "Carried forward" in the particulars column. The next page is started with the respective totals in the two columns with the words "Brought forward" in the particulars column.

Question: 31 **(SM Example)**

From the following information, state the nature of account and state which account will be debited and which will be credited.

1. Started business with a capital of ₹ 50,00,000.
2. Wages and salaries paid ₹ 50,000
3. Rent received ₹ 2,00,000
5. Purchased goods on credit ₹ 9,00,000
6. Sold goods for ₹ 8,16,000 and received payment in cheque.

Personal Note:-

Question : 32 (GST) **(RTP JAN. 25)**

Pass a journal entry in each of the following cases:

(i) A running business was purchased by Mohan with following assets and liabilities: Cash Rs. 20,000, Land Rs. 40,000, Furniture Rs. 10,000, Stock Rs. 20,000, Creditors Rs. 10,000, Bank Overdraft Rs. 20,000.

(ii) Sold goods to Gagandeep for Rs. 1,00,000 at trade discount of 20% and charged IGST @12%

(iii) Goods distributed by way of free samples, Rs. 10,000.

(iv) Goods of list price Rs. 40,000 returned by Gagandeep.

(v) Kuldeep became an insolvent and could pay only 50 paise in a rupee. Amount due from him Rs. 6,000.

Personal Note:-

Question : 33 (GST)

Star Fabrics, Lucknow, Uttar Pradesh has following balances in its GST Accounts:

Particulars	IGST (Rs.)	CGST (Rs.)	SGST (Rs.)
Input GST	2,50,000	3,00,000	3,00,000
Output GST	4,00,000	2,00,000	2,00,000

Show how Input GST will be set-off against Output GST and which accounts will have the balance after set-off? Pass the Journal entries for set-off GST.

ANSWERS OF HOMEWORK QUESTIONS

Solution 16:

(i) Mohan commences business with Rs. 5,000. This means that the firm has Rs. 5,000 cash. According to the rules given above, the **increase in an asset has to be debited** to it. The firm also now owes Rs. 5,000 to the proprietor, Mohan as capital. The rule given above also shows that the **increase in capital should be credited to it**. Therefore, the journal entry will be:

Cash Account		Rs. 5,000	
To Capital Account			Rs. 5,000
(Being capital introduced by Shri Mohan)			

(ii) Out of the above, Rs. 500 is deposited in the bank. By this transaction the cash balance is reduced by Rs. 500 and another asset, bank account, comes into existence. Since **increase in assets is debited and decrease is credited,** the journal entry will be:

Bank Account	Dr.	Rs. 500	
To Cash Account			Rs. 500
(Being cash deposited in Bank)			

(iii) Furniture is purchased for cash Rs. 200. Applying the same reasoning as above the entry will be:

Furniture Account	Dr.	Rs. 200	
To Cash Account			Rs. 200
(Being Furniture purchased vide CM No....)			

(iv) Purchased goods for cash Rs. 400. The required entry is:

Purchases Account	Dr.	Rs. 400	
To Cash Account			Rs. 400
(Being goods purchased vide CM No....)			

(v) Purchased goods for Rs. 1,000 credit from M/s. Ram Narain Bros. Purchase of merchandise is an **expense item so it is to be debited**. Rs. 1,000 is now owing to the supplier; his account should therefore be **credited, since the amount of liabilities has increased.** The entry will be:

Purchases Account	Dr.	Rs. 1,000	
To M/s Ram Narain Bros.			Rs. 1,000
(Being goods purchased vide Bill No.....)			

(vi) Sold goods to M/S Ram & Co. for cash Rs. 600. The amount of **cash increases and therefore, the cash amount should be debited**; **sale of goods (merchandise) is revenue item so it is to be credited.** The entry will be:

Cash Account	Dr.	Rs. 600	
To Sales Account			Rs. 600
(Being goods sold vide CM No....)			

(vii) Sold goods to Ramesh on credit for Rs. 300. The **Inventories of goods has decreased** and therefore, the goods account **has to be credited**. Ramesh now **owes Rs. 300; that is an asset** and therefore, Ramesh **should be debited**. The entry is:

Ramesh	Dr.	Rs. 300	
To Sales Account			Rs. 300
(Being goods sold vide Bill No....)			

Note: There are **two views** on classification of "Purchase Account" and "Sales Account". One view is that they represents "**flow of goods**", so they should be classified as '**Real A/c'**. However, others are of the oinion that only **nominal a/cs** are closed by tranferring to 'Trading or Profit and Loss A/c'. Therefore, purchases and sales shall be classified as Nominal A/cs. **However, in both the views, there will be debit balance of Purchase A/c and credit balance of Sales A/c**.

(viii) Received cash from Ramesh Rs. 300. The amount of **cash increased** therefore the cash account has to be **debited**. Ramesh no longer owes any amount to the firm, i.e., this particular form of **assets has decreased**; therefore, the account of Ramesh should be **credited**. The entry is:

Cash Account	Dr.	Rs. 300	
To Ramesh			Rs. 300
(Being cash received against Bill No....)			

(ix) Paid to M/s Ram Narain Bros. Rs. 1,000. The **liability** to M/S Ram Narain Bros. has been **discharged**; therefore this account **should be debited**. The **cash balance has decreased** and, therefore, the cash account has to be **credited**. The entry is:

M/S Ram Narain Bros.	Dr.	Rs. 1,000	
To Cash Account			Rs. 1,000
(Being cash paid against Bill No....)			

(x) Paid rent Rs. 100. The **cash balance has decreased** and therefore, the cash account should be **credited**. No asset has come into existence because of the payment; the **payment is for services enjoyed and is an expense**. Expenses are **debited**. Therefore, the entry should be:

Rent Account	Dr.	Rs. 100	
To Cash Account			Rs. 100
(Being rent paid for the month of .....)			

(xi) Paid Rs. 200 to the clerk as salary. Applying the reasons given in (x) above, the required entry is:

Salary Account	Dr.	Rs. 200	
To Cash Account			Rs. 200
(Being salary paid to Mr..... for the month of .....)			

(xii) Received Rs. 20 interest. The **cash account should be debited** since there is an **increase in the cash** balance. **There is no increase in any liability; since the amount is not returnable to any one**, the **amount is an income, incomes are credited**. The entry is :

Cash Account	Dr.	Rs. 20	
To Interest Account			Rs. 20
(Being interest received from..... for the period.....)			

Solution 17:

JOURNAL

Date 2022	Particulars		L.F.	Amount Dr.	Amount Cr.
April 1	Cash A/c	Dr.	1	10,00,000	
	To Capital A/c		4		10,00,000
	(Being the amount invested by Ramesh in the business as capital)				
" 3	Purchases A/c	Dr.	7	50,000	
	To Cash A/c		1		50,000
	(Being goods purchased for cash)				
" 5	Cash A/c	Dr.	5	10,000	
	To Bank A/c		1		10,000
	(Being cash withdrawn from bank)				
" 13	Krishna	Dr.	9	1,50,000	
	To Sales A/c		11		1,50,000
	(Being goods sold to Krishna on credit)				
" 20	Purchases A/c	Dr.	7	2,25,000	
	To Shyam		10		2,25,000
	(Being goods bought from Shyam on credit)				
" 24	Cash A/c	Dr.	1	1,45,000	
	Discount A/c	Dr.	12	5,000	
	To Krishna		9		1,50,000
	(Being cash received from Krishna and discount allowed to him)				
" 28	Shyam	Dr.	10	2,25,000	
	To Cash A/c		1		2,15,000
	To Discount A/c		12		10,000
	(Being cash paid to Shyam and discount allowed by him)				
" 30	Cash A/c	Dr.	1	8,00,000	
	To Sales A/c		11		8,00,000
	(Being goods sold for cash)				
"30	Rent A/c	Dr.	15	50,000	
	Salaries A/c	Dr.	14	1,00,000	
	To Cash A/c		1		1,50,000
	(Being the amount paid for rent and salary)				
	Total			27,60,000	27,60,000
	(Ledger Folio imaginary)				

Solution 18:

Date	Particulars		Dr.	Cr.
April-2	Purchase A/c	Dr.	16,000	
	To Cash A/c			16,000
April-4	Cash A/c	Dr.	69,700	
	Discount Allowed A/c	Dr.	300	
	To Ramesh's A/c			70,000
April-6	Purchase A/c	Dr.	50,000	
	To Pramendra's A/c			50,000

April-8	Machine A/c To Sandeep's A/c To Cash A/c	Dr.	11,500	 10,000 1,500
April-10	Amar's A/c To Sales A/	Dr.	20,000	 20,000
April-11	Salary A/c To Cash A/c	Dr.	5000	 5000
April-14	Suresh's A/c To Cash A/c To Discount receive A/c	Dr.	40,000	 39,500 500
April-16	Cash A/c Baddebts A/c. To Amar's A/c	Dr. Dr.	15,000 5000	 20,000
April-17	Accrued Interest A/c To Interest A/c	Dr.	800	 800
April-18	Bank A/c To Cash A/c	Dr.	20,000	 20,000
April-19	Rent A/c To Bank A/c	Dr.	4000	 4000
April-20	Cash A/c To Sales A/c	Dr.	2000	 2000
April-21	Pramendra A/c To Purchase Return A/c	Dr.	3000	 3000
April-24	Drawings A/c To Cash A/c	Dr.	20,000	 20,000
April-25	Drawings A/c To Purchase A/c	Dr.	2000	 2000
April-26	Charity A/c To Purchase A/c	Dr.	1000	 1000

Solution 19:

Nature of Account

Sl. No.	Title of Account	Traditional Approach	Accounting Equation Approach
A	Rent Outstanding	Personal	Liability
B	Closing Inventory	Real	Asset
C	Sales	Nominal	Revenue
D	Bank Fixed Deposit	Real	Asset
E	Cash	Real	Asset
F	Bad Debts	Nominal (Expense)	Expense
G	Capital	Personal	Capital
H	Sales Tax Payable	Personal	Liability
I	Trade receivables	Personal	Asset
J	Depreciation	Nominal (Expense)	Expense
K	Drawings	Personal	Capital (Drawings)

Solution 20:

Date	Particulars		Dr.	Cr.
Dec-1	Cash A/c (R)	Dr.	40,000	
	To Capital A/c (P)			40,000
Dec-3	Bank A/c (P)	Dr.	2,000	
	To Cash A/c (R)			2,000
Dec-5	Purchase A/c (N)	Dr.	15,000	
	To Cash A/c (R)			15,000
Dec-8	Cash A/c (R)	Dr.	6,000	
	To Sales A/c (N)			6,000
Dec-10	Furniture A/c (R)	Dr.	5,000	
	To Bank A/c (P)			5,000
Dec-12	Arvind's A/c (P)	Dr.	4,000	
	To Sales A/c			4,000
Dec-13	Advertisement A/c	Dr.	1,000	
	To Purchase A/c			1,000
Dec-14	Purchase A/c (N)	Dr.	10,000	
	To Amrit's A/c			10,000
Dec-15	Amrit's A/c (P)	Dr.	5,000	
	To Purchasse Return A/c			5000
Dec-16	Cash A/c (R)	Dr.	3960	
	Discount Allowed A/c (N)	Dr.	40	
	To Arvind's A/c			4,000
Dec-18	Drawings A/c (P)	Dr.	1000	
	To Purchase A/c (N)			1000
Dec-20	Drawings A/c (P)	Dr.	2000	
	To Cash A/c (R)			2,000
Dec-24	Telephone ch. A/c (N)	Dr.	1000	
	To Cash A/c (R)			1,000
Dec-26	Amrit's A/c (P)	Dr.	5000	
	To Cash A/c (R)			4,900
	To Discount Receive A/c (N)			100
Dec-31	Stationery A/c (N)	Dr.	200	
	Rent A/c (N)	Dr.	500	
	Salary A/c (N)	Dr.	2000	
	To Cash A/c			2,700
Dec. 31	Free Sample A/c (N)	Dr.	1000	
	To Purchase A/c			1000

Solution 21:

Assets	=	Capital + Liabilities
Cash + Fur.	=	Capital
1) 5000	=	5000
2) (1200) + 1200	=	
3) (1100)	=	(1100)
4) (1150)	=	(1150)
5) +2000	=	+2000
4750	=	**4750**

Solution 22:

S.No.	Increase (+) / Decrease (-) / No Change (0) in Assets	Reasons
(a)	+	Furniture has been purchased, so asset is increased and also it being purchased on credit, it increases liability and there is no outflow of assets like cash or bank.
(b)	+	Cash comes in for services provided, so it will increase the assets.
(c)	+	If it is assumed that goods are sold higher than cost then Sale of goods will decrease in inventory (assets) at CP but increase in debtors at SP. Difference between SP & CP is a profit and will increase in capital. So, there will be a net increase in assets. However, if goods are sold at cost it will result in no change in total asset. If Goods sold below cost, it will result in decrease in assets.
(d)	-	Here cash has been withdrawn from business resulting in decrease in assets and capital.
(e)	0	Only hiring of employee has been done resulting in no change in assets.
(f)	-	Outflow of goods has resulted in decrease in assets while money owed to creditors reduce on the liability side.
(g)	-	Here both assets and liabilities reduce by same amounts. Hence there is a decrease in assets.
(h)	0	Only a purchase agreement has been entered into with no transaction taking place yet.

Solution 23:

S.No.	Assets							=	Capital + Liabilities			
	Cash	+ Bank	+ Stock	+ Furniture	+ Car	+ Debtor	+ Pre-paid		Capital	+ Bank Loan	+ Creditor	+ O/S Salary
i)	50000	100000	30000	20000					200000			
iii)		50000							50000			
iv)		(100000)			600000					500000		
v)			(4000)			5000			1000			
vi)	16000		(12000)						4000			
vii)	(40000)		40000									
viii)			20000								20000	
ix)	(3000)						2000		(1000)			
x)	(2000)								(2000)			
xi)	10000		(8000)						2000			
xii)									(1000)			1000
xiii)				(500)					(500)			
		773500									**773500**	

Note : (ii) This ia a personal transaction of proprietor, which cannot be recorded in books of business.

Solution 24:

Date	Particulars		Dr.	Cr.
(i)	Cash A/c	Dr.	11,000	
	Bank A/c	Dr.	1,50,000	
	To Capital A/c			1,61,000
(ii)	Car A/c	Dr.	5,00,000	
	To Bank Loan A/c			2,50,000
	To Capital A/c			1,50,000
	To Bank A/c			1,00,000
(iii)	Purchase A/c	Dr.	90,000	
	To Creditor A/c			90,000
(iv)	Creditor A/c	Dr.	22,500	
	To Purchase Return A/c.			22,500
(v)	Bank Loan A/c	Dr.	2,000	
	Interest A/c	Dr.	3,000	
	To Cash/Bank A/c			5,000

Solution 25:

Date	Particulars		Dr.	Cr.
(i)	Charity A/c	Dr.	500	
	To Purchase A/c			500
(ii)	Bank A/c	Dr.	25,000	
	Mayank A/c	Dr.	75,000	
	To Sale A/c.			1,00,000
(iii)	Cash A/c	Dr.	975	
	Discount A/c	Dr.	25	
	To Harikrishna's A/c			1000
(iv)	Cash A/c	Dr.	600	
	Bad debts A/c	Dr.	400	
	To Rajan's A/c.			1000
(v)	Depreciation A/c	Dr.	1000	
	To Plant A/c			1000
(vi)	Drawing A/c	Dr.	1,500	
	To Interest on Drawing A/c			1,500
(vii)	Cash A/c	Dr.	40,000	
	To Sales A/c			40,000
(viii)	Cartage A/c	Dr.	100	
	To Cash A/c.			100

Cost	40,000
+ Profit 25%	10,000
I.P	50,000
(-) T.D 20%	10,000
Sale	40,000

Solution 26:

In the books of Kewal
Journal entries

	Particulars		Dr. Amount Rs.	Cr. Amount Rs.
(i)	Bank A/c	Dr.	9,000	
	Discount allowed A/c	Dr.	1,000	
	To Hari Krishan A/c			10,000
	(Amount received from Hari Krishan after allowing discount of 1,000)			
(ii)	Drawings	Dr.	7,000	
	To Purchases A/c			6,000
	To Cash A/c			1,000
	(Goods and cash withdrawn for personal use)			
(iii)	Free Samples/Sales promotion A/c	Dr.	3,000	
	To Purchases A/c			3,000
	(Being the goods distributes as free samples)			
(iv)	Bank A/c	Dr.	10,000	
	To Commission A/c			10,000
	(Commission received)			
	Commission A/c	Dr.	5,000	
	To Commission received in Advance A/c			5,000
	(Commission received in advance adjusted)			
(v)	Machinery A/c	Dr.	30,000	
	To Bank A/c			30,000
	(Machinery purchased for jawahar)			
	Machinery A/c	Dr.	9,000	
	To Purchases A/c			9,000
	(Goods used in repairs of Machinery)			

Solution : 27

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
2022					
May 1	Cash A/c	Dr.		1,50,000	
	Stock A/c	Dr.		50,000	
	To Capital A/c				2,00,000
May 2	Cash A/c	Dr.		9,215	
	Discount A/c	Dr.		285	
	To Sales A/c				9,500
May 5	Bank A/c	Dr.		10,000	
	To Cash A/c				10,000
May 8	Machinery A/c	Dr.		95,000	
	To Cash A/c				95,000
May 10	Manoj A/c	Dr.		25,000	
	To Bank. A/c				24,500
	To Discount A/c				500
May 12	Mohit A/c	Dr.		10,000	
	To Cash A/c (97%)				9,700
	To Discount A/c (3%)				300
May 15	Cash A/c (30%)	Dr.		3,000	
	Bad Debts (70 %)	Dr.		7,000	
	To Mukesh A/c				10,000
May 20	Drawings A/c	Dr.		4,500	
	To Purchase A/c				4,500

Solution: 28

Journal Entries in the books of Ashoka Furniture Traders

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2022 Jan. 1	Cash A/c Dr. To Capital A/c		4,00,000	 4,00,000
Jan. 2	Bank A/c Dr. To Cash A/c		3,50,000	 3,50,000
Jan. 10	Machinery A/c Dr. To Capital A/c To Bank A/c		1,00,000	 15,000 85,000
Jan 15	Machinery A/c Dr. To Cash A/c		2,000	 2,000
Jan 20	Purchase A/c Dr. To Singh & Com. A/c		18,000	 18,000
Jan 25	Furniture (Asset) A/c Dr. To Purchase A/c		5,000	 5,000
Jan 31	Rakesh A/c Dr. To Sale A/c		9,000	 9,000
Jan 31	Purchase A/c Dr. To Rakesh A/c		500	 500
Feb. 10	Singh & Com. A/c Dr. To Bank A/c To Discount Received		18,000	 17,500 500
Feb. 15	Cash A/c Dr. Discount Allowed A/c Dr. To Rakesh A/c		8,000 500	 8,500
Feb. 20	Wages A/c Dr. To Cash A/c		15,000	 15,000
Feb. 25	Rent A/c Dr. To Bank A/c		5,000	 5,000

Solution : 29

Journal entries in the books of Mr. Kapil

S. No.	Particulars	L.F.	Amount Dr. (₹)	Amount Cr. (₹)
(i)	Purchases A/c Dr. Input CGST A/c Dr. Input SGST A/c Dr. To Sonu's A/c (Being goods purchased from Sonu, CGST and SGST payable @ 6% each)		1,35,000 8,100 8,100	 1,51,200
(ii)	Bank A/c (55,000 x 40%) Dr. Mohit's A/c Dr. To Sales A/c To Output CGST A/c To Output SGST A/c (Being goods sold to Mohit, charged CGST and SGST @ 5% each and received 40% in cash)		22,000 33,000	 50,000 2,500 2,500

(iii)	Drawings A/c Dr. To Purchase A/c To Input CGST A/c To Input SGST A/c (Being goods withdrawn for personal use and input CGST and input SGST debited at the time of purchase reversed)		28,000	 25,000 1,500 1,500
(iv)	Machinery A/c Dr. Input CGST A/c Dr. Input SGST A/c Dr. To Bank A/c To Bright Industries (Being machinery purchased and paid ₹ 1,00,000 immediately, CGST and SGST @ 9% each)		2,00,000 18,000 18,000	 1,00,000 1,36,000

Solution : 30 **Already given with Question.**

Solution : 31

Transaction	ACCOUNTS INVOLVED	NATURE	DEBIT OR CREDIT	Journal Entry
Started business with capital of ₹ 50,00,000	Bank account Capital account	Personal Personal	Debit (Receiver) Credit (giver)	Bank A/c Dr. To Capital A/c
Wages and salaries paid	Wages/salaries Bank	Nominal Personal	Debit (expense) Credit (giver)	Wages/ Salaries Dr. To Bank A/c
Rent received	Bank Rent	Personal Nominal	Debit (Receiver) Credit (income)	Bank A/c Dr. To Rent A/c
Purchases made on credit	Purchases Creditor	Nominal Personal	Debit (expense) Credit (giver)	Purchases A/c Dr. To Creditor A/c
Goods sold and payment received in cheque	Bank Sale	Personal Nominal	Debit (Receiver) Credit (gains)	Bank A/c Dr. To Sales A/c

Solution: 32

			Rs.	**Rs.**
(i)	Cash A/c Dr. Land A/c Dr. Furniture A/c Dr. Stock A/c Dr. To Creditors To Bank overdraft To Capital A/c (B/F) (Being commencement of business by Mohan by taking over a running business).		20,000 40,000 10,000 20,000	 10,000 20,000 60,000
(ii)	Gagandeep's A/c Dr. To Sales A/c To Output GST A/c (being goods sold to Gagandeep at trade discount of 20% and charged IGST @12%)		89,600	 80,000 9,600

(iii) Advertisement Expenses A/c	Dr.	10,000	
To Purchases A/c			10,000
(Being good distributed as free sample)			
(iv) Sales Return A/c (40,000 – 20%)	Dr.	32,000	
Output IGST A/c	Dr.	3,840	
To Gagandeep A/c			35,840
(Being goods returned by Gagandeep and output IGST charged at the time of sales now reversed)			
(v) Cash A/c	Dr.	3,000	
Bad Debts A/c	Dr.	3,000	
To Kuldeep			6,000
(Being Kuldeep become insolvent)			

Solution 33:

Particulars	IGST (Rs.)	CGST (Rs.)	SGST (Rs.)
Output GST	(4,00,000)	(2,00,000)	(2,00,000)
Less : Set-off of Input IGST	2,50,000	-	-
Balance	(1,50,000)	(2,00,000)	(2,00,000)
Less: set-off of Input CGST and IGST	Nil	3,00,000	3,00,000
Balance	(1,50,000)	1,00,000	1,00,000
Less: Set-off Input CGST against Output IGST	1,50,000	(1,00,000)	(50,000)
Balance	Nil	Nil	50,000 (Dr.) (Receivable)

Explanations:

Step 1: Set-off Input IGST Account (Rs. 2,50,000) against Output IGST Account (Rs. 4,00,000). It leaves a balance in Output IGST Account of Rs. 1,50,000. Input IGST Account after set-off is consumed completely.

Step 2: Input IGST Account having become Nil, Input CGST Account (Rs. 3,00,000) and Input SGST Account (Rs. 3,00,000) is set-off against Output CGST Account (Rs. 2,00,000) and Output SGST Account (Rs. 2,00,000) respectively. It leaves a balance of Rs. 1,00,000 in Input CGST Account and Input SGST Account each

Step 3: Balance in Input CGST Account (Rs. 1,00,000) and Input SGST Account (50,000) is adjusted against Output IGST Account (Rs. 1,50,000). It leaves Nil balance in IGST Account and CGST Account and Rs. 50,000 in Input SGST Account.

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Output IGST A/c Dr.		2,50,000	
	To Input IGST A/c			2,50,000
	(Input IGST set-off against Output IGST)			
	Output CGST A/c Dr.		2,00,000	
	To Input CGST A/c			2,00,000
	(Input CGST set-off against Output CGST)			
	Output SGST A/c Dr.		2,00,000	
	To Input SGST A/c			2,00,000
	(Input SGST set-off against Output SGST)			
	Output IGST A/c Dr.		1,50,000	
	To Input CGST A/c			1,00,000
	To Input SGST A/c			50,000
	(Balance in Output IGST set-off from Input CGST and Input SGST)			

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. **In accounting equation approach, equity + Long-term liabilities = Fixed asset + current assets – current liabilities.**
2. In the traditional approach a debtor becomes receiver, when he makes payment.
3. The rule of nominal account states that all expenses & losses are recorded on credit side.
4. Capital account has a debit balance.
5. Purchase account is a nominal account.
6. All the personal & real account are recorded in P&L A/c.
7. Asset side of balance sheet contains all the personal & nominal accounts.
8. Capital account is a personal account.
9. Journal is also known as the book of original entry or book of prime entry.

Answer:

1. **True:** as per the modern accounting equation approach- it is the basic formula in the accounting process
2. **False:** In the traditional approach a debtor becomes giver, when he makes payment.
3. **False:** The rule of nominal account states that all expenses & losses are recorded on debit side.
4. **False:** Capital account has a credit balance.
5. **True:** as it is considered as an expense.
6. **False:** All the personal & real account are recorded in balance sheet. Personal account may be either assets or liabilities. Real Accounts are assets
7. **False:** Asset side of balance sheet contains all the personal & real accounts.
8. **True:** as it is in the name of the proprietor who is bringing in the capital to the business
9. **True:** as the transactions are entered first in this book as a first hand record.

MULTIPLE CHOICE QUESTIONS (SM)

1. The rent paid to landlord is credited to
   (a) Landlord's account. (b) Rent account.
   (c) Cash account.

2. In case of a debt becoming bad, the amount should be credited to
   (a) Trade receivables account. (b) Bad debts account.
   (c) Cash account.

3. **A Ltd. has a Rs. 35,000 account receivable from Mohan. On January 22, Mohan makes a partial payment of Rs. 21,000 to A Ltd. The journal entry made on January 22 by A Ltd. to record this transaction includes:**
   (a) A credit to the cash received account of Rs. 21,000.
   (b) A credit to the Accounts receivable account of Rs. 21,000.
   (c) A debit to the cash account of Rs. 14,000.

4. Which financial statement represents the accounting equation - Assets = Liabilities + Owner's equity:
   (a) Income Statement (b) Statement of Cash flows
   (c) Balance Sheet.

5. **Which account is the odd one out?**
   (a) Office furniture & Equipment. **(b) Freehold land and Buildings.**
   (c) Inventory of materials.

6. The debts written off as bad, if recovered subsequently are
   (a) Credited to Bad Debts Recovered Account (b) Credited to Trade receivables Account.
   (c) Debited to Profit and Loss Account.

7. In Double Entry System of Book-keeping every business transaction affects:
   (a) Two accounts (b) Two sides of the same account.
   (c) The same account on two different dates.

8. A sale of goods to Ram for cash should be debited to:
   (a) Ram (b) Cash (c) Sales

MCQs ANSWERS:

1. (c)	Rent A/c Debited and Cash A/c Credited
2. (a)	B/D Debited and Debtors (Trade Receivable) Credited
3. (b)	When 21,000 cash received Cash A/c debited and Mohan (Account Receivable) Credited by Rs. 21,000
4. (c)	Balance Sheet.
5. (c)	(a) & (b) are Fixed Assets whereas (c) is Current Assets
6. (a)	Cash A/c debited and B/D Recovered A/c credited
7. (a)	As per Double Entry System, every transaction will have 2 aspects
8. (b)	Cash A/c debited and Sale A/c is credited

THEORETICAL QUESTIONS

Question 1 : **(SM)**

Write short note on classification of accounts.

Answer :

Accounts can be classified under following **2 approaches :**

I. Modern or Accounting Equation Approach : Under this Approach, Accounts are classified into assets, liabilities and capital, which are as follows:

(i) **Assets:** These are resources **controlled by the enterprise** as a result of past events and from which future economic benefits are expected to flow to the enterprise, namely cash, stock of goods, land, buildings, machinery etc.

(ii) **Liabilities:** These are financial obligations of an enterprise other than owner's equity namely long term loans, creditors, outstanding expenses etc.

(iii) **Capital:** It generally refer to the amounts invested in an enterprise by its owner(s). Since capital is affected by revenue expenses and incomes, so the difference between incomes and expenses are taken into capital account.

- ➢ **Expenses:** These represents those accounts which show the amount spent or even lost in carrying on operations.
- ➢ **Incomes:** These represent those accounts which show the revenue amounts earned by the enterprise.

II. Traditional Approach : Under this approach accounts are classified as follows:

(i) **Personal Accounts:** These accounts relate to persons, institutions, debtors or creditors.

(ii) **Impersonal Accounts:** These represent accounts which are not personal. These can be further sub-divided as follows:

- ➢ **Real Accounts:** These accounts relate to assets of the firm except debt e.g. accounts relating to land, buildings, cash in hand etc.
- ➢ **Nominal accounts:** These accounts relate to expenses, losses, gains, revenues etc.

Question 2 : **(SM)**

Distinguish between Real account and nominal account.

Answer.

1. Meaning : A real account is an account relating to properties and assets, other than personal accounts of the firm. Nominal accounts relate to expenses or losses, incomes and gains.

2. Examples : Real accounts are land, buildings, machinery, cash, investments etc.
Nominal accounts are wages, salaries, rent, depreciation etc.

3. Presentation : The real accounts are shown in the balance sheet along with personal accounts.
The net result of all the nominal accounts is reflected as profit or loss which is transferred to the capital account.

Question 3 :

Distinguish between trade discount and cash discount.

Answer:

Basis of Distinction	Trade Discount	Cash Discount
1. Meaning	It is a reduction granted by a supplier from the List Price of goods or services on business considerations (such as quality bought, trade practices, etc.,) other than for prompt payment.	A reduction granted by a supplier from the Invoice Price in consideration of immediate payment or payment within a credit period allowed.
2. Purpose	It is allowed to promote the sales or as a trade practices.	It is allowed to encourage the prompt payment.
3. When allowed	It is allowed on all purchase / sale of goods, whether cash or credit.	It is allowed on immediate payment or payment within a specified period.
4. Disclosure in the Invoice	It is shown by way of deduction in the invoice itself.	It is not shown in the invoice.
5. Recording	Trade Discount Account is not recorded in books.	Cash Discount is recorded in books.

Question 4 : **[PEQ-JAN.25-4 Marks][RTP-NOV-21]**

Write short notes on Double entry system and Journal.

Answer 4 :

(i) Double entry system :

As per this system, every transaction has **two aspects** and according to this system, **both the aspects are recorded**. This system was **developed in the 15th century in Italy by Luca Pacioli**.

This system offers the under mentioned **advantages**:

(a) By the use of this system, the **accuracy** of the accounting work can be established through trial balance.

(b) The **profit earned or loss suffered** during a period can be ascertained together with details.

(c) The **financial position** of the firm or the institution concerned, can be ascertained at the end of each period, through preparation of the balance sheet.

(d) Result of one year may be compared with those of previous years and reasons for the change may be ascertained.

(ii) Journal :

- Transactions are first entered in a book called 'Journal' to show which account should be debited and which should be credited.
- Journal creates preliminary records and, is also called subsidiary book.
- All transactions are first recorded in the journal as and when they occur i.e. in chronological order. Journal gives details regarding any transaction. Thus journal tells the amounts to be debited and credited and also the accounts involved.

Question : 5 **[PEQ. Dec. 23 (5 Marks)]**

What are the sub-fields of Accounting?

Answer:

The various sub-fields of accounting are:

(i) **Financial Accounting –** It covers the preparation and interpretation of financial statements and communication to the users of accounts. It is historical in nature as it records transactions which had already been occurred. The final step of financial accounting is the preparation of Profit and Loss Account and the Balance Sheet. It primarily helps in determination of the net result for an accounting period and the financial position as on the given date.

(ii) **Management Accounting –** It is concerned with internal reporting to the managers of a business unit. To discharge the functions of stewardship, planning, control, and decision- making, the management needs variety of information. The different ways of grouping information and preparing reports as desired by managers for discharging their functions are referred to as management accounting. A very important component of the management accounting is cost accounting which deals with cost ascertainment and cost control.

(iii) **Cost Accounting** – The process of accounting for cost which begins with the recording of expenditure or the bases on which they are calculated and ends with the preparation of periodical statements and reports for ascertaining and controlling costs.

(iv) **Social Responsibility Accounting –** The demand for social responsibility accounting stems from increasing social awareness about the undesirable by- products of economic activities., Social responsibility accounting is concerned with accounting for social costs incurred by the enterprise and social benefits created.

(v) **Human Resource Accounting –** Human resource accounting is an attempt to identify, quantify and report investments made in human resources of an organisation that are not presently accounted for under conventional accounting practice.

JOURNAL ENTRIES – ADDITIONAL QUESTIONS

Capital + Loan (1 to 8)

1.	Started business with Capital of Rs. 30,000	30,000 की पूंजी से व्यापार प्रारम्भ किया
2.	Business Commenced with Cash Rs. 50,000 & Furniture worth Rs. 10,000	50,000 की रोकड़ तथा 10,000 के फर्नीचर से व्यापार शुरू किया
3.	Started business with Cash & Goods	रोकड़ तथा माल के साथ व्यापार प्रारम्भ किया
4.	Commenced business with Cash Rs. 10,000 of which he borrowed Rs. 4,000 from his wife	10,000 रू. रोकड़ से व्यापार प्रारम्भ किया जिसमें से 4,000 रू. पत्नी से ऋण लेकर लगाया गया।
5.	For meeting the requirement of the business for cash arranged a loan of Rs. 10,000 from seth madan.	व्यापार की जरूरतों को पूरी करने के लिये सेठ मदन से 10,000 रू. का ऋण लिया गया।
6.	Life Insurance Premium paid	जीवन बीमा प्रीमियम का भुगतान किया।
7.	Withdrawal cash of Rs. 5,000 by Prop.	स्वामी द्वारा 5,000 रू. आहरण किया।
8.	Paid Electricity bill of Proprietor	व्यापार के स्वामी का बिजली बिल व्यापार से भुगतान किया।

Goods (9 to 36)

9.	Purchase goods for Rs. 1,200 on Cash, Or Purchase goods for Rs. 1,200, Or Purchase Goods for Rs. 1,200 from Arun on cash	माल का क्रय 1,200 रोकड़ में या 1200 का माल क्रय किया या अरूण से 1200 रू. का माल रोकड़ में क्रय किया
10.	Purchase goods for Rs. 1,200 from Arun, Or Purchase goods for Rs. 1,200 from Arun on Credit, Or Purchase goods for Rs. 1,200 on Credit.	अरूण से 1200 रू. का माल क्रय किया या अरूण से 1200 रू. का माल उधार में क्रय किया या 1200 रू. का माल उधार में क्रय किया
11.	Purchase goods for cash Rs. 10,000 at 10% Trade Discount	10,000 रू. रोकड़ का 10% व्यापारिक बट्टे पर माल क्रय किया
12.	Purchase goods for cash Rs. 10,000 at 10% Cash Discount	10,000 रू. के मूल्य का माल 10% के रोकड़ बट्टे पर क्रय किया
13.	Purchase goods from Arun on Credit for Rs. 10,000 at 10% T.D. and 5% C.D.	अरूण से 10,000 के मूल्य का माल 10% व्यापारिक बट्टे तथा 5% नकद बट्टे पर उधार क्रय किया।
14.	Purchase goods from Arun on Cash for Rs. 10,000 at 10% T.D. and 5% C.D.	अरूण से 10,000 रू. के मूल्य का माल 10% व्यापारिक बट्टे पर तथा 5% नकद बट्टे पर खरीदा।
15.	Purchase goods from Arun for Rs. 10,000 at 10% T.D. and 5% C.D. He paid 60% of amount in cash	अरूण से 10,000 रू. के मूल्य का माल 10% व्यापारिक तथा 5% नकद बट्टे पर क्रय किया तथा 60% राषि नकद दी।
16.	Sold good for Rs. 5,000 on Cash, Or Sold good for Rs. 5,000, Or Sold goods for Rs. 5000 to Raj for Cash	5,000 रू, का माल नकद में विक्रय किया या 5,000 रू. के माल का विक्रय किया या राज को 5,000 रू. का माल नकद विक्रय किया।
17.	Sold goods for Rs. 5000 to Raj, Or Sold goods for Rs. 5000 to Raj on Credit, Or Sold goods for Rs. 5000 on Credit.	राज को 5,000 रू. का माल विक्रय किया या राज को 5,000 रू. का माल उधार में विक्रय किया या 5,000 रू. के माल का उधार विक्रय किया।
18.	Sold goods for Rs. 1000 at 10% T.D.	1,000 रू. के माल का विक्रय 10% व्यापारिक बट्टे पर किया
19.	Sold good for cash Rs. 1000 at 10% C.D.	1,000 रू. का माल 10% नकद बट्टे पर विक्रय किया गया।
20.	Sold goods to Raj on Credit for Rs. 10,000 at 10% T.D. and 5% C.D.	10,000 रू. का माल राज को 10% व्यापारिक तथा 5% नकद बट्टे पर उधार विक्रय किया।
21.	Sold Good to Raj for Cash Rs. 10,000 at 10% T.D. and 5% C.D.	राज को 10,000 रू. का माल का 10% व्यापारिक तथा 5% नकद बट्टे में नकद विक्रय किया गया।
22.	Sold goods to Raj for Rs. 10,000 at 10% T.D. and 5% C.D. He paid 50% of amount in cash	राज को 10,000 रू. का माल 10% व्यापारिक तथा 5% नकद बट्टे पर विक्रय किया, उसने 50% राषि का भुगतान किया।
23.	Purchase goods from Ram lal for Rs. 750. Carriage paid by him on our behalf Rs. 25	रामलाल से 750 रू. का माल क्रय किया उसने हमारे बदले 25 रू. भाड़े का भुगतान किया।
24.	Purchase goods from Ram lal Rs. 750. Carriage paid Rs. 25	रामलाल से 750 रू. का माल क्रय किया, 25 रू. भाड़े का भुगतान किया
25.	Sold goods to Shyam lal for Rs. 750. Carriage paid on his behalf Rs. 25	श्याम लाल को 750 रू. के माल का विक्रय किया, उसके बदले 25 रू. भाड़े का भुगतान किया
26.	Sold goods to Shyam Rs. 750. Carriage paid Rs. 25	श्याम लाल को 750 रू. के माल का विक्रय किया, 25 रू. के भाड़े का भुगतान किया।
27.	Loss of Goods by theft. (Not Insured)	चोरी से माल की हानि हुई बीमा नहीं था,
28.	Loss of Goods by theft. (Fully Insured)	चोरी से माल की हानि पूरी तरह से बीमाकरित था,

29.	Insured stock Rs. 15,000 was lost in fire and insurance co. admitted Claim of Rs. 12,000 only.	15,000 रू. के बीमित स्टॉक आग से नष्ट हो गया तथा बीमा कंपनी द्वारा केवल 12,000 रू. का दावा स्वीकार किया गया
30.	Purchase goods from Rajesh Rs. 10,000 and supplied it to Brijesh Rs. 12,500 Brijesh return goods worth Rs. 2500 which inturn return to Rajesh	राजेष से 10,000 रू. का माल क्रय किया तथा इसे बर्रेजेष को 12,500 रू. में भेज दिया बर्रेजेष ने 2,500 रू. का माल वापस किया जो राजेष को वापस किया गया।
31.	Purchased goods worth Rs 20,000 out of which goods worth Rs. 16,000 are insured for which Rs. 800 is paid as insurance premium. Goods worth Rs. 10,000 were lost by fire and insurance co. admitted a proportionate claim.	20,000 रू. का माल नकद खरीदा गया। उसमें से 16,000 रू. का माल बीमाकर्रेत कराया गया। जिसमें से 800 रू. बीमा प्रीमियम पटाया गया। 10,000 रू. का माल अग्नि से क्षतिग्रस्त हो गया। बीमा कंपनी ने अनुत्पातिक दावा दर्ज किया।
32.	Good costing Rs. 80,000 sold to Ishfaq for cash at a profit of 20% on Cost Less 10% T.D. and 2% C.D.	80,000 रू. की लागत का माल इषफाक को विक्रय मूल्य पर 20% लाभ पर नकद बेचा गया। घटाया 10% व्यापारिक बट्टा तथा 2% नकद बट्टा।
33.	Goods used in furnishing office [S.P. 2000 C.P. Rs. 1900]	कार्यालय हेतु फर्नीचर बनवाया गया, जिसमें दुकान से माल लगाया गया (विक्रय मूल्य 2000 रू. लागत मूल्य 1900 रू.)
34.	Goods withdrawn by Prop. Worth Rs. 2 lacs.	स्वामी ने 2 लाख रू. का माल आहरित किया।
35.	Goods given by way of charity/donation/Advertisement/ free Sample worth Rs. 1,00,000.	धर्मार्थ/दान/विज्ञापन/मुफ्त नमूने के रूप में 1,00,000 रू. का माल दिया।
36.	Goods withdrawn by employee, which will be deducted from his Salary.	कर्मचारी द्वारा माल निकाला, जिसे उसके वेतन से काटा जायेगा।

Assets (37 to 47)

37.	Machinery Purchased for Cash	मषीन का नकद में क्रय किया
38.	Furniture Purchased from S.K. Trading Co.	एस. के. ट्रेडिंग कंपनी से फर्नीचर क्रय किया
39.	Purchase Machinery for Rs. 10,000 from Nitin and gave him a cheque of that amount	नितिन से 10,000 रू. की मषीन का क्रय किया तथा उसे इस राषि का चैक द्वारा भुगतान किया।
40.	Purchase Machinery by cheque Rs. 10,000 and installation charges of Machinery Paid in Cash Rs. 200	मषीन का क्रय 10,000 रू. के चैक के द्वारा किया तथा उसके स्थापना पर 200 रू. का व्यय किया।
41.	Purchase new Machinery from M/s Saurav Machinery stores on Credit Rs. 7000. Paid freight Rs. 500 and installation charges Rs. 700	मेमर्स सौरभ मषीनरी स्टोर्स से 7,000 रू. की नई मषीन का उधार में क्रय किया भाड़ा 500 रू. तथा स्थापना व्यय 700 रू. का भुगतान किया।
42.	Exchange old furniture for new the value of old furniture was Rs. 350 while the value of new furniture was Rs. 900, Balance paid in cash.	पुराने फर्नीचर को नये फर्नीचर के बदले बदलवाया। पुरानें फर्नीचर की कीमत 350 रू. थी जबकि नये फर्नीचर की कीमत 900 रू. है। अन्तर की राषि नकद भुगतान किया।
43.	Depreciation Charged on Assets.	सम्पत्ति पर ह्रास लगाया गया।
44.	Purchased two horses each valuing 5,000 and a Cart worth Rs. 2,000 for the purpose of delivery of goods.	2 घोड़े प्रति घोड़े 5,000 रू. की दर से और एक गाड़ी 2,000 रू. की दर से माल पहुँचानें हेतु खरीदे गये।
45.	The above horses met an accident and there carcases where sold for Rs. 500.	दुर्घटना में घोड़े मर गये और उनके चमड़ों को बेचने से 500 रू. वसूल हुआ।
46.	Machinery having book value of Rs. 60,000 sold for Rs. 70,000 or 55,000.	60,000 रू. की पुस्तकीय मूल्य की मषीन को 70,000 रू. या 55,000 रू. में बेचा गया।
47.	A Machinery costing Rs. 20,000 sold for Rs. 26,000. Depreciation provided to date was Rs. 2000.	एक मषीन जिसकी लागत 20,000 रू. थी, जिसका विक्रय 26,000 रू. में किया गया, इस तिथि तक 2000 रू. का ह्रास हुआ।

Cash and Banking Transactions (48 to 71)

48.	Open Account in a Bank and deposited Rs. 1,000	बैंक में खाता खोला तथा 1,000 रू. जमा किये।
49.	Open current / Saving a/c, and fixed deposit a/c and deposited Rs. 10,000 and 2,00,000 respectively.	चालू/बचत खाता तथा स्थायी जमा खाता खोला तथा क्रमषः 10000 रू. तथा 2,00,000 रू. जमा किये।
50.	Received cheque from Raja ram and Deposited into bank same day	राजाराम से चैक प्राप्त हुआ तथा उसे उसी दिन बैंक में जमा कराया गया।
51.	Raja ram's Cheque dishonoured	राजाराम का चैक अनादरित हो गया।
52.	Received bearer cheque from Shyam	श्याम से वाहक चैक प्राप्त हुआ।
53.	Received a cross cheque from Dhevar & Sons.	धेवर एण्ड सन्स से रेखांकित चैक प्राप्त हुआ
54.	Bank charges Paid	बैंक प्रभार का भुगतान किया।
55.	Expenses paid by cheque.	व्ययों का भुगतान चैक से किया

56.	Goods Purchased from Mohan for Rs. 10,000 and paid 9,800 in full settlement	मोहन से 10,000 रू. का माल खरीदा तथा 9,800 रू. में पूर्ण भुगतान किया।
57.	Received cash Rs. 150 and Cheque for Rs. 200 for cash sales.	नकद विक्रय किया – 150 रू. नकद एवं 200 रू. का चैक प्राप्त हुआ।
58.	Paid L & Co. Rs. 750 in cash and he allow discount 70/-.	L & Co. को 750 रू. का नकद भुगतान किया एवं उसने 70 रू. का बट्टा दिया।
59.	Amount paid to Creditor by cheque.	लेनदारों को चैक से भुगतान किया
60.	Interest on deposit credited by bank	बैंक में जमा पर ब्याज क्रेडिट किया
61.	Interest on overdraft charge by bank	बैंक द्वारा बैंक अधिविकर्ष पर ब्याज लगाया गया
62.	Loan taken from bank	बैंक से ऋण लिया
63.	Received cheque from Ramesh endrose it to suresh	रमेश से चैक प्राप्त हुआ जिसे सुरेष को समर्थन किया।
64.	Cheque received from Shyam [Not deposited]	श्याम से चैक प्राप्त हुआ। (जमा नहीं किया गया)
65.	Above cheque is deposited into bank	उपरोक्त चैक बैंक मे जमा किया गया।
66.	Withdrew from bank for personal use	व्यक्तिगत उपयोग के लिये बैक से आहरण किया।
67.	Withdrew from bank for business use	व्यापारिक उपयोग के लिये बैक से निकाला।
68.	Life Insurance Premium paid by cheque	जीवन बीमा प्रीमियम का चैक द्वारा भुगतान किया।
69.	Received cheque from customer deposited in personal a/c of proprietor	ग्राहक से चैक प्राप्त हुआ जिसे स्वामी के व्यक्तिगत खाते में जमा कराया गया।
70.	Received Interest on personal Investment by cheque and deposited into bank a/c of business	व्यक्तिगत विनियोग पर ब्याज प्राप्त हुआ तथा व्यापार के बैंक खाते में जमा कराया गया।
71.	Cheque of Rs. 900 received from Ahmad dishonour & Bank Charge Noting charges Rs. 5.	अहमद से 900 रू. का प्राप्त चैक अनादरित हो गया तथा बैंक ने 5 रू. नोटिंग प्रभार लगाया।

Expenses and Incomes (72 to 90)

72.	Salary Paid Or Salary Paid to Raj our accountant.	वेतन का भुगतान किया या राज लेखाकार, को वेतन का भुगतान किया
73.	Rent paid 200, Salary paid 250, Traveling Exp. paid 50.	किराया भुगतान 200 रू., वेतन भुगतान 250 रू., यात्रा व्यय भुगतान 50 रू.।
74.	Paid office rent Rs. 1500 for 3 month in advance including 2 months rent of next year.	कार्यालय किराया 1,500 रू. 3 माह का अग्रिम में भुगतान किया जिसमें अगले साल का 2 माह का किराया शामिल है।
75.	Office Rent for the month of December is outstanding.	दिसम्बर माह का किराया अदत्त हैं
76.	Rent / Commission Received.	किराया/कमीषन प्राप्त इत्यादि
77.	Bad debts written off.	डूबत ऋण अपलिखित किया गया ।
78.	Ram who owed Rs. 5000 declared insolvent and 60 p. in a rupee recover from him.	राम जो 5000 रू. का ऋणी है दिवालिया घोषित हो गया तथा उससे 1 रू. में 60 पैसे ही वसूल हो पाये।
79.	Debts previously written off as bad now recovered Rs. 1600.	डूबत ऋण जो पहले अपलिखित किया गया था अब 1600रू. वसूल हुआ।
80.	Cash embezzled by an employee Rs. 1000	कर्मचारी द्वारा 1000 रू. रोकड़ का गबन किया गया।
81.	28 April Appointed Mr. Kumar as an Accountant at Rs. 600p.m. and received Rs. 1000 as security Deposit @ 5% p.a.	**28 अप्रैल** मिस्टर कुमार को 600 रू. प्रतिमाह पर लेखापाल के रूप में नियुक्त किया गया। उससे 1,000 रू. सुरक्षानिधि के रूप में 5% प्रतिवर्ष की दर से रखवाया गया।
82.	30 April Mr. Kumar was found inefficient and was relieved from his post by setting his account in full for security deposit	**30 अप्रैल** मिस्टर कुमार उपरोक्त कार्य के लिये काबिल नहीं पाये गये और उन्हे नौकरी से निष्कासित किया गया। इसके लिये उन्हें सुरक्षानिधि वेतन और सुरक्षानिधि का ब्याज लौटाया गया।
83.	Salary for the month of March Rs. 10,000 is outstanding.	मार्च माह की 10,000 रू. का वेतन अदत्त है।
84.	Insurance paid Rs. 1,00,000 for the period from 1st July 2021 to 30th June 2022. [Year ends on 31st March]	1,00,000 रू. बीमें का भुगतान किया जो कि 1 जुलाई 2021 से 30 जून 2022 की अवधि का था। 'वर्ष 31 मार्च को समाप्त होता है।'
85.	Interest of Rs. 5,000 due but not received.	5,000 रू. का ब्याज देय हुआ परन्तु प्राप्त नहीं हुआ।
86.	Rent of Rs. 20,000 received in advance i.e., for next financial year.	20,000 रू. अग्रिम किराया प्राप्त हुआ। अतः अगले वित्तीय वर्ष के लिये।
87.	Interest Charged to Mahesh.	महेष पर ब्याज लगाया।
88.	Bank debited Rs. 100 for charges	बैक ने 100 रू. चार्ज का डेबिट किया।

89. Paid Income tax of Rs. 5,000 and Sales tax for Rs. 2,000.
5,000 रू. का आयकर तथा 2,000 रू. का विक्रय कर का भुगतान किया।

90. Sold an old news paper for Rs. 500.
500 रू. में पुराने समाचार पत्रों को बेचा।

91. Sold his personal car for Rs. 1,00,000 against cheque and deposited it in his saving account.

92. Provided interest on capital (Rs. 50,000) at 6% for six months.

93. Paid office expenses Rs. 500 from personal cash and stationary expenses Rs. 1,000 from office cash.

94. Paid carriage and cartage on goods sold to Manohar, chargeable to his account, Rs. 10

95. Gurdial invoiced goods to us, Rs. 930.

96. Sent goods to Fernandes against his pending order of the last month, Rs. 600

97. Purchase 100 war bonds for Rs. 100 each at Rs. 95 each and paid for them by cheque

98. Receive 25 as dividend on the above shares.

99. Receive goods through Cash on delivery basis Rs. 1,200.

100. On 1st Jan. 2022, the following balances appeared in books of Hitesh

			Rs.
Assets	-	Cash	20,000
	-	Bank	15,000
	-	Furniture	20,000
	-	Debtor	25,000
	-	Stock	30,000
Liabilities	-	Creditors	25,000
	-	Bills Payable	15,000
	-	Bank Loan	20,000

Pass Opening entry.

101. Deposited Cheque from saving A/c to firm's account Rs. 50,000.

102. Cheque of Rs. 20,000 receive from Feroz was Dishonoured.

103. Receive 40 paise in a rupee from Feroz against the above dues.

104. Paid Rs. 2,880 to S.K. Gupta on his account for Rs. 3,000

105. Purchase machinery for Rs. 50,000 and paid it by bank draft. Paid bank charges Rs. 500

106. Bought computers from HP Ltd Noida and amount paid by internet transfer Rs. 50,000

107. Placed in fixed deposit account at bank by transfer from current account Rs. 50,000

108. Sold goods costing Rs. 40,000 to Anil for cash at a profit of 25% on cost less 20% Trade discount and paid cartage Rs. 100 which is not to be charge from customer.

109. Provided Interest on capital of Rs. 1,00,000 @ 10 p.a. for six month

110. Charge interest on Drawing @ 2% on Rs. 5000

111. Charge depreciation of 10% p.a. on furniture costing Rs. 24,000 for 1 month.

112. Received commission Rs. 5,000 half of which is in advance.

113. Bought goods from Prakash at one month's credit for Rs. 600, of which half were invoiced to Manohar at 30% above cost.

JOURNAL ENTRIES – ANSWERS

(Capital + Loan 1 to 8)

1.

Cash A/c	Dr.	30000	
To Capital a/c			30000

2.

Cash A/c	Dr.	50000	
Furniture A/c	Dr.	10000	
To Capital a/c			60000

3.

Cash A/c	Dr.		
Stock A/c	Dr.		
To Capital a/c			

4.

Cash A/c	Dr.		
To Capital A/c			
To Wife's loan A/c			

5.

Cash a/c	Dr.	10,000	
To Seth madan loan			10,00

(Interest = 10,000 ×12/100× 6/12 ➔ 600)

6.

Drawing	Dr.		
To Cash			

[Life insurance premium is paid on proprietor's life so, Drawing a/c is debited.]

7.

Drawing A/c	Dr.		
To Cash			

8.

Drawing A/c	Dr.		
To Cash			

GOODS (9 to 36)

9.

Purchase A/c	Dr.		
To Cash a/c			

10.

Purchase A/c		Dr.	
To Arun/ Creditors/ Supplier a/c			

11.

Purchase a/c	Dr.	9,000	
To cash a/c			9,000

Trade Discount is not shown so Net amount shown after deduction.

12.

Purchase a/c	Dr.	10,000	
To cash a/c			9,000
To discount			1,000

13.

Purchase a/c	Dr.	9,000	
To Arun a/c			9,000

Here cash discount is not recorded as goods are purchase on Credit.

14.

Purchase a/c	Dr.	9,000	
To cash a/c			8,550
To Dis. a/c			450

As goods are sold for cash discount is also recorded.

15.

Purchase a/c	Dr.	9,000	
To cash a/c			5130
To Discount a/c			270
To Arun a/c			3600

T.D. is calculated on whole amount while C.D. is calculated on actual amount paid.

Calculate :

Total price	10,000
T.D. 10%	1000
Purchase	9,000
Credit 40%	3600
Cash Transaction	5400
Cash Discount 5%	270
Cash Paid	5130

16.

Cash a/c	Dr.		
To Sales a/c			

17.

Raj a/c / Debtors or Customer		Dr.
(If name not given)		
	To Sales	

18.

Cash a/c	Dr.	900	
To sale a/c			900

T.D. is not shown so net amount is shown after deduction

19.

Cash a/c	Dr.	900	
Discount a/c Rs.	Dr.	100	
To sale a/c			1000

20.

Raj	Dr.	9000	
To sale			9000

Here cash discount is not deducted and recorded as goods are sold on Credit.

21.

Cash	Dr.	8550	
Discount	Dr.	450	
To sale			9000

As Goods are sold for cash discount is also recorded

22.

Cash a/c	Dr.	4275	
Discount a/c	Dr.	225	
Raj a/c	Dr.	4500	
To sale a/c			9000

T.D. is Calculated on whole amount while C.D. is calculated on actual amount paid.

23.

Purchase a/c	Dr.	750	
Carriage a/c	Dr.	25	
To Ram lal			775

24.

Purchase a/c	Dr.	750	
Carriage a/c	Dr.	25	
To Ram lal			750
To Cash a/c			25

25.

Shyam lal	Dr.	775	
To Sales a/c			750
To Cash a/c			25

26.

Shyam lal	Dr.	750	
Carriage	Dr.	25	
To Sales			750
To Cash			25

27.

Loss by theft	Dr.	
To Purchase		

28.

1. (i) Loss by theft	Dr.	Fire occurred
To Purchase		
(ii) Insurance Co.	Dr.	
To loss by theft		

(Claim admitted by insurance co.)

OR

2. Insurance co.	Dr.	
To Purchase		

29.

Insurance Co.	Dr.	12,000	
Loss by fire	Dr.	3,000	
To Purchase			15,000

As good is insured but insurance co. admitted only a part of loss so, uninsured loss is debited to loss by fire a/c

30.

1. Purchase	Dr.	10,000	
To Rajesh			10,000
2. Brijesh	Dr.	12,500	
To Sales			12,500
3. Sales Return	Dr.	2,500	
To Brijesh			2,500
4. Rajesh	Dr.	2,000	
To Pur. Return			2,000

31.

1. Purchase	Dr.	20,000	
To cash			20,000
2. Insurance	Dr.	800	
To cash			800
3. Loss by fire	Dr.	2,000	
Insurance claim	Dr.	8,000	
To purchase			10,000

32.

Cash	Dr.	84,672	
Discount	Dr.	1,728	
To Sales			86,400

(80,000 + 20 % = 96,000)

CP	80,000
(+) Pft. @ 20 % on CP	16,000
	96,000
(-) TD @ 10 %	(9600)
	86,400
(-) CD @ 2 %	(1728)
	84672

33.

Furniture	Dr.	1,900	
To purchase			1,900

34.

Drawing A/c	Dr.	2 lakh	
To Pur.			2 lakh

35.

Charity/donation/adv. A/c	Dr.	1 lakh.	
To Pur.			1 lakh

36.

Salary A/c	Dr.
To Purchase	

ASSETS (37 to 47)

37.

Machinery	Dr.
To Cash	

38.

Furniture	Dr.
To S.K. Trading	

39.

Machinery	Dr.
To Bank	

40.
Machinery Dr. 10200
To Bank 10,000
To Cash 200
All exp. incurred before the assets put into use is debited to respective assets a/c

41.
Machinery Dr. 8200
To M/s saurav Machinery 7000
To Cash 1200

42.
Furniture Dr. 550
To Cash 550
[Difference Amount]

43.
Depreciation Dr.
To Assets
[Meaning : Depreciation means decrease in value of fixed Assets] [As value of fixed assets reduce/Decrease so Assets a/c is credited.] [As Depreciation is loss so it is debited]

44.
Live stock a/c [asset] Dr. 10,000
Cart a/c Dr. 2,000
To cash 12,000

45.
Cash Dr. 500
Loss by live stock Dr. 9,500
To live stock 10,000

46.
If Sold for 60,000
Cash A/c Dr. 70000
To Machinery 60,000
To P & L A/c 10,000
If Sold for 55,000
Cash A/c Dr. 55,000
P & L A/c Dr. 5,000
To Machinery 60,000

47.
Cash Dr. 26,000
To machinery 18,000
To P/L A/c 8,000
Notes:- Profit = SP (-) Book Value
Book Value = Cost (-) Dep. upto date
= 20,000 – 2,000 = 18,000

Cash & Banking Transactions (48 to 71)

48.
Bank a/c Dr. 1,000
To Cash 1,000

49.
Bank Dr. 10,000
Fixed Deposit Dr. 2,00,000
To Cash 2,10,000
[As current a/c is fluctuating a/c so Bank a/c is debited while fixed deposit a/s is for long period so it is treated like fixed assets/Investment and is shown separately]

50.
Bank Dr.
To Rajaram

51.
Rajaram Dr.
To Bank

52.
Cash Dr.
To Shyam
[Bearer cheque is enchased at the counter of the bank so, instead of bank a/c cash a/c is debited.]

53.
Bank a/c Dr.
To Dhevar & Sons.
[Crossed cheque shall be deposited in bank only. It can't be collected in cash]

54.
Bank Charges Dr.
To Bank

55.
Expenses Dr.
To Bank

56.
Purchase A/c Dr. 10,000
To Cash 9800
To Disc. 200

57.
Cash A/c Dr. 150
Bank A/c Dr. 200
To Sales A/c 350

58.
L & Co. Dr. 820
To Cash a/c 750
To Dis. a/c 70

59.
Creditors A/c Dr.
To Bank

60.
Bank Dr.
To Interest

61.
Interest a/c Dr.
To Bank

62.
Bank Dr.
To Bank Loan

63.
Suresh Dr.
To Ramesh

64.

Cheque in hand / Cash Dr.
To Shyam

65.
Bank Dr.
To Cash a/c

66.

Drawings Dr.
To Bank

67.

Cash Dr.
To Bank

68.

Drawing Dr.
To Bank

69.

Drawings Dr.
To Customer

70.

Bank a/c Dr.
To capital

71.

Ahmed Dr. 905
To Bank 905
[Cheque Amt. + Noting Charges]

Expenses and Income (72 to 90)

72.
Salary Dr.
To cash

73.

Rent	**Dr.**	**200**	
Salary	**Dr.**	**250**	
Traveling	**Dr.**	**50**	
To Cash			**500**

74.

Rent a/c	**Dr.**	**500**	
Prepaid Rent	**Dr.**	**1,000**	
To Cash			**1,500**

75.

Rent Dr.
To O/s Rent

76.
Cash a/c Dr.
To Rent
To Commission

77.

Bad debts Dr.
To debtors

78.

Cash	**Dr.**	**3,000**	
Bad debts	**Dr.**	**2,000**	
To Ram			**5,000**

79.

Cash	**Dr.**	**1,600**	
To B/D recovered			**1,600**

80.

Loss by theft	**Dr.**	**1000**	
To cash			**1,000**

81.

Cash	**Dr.**	**1,000**	
To S.D.			**1,000**

82.

Security deposit	**Dr.**	**1,000**	
Salary a/c	**Dr.**	**40**	
Interest a/c	**Dr.**	**.30**	
To cash			**1,040.30**

600 x 2/30 = 40, 1000 x 5% x 2/365 = 0.30

83.

Salary	**Dr.**	**10,000**	
To outstanding salary			**10,000**

84.

Insurance A/c	**Dr.**	**75,000**	
Prepaid Ins. A/c	**Dr.**	**25,000**	
To Cash			**1,00,000**

85.

Accrued Interest	**Dr.**	**5,000**	
To Interest			**5,000**

86.

Rent / Cash A/c	**Dr.**	**20,000**	
To Advance/Prepaid Rent			**20,000**

87.
Mahesh A/c Dr.
To Interest

88.

Bank Charge	**Dr.**	**100**	
To Bank			**100**

89.

Drawings	**Dr.**	**5,000**	
Sales Tax	**Dr.**	**2,000**	
To Cash			**7,000**

90.

Cash	**Dr.**	**500**	
To Sale of old news paper			**500**

91. No Entry [Due to Entity Concept]

92. Interest on Capital A/c Dr. 1,500
To capital A/c 1,500
50000 * 6/100 * 6/12

93. Office Exp. A/c Dr. 500
Stationery Exp. A/c Dr. 1,000
To Capital A/c 500
To Cash A/c 1,000
[Being office Exp. Paid from personal cash and stationery Exp. Out of business cash]

94. Manohar's A/c Dr. 10
To Cash A/c 10
[Being Cartage paid on behalf of Manohar]

95. Purchase A/c Dr. 930
To Gurdial A/c 930

96. Fernandes A/c Dr. 600
To Sales A/c 600

97. Investment A/c Dr. 9,500
To Bank A/c 9,500
[Being 100 sh. Of Rs. 100 each purchase at Rs. 95 per]

98. Bank A/c Dr. 25
To Dividend A/c 25

99. Purchase A/c Dr. 1,200
To Cash A/c 1,200
[Being goods purchase through value payable post]

100.

Cash A/c	Dr.	20,000	
Bank A/c	Dr.	15,000	
Furniture A/c	Dr.	20,000	
Debtors A/c	Dr.	25,000	
Stock A/c	Dr.	30,000	
To creditor A/c			25,000
To Bills payable A/c			15,000
To Bank loan A/c			20,000
To Capital A/c (Bal. Fig.)			50,000

[Being opening Entry passed]

101. Bank A/c Dr. 50,000
To Capital A/c 50,000

102. Feroz's A/c Dr. 20,000
To Bank A/c 20,000

103. Cash A/c Dr. 8,000
Baddebts A/c Dr. 12,000
To Freoz's 20,000
[Being 40% of the Amount due from Feroz receive as Final Settlement]

104. S.K. Gupta's A/c Dr. 2,880
To Cash A/c 2,880

105. Machinery A/c Dr. 50,000
Bank Charges A/c Dr. 500
To Bank A/c 50,500

106. Computer A/c Dr. 50,000
To Bank A/c 50,000

107. Fixed Deposit A/c Dr. 50,000
To Bank A/c 50,000

108. Cash A/c Dr. 40,000
To Sales A/c 40,000

C.P.	40,000
+ Pft. @ 25% on CP	10,000
S.P	50,000
(-) T.D @ 20%	(10,000)
Net SP	40,000

Carriage out ward A/c Dr. 100
To Cash A/c 100

109. Interest on capital A/c Dr. 5,000
To capital A/c 5,000

$$1,00,000 \times \frac{10}{100} \times \frac{6}{12} = 5,000$$

110. Drawing A/c Dr. 100
To Interest on Drawing A/c 100
5000 * 2/100 = 100

111. Depreciation A/c Dr. 200
To Furniture A/c 200
24000 * 10/100 * 1/12

112. Cash A/c Dr. 5,000
To Commission A/c 2,500
To unearned Comm. A/c 2,500

113. Purchase A/c Dr. 600
To Prakash's A/c 600
Manohar's A/c Dr. 390
To Sales A/c 390
600 * 1/2 = 300 + 30% of 300
300 + 90 = 390

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QR CODE	QUESTION NO.	QR CODE
Journal		Q.18 → Q. 16	
		Q. 22 → Q. 20	
		Q. 23 → Q. 21	
		Q. 24 → Q. 22	
		Q. 25 → Q. 23	
		Q. 26 → Q. 25	

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE	LECTURE	QR CODE
Journal		Discussion of Additional Questions	
		Discussion of Basic concepts of Accounting	

THEORY DISCUSSION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Journal	Discussion of Theory Questions	

COMMON DOUBTS VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Journal	Common Doubts	

Space for Personal Notes:-

CHAPTER : 2 – ACCOUNTING PROCESS
UNIT : 2 - LEDGERS
(Principal book / Main book/ Secondary book of accounts)

Question 1 :
What do you mean by Ledger?
Answer 1 :
Meaning of Ledger :

- The place where records of all business transactions relating to a particular person, firm or an item is kept is termed as Account. The books in which such accounts are kept is termed as "Ledger".
- In Ledger we get information account wise. **(Analytical order)**
- As the ledger is the ultimate destination of all transactions, the ledger is called the **'Book of Final Entry'.**

Question 2 :
State the main features of Ledger.
Answer 2 :
Main features of Ledger :

- It provides complete information about **all accounts in one book.**
- It enables to ascertain what are the main items of **revenues (income).**
- It enables to ascertain what are the main items of **expenses.**
- It enables to ascertain which are the **assets** and of what values.
- It enables to ascertain which are the **liabilities** and of what amounts.
- It facilitates the preparation of **Final Accounts**.

Question 3:
State the difference between Journal & Ledger.
Answer 3 :

Difference between Journal & Ledger :

Basis of Distinction	Journal	Ledger
1. Nature of Book	It is book of original or prime entry.	It is book of final or secondary entry.
2. Basis for Preparation	It is prepared on the basis of source documents of transactions.	It is prepared on the basis of Journal.
3. Stage of Recording	Recording in the journal is the first stage.	Recording in the ledger is the second stage.
4. Object	It is prepared to record all transactions in chronological order.	It is prepared to know the net effect of various transactions affecting a particular account. (analytical order)
5. Format	In Journal, there are five column — l. Date 2. Particulars 3. Ledger Folio 4. Dr. Amt. 5. Cr. Amt .	In ledger there are identical four column on debit side and credit side. l. Date 2. Particulars 3. J.F. 4.Amt.

Question 4:
State the format of Ledger.
Answer 4 :
Ledger – Format :

Dr. **Cr.**

DATE	PARTICULAR	J.F	AMT.	DATE	PARTICULAR	J.F	AMT.

Question 5:
Give description of Ledger :
Answer 5 :
Description of Ledger :

- *Date* – The date of transaction which is recorded in Journal / Subsidiary Book is written in this column.
- *Particulars* – "To" and "By" words are written in Debit and Credit side respectively.
- *Journal Folio(J.F.)* – The page no. of journal/subsidiary books is written in this column.
- *Amount* – The amt. of related transactions is written in this column.

Question 6:
State the stages of Ledger.
Answer 6 :
Following are the stages of Ledger :
i) Posting
ii) Casting
iii) Balancing
iv) Carry Forward

Question 7:
What do you mean by Posting.
Answer 7:
Posting - Meaning
- The process of transferring the debit and credit items from journal to classified accounts in the ledger is known as posting.
- Posting may be done daily, weekly, fortnightly or monthly according to the requirements of business.

Question 8:
State the rules of Posting.
Answer 8:
Rules regarding Posting
- Separate account is opened in ledger for each account.
- In debit side word "To" is used whereas in credit side word "By" is used.
- The account debited in journal should also be debited in the ledger but reference should be of the respective credit a/c.
- **Opening Balance** : In an account, first of all opening balances (i.e. closing balance of last year) of concerned accounts are written. It should be noted that only the balances of Real & Personal Accounts are carry forwarded to next year, therefore, only these accounts may have opening balances. At the end of the year nominal accounts are not balanced and its balances are transferred to Trading and Profit & Loss A/c, so there can't be any closing balance of these accounts.

Question 9:
What do you mean by Balancing.
Answer 9 :
Balancing – Meaning :
- At the end of the year or on a particular day balancing of account is done. Balancing means finding out the difference between total of debit side & total of credit side. The difference may be debit balance or credit balance. The balance of an account is written in the shorter side, so that total of both side can be tallied.
- **Debit Balance**: If total amount of debit side is greater than credit side then it is called debit balance. The debit balance is written on **"Credit side"** as **"By Balance c/d or c/f".** Normally, All Assets, Provision for Income, Expenses & Losses will have debit balance
- **Credit Balance**: If total amount of credit side is greater than debit side then it is called credit balance. The credit balance is written on **"Debit side"** as **"To Balance c/d or c/f".**
  Normally all liabilities, capital, provisions for expense/ loss, Reserves, income & profit will have credit balance.

Question 10:
State the sub-division of ledger.
Answer 10 :
Sub-division of ledger : If the number of transaction relating to a business is small, all the accounts may be maintained in one single ledger. However, if the number of transactions are very large then it is better to sub divide the ledger. Normally ledger is sub divided into following parts :
i) **Sales / Debtors' Ledger** : It contains the personal accounts of all those to whom goods are sold on credit.
ii) **Purchase / Creditors' Ledger**: It contains the personal accounts of all those from whom goods are purchased on credit.
iii) **Nominal Ledger**: It contains all the accounts relating to income, expense, profit & loss.
iv) **General Ledger**: All accounts which are not covered above, are recorded in this ledger.

CLASS WORK QUESTIONS

Question 1:

Pass necessary journal entries in the books of Azim Premji and prepare the ledger accounts.

2022

July 1 Commenced business with cash Rs.50,000
July 7 Purchased machinery for Rs. 27000.
July 12 Purchased goods for cash Rs. 12000.
July 14 Paid rent Rs. 4000.
July 20 Sold goods for cash Rs. 10000 and on credit for Rs. 7000 to Ashok Ganguli.

Personal Note:-

Question 2: **[SM-ILL.2]**

Prepare the ledger accounts on the basis of following transactions in the books of a trader :
Debit Balance on January 1, 2022
Cash in Hand Rs. 8,000,
Cash at Bank Rs. 25,000,
Stock of Goods Rs. 20,000,
Building Rs. 10,000.
Sundry Debtors: Vijay Rs. 2,000 and Madhu Rs. 2,000.
Credit Balances on January 1, 2022
Sundry Creditors: Anand Rs. 5,000, capital 62,000.
Following were further transactions in the month of January, 2022:

Jan.1 **Purchased goods worth Rs. 5,000 for cash less 20% trade discount and 5% cash discount.**
Jan.4 **Received Rs. 1,980 from Vijay and allowed him Rs. 20 as discount.**
Jan.8 **Purchased plant from Mukesh for Rs. 5,000 and paid Rs. 100 as cartage for bringing the plant to the factory and another Rs. 200 as installation charges.**
Jan.12 **Sold goods to Rahim on credit Rs. 600.**
Jan.15 **Rahim became insolvent and could pay only 50 paise in a rupee.**
Jan.18 **Sold goods to Ram for cash Rs. 1,000.**

[Answer:-Bal. of cash a/c- 7,180/-, bank a/c- 25,000/-, stock a/c- 20,000/-, building- 10,000/-, madhu- 2,000/-, cap. cr.- 62,000/-, pur. – 4,000/-, dis. cr.- 180/-, plant- 5300/-, mukesh cr.- 5,000/-, sales cr.- 1600/-, bad debts – 300/-]

Personal Note:-

Question 3: **[SM-ILL.3]**

The following data is given by Mr. S, the owner, with a request to compile only the two personal accounts of Mr. H and Mr. R, in his ledger, for the month of April, 2022.

1 Mr. S owes Mr. R Rs. 15,000; Mr. H owes Mr. S Rs. 20,000.
4 Mr. R sold goods worth Rs. 60,000 @ 10% trade discount to Mr. S.
5 Mr. S sold to Mr. H goods prices at Rs. 30,000
17 Record a purchase of Rs. 25,000 net from R, which were sold to H at profit of Rs. 15,000.
18 Mr. S rejected 10% of Mr. R's goods of 4th April.
19 Mr. S issued a cash memo for Rs. 10,000 to Mr. H who came personally for his consignment of goods, urgently needed by him.
22 Mr. H cleared half his total dues to Mr. S, enjoying a ½% cash discount (of the payment received, Rs. 20,000 was by cheque)
26 R's total dues (less Rs. 10,000 held back) were Cleared by cheque, enjoying a cash discount of Rs. 1,000 on the payment made.
29 Close H's Account to record the fact that all but Rs. 5,000 was cleared by him, by a cheque, because he was declared bankrupt.
30 Balance R's Account.

[Answer :- Amt. Rec. from H, Cash 24,775/- Bank 20,000/-, Discount Allowed 225/-, Final payment from H-40,000, Final Payment to R- 77,600/-, Bal. of R A/c- 10,000/- (cr.)]

Personal Note:-

Question 4: **[SM-ILL.1]**

Prepare the Stationery Account of a firm for the year ended 31.12.2022 duly balanced of, from the following details:

2022		Rs.
Jan. 1	Inventory of stationery	480
April 5	Purchase of stationery by cheque	800
Nov. 15	Purchase of stationery on credit from Five Star Stationery Mart	1,280

[Answer:-Bal.- 2,560/-]

Personal Note:-

HOME WORK QUESTIONS

Question 5: **[SM-PQ.1]**

Journalize the following transactions, post them in the Ledger and balance the accounts on 31st January.

1. X started business with a capital of Rs. 20,000
2. He purchased goods from Y on credit Rs. 4,000
3. He paid cash to Y Rs. 2,000
4. He sold goods to Z Rs. 4,000
5. He received cash from Z Rs. 6,000
6. He further purchased goods from Y Rs. 4,000
7. He paid cash to Y Rs. 2,000
8. He further sold goods to Z Rs. 4,000
9. He received cash form Z Rs. 2,000

[Answer:- Bal. of Cash a/c- 24,000/-, Cap. a/c (cr.)- 20,000/-, Pur. A/c- 8,000/-, Y's A/c cr.- 4000/-, Sales a/c (cr.)- 8,000/-]

Personal Note:-

SOLUTION FOR HOME WORK QUESTIONS

Solution 5:

Journal

Particulars		L.F.	Debit Rs.	Credit Rs.
Cash Account	Dr.		20,000	
To Capital Account				20,000
Purchase Account	Dr.		4,000	
To Y				4,000
Y	Dr.		2,000	
To Cash				2,000
Z	Dr.		4,000	
To Sales				4,000
Cash Account	Dr.		6,000	
To Z				6,000
Purchase Account	Dr.		4,000	
To Y				4,000
Y	Dr.		2,000	
To Cash Account				2,000
Z	Dr.		4,000	
To Sales Account				4,000
Cash Account	Dr.		2,000	
To Z				2,000
TOTAL			48,000	48,000

Cash Account

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
	To Capital A/c	20,000		By Y	2,000
	To Z	6,000		By Y	2,000
	To Z	2,000	Jan. 31	By Balance c/d	24,000
		28,000			28,000
Feb. 1	To Balance b/d	24,000			

Capital Account

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
Jan. 31	To Balance c/d	20,000		By Cash A/c	20,000
		20,000			20,000
			Feb. 1	By Balance b/d	20,000

Purchase Account

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
	To Y	4,000	Jan. 31	By Balance c/d	8,000
	To Y	4,000			
		8,000			8,000
Feb.1	To Balance b/d	8,000			

Y's Account

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
	To Cash	2,000		By Purchases	4,000
	To Cash	2,000		By Purchases	4,000
Jan. 31	To Balance c/d	4,000			
		8,000			8,000
			Feb.1	By Balance b/d	4,000

Z's Account

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
	To Sales	4,000		By Cash A/c	6,000
	To Sales	4,000		By Cash A/c	2,000
		8,000			8,000

Sales Account

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
Jan. 31	To Balance c/d	8,000		By Z	4,000
				By Z	4,000
		8,000			8,000
			Feb. 1	By Balance b/d	8,000

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. A ledger is also known as the principal book of accounts.
2. Cash account has a debit balance.
3. Posting is the process of transferring the accounts from ledger to journal.
4. **At the end of the accounting year, all the nominal accounts of the ledger book are balanced.**
5. Ledger records the transactions in a chronological order.
6. If the total debit side is greater than the total of credit side, we get a credit balance.
7. Ledger accounts of assets will always be debited when they are increased.

Answer:

1. **True**: Since it classifies all the amounts related to a particular account and then it is used as the base for preparing the Trial balance
2. **True:** Being an asset, cash account will always have debit balance.
3. **False:** Posting is the process of transferring the balances from journal to ledger.
4. **False:** At the end of the accounting year, all the nominal accounts of the ledger book are totaled and transferred to P&L A/c.
5. **False:** Ledger records the transactions in analytical order. But journal records the transactions in a chronological order.
6. **False:** If the total debit side is greater than the total of credit side, we get a debit balance.
7. **True:** the increase to an asset shall be debited since the original balance is also debit.

MULTIPLE CHOICE QUESTIONS (SM)

1. The process of transferring the debit and credit items from a Journal to their respective accounts in the ledger is termed as
   (a) Posting (b) Purchase (c) Balancing of an account

2. The technique of finding the net balance of an account after considering the totals of both debits and credits appearing in the account is known as
   (a) Posting (b) Purchase (c) Balancing of an account

3. Journal and ledger records transactions in
   (a) A chronological order and analytical order respectively.
   (b) An analytical order and chronological order respectively.
   (c) A chronological order only

4. Ledger book is popularly known as
   (a) Secondary book of accounts
   (b) Principal book of accounts
   (c) Subsidiary book of accounts

5. At the end of the accounting year all the nominal accounts of the ledger book are
   (a) Balanced but not transferred to profit and loss account
   (b) Not balanced and also the balance is not transferred to the profit and loss account
   (c) Not balanced and their balance is transferred to the profit and loss account.

MCQ's ANSWER

1.	(a)	2.	(c)	3.	(a)	4.	(b)	5.	(c)

THEORETICAL QUESTIONS

Question 1 : **(SM)[Dec-21 (5 Marks)]**

What do you mean by principal books of accounts?

Answer.

Meaning of **principal books of accounts** :

- ❖ Ledger is known as principal books of accounts.
- ❖ It provides full information regarding **all the transactions pertaining to any individual account.**
- ❖ Ledger contains all set of accounts (viz. personal, real and nominal accounts).

Question 2 : **(SM)[Dec-21 (5 Marks)]**

What are the rules of posting of journal entries into the Ledger?

Answer :

Rules regarding posting of entries in the ledger:

a. Separate account opened :
Separate account is opened in ledger book for each account and entries from Journal is posted to respective account accordingly.

b. Use of words 'To' and 'By' :
- ❖ It is a practice to use words 'To' and 'By' while posting transactions in the ledger.
- ❖ The word 'To' is used in the particular column with the accounts written on the debit side while 'By' is used with the accounts written in the particular column of the credit side.
- ❖ These 'To' and 'By' do not have any meanings but are used to the account debited and credited.

c. Posting : The concerned account debited in the journal should also be debited in the ledger but reference should be of the respective credit account.

Question 3 :

Distinguish between Journal and Ledger.

Answer :

Basis of Distinction	Journal	Ledger
1. Nature of Book	It is book of original or Prime entry.	Its is book of final or secondary entry.
2. Basis for Preparation	It is prepared on the basis of source documents of transactions.	It is prepared on the basis of journal.
3. Stage of Recording	Recording in the journal is the first stage.	Recording in the ledger is the second stage.
4. Object	It is prepared to record all transactions in chronological order.	It is prepared to know the net effect of various transactions affecting a particular account.
5. Format	In Journal, there are five column- 1. Date 2. Particulars 3. Ledger Folio 4. Debit Amount 5. Credit Amount	In ledger, there are identical four column on debit side and credit side. 1. Date 2. Particulars 3. Folio 4. Amount
6. Balancing	Journal is not balanced.	All ledger accounts (except nominal account) are balanced in the ledger.
7. Narration	Narration is written for each entry.	No narration is Given.
8. Name of the Process of recording entries	The process of recording in journal is called journalising	The process of recording in the ledger is called Posting.
9. Basis for Preparation of Final Accounts	Journal directly does not serve as basis for the preparation of final accounts.	Ledger serves the basis for the preparations of final accounts.

THEORY QUESTIONS VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Ledger	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 2 – ACCOUNTING PROCESS
UNIT : 3 - TRIAL BALANCE (T.B.)

Question 1 :
What do you mean by the word "Trial Balance" ? Is it a books of accounts ?
Answer 1 :
Trial Balance – Meaning :

- After posting the accounts in the ledger, a statement is prepared to show the debit and credit balances of each account. Such a statement is known as the Trial Balance. Therefore **T.B. is summary of Ledger**.
- **T.B. is a statement (working paper) and not a books of accounts .**
- It is a **link** between Ledger & Final accounts.
- Total of Dr. column and Cr. Column of T.B. must be tallied. If there is a diff., it means there is an arithmetical mistake.

Question 2 :
Whether preparation of TB compulsory ?
Answer 2 :
TB – Optional :

- No. Preparation of TB is optional.
- If a business man prepares TB then preparation of final account becomes easy. If he does not prepare TB then final accounts will be prepared with the help of Ledger.

Question 3 :
State the format of TB.
Answer 3 :
TB – F O R M A T :

TRIAL BALANCE OF M/S ABC & CO. as at/as on ……

S. No.	Ledger Accounts	L.F.	Dr. Balance	Cr. Balance

Question 4 :
State the objectives of preparing TB.
Answer 4 :
Objectives of preparing the T.B.

- By preparing T.B., we can find the arithmetical accuracy, if any, in our account books. It is a test of the accuracy of the ledger balances.
- Financial statement i.e. Trading and Profit & Loss Account and Balance Sheet is prepared on the basis of T.B.

Question 5 :
State the rules regarding preparation of TB.
Answer 5 :
Rules regarding preparation of T.B. :

- A T.B. is prepared on a particular date. It may be on weekly, monthly, quarterly, yearly etc.
- In the second column name of a/c is mentioned.
- The last two columns I.e. Dr. Amt. And Cr. Amt. Should be 1otaled and both must be tallied.
- The balance of each and every A/c of ledger is shown in TB (Real, Personal & Nominal A/c)

Question 6 :

State the methods of preparing TB.

Anwer 6 :

Methods of preparing T.B. – 3 Methods :

- **Total Method or Gross TB –** Under this method, total of debit and credit of each a/c of ledger is written in T.B.
- **Balance Method or Net TB –** Under this method every ledger a/c is balanced and the balance (I.e. either debit or credit) is taken to T.B.
- **Total and Balance Method –** This method is mixture of both the above methods.

  Notes : Generally Balance method is used for preparing final account.

Question 7 :

State the type of errors which can be located (detected) by preparing T.B. or State the cases when the TB will not be tallied or balanced.

Answer 7 :

Following types of error can be detected by preparing TB or when TB will not be balanced :

(i) Posting is not done in one account.
(ii) Debits are wrongly posted as credit or credit is wrongly posted as debit (In this case difference in TB will be of double amount)
(iii) Wrong totaling of subsidiary books.
(iv) Wrong balancing of account.
(v) Posting is done in wrong account with wrong amount.
(vi) Balance of an account is not taken in TB
(vii) Wrong totaling of TB
(viii) In TB, balance is wrongly written.

Question 8 :

State the limitation of TB or which errors can't be detected even by preparing TB or State the cases where TB is tallied/balanced even if some of the errors remains undetected.

Answer 8 :

Limitation of T.B. – Even if T.B. is tallied it is not conclusive proof that all entries in books are accurate.

- ***Limitation –***

(i) Transactions not entered in journal at all.
(ii) Wrong amt. written in both columns.
(iii) Wrong account written in journal.
(iv) Entry not posted in Ledger at all.
(v) Posted twice in Ledger.
(vi) Entry posting in wrong account but on correct side.
(vii) Compensating error.

Question 9 :

State the Rules of preparing T.B.

Answer 9 :

Rules of preparing T.B.

- All Assets, Expenses, Losses, Provisions for income and Drawings are placed in DEBIT column of T.B.
- All Liabilities, Incomes, Gain, Provisions for expenses / Losses, Reserves and Capital account is placed in CREDIT column of T.B.

Question 10 :

When Suspense Account need to be opened in TB.

Answer 10 :

Concept of Suspense Account

- Sometimes the debit column and credit column of T.B. does not tally and the error could not be located timely, in this case the difference is transferred to Suspense A/c.
- If Debit side of TB is more than Credit side then to tally the TB, Suspense A/c will be recorded in credit side, therefore, in this case suspense account will have a credit balance.
- As soon as error is located, the suspense account is closed.
- Therefore, it is just a temporary account.

CLASS WORK QUESTIONS

Question 1: **[SM-ILL.1]**

Given below is a ledger extract relating to the business of X and Co. as on March, 31, 2022.
You are required to prepare the Trial Balance by the Total Amount Method.

Cash Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Capital A/c	10,000	By Furniture A/c	3,000
To Ram's A/c	25,000	By Salaries A/c	2,500
To Cash Sales	500	By Shyam's A/c	21,000
		By Cash Purchases	1,000
		By Capital A/c	500
		By Balance c/d	7,500
	35,500		35,500

Furniture Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Cash A/c	3,000	By Balance c/d	3,000
	3,000		3,000

Salaries Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Cash A/c	2,500	By Balance c/d	2,500
	2,500		2,500

Shyam's Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Cash A/c	21,000	By Purchases A/c	25,000
To Purchase Returns A/c	500	(Credit Purchases)	
To Balance c/d	3,500		
	25,000		25,000

Purchase Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Cash A/c (Cash Purchases)	1,000	By Balance c/d	26,000
To Sundries as per Purchases Book (Credit Purchases)	25,000		
	26,000		26,000

Purchase Returns Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance c/d	500	By Sundries as per Purchases Return Book	500
	500		500

Ram's Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Sales A/c (Credit Sales)	30,000	By Sales Returns A/c	100
		By Cash A/c	25,000
		By Balance c/d	4,900
	30,000		30,000

Sales Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance c/d	30,500	By Cash A/c (Cash Sales)	500
		By Sundries as per Sales Book (Credit sales)	30,000
	30,500		30,500

Sales Returns Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Sundries as per Sales Returns Book	100	By Balance c/d	100
	100		100

Capital Account

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Cash A/c	500	By Cash A/c	10,000
To Balance c/d	9,500		
	10,000		10,000

[T.B. Total method- 1,19,100/-]

Personal Note:-

Question 2: **[SM-ILL.2]**

Taking the same information as given in Question 1, prepare the Trial Balance by Balance Method and Total and Balance Method.

[Bal. method- 44,000/-]

Personal Note:-

Question 3:

From the following balances extracted from the Ledger of Sri Narugopal, prepare a Trial Balance as on 31st March, 2022:

Capital Rs. 75,00,000; Building Rs. 7,50,000; Plant Rs. 15,00,000; Stock on 1st April, 2021 Rs. 12,50,000; Cash in Hand Rs. 2,500; Cash at Bank Rs. 5,75,000; Commission Received Rs. 1,75,000; Rates, Taxes and Insurance Rs. 30,000; Discount (Dr.) Rs.55,000; Discount (Cr.) Rs. 45,000; Purchases Return Rs. 50,000; Sundry Creditors Rs. 2,50,000; Interest Received Rs. 30,000; Sales Rs. 62,50,000; Repairing Charges Rs. 1,25,000; Book Debts Rs. 15,00,000; General Expenses Rs. 3,00,000; Rent Rs. 62,500; Wages Rs. 5,00,000; Purchases Rs. 48,00,000;Furniture Rs. 1,20,000;Carriage and Freight Rs. 75,000; Sales Return Rs. 90,000; Delivery Van Rs. 5,00,000; Loan Advanced Rs. 6,00,000; Travelling Expences Rs. 50,000; Office Salaries Rs. 6,25,000; Drawings Rs. 6,00,000.

[Correct Trial Balance Total-Rs.1,43,00,000; Suspense A/c (Dr. Balance)-Rs.1,90,000]

Personal Note:-

Question 4:

Prepare a correct Trial Balance from the following Trial Balance in which there are certain mistakes:

	Debit (Rs.)	Credit (Rs.)
Cost of Goods Sold	1,50,000	
Closing Stock		40,000
Debtors		60,000
Creditors		30,000
Fixed Assets	50,000	
Opening Stock	60,000	
Expenses		20,000
Sales		2,00,000
Capital	90,000	
Total	3,50,000	3,50,000

[Total of Trial Balance-Rs.3,20,000]

Personal Note:-

Question : 5 **(SM ILL. 5)**

The following Trial balance as on 31st March, 2022 was drawn from the books of fintech traders:

	L.F.	Dr. Balance (₹)	Cr. Balance (₹)
Building		60,000	-
Machinery		17,000	-
Return Outward		2,600	-
Bad Debts		2,800	-
Cash		400	-
Discount Received		3,000	-
Bank Overdraft		10,000	-
Creditors		50,000	-
Purchases		1,00,000	-
Capital		-	73,600
Fixtures		-	5,600
Sales		-	1,04,000
Debtors		-	60,000
Interest Received		-	2,600
Input CGST A/c		-	3,000
Input SGST A/c		-	3,000
Input IGST A/c		-	4,800
Output CGST A/c		5,400	-
Output SGST A/c		5,400	-
Total		2,56,600	2,56,600

Even though the debit and credit sides agree, the trial Balance contains certain errors. Check the accuracy of trial balance.

Personal Note:-

HOME WORK QUESTIONS

Question 6: **[SM-ILL.3]**

From the following ledger balances, prepare a trial balance of Anuradha Traders as on 31st March, 2022:

Account Head	Rs.
Capital	1,00,000
Sales	1,66,000
Purchases	1,50,000
Sales return	1,000
Discount allowed	2,000
Expenses	10,000
Debtors	75,000
Creditors	25,000
Investments	15,000
Cash at bank and in hand	37,000
Interest received on investment	1,500
Insurance paid	2,500

[TOTAL OF T.B. – Rs. 2,92,500/-]

Personal Note:-

Question 7: **[MTP JAN. 25, 4 Marks][MTP SEP 24 – 4 Marks][SM-ILL.4][May-22 (4Marks)]**

One of your clients, Mr. Singhania has asked you to finalize his accounts for the year ended 31st March, 2022. Till date, he himself has recorded the transactions in books of accounts. As a basis for audit, Mr. Singhania furnished you with the following statement.

	Dr. Balance	Cr. Balance
Singhania's Capital		1,556
Singhania's Drawings	564	
Leasehold premises	750	
Sales		2,750
Due from customers		530
Purchases	1,259	
Purchases return	264	
Loan from bank		256
Creditors	528	
Trade Expenses	700	
Cash at bank	226	
Bills payable	100	
Salaries and wages	600	
Stock (1.4.2021)		264
Rent and rates	463	
Sales return		98
	5,454	5,454

The closing stock on 31st March, 2022 was valued at Rs. 574. Mr. Singhania claims that he has recorded every transaction correctly as the trial balance is tallied. Check the accuracy of the above trial balance.

[Total of Trial Bal.- 5,454/-]

Personal Note:-

Question 8: **[SM-PQ.1][(Nov-19 (5Marks)]**

An in experienced book keeper has drawn up a Trial Balance for the year ended 30th June, 2022.

	Dr. (Rs.)	Cr. (Rs.)
Provision For Doubtful Debts	**200**	**--**
Bank Overdraft	**1,654**	**--**
Capital	**--**	**4,591**
Creditors	**--**	**1,637**
Debtors	**2,983**	**--**
Discount Received	**252**	**--**
Discount Allowed	**--**	**733**
Drawings	**1,200**	**--**
Office Furniture	**2,155**	**--**
General Expenses	**--**	**829**
Purchases	**10,923**	**--**
Returns Inward	**--**	**330**
Rent & Rates	**314**	**--**
Salaries	**2,520**	**--**
Sales	**--**	**16,882**
Stock	**2,418**	**--**
Provision for Depreciation on Furniture	**364**	**--**
Total	**24,983**	**25,002**

Required:

(a) Draw up a 'Corrected' Trial Balance, debiting or crediting any residual errors to a Suspense Account.

[Total of T.B.- 25,580/-, Debit Bal. of Sus. A/c- 1175/-]

Personal Note:-

Question 9: **[PEQ. Dec-21(5 Marks)]**

From the following information, draw up a Trial Balance in the books of Shri M as on 31st March, 2022:

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Capital	1,40,000	Purchases	36,000
Discount Allowed	1,200	Carriage Inward	8,700
Carriage Outwards	2,300	Sales	60,000
Return Inward	300	Return Outwards	700
Rent and Taxes	1,200	Plant and Machinery	80,700
Stock on 1st April 2021	15,500	Sundry Debtors	20,200
Sundry Creditors	12,000	Investments	3,600
Commission Received	1,800	Cash in Hand	100
Cash at bank	10,100	Motor Cycle	34,600
Stock on 31st March, 2022	20,500		

[Total of TB – 2,14,500/-]

Personal Note:-

Question : 10

Prepare a Trial Balance from the following balances of Sh. Keshav Chand Gopal Chand as at 31st March, 2023 :-

Name of Accounts	₹	Name of Accounts	₹
Opening Stock	20,000	Creditors	12,750
Purchases	85,000	Bills Receivable	4,600
Purchases Returns	5,000	Bills Payable	2,500
Sales	1,60,000	Cash in Hand	11,220
Sales Returns	6,200	Bank Overdraft	10,000
Rent	1,200	Interest on Overdraft	1,800
Salaries	5,700	Capital	50,000
Advertisement	880	Drawings	7,800
Commission Received	1,440	Input CGST	5,000
Discount Cr.	710	Input SGST	5,000
Furniture	6,000	Output CGST	8,000
Machinery	62,000	Output SGST	8,000
Debtors	36,000		

Personal Note:-

Question : 11

From the following list of balances extracted from the books of Sh. Balaji Traders, prepare a Trial Balance as at 31st March, 2023:

	₹		₹
Stock on 1st April, 2022	**2,20,000**	**Investments**	**3,00,000**
Purchases	**25,75,000**	**Interest on Investments**	**27,000**
Sales	**36,18,000**	**Cash and Bank balance**	**12,400**
Carriage Inwards	**3,000**	**Premises**	**6,00,000**
Carriage Outwards	**1,200**	**Fixtures**	**1,40,000**
Return Inwards	**85,000**	**Miscellaneous Exp.**	**5,200**
Return Outwards	**20,000**	**Miscellaneous Income**	**1,400**
Debtors	**3,20,000**	**Loan from ICICI Bank**	**2,50,000**
Creditors	**1,74,000**	**Interest on above**	**30,000**
Bad Debts	**6,000**	**Capital**	**7,00,000**
Stationery	**4,200**	**Proprietor's Withdrawals**	**60,000**
Insurance	**3,400**	**Computers**	**90,000**
Wages and Salaries	**1,85,000**	**Goodwill**	**1,60,000**
		Stock on 31st March, 2023 (not adjusted)	**3,10,000**
		Input IGST	**40,000**
		Output IGST	**50,000**

Personal Note:-

ANSWER OF HOME WORK QUESTIONS

Solution: 6

Trial Balance of Anuradha Traders as on 31.03.2022.

Dr. balance	Rs.	**Cr. balance**	Rs.
Purchases	1,50,000	Capital	1,00,000
Sales return	1,000	Sales	1,66,000
Discount allowed	2,000	Trade payables	25,000
Expenses	10,000	Interest received on investments	1,500
Trade receivables	75,000		
Investments	15,000		
Cash at bank and in hand	37,000		
Insurance paid	2,500		
Total	2,92,500	Total	2,92,500

Solution: 7

Corrected Trial Balance of Mr. Singhania as on 31st March, 2022		
Particulars	Dr. Amount Rs.	Cr. Amount Rs.
Singhania's Capital		1,556
Singhania's Drawings	564	
Leasehold premises	750	
Sales		2,750
Due from customers	530	
Purchases	1,259	
Purchases returns		264
Loan from Bank		256
Creditor/Suppliers		528
Trade expenses	700	
Cash at Bank	226	
Bills Payable		100
Salaries and Wages	600	
Inventory (1.4.2021)	264	
Rent and rates.	463	
Sales return	98	
	5,454	**5,454**

Reasons:

1. Due from customers is an asset, so its balance will be a debit balance.
2. Purchases return account always shows a credit balance because assets go out.
3. Balance in Creditors Account is a liability, so its balance will be a credit balance.
4. Bills payable is a liability, so its balance will be a credit balance.
5. Inventory (opening) represents assets, so it will have a debit balance.
6. Sales return account always shows a debit balance because assets come.

Solution 8:

Trial Balance as on 30th June, 2022		
Heads of Accounts	**Debit Rs.**	**Credit Rs.**
Provision for Doubtful Debts	-	200
Bank overdraft	-	1,654
Capital	-	4,591
Trade payables	-	1,637
Trade receivables	2,983	-
Discount Received	-	252
Discount allowed	733	-
Drawings	1,200	-
Office furniture	2,155	-
General Expenses	829	-
Purchases	10,923	-
Returns Inward	330	-
Rent & Rates	314	-
Salaries	2,520	-
Inventory	2,418	-
Provision for Depreciation on Furniture	-	364
Sales	-	16,882
Suspense Account (Balancing Figure)	1,175	-
Total	**25,580**	**25,580**

Note : **1.** Provision for Expenses Account will always have a credit balance.
2. Bank O/D is a liability, therefore has a Credit Balance.

Solution 9 :

Trial Balance of Shri. M as on 31st March, 2022

Particulars	Dr. Amount Rs.	Cr. Amount Rs.
Capital		1,40,000
Purchases	36,000	
Discount Allowed	1,200	
Carriage Inward	8,700	
Carriage Outwards	2,300	
Sales		60,000
Return Inward	300	
Return Outwards		700
Rent and taxes	1,200	
Plant and Machinery	80,700	
Stock on 1st April, 2021	15,500	
Sundry Debtors	20,200	
Sundry Creditors		12,000
Investments	3,600	
Commission Received		1,800
Cash in Hand	100	
Cash at Bank	10,100	
Motor Cycle	34,600	
	2,14,500	2,14,500

Note: Stock as on 31st March, 2022 will not appear in trial balance.

Solution : 10

Trial Balance
as at 31st March, 2023

Name of Accounts	L.F.	Balance Dr.	Balance Cr.
		₹	₹
Opening Stock		20,000	
Purchases		85,000	
Purchases Returns			5,000
Sales			1,60,000
Sales Returns		6,200	
Rent		1,200	
Salaries		5,700	
Advertisement		880	
Commission Received			1,440
Discount (Cr.)			710
Furniture		6,000	
Machinery		62,000	
Debtors		36,000	
Creditors			12,750
Bills Receivable		4,600	
Cash in Hand		11,220	
Bank Overdraft			10,000
Interest on Overdraft		1,800	
Capital			50,000
Drawings		7,800	
Input CGST		5,000	
Input SGST		5,000	
Output CGST			8,000
Output SGST			8,000
Total		2,58,400	2,58,400

Solution : 11

Trial Balance of Shri Balaji Traders
as at 31st March, 2023

Name of Accounts	L.F.	Balance Dr.	Balance Cr.
		₹	₹
Stock on 1st April, 2022		2,20,000	
Purchases		25,75,000	
Sales			36,18,000
Carriage Inwards		3,000	
Carriage Outwards		1,200	
Return Inwards		85,000	
Return Outwards			20,000
Debtors		3,20,000	
Creditors			1,74,000
Bad Debts		6,000	
Stationery		4,200	
Insurance		3,400	
Wages and Salaries		1,85,000	
Investments		3,00,000	

Interest on Investment			27,000
Cash and Bank balance		12,400	
Premises		6,00,000	
Fixtures		1,40,000	
Miscellaneous Expenses		5,200	
Miscellaneous Income			1,400
Loan from ICICI Bank			2,50,000
Interest on Loan		30,000	
Capital			7,00,000
Proprietor's withdrawals (Drawings)		60,000	
Computers		90,000	
Goodwill		1,60,000	
Input IGST		40,000	
Output IGST			50,000
Total		48,40,400	48,40,400

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. Preparing trial balance is the third phase of accounting process.
2. Trial balance forms a base for the preparation of Financial statements.
3. **Agreement of Trial balance is a conclusive proof of accuracy.**
4. **A trial balance will tally in case of compensating errors.**
5. A Trial balance can find the missing entry from the journal.
6. Suspense account opened in a trial balance is a permanent account.
7. The balance of purchase returns account has a credit balance.

Answer:

1. **True:** First phase is Journal, Second is ledger and third is Trial Balance.
2. **True:** Yes on the basis of Trial balance we can prepare the financial statements.
3. **False:** Agreement of Trial balance gives only arithmetical accuracy. All errors cannot be detected from TB.
4. **True:** since compensating errors cancel out due to their compensating nature of the amounts, hence Trial balance will be tallied.
5. **False:** A Trial balance cannot find the missing entry from the journal.
6. **False:** Suspense account opened in a trial balance is a temporary account
7. **True:** as purchases is debited, any returns shall be credited (treated in opposite way)

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE (JOURNAL TO TRIAL BALANCE)

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. The sales day book is a part of the ledger.
2. Sale of office furniture should be credited to Sales Account.
3. When we buy furniture on cash we debit Cash Account.
4. Patent right is in the nature of nominal account.
5. Outstanding expenditure is a nominal account.
6. The debts written off as bad, if recovered subsequently are credited to Debtors Account.
7. Wages paid for erection of machinery are debited to Profit and Loss Account.

8. The return of goods by a customer should be debited to Return Outward Account.
9. The balance of an account is always known by the side which is shorter.
10. Nominal accounts are balanced at the end of the accounting year.
11. The allowance made for prompt payment is called trade discount.
12. Bank Account is a Real Account.
13. Goods costing ₹ 600 taken by the proprietor for personal use should be credited to Sales Account.
14. Rent paid account is a Nominal Account whereas, rent received account is a Real Account.
15. Where subsidiary books are maintained journal is not required.
16. **Fixed Assets + Current Assets - External Liabilities = Capital + Creditors**
17. Reserve for Discount on Creditors has a credit balance.
18. Normally Personal and Nominal accounts are balanced and not Real Accounts.
19. Real and Personal Accounts are closed at the end of accounting period.
20. The return of goods to a suppliers should be credited to Return Inward Account.
21. Prepaid Expense is a Nominal Account.
22. **The allowance made for promoting sales is called cash discount.**
23. When trade discount is allowed to a customer, trade discount allowed is credited.
24. Goods costing ₹ 600 distributed as free samples should be credited to Sales Account.
25. The recovery of debts (due from Mohan ₹ 10,000) written off in the previous year should be credited to Mohan's Account.
26. Debit means an increase in liability and a decrease in an asset.
27. Credit means an increase in asset and a decrease in a liability.
28. Journal is a book of secondary entry.
29. Ledger is a book of original entry.
30. L.F. (i.e. Ledger Folio column) in the journal is filled at the time of journalising.
31. The words To Balance b/d' or By Balance b/d are recorded in the particulars column at the time of balancing.
32. A sale of goods to Ram for cash should be debited to Ram.
33. A withdrawal of cash from business by the proprietor should be credited to Drawing Account.
34. Goods were sold to Ram for ₹ 1,000 on 1.4.2021. On 1.5.2021, Ram paid ₹ 950 on account. Ram's Account should be credited with ₹ 1,000.
35. Ram paid ₹ 900 towards a debt of ₹ 950 which was written off as bad in the previous year. Ram's Account should be credited with ₹ 950.
36. **In case of debit balance, the words To Balance c/d' are written on credit side.**
37. While posting an opening entry in the ledger, in case of an Account having debit balance, the words To Balance b/d' are written on credit side and in case of an Account having credit balance the words 'By Balance b/d' are written on debit side.

Answer :

1. **False:** The sales day book is a book of prime entry and hence it is a part of journal.
2. **False:** Sale of office furniture should be credited to Furniture Account.
3. **False:** When we buy the furniture on cash the furniture account is debited and cash account is credited.
4. **False:** Patent-right being an intangible asset is in the nature of real account.
5. **False:** Outstanding expenditure is a personal account of representative nature.
6. **False:** The debts written off as bad, if recovered subsequently, shall be treated as gain and be credited to Bad Debts Recovered Account.
7. **False:** Such wages being capital expenditure should be debited to the machinery account.
8. **False:** The return of goods by a customer should be debited to Returns Inward Account.
9. **False:** The balance of an account is always known by the side which is higher.
10. **False:** Nominal accounts are not balanced but are closed by transferring their balances to the Income Statement. (i.e. Trading and P/L A/c)
11. **False:** The allowance made for prompt payment is called cash discount.

12. **False:** Bank Account is a Personal Account
13. **False:** Goods taken by the proprietor for personal use should be credited to Purchases Account.
14. **False:** Rent paid and rent received — both are nominal accounts as they relate with expenses and incomes.
15. **False:** Journal is required even where subsidiary books are maintained. Opening and closing entries, rectification entries, transfer and adjusting entries and other entries not recorded in subsidiary books are recorded in the journal.
16. **False:** Fixed Assets + Current Assets = Capital + External Liabilities. Creditors also included in the External Liabilities.
17. **False:** Reserve for Discount on Creditors has a debit balance.
18. **False:** Normally Personal and Real accounts are balanced and not Nominal Accounts.
19. **False:** Real and Personal Accounts are balanced and not closed at the end of accounting period.
20. **False:** The return of goods to a suppliers should be credited to Return Outward Account.
21. **False:** Prepaid Expense is a personal Account of representative nature.
22. **False:** The allowance made for promoting sales is called trade discount.
23. **False:** When trade discount is allowed to a customer, trade discount allowed is not recorded at all.
24. **False:** Goods costing ₹ 600 distributed as free samples should be credited to Purchases Account.
25. **False:** The recovery of debts (due from Mohan ₹ 10,000) written off in the previous year should be credited to Bad Debts Recovered Account.
26. **False:** Debit means a decrease in liability and an increase in an asset.
27. **False:** Credit means in a decrease asset and an increase in a liability.
28. **False:** Journal is a book of original entry.
29. **False:** Ledger is a book of secondary entry.
30. **False:** L.F. (i.e. Ledger Folio column) in the journal is filled at the time of posting.
31. **False:** The words To Balance b/d' or By Balance b/d are recorded in the particulars column at the time of posting opening entry.
32. **False:** A sale of goods to Ram for cash should be debited to Cash.
33. **False:** A withdrawl of cash from business by the proprietor should be credited to Cash Account.
34. **False:** Goods were sold to Ram for ₹ 1,000 on 1.4.2021. On 1.5.2021, Ram paid ₹ 950 on account. Ram's Account should be credited with ₹ 950. If the word “Full Settlement” would have been given then Ram’s A/c would have been credited by Rs. 1000.
35. **False:** Ram paid ₹ 900 towards a debt of ₹ 950 which was written off as bad in the previous year. Bad Debt Recovered Account should be credited with ₹ 900.
36. **False:** In case of debit balance, the words ‘To Balance b/d’ are written on debit side.
37. **False:** While posting an opening entry in the ledger, In case of debit balance, the words ‘To Balance b/f or b/d are written on debit side and In case of credit balance the words 'By Balance b/f' or b/d are written on credit side.

MULTIPLE CHOICE QUESTIONS (SM)

1. A trial balance will not balance if _____.
(a) Correct journal entry is posted twice.
(b) The purchase on credit basis is debited to purchases and credited to cash.
(c) Rs. 500 cash payment to creditor is debited to Trade payables for Rs. 50 and credited to cash as Rs. 500.

2. Rs. 1,500 received from sub-tenant for rent and entered correctly in the cash book is posted to the debit of the rent account. In the trial balance _____.
(a) The debit total will be greater by Rs. 3,000 than the credit total.
(b) The debit total will be greater by Rs. 1,500 than the credit total.
(c) Subject to other entries being correct the total will agree.

3. After the preparation of ledgers, the next step is the preparation of_____.
(a) Trading accounts
(b) Trial balance
(c) Profit and loss account

4. After preparing the trial balance the accountant finds that the total of debit side is short by Rs. 1,500. This difference will be _____.
(a) Credited to suspense account
(b) Debited to suspense account
(c) Adjusted to any of the debit balance account

5.

S. No.	Account heads	Debit (Rs.)	Credit(Rs.)
1.	Sales		15,000
2.	Purchases	10,000	
3.	Miscellaneous expenses	2,500	
4.	Salaries		2,500
		12,500	17,500

The difference in trial balance is due to _____
(a) Wrong placing of sales account
(b) Wrong placing of salaries account
(c) Wrong placing of miscellaneous expenses account

MCQs ANSWER:

1.	(c)	2.	(a)	3.	(b)	4.	(b)	5.	(b)

THEORETICAL QUESTIONS

Question 1 : **(SM)**
What is the trial balance? And how it is prepared?
Answer :
TRIAL BALANCE :

- Preparation of trial balance is the **third phase** in the accounting process.
- After posting the accounts in the ledger, a **statement** is prepared to show separately the debit and credit balances. Such a statement is known as the trial balance.
- Trial balance contains various ledger balances **on a particular date.**
- It forms the basis for preparing **final statement** i.e. profit and loss statement and balance sheet.
- If It **tallies**, it means that the accounts are **arithmetically accurate** but certain errors may still remain undetected. Therefore, it is very important to carefully journalise and post the entries, following the rules of accounting.

Question 2 : **(SM)**

Explain objectives of preparation of trial balance.

Answer :

The preparation of trial balance has the following objectives:

(i) **Arithmetical Accuracy :**Trial balance helps in establishing whether the posting and other accounting processes have been carried out without committing **arithmetical errors**. In other words, the trial balance helps to establish arithmetical accuracy of the books.

(ii) **Preparation of Financial statements :** Financial statements are normally prepared on the basis of agreed trial balance. After preparing trial balance, preparation of financial statements becomes easy.

(iii) **Summary of ledger :** The trial balance serves as a **summary of ledger** at a glance. So, the ledger may be referred only when details are required in respect of an account.

Question 3 : **(SM)**

Even if the trial balance agrees, some errors may remain. Do you agree? Explain.

Answer :

In spite of the agreement of the trial balance some errors may remain. These may be of the **following types**:

(i) Transaction has **not been entered at all** in the journal.
(ii) A **wrong amount** has been written in **both columns** of the journal.
(iii) A **wrong account** has been mentioned in the journal.
(iv) An entry has **not at all been posted** in the ledger.
(v) Entry is **posted twice** in both the accounts of ledger.
(vi) Correct Entry is posted on **wrong account** in the Ledger.

HOME WORK QUESTION DISCUSSION VIDEO QR CODE

TOPIC	QUESTION NO.	QR CODE
Trial Balance	Q. – 7, 8, 9	

THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Trial Balance	Discussion of theory Questions	

COMMON DOUBTS VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Trial Balance	If Adj. Pur., COGS, C/S given in TB	

Space for Personal Note:-

CHAPTER : 2 – ACCOUNTING PROCESS
UNIT : 4 - SUBSIDIARY BOOKS

Question 1 :

What do you mean by Subsidiary Books.

Answer 1 :

Subsidiary Books – Meaning :

- When the volume of transactions of business increases then it is not possible to maintain a single journal for recording all transaction.
- In this case, it is better to take separate register for those transactions which are very heavy. For ex. transactions relating to Cash, Purchase and Sales etc.
- This separate register is called as *Book of original entry or book of prime entry.*
- Books of original entry or prime entry are also called as *Subsidiary Books.*
- Therefore, sub-division of a journal into various books are called "Subsidiary Books".

Question 2 :

State the types of Subsidiary books or Sub-division of journal. Give explanation.

Answer 2 :

Types of Subsidiary books or Sub-division of Journal :

Journal is divided into following parts :

I. Cash Journal – Simple cash book, Double column cash book, Triple column cash book & Petty cash book.
II. Goods Journal – Purchase book, Sales book, Purchase return book and Sales return book.
III. Bills Journal – Bills receivable book and bills payable book.
IV. Journal Proper

EXPLANATION :

1. **Cash book :**
   In this book only cash receipts & payments (including bank & discount transactions) are recorded.
2. **Purchase Book or Purchase Journal :**
   - In this book only credit purchase of goods dealt in are recorded.
   - It is prepared on the basis of Purchase Bill/Invoice. (Invoice received)
3. **Sales Book or Sales Journal :**
   - In this book only credit sales of goods dealt in are recorded.
   - It is prepared on the basis of Sales Bill/Invoice (Invoice sent out/issued)
4. **Purchase Return Book / Journal (I.e. Return Outward) :**
   - If goods purchased on credit are returned then it is recorded in this book.
   - It is prepared on the basis of DEBIT NOTE issued to supplier.
5. **Sales Return Book / Journal (I.e. Return Inward)**
   - If goods sold on credit are returned then it is recorded in this book.
   - It is prepared on the basis of CREDIT NOTE issued to customer.
6. **Bills Receivable book / Journal :** Bills received from customer shall be recorded.
7. **Bills Payable Book/Journal :** Bills issued to creditor shall be recorded.
8. **Journal Proper –** Transactions which can't be recorded in above books are recorded here.

Question 3 :

State the difference between Subsidiary books Vs Principal books.

Answer 3 :

Subsidiary books Vs Principal books :

- The books in which transactions are first recorded is called as **Subsidiary Books**.
- Subsidiary books are also known as **Books of Original Entry or Primary books**.
- The books from which financial statements are prepared is known as **Principal books**.
- **Example** : Purchase book, Sales book is subsidiary books whereas Ledger is Principal book.
- **Cash book** is a subsidiary as well principal book.

Question 4 : **(PEQ JUNE.24 - 4 Marks)**

State the advantages for maintaining separate Subsidiary Books.

Answer 4 :

Advantages for maintaining separate Subsidiary Books

(i) Division of work – Between employees.
(ii) Specialisation and efficiency – Since employee is doing this work since long.
(iii) Saving in time – Many entries are done simultaneously.
(iv) Prompt or accurate informations.

Question 5 :

State the rule of Posting from Subsidiary books.

Answer 5 :

POSTING IN LEDGER

- **Party Account** – Party Account (I.e. Debtor's a/c and Creditor's A/c) will be debited / credited with **individual bill amount**.
- **Purchase / Sales Account** – These accounts will be debited / credited with **total of Purchase/ Sales books** respectively during regular interval. For ex. weekly, monthly etc.
- Freight A/c – These account will be debited with total of Freight Column.

Question 6 :

State the transactions which is recorded in Journal Proper.

Answer 6 :

Following transactions are recorded in Journal Proper :

(i) Opening & Closing Entries.
(ii) Rectification Entries
(iii) Transfer entries
(iv) Adjustment entries
(v) Entry for dishonour of bills receivable
(vi) Credit purchase of assets
vii) Bad debts
viii) Loss by fire etc.

Notes : Points to remember :

- In Purchase book only ***Credit Purchase of goods*** is recorded.
- In Sales book only ***Credit Sales of goods*** are recorded.
- There fore, *Cash* ***Purchase / Sales*** are not recorded in Purchase / Sales books. They are recorded in Cash book.
- Further ***Credit Purchase of Assets*** like furniture, machine etc. are not recorded in Purchase book, since assets are not goods.
- In Ledger, Sales A/c, Purchase A/c etc. must be prepared so that total sales, total purchase etc. can be known.

"SOMETIMES YOU NEED TO DO WHAT YOU'RE AFRAID TO DO"

CLASS WORK QUESTIONS

Question 1: **[SM-ILL.2]**

Enter the following transactions in purchase book and post them into Ledger:

2022

April 4 **Purchased from Ajay Enterprises, Delhi**
100 Doz Rexona Hawai Chappal @ Rs. 120 per Doz.
200 Doz Palki Leather Chappal @ Rs. 300 per Doz
Less: trade discount @ 10%
Freight charged Rs. 150.

April 15 **Purchased from Balaji Traders, Delhi**
50 Doz Max Shoes @ Rs. 400 per Doz
100 pair Sports Shoes @ Rs. 140 per pair.
Less: trade discount @ 10%.
Freight charged Rs. 200.

April 28 **Purchased From Tripti Industries, Bahdurgarh**
40 pair leather shoes @ Rs. 400 per pair
100 Doz Rozy Hawai Chappal @ Rs. 180 per Doz
Less: trade discount @ 10%
Freight charged Rs. 100.

[Total of Pur. Book- 1, 26,000/-,Total Freight - 450/-]

Personal Note:-

Question 2: **[SM-PQ.1][PEQ-JUNE.23-4 Marks]**

Enter the following transactions in Sales Book of M/s. Pranat Engineers Ltd., Delhi-

2022

Jan. 2 Sold to M/s. Ajanta Electricals, Delhi 5 pieces of colour T.V. @ Rs. 6,000/- each less trade Discount @ 10%

8 Sold to M/s. Ajanta Electricals Plaza, 10 pieces of Washing Machines @ Rs. 8,000 /- each less trade discount 5%.

15 Sold to M/s. Haryana Traders, 5 pieces of Black & White T.V. @ Rs. 3,500/- each less trade discount @ 10%.

[Total of Sales Book- 1,18,750/-]

Personal Note:-

Question 3: **(RTP JAN. 25)[SM-PQ.2]**

Post into the ledger the entries of Sales Book prepared in Question 2.

[Ajanta Electricals-27,000/-, Electronics Plaza-76,000/-, Haryana Traders-15,750/-, Sales A/c-1,18,750/-]

Personal Note:-

Question 4: **[SM-ILL.4]**

Post the following into the ledger

Returns Outward Book

Date	Particulars		L.F.	Details Rs.	Amount Rs.
2022 Nov. 20	Rajindra Prakash & Sons One 36" Usha Ceiling Fan Less: Trade Discount @ 10%			200.00 20.00	180.00
,, 30	Modern Electric Company				100.00
		Total			280.00

[Rajindra Prakash & Sons A/c-180/-, Modern electric Company A/c-100/- Return Outward A/c-280/-]

Personal Note:-

Question 5: **[SM-ILL.5][RTP-May-19 & Nov-20, 22]**

From the following transactions, prepare the Purchases Returns Book of Alpha & Co., a Saree dealer and post them to ledger:

Date	Debit Note No.	Particulars
04.01.2022	101	Returned to Goyal Mills, Surat –5 polyester sarees @ Rs.1000 each
09.01.2022		Garg Mills, Kota – accepted the return of goods (which were purchased for cash) from us – 5 Kota sarees @ Rs.400 each.
16.01.2022	102	Returned to Mittal Mills, Bangalore – 5 silk sarees @ Rs.2600 each.
30.01.2022		Returned one typewriter (being defective) @ Rs.35,000 to B & Co.

[Total of pur. return book- 18,000/-]

Personal Note:-

HOME WORK QUESTIONS

Question 6: **[SM-ILL.1][July-21[5Marks)]**

The Rough Book of M/s. Narain & Co. contains the following:

2022 Feb.

1. **Purchased from Brown & Co. on credit:**
   5 gross pencils @ Rs. 100 per gross,
   1 gross registers @ Rs. 240 per doz. (1 gross = 12 dozen)
   Less: Trade Discount @ 10%
2. **Purchased for cash from the Stationery Mart;**
   10 gross exercise books @ Rs. 300 per doz.
3. **Purchased Computer for office use from M/s. Office Goods Co. on credit for Rs. 30,000.**
4. **Purchased on credit from The Paper Co.**
   5 reams of white paper @ Rs. 100 per ream.
   10 reams of ruled paper @Rs. 150 per ream.
   Less: Trade Discount @ 10%
5. **Purchased one dozen ink-pots @ Rs. 15 each from**
   M/s. Verma Bros. on credit.
   Make out the Purchase Book of M/s. Narain & Co.

[Ans. Total of purchase book = Rs. 5022]

Personal Note:-

Question 7: **[SM-ILL.3][May-25, Nov-20(5 Marks)]**

The following are some of the transaction of M/s Kishore & Sons of the year 2022 as per their Waste Book. Make out their Sales Book.

Sold to M/s. Gupta & Verma on credit:
30 shirts @ Rs. 8 per shirt.
20 trousers @ Rs. 10 per touser.
Less: Trade Discount @10%

Sold furniture to M/s. Sehgal & Co.on credit Rs. 80.

Sold 50 shirts to M/s. Jain & Sons @ Rs. 8 per shirt.

Sold 13 shirts to Cheap Stores @ Rs.7.50 each for cash.

Sold on credit to M/s. Mathur & Jain.
100 shirts @ Rs. 7.50 per shirt.
10 over coat @ Rs. 50 per overcoat.
Less: Trade Discount @ 10%.

[Ans. Total of Sales book = Rs. 1,921/-]

Personal Note:-

Question 8 :

Record the following transactions in Sales Book.

February 2: Sold to South Indian Toys 500 toys @ Rs. 60 each; Less: Trade Discount @ 5%;

February 10: Sold to South Ria Sisters. 100 kg. of wheat @ Rs. 40 per kg; Less: 5% Trade Discount;

February 15: Sold to Raj Bros. 20 bags of White Cement Powder; @ Rs. 2,000 per bag; Less Trade Discount @ 2%

February 27: Sold to Sen & Co. 10 chests of tea @ Rs. 500 per chest less 10% Trade Discount;

[Ans. Total of Sales book = Rs. 76,000/-]

Personal Note:-

Question 9:

From the particulars given below, prepare Bills Receivable and Bills Payable Books.

March 4	**Drew a bill on Arun & Co. at 3 months for Rs. 500**
March 7	**Skand Sen gave his acceptance at 4 months bill for Rs. 1,000.**
March 11	**Gave acceptance at 2 months for Rs. 750 to Bharat Bhushan.**
March 14	**Accepted a bill at 3 months Rs. 500 drawn by Chooni Lal.**
March 21	**Bills for Rs. 400 at 2 months drawn on Amar Singh which was duly accepted by him.**
March 25	**Ram Lal drew a bill at 3 months for Rs. 300 to which this day acceptance was given.**
March 30	**A bill for Rs. 700 was drawn by Rakesh & Co. at 2 months.**

[Ans. Total of B/R Book- 1,900/- & B/P Book 2,250/-]

Personal Note:-

Question 10:

From the following transactions of a merchant, prepare the purchases Return and Sales Return Book:

May 1	**Returned to Sangeeta Chopra, New Delhi : 40 Ladies Suits @ Rs. 650 per suit, less 10%**
May 8	**Sangeeta Bijlani of Bangalore, returned to us : 130 pairs of Trousers @ Rs. 200 per pair, less 5%**
May 14	**Returned to Poshak Ghar, Agra: 60 Shirts @ Rs. 350 each, as these were not ordered**
May 27	**B.B.N. Fashion House of Bidhoi returned : 33 Cotton Trousers @ Rs. 150 each, as these were damaged in transit**
May 31	**Ashu of Mandi returned: 80 pcs. Shirting @ Rs. 250 pc., less 7% as these were of inferior quality.**

[Ans. Total of S/R Book – 48,250/- P/R – 44,400/-]

Personal Note:-

Question 11: **(PEQ. Jan. 25, 4 Marks)**

From the following transactions, prepare the Sales Return Book of Kay & Co., a readymade garments dealer:

Date	Particulars
06/12/2024	Return received from Aar Store 30 Shirts @ Rs. 300/- and 15 trousers @ Rs. 500/- each Less: Trade discount @8%.
12/12/2024	Modern tailors returned 10 frocks (which were sold for cash) @ Rs. 200/- each.
16/12/2024	Return received from Tulip Store -12 T-shirts @ Rs. 100 – each. Less: Trade discount @10%.

Personal Note:-

Question 12: (Preparation of Purchases Book)

Record the following transactions in Purchases Book of M/s. Banerjee Brothers, Kolkata, West Bengal and pass the Journal entry:

2025

April 1 Purchased goods from Joshi Bros., Kolkata on credit vide Invoice No. 210:
10 Philips Tubelights @ Rs. 200 each, plus CGST and SGST @ 6% each
50 Crompton Bulbs @ Rs. 100 each, plus CGST and SGST @ 6% each
Trade Discount is 10%

April 10 Purchased goods from Rajesh Electric Store, Delhi vide Invoice No. 18:
25 Heaters @ Rs. 800 each, 10% Trade Discount, plus IGST @ 12%
15 Crompton Fans @ Rs. 1,600 each, 10% Trade Discount, plus IGST @ 12%

April 16 Purchased goods from Supreme Electric Store, Delhi vide Invoice No. 125:
5 dozen Philips Bulbs @ Rs. 100 each, plus IGST @ 12%
25 Power Plugs @ Rs. 80 each, plus IGST @ 12%
Trade Discount is 10% and freight charges are Rs. 100.

Personal Note:-

Question 13: **[PEQ –SEP.25 - 4 Marks]**

Record the following transactions in the purchase book:

2nd December,2024	Purchased from Gupta & Co. on credit 100 plates @ ₹ 150 per plate 500 small bowls @ ₹ 50 per bowl Less: Trade discount @10% Packing charges @ ₹ 2 per plate and ₹ 1 per bowl
6th December,2024	Purchased a furniture for shop from M/s Plywood Co. on credit for ₹15,000/-
8th December,2024	Purchased on credit from M/s Ajanta & Co. 50 Boxes of spoon@ ₹ 200 per box 40 boxes of Fork@ ₹ 250 per box Less: Trade Discount @ 8%
15th December,2024	Purchased for cash from Steel House 40 big bowl @ ₹ 70/- per bowl
27th December,2024	Purchased one dozen cookers @₹ 750 each from M/s Verma & Sons on credit

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 6:

Purchases Book

Date 2022	Particulars	Details Rs.	L.F.	Amount Rs.
Feb. 1	M/s. Brown & Co.			
	5 Gross pencils @ Rs. 100 per gross	500.00		
	1 Gross registers @ Rs. 240 per doz. (12 x 240)	2880.00		
		3380.00		
		(338.00)		
	Less : 10% trade discount			3,042
"4	The Paper Co.			
	5 Reams white paper @ Rs. 100 per ream	500.00		
	10 Reams ruled paper @ Rs. 150 per ream	1500.00		
		2,000.00		
		(200.00)		
	Less : 10% trade discount			1,800
5	M/s. Verma Bros.			
	1 Doz. gel pens @ Rs. 15 each (12x15)	180		180
		Total		5022

Note : Purchases of cash and purchase of computer cannot be entered in the Purchase Book.

Solution 7:

SALES BOOK

Date	Particulars	Details Rs.	L.F.	Amount
2022	M/s. Gupta & Verma			
	30 Shirts @ Rs. 8	240.00		
	20 Trousers @ 10	200.00		
		440.00		
	Less : 10% Trade Discount	(44.00)		396.00
	M/s. Jain & Sons 50 Shirts @ Rs. 8			400.00
	M/s Mathur & Jain			
	100 Shirts@ Rs. 7.5	750.00		
	10 overcoats@ Rs. 50	500.00		
		1250.00		
	Less : 10% Trade Discount	(125.00)		1125.00
		Total		1921.00

Note : Cash sale and sale of furniture are not entered in Sales Book.

Solution 8:

Sales Book

Date	Particulars	Details	Amount
February 2	South Indian Toys		
	500 toys @ Rs.60 each	30,000	
	Less: Trade discount @ 5%	(1,500)	28,500
February 10	Ria Sisters		
	100 Kg. wheat @ Rs. 40 per Kg.	4,000	
	Less: Trade discount @ 5%	(200)	3,800
February 15	Raj Bros.		
	20 Bags of cement @ Rs.2,000 per bag	40,000	
	Less: Trade discount @ 2%	(800)	39,200
February 27	Sen & Co.		
	10 Chests of tea @ Rs.500 per chest	5,000	
	Less: Trade discount @ 10%	(500)	4,500
			76,000

Solution 9:

Bills Receivable Book

Date	From whom received	Term	Due Date	Amount Rs.
March 4	Arun & Co.	3 months	June 7	500
March 7	Skand Sen	4 months	July 10	1,000
March 21	Amar Singh	2 months	May 24	400
				1,900

Bills Payable Book

Date	To whom received	Term	Due Date	Amount Rs.
March 11	Bharat Bhushan	2 months	May 14	750
March 14	Chooni Lal	3 months	June 17	500
March 25	Ram Lal	3 months	June 28	300
March 30	Rakesh & Co.	2 months	June 2	700
				2,250

Solution 10:

Returns Inward Book

Date	Particulars	Credit Note No.	L.F.	Details Rs.	Amount Rs.
May 8	**Sangeeta Bijlani, Bangalore** 130 pairs of Trousers @ Rs. 200 each less Trade Discount 5%			26,000 (1,300)	24,700
May 27	**BBN Fashion House, Bidhoi** 33 Cotton Trousers @ Rs. 150 each (Goods were damaged in transit)				4,950
May 31	**Ashu, Mandi** 80 Pcs. Shirting @ Rs. 250 per pc. Less Trade Discount 7% (Goods sent were of inferior quality)			20,000 (1,400)	18,600
	Total				**48,250**

Returns Outward Book					
Date	**Particulars**	**Debit Note No.**	**L.F.**	**Details Rs.**	**Amount Rs.**
May 1	**Sangeeta Chopra, New Delhi** 40 Ladies Suits @ Rs. 650 each less Trade Discount 10%			26,000 (2,600)	23,400
May 14	**Poshak Ghar, Agra** 60 Shirts @ Rs. 350 each (Goods were received without order)				21,000
	Total				**44,400**

Solution 11:

In the books of Kay & Co. Returns Inward Book

Date 2024	Particulars		Details	Amount (Rs.)
Dec 6	Aar Store			
	30 shirt @ 300/- each	9000		
	15 Trousers @ 500/- each	7,500	16,500	
	Less: Trade Discount 8%		(1,320)	15,180
Dec 16	Tulip Store			
	12 t-shirt @ 100/- each		1,200	
	Less: Trade Discount 10% Total		(120)	1,080
				16,260

Note: Returns of goods sold from modern tailors will not be included in return inward book as the sales were made in cash.

Solution: 12

M/s. Banerjee Brothers, Kolkata
Purchases Book

Date	Particulars	Invoice no.	L.f.	Details Rs.	Cost Rs.	Input Cgst Rs.	Input sgst rs.	Input igst Rs.	Freight inwards rs.	Total Rs.
2025										
April 1	Joshi Bros., Kolkata	210								
	10 Philips Tubelights @ Rs. 200 each			2,000						
	50 Crompton Bulbs @ Rs. 100 each			5,000						
				7,000						
	Less : Trade Discount is 10%			700	6,300	378	378	-	-	7,056
April 10	Rajesh Electric Store, Delhi	18								
	25 Heaters @ Rs. 800 each			20,000						
	15 Crompton Fans @ Rs. 1,600 each			24,000						
				44,000						
	Less: Trade Discount is 10%			4,400	39,600	-	-	4,752	-	44,352

April 16	Supreme Electronic Store, Delhi 5 dozen Philips Bulbs @ Rs. 100 each 25 Power Plugs @ Rs. 80 each Less: Trade Discount @ 10%	125		6,000 2,000 8,000 800	7,200	-	-	876	100	8,176
April 30	Total				53,100	378	378	5,628	100	59,584

Journal

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
2025					
April 30	Purchases A/c	Dr.		53,100	
	Input CGST A/c	Dr.		378	
	Input SGST A/c	Dr.		378	
	Input IGST A/c	Dr.		5,628	
	Freight Inwards A/c	Dr.		100	
	To Joshi Bros., Kolkata				7,056
	To Rajesh Electric Store, Delhi				44,352
	To Supreme Electric Store, Delhi				8,176
	(Purchase for the month of April, 2025)				

Note: At the time of posting into the ledger, Purchases Account will be debited with Rs. 53,100; Input CGST Account and Input SGST Account with Rs. 378 each, Input IGST Account with Rs. 5,628 and freight Inwards Account will be debited with Rs. 100 and Sundry Creditors (Individually) will be credited with the total of Rs. 59,584.

Solution: 13

Purchases Book

Date	**Particulars**	**Details**	**Amount**
2024		₹	₹
2nd Dec	M/s. Gupta & Co.		
	100 Plates @ ₹ 150 per plate	15,000	
	500 small bowls @ ₹ 50 per bowl	25,000	
		40,000	
	Less: 10% trade discount	(4,000)	
		36,000	
	Add: Packing charges @ 2 for 100 plates and 1 for 500 bowls	700	36,700
8th Dec	M/s Ajanta & Co.		
	50 Boxes spoons @ ₹ 200 per box	10,000	
	40 Boxes Fork @ ₹ 250 per box	10,000	
		20,000	
	Less: 8% trade discount	(1,600)	18,400
27th Dec	M/s. Verma & Sons		
	1 doz. Cookers @ ₹ 750	9,000	9,000
		Total	64,100

Note :
1. Purchases in cash is recorded through Cash Book.
2. Purchase of furniture being fixed asset will be recorded through Journal.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

State with reason whether the following statements are true or false :

1. Transactions recorded in the purchase book include only goods purchases on credit.
2. Transactions regarding the purchase of fixed asset are recorded in the purchase book.
3. Cash sales are recorded in the sales book.
4. Subsidiary books are also known as the books of original entry.
5. Bills receivable book is a subsidiary book.
6. Return inward book is also known as purchase return book.
7. Purchase of a second hand machinery will be recorded in purchase book.
8. Total of sales return book is posted to the debit side of sales return account.
9. If the sales are on a frequent basis, the transactions are recorded in the sales book.
10. An individual transaction of Purchase Book is posted to the credit of Purchases A/c.

Answer :

1. **True:** Since cash purchases are taken to the cash book , it is only credit purchase of goods that are recorded in the purchases book
2. **False:** Transactions regarding the purchase of ¬fixed asset are not recorded in the purchase book, only the credit purchases of goods are recorded in it.
3. **False:** Credit sales are recorded in the sales book. Cash Sales recorded in Cash Book.
4. **True:** They are maintained as an alternate to the journal.
5. **True:** Yes it is one of the subsidiary book
6. **False:** Return inward book is also known as sales return book.
7. **False:** Only credit purchase of goods are recorded in purchase book.
8. **True:** Total of S/R Book is always posted to the debit of S/R A/c.
9. **True:** Yes when there are numerous transactions then there are subsidiary books like the sales book in which all credit sales transactions are recorded instead of passing regular journal entries.
10. **False:** An individual transaction of Purchase Book is posted to the credit of Individual Supplier's A/c.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

1. Purchase book records all purchases of goods.
2. The purchase day book is a part of the ledger.
3. The Sales book is kept to record all sales.
4. The debit notes issued are used to prepare sales return book.
5. Opening, Closing, Rectifying and Adjusting entries are recorded in journal proper.
6. Purchases A/c in the ledger shows all purchases.
7. The Credit Notes are used to prepare Purchases Returns Book.
8. Where Cash Book, Purchases Book, Sales Book, Purchases Returns Book, Sales Returns Book, Bill Receivable Book and Bill Payable Book are maintained, Journal need not be maintained.
9. Purchases Returns Book is used to record return of all assets purchased on credit.
10. Sales Returns Book is used to record return of assets sold on credit.
11. When a customer returns the goods, a debit note is sent to him.
12. When the goods are returned to a supplier, a credit note is sent to him.
13. Purchase of a fixed asset on credit is recorded in Purchases Book.
14. The total of Purchases Returns Book is posted to the debit of Purchases Account.
15. Journal proper is also called a subsidiary book.

Answer:

1. **False:** Purchase book records only credit purchases of goods dealt in or of material and stores used in the factory.
2. **False:** Purchase day book is a book of prime entry and hence it is a part of journal.
3. **False:** The Sales book is kept to record only the credit sales of goods dealt in by the firm, Cash sales are entered in the cash book.

4. **False:** The debit notes issued are used to prepare purchase return book.
5. **True:** All the Opening, Closing, Rectifying and Adjusting entries are recorded in journal proper because these entries cannot be recorded in any other subsidiary book.
6. **False:** Purchases A/c in the ledger shows all purchases of goods only (whether cash or on credit). It does not show purchase of assets.
7. **False:** The Credit Notes are used to prepare Sales Returns Book.
8. **False:** Where Cash Book, Purchases Book, Sales Book, Purchases Returns Book, Sales Returns Book, Bill Receivable Book and Bill Payable Book are maintained, Journal is also required to be maintained for transactions which cannot be recorded in any other subsidiary book.
9. **False:** Purchases Returns Book is used to record return of goods purchased on credit.
10. **False:** Sales Returns Book is used to record return of goods sold on credit.
11. **False:** When a customer returns the goods, a credit note is sent to him.
12. **False:** When the goods are returned to a supplier, a debit note is sent to him.
13. **False:** Purchase of a fixed asset on credit is recorded in Journal Proper.
14. **False:** The total of **Purchases Returns Book is posted to the credit of Purchases Returns Account.**
15. **True:** it is one of the book where in the transactions not entered in the other books are entered in this book

MULTIPLE CHOICE QUESTIONS (SM)

1. In Purchases Book the record is in respect of _____
   (a) Cash purchase of goods.
   (b) Credit purchase of goods dealt in.
   (c) All purchases of goods.

2. The Sales Returns Book records _____
   (a) The return of goods purchased.
   (b) Return of anything purchased.
   (c) Return of goods sold.

3. The Sales Book _____
   (a) Is a part of journal.
   (b) Is a part of the ledger.
   (c) Is a part of the balance sheet.

4. The weekly or monthly total of the Purchase Book is _____
   (a) Posted to the debit of the Purchases Account.
   (b) Posted to the debit of the Sales Account.
   (c) Posted to the credit of the Purchases Account.

5. The total of the Sales Book is posted to _____
   (a) Credit of the Sales Account.
   (b) Credit of the Purchases Account.
   (c) Credit of the Capital Account.

6. In which book of original entry, will you record an allowance of Rs.50 was offered for an early payment of cash of Rs.1,050 _____.
   (a) Sales Book (b) Cash Book (c) Journal Proper (General Journal)

7. A second hand motor car was purchased on credit from B Brothers for Rs.10,000 will be recorded in _____.
   (a) Journal Proper (General Journal)
   (b) Sales Book
   (c) Cash Book
   (d) Purchase Book

8. In which book of original entry, will you record a bills receivable of Rs.1,000, which was received from a debtor in full settlement for a claim of Rs.1,100, is dishonoured _____.
(a) Purchases Return Book
(b) Bills Receivable Book
(c) Journal Proper (General Journal)

MCQs ANSWER

1.	(b)	2.	(c)	3.	(a)	4.	(a)	5.	(a)
6.	(b)	7.	(a)	8.	(c)				

THEORETICAL QUESTIONS

Question 1 : **(SM)**

Which subsidiary books are normally used in a business?

Answer :

Normally, the following **8 subsidiary books** are used in a business:

(i) **Cash Book** : It record receipts and payments of cash, including receipts into and payments out of the bank.
(ii) **Purchases Book** : It record credit purchases of goods and material dealt in.
(iii) **Purchase Returns Books** : It record the returns of goods and materials previously purchased on credit.
(iv) **Sales Book** : It record the credit sales of the goods dealt in by the firm.
(v) **Sale Returns Book** : It record the returns made by customers for goods sold on credit.
(vi) **Bills Receivable Books** : It record the receipts of promissory notes, bills of exchange or hundies from various parties.
(vii) **Bills Payable Book** : It record the issue of the promissory notes, bills of exchange or hundies to other parties.
(viii) **Journal (proper)** : It record the transactions which cannot be recorded in any of the seven books mentioned above.

Question 2 : **(MTP JAN. 25, 5 Marks)(SM) (PEQ. June – 24, 5 Marks) [Jan-21(5Marks)]**

What are the advantages of Subsidiary Books ?

Answer.

Advantages of Subsidiary Books

(i) **Division of work:** Since in the place of one journal there will be so many subsidiary books, the accounting work may be divided amongst a number of clerks.
(ii) **Specialization and efficiency:** When the same work is allotted to a particular person over a period of time, he acquires full knowledge of it and becomes efficient in handling it. Thus the accounting work will be done efficiently.
(iii) **Saving of the time:** Various accounting processes can be undertaken simultaneously because of the use of a number of books. This will lead to the work being completed quickly.
(iv) **Availability of information:** Since a separate register or book is kept for each class of transactions, the information relating to each transactions will be available at one place.
(v) **Facility in checking:** When the trial balance does not agree, the location of the error or errors is facilitated by the existence of separate books. Even the commission of errors and frauds will be checked by the use of various subsidiary books.

Question 3 :

Distinguish between Debit note and Credit note.

Answer :

Basis of Distinction	Debit Note	Credit Note
1. Who Prepares?	It is Prepared by Purchaser.	It is prepared by Seller.
2. Contents	(a) Date of Return (b) Name of Supplier to whom returned (c) Details of goods returned (d) Reasons for returning goods	(a) Date of return (b) Name of customer who returned (c) Details of goods returned (d) Reason for returning goods
3. Source Document	It is used as source document for recording in Purchase Return Book.	It is used as source document for recording in Sales Return Book.
4. Why Prepared?	It is prepared to debit supplier's account.	It is prepared to give credit to customer.

Question 4 :

Distinguish between Sale day book and Sale Account.

Answer.

Basis of Distinction	Sales Day Book	Sales Account
1. Nature	It is a book of original entry.	It is opened in the books of secondary entry i.e. ledger.
2. Basis for preparation	It is prepared on the basis of sales invoices raised.	It is prepared on the basis of Sales Day Book (for Credit Sales) and Cash Book (for Cash Sales)
3. Nature of transactions recorded	It records only the credit sales of goods in which the enterprise deals in.	It contains the effect of both Cash Sales and Credit Sales.

THEORY QUESTIONS VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Subsidiary Book	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 2 – ACCOUNTING PROCESS
UNIT : 5 - CASH BOOK

Question 1 :

State the meaning of Cash Book ? Which transactions are being recorded in Cash Book ?

Answer 1:

Meaning of Cash Book :

- **Cash Transactions** : In Cash book only Cash transactions are recorded. *Credit transactions are never recorded.*
- **Subsidiary Book** : Since all the Cash transactions are first recorded in Cash book therefore, it is called as *Subsidiary Book or Journal.*
- **Principal Book** : Further Cash book itself act as Ledger since its balances are directly taken in Trial Balance, So it is also called as *Principal book.*
- **Journalised ledger :** Thus Cash book acts as **both Subsidiary book and Principal book.** It is popularly known as **"Journalised ledger".**
- **Source Document** : The entry in cash book is recorded on the basis of **"cash vouchers".** The cash vouchers supported by debit entries are called **"Debit Vouchers"** while cash vouchers supported by credit entries are called **"Credit Vouchers"**.

Question 2 :

State the types of cash book required to be maintained. Explain each type of Cash Book.

Answer 2 :

Types of Cash book – 3 types

i) Simple Cash book. (Single column)
ii) Two–Column (Double column) Cash book.
iii) Three – Column (Triple column) Cash book

Note : In addition to above main Cash book, firms also generally maintain a *petty cash book*

i) Simple Cash Book (single column)

- Debit side is Receipt and Credit side is Payment.
- Balancing : Cash A/c shall **always have a Debit Balance**, since Receipt side shall always be greater than Payment side.

ii) Double column Cash Book

- In this Cash book there is 2 columns of amount in both sides.
- Out of 2 columns, generally one column is of Cash transaction and another is for either Discount or Bank Transaction. If the entity does not maintain cash but it has only bank transactions, in this case, double column cash book will have 2 column – Bank & Discount.
- ***Debit column*** – Shows Cash receipt or Discount allowed or Bank receipts.
- ***Credit column*** – Shows Cash payment or Discount received or Bank payments.
- ***Balancing*** – Cash & Bank columns are balanced but Discount column is never balanced. Discount column is just a **memorandum column**. Total of debit & credit of Discount column is transferred to "Discount Account" as "total as per cash book". Debit column shows total discount allowed and the credit column shows the discount received. Whereas the balance of Cash & Bank is directly taken to T.B. (Since these books are also acting as Ledger Book).

iii) Three column Cash Book

- In this Cash book there is 3 columns of amount in both sides.
- Out of 3 columns – 1st is of Discount, 2nd is of Cash and 3rd one is of Bank Transaction.

Question 3 :

What do you mean by "Contra Entry" ?

Answer 3 :

Contra Entry :

- The term contra is a **latin** word, it means **other side**.
- When both the debit and credit aspects of a transactions are recorded simultaneously in the same book but in different columns, it is called **contra entry.**
- **Example** : When cash is withdrawn from bank, it is entered in the bank column on the payment side and also in the cash column on the receipt side. Similarly, if cash is deposited into bank again entry is made in both sides.
- The letter **"C"** should be written in **L.F. Column (Both side)**

NOTES : Points to remember -

1. If cheque is received and deposited on the same day, it is treated as bank receipt.
2. If cheque is received but not deposited to bank on same day, it is treated as Cash Receipt.
3. When the above cheque is deposited, Contra entry will be passed.
4. For Bank transactions – follow Personal A/c Rule
5. For Cash transactions – follow Real A/c Rule
6. For Discount – follow Nominal A/c Rule
7. If cheque deposited is dishonoured – Reverse entry shall be passed.
8. If we have more than one Bank A/c (i.e. A/c in SBI & PNB) then separate column can be added for each Bank A/c.

Question 4 :

State the format of triple column cash book.

Answer 4 :

Format of triple column cash book :

Dr. **Cr.**

Date	Particulars	L.F.	Cash	Bank	Dis.	Date	Particulars	L.F.	Cash	Bank	Dis.

Question 5 :

State the rules of posting from cash book to the ledger.

Answer 5 :

Rules of Posting :

- **Posting from the debit side (Receipt) of the cash book** : The transactions appearing in debit side of cash book will be posted to the credit side of the respective accounts.
- **Posting from the credit side (Payment) of the cash book** : The transactions appearing in credit side of cash book will be posted to the debit side of the respective accounts.

Note : Total of Debit side of Discount column will be posted to Debit side of Discount A/c and Total of Credit side of Discount column will be posted to Credit side of Discount A/c.

Question 6 : **[May-22(5 Marks)]**

What do you mean by PETTY CASH BOOK ?

Answer 6 :

Petty Cash Book – Meaning :

- In a business number of small payments like postage, fare etc. have to be made.
- If these small expenses are maintained in main cash book, it becomes very heavy.
- So, Generally for these small expense, a separate cash book is being maintained.
- This cash book is known as "Petty Cash book".
- Petty cash book can't have a credit balance.

Question 7:

State the system of Petty Cash Book.

Answer 7 :

There are following 2 systems on the basis of which cash is given to petty cashier :

(i) **Ordinary system of petty cash :** In this system, an advance is given to the petty cashier as per his needs. Amount of advance and period is not fixed. Under this system, the amount with petty cashier may not necessarily be same in the beginning of each period.

(ii) **IMPREST SYSTEM of Petty Cash Book :**

- ❖ In this system, certain sum of money is given to Petty cashier at the beginning of the period to make small payments, called **Imprest or Float.**
- ❖ From the amount received, petty cashier makes payment.
- ❖ After a particular period, he submits a statement of various exp. incurred by him.
- ❖ Then he will be reimbursed again so that total again becomes an Imprest amount.
- ❖ Such a system is known as Imprest System.

Question 8: **[May-22]**

State the Advantages of Petty Cash book.

Answer 8 :

Advantages :

- ❖ Saving of time of Main Cashier.
- ❖ Saving in Posting into the ledger.
- ❖ Control over small payments.

Question 9:

State the type of Petty cash book.

Answer 9 :

There are 2 types of Petty Cash Book :

i) Non-Analytical / Simple Petty Cash book.

ii) Analytical / Columnar Petty Cash book

i) **Non-Analytical / Simple Petty Cash book** : It is just like a simple cash book. There is one column of amount.

ii) **Analytical / Columnar Petty Cash book** : In this book, for every expenses separate column of amount is prepared. It facilitates the posting of expenses from the total of various columns to the respective accounts in the ledger.

Question 10:

State the rules for Posting the Petty Cash book.

Answer 10 :

Rules for Posting the Petty Cash book : Petty cash book may be maintained as –

i) Part of double entry system.

ii) Subsidiary book.

i) **Journal Entry for Petty Cash Book** (If it is prepared as a part of double entry system)

1. Petty Cash a/c Dr.
   To Cash / Bank A/c
   (Being Petty Cash given to petty cashier by head cashier)
2. Conveyance a/c Dr.
   Cartage a/c Dr.
   Postage a/c Dr.
   To Petty Cash A/c
   (When the accounts of petty expense submitted at the end of period by the petty cashier)
   Note : It means Petty cash a/c and separate expenses a/c will be prepared in the ledger.

ii) **If it is maintained as a subsidiary book :**

- ❖ Petty Cash A/c **need not** be maintained in the Ledger.
- ❖ The posting is made to the concerned ledger account (i.e. expense a/c) at the end of particular period with the totals of analytical column directly.
- ❖ The balance of this a/c will show cash in hand with petty cashier.
- ❖ This balance will be shown in Balance Sheet as a part of Cash Balance.
- ❖ From the Petty cash book, the total of various columns will be directly debited to the concerned account.

CLASS WORK QUESTIONS

Question 1: **[SM-ILL.1]**

Enter the Following transaction in a Simple Cash Book:

2022		Rs.
Jan. 1	Cash in hand	1,200
"5	Received from Ram	300
"7	Paid Rent	30
"8	Sold goods for cash	300
"10	Paid to Shyam	700
"27	Purchased Furniture	200
"31	Paid Salaries	100
"31	Rent due, not yet paid, for January	30

[Bal. of cash A/c- 770/-]

Personal Note:-

Question 2: **[SM-ILL.2]**

Ganesh commenced business on 1st April, 2022 with Rs. 2,000 as capital. He had the following cash transactions in the month of April 2022:

April		Rs.	April		Rs.
1	Purchased furniture and paid cash	250	7	Paid for petty expenses	15
2	Purchased goods	500	8	Cash purchases	150
4	Sold goods for cash	950	13	Paid for Typewriter	1,000
5	Paid cash to Ram Mohan	560	13	Paid Ali & Sons	400
	He allowed discount	10		They allowed discount	8
6	Received cash from Krishna & Co.	600			
	Allowed discount	20			

Make out the two-column Cash Book (Cash and discount column) for the month of April, 2022.

[Bal. of cash A/c- 675/-, Dis. - Total of Dr. 20, Total of Cr. 18]

Personal Note:-

Question 3: [SM-PQ.1]

Shri Ramaswamy maintains a Columnar Petty Cash Book on the Imprest System. The imprest amount is Rs. 500. From the following information, show how his Petty Cash Book would appear for the week ended 12th September, 2022:

2022		Rs.
7-9-2022	Balance in hand	134.90
	Received Cash reimbursement to make up the imprest	365.10
	Stationery	49.80
8-9-2022	Miscellaneous Expenses	20.90
9-9-2022	Repairs	156.70
10-9-2022	Travelling	68.50
11-9-2022	Stationery	71.40
12-9-2022	Miscellaneous Expenses	6.30
	Repairs	48.30

[Bal. of petty cash- 78.10/-]

Personal Note:-

Question 4: [SM-ILL.5]

Enter the following transaction in Cash Bank with Discount and Bank columns. Cheques are first treated as cash receipts-

2022		Rs.
March1	Cash in Hand	15,000
	Overdraft in Bank	6,000
"2	Cash Sales	3,000
"3	Paid to Sushil Bros. by cheque	3,400
	Discount received	100
"5	Sales through credit card	2,800
"6	Received cheque from Srijan	6,200
"7	Endorsed Srijan's cheque in favour of Adit.	
"9	Deposit into Bank	6,800
"10	Received cheque from Aviral and deposited into Bank	3,600
"11	Adit informed that Srijan's cheque is dishonoured	
"15	Sales through Debit Card	3,200
"24	Withdrawn from Bank	1,800
"28	Paid to Sanchit	3,000
"30	Bank charged 1% commission on sales through Debit / Credit Cards	

[Balance of Cash - 10,000/-, Bank A/c- 5,140/-, Dr. total of Dis.- Nil, Cr. total- 100]

Personal Note:-

HOME WORK QUESTIONS

Question 5: **[SM-ILL.4]**

Prepare a Petty Cash Book on the imprest System from the following:

2022		Rs.
Jan. 1	Received for petty cash	100
"2	Paid bus fare	.50
"2	Paid cartgage	2.50
"3	Paid for Postage & Telegrams	5.00
"3	Paid wages for casual labourers	6.00
"4	Paid for stationery	4.00
"4	Paid tonga charges	2.00
"5	Paid for the repairs to chairs	15.00
"5	Bus fare	1.00
"5	Cartage	4.00
"6	Postage and Telegrams	7.00
"6	Tonga charges	3.00
"6	Cartage	3.00
"6	Stationery	2.00
"6	Refreshments to customers	5.00

[Bal. of petty cash a/c- 40/-]

Personal Note:-

Question 6:

Pass Journal Entries of Question 5. Also show Petty Cash A/c in the Ledger.

Personal Note:-

Question 7: **[SM-ILL.3]**

Enter the following transactions in Cash Book with Discount and Bank Columns. Cheques are first treated as cash receipt.

2022		Rs.
Jan. 1	Chandrika commences business with Cash	20,000
"3	He paid into Current A/c	19,000
"4	He received cheque from Kirti & Co. on account	600
"7	He pays in bank Kirty & Co's cheque	600
"10	He pays Rattan & Co. by cheque and is allowed discount Rs. 20	330
"12	Tripathi & Co. pays into his Bank A/c	475
"15	He receives cheque from Warshi and allows him discount Rs. 35	450
"20	He receives cash Rs. 75 and cheque Rs. 100 for cash sale	
"25	He pays into Bank, including cheques received on 15th and 20th	1,000
"27	He pays for cash purchase	275
"30	He pays sundry expenses in cash	50

[Bal of cash A/c- 300/-, Bank A/c- 20745/-, Debit total of Discount-35, Cr. Total-20]

Personal Note:-

Question 8:

Prepare a Double Column Cash Book (Cash and Bank) from the following transactions:

2022 April 1	**Cash in Hand Rs. 1,200; Overdraft at bank Rs. 15,000**
April 3	**Further capital introduced Rs. 20,000 out of which Rs. 16,000 deposited in the bank.**
April 4	**Purchased goods from Shyam Traders amounting to Rs. 3,000 and they allowed trade discount Rs. 200. The amount was paid by cheque.**
April 4	**Goods Purchased for cash Rs. 4,000.**
April 5	**Sold goods to Mohan on Credit Rs. 5,000**
April 6	**Received cheque from Rakesh Rs. 2,450. Allowed him discount Rs. 50.**
April 10	**Cheque received from Rakesh deposited into bank.**
April 11	**Settled the account of Tej Printers Rs. 750 by paying cash Rs. 680.**
April 12	**Cash received from Mohan Rs. 4,750 in full settlement of his account of Rs. 5,000.**
April 16	**An amount of Rs. 1,000 due from Gupta Brothers written off as bad debts in the previous year, now recovered.**
April 17	**Received from Murli on behalf of Manohar Rs. 200.**
April 19	**Received a cheque for Rs. 800 from Mukesh, which was endorsed to Nitin on 24th April.**
April 20	**Sale of old furniture, Payment received in cash for Rs. 720.**
April 25	**Cashed a cheque for Rs. 3,000.**
April 25	**Drew from bank for household expenses Rs. 1,000 and for income tax Rs. 500.**
April 28	**Surendra who owed Rs. 400 became bankrupt and paid 60 paise in a rupee.**
April 28	**Received repayment of a loan to Ram Rs. 3,000 and deposited out of it Rs. 2,500 into the bank.**
April 30	**Interest debited by bank Rs. 375.**
April 30	**Deposited with the bank the entire balance after retaining Rs. 2,000 at office.**

[Bal of cash A/c- 2000/-, Bank A/c- 7205/-, excess cash deposited on 30 April- 8930]

Personal Note:-

Question 9:

From the following particulars, prepare a Cash Book with suitable columns:

2022		**Rs.**
March 1	**Cash in Hand .....**	**8,500**
	Bank balance with State Bank of India (SBI)	**25,000**
	Overdraft with Punjab National Bank (PNB)	**17,500**
March 3	**Cash Sales**	**7,000**
March 5	**Paid Salary to staff by cheque on SBI**	**10,000**
March 8	**Cheque received from Anil deposited with PNB**	**9,000**
March 10	**Cash deposited into SBI**	**5,000**
March 12	**Amount Transferred from SBI to PNB by cheque**	**3,000**
March 15	**Cash withdrew from SBI**	**8,000**

[Bal of Cash A/c- 18500/-, Bank A/c SBI- 9000/-, Bank A/c PNB O/D-5500]

Personal Note:-

Question 10: **[RTP-Nov.21]**

Prepare a Petty Cash Book on the Imprest System from the following:

2022			Rs.
June	1	Received Rs. 1,00,000 for petty cash	
”	2	Paid taxi fare	2,000
”	3	Paid cartage	10,000
”	4	Paid for courier	2,000
”	5	Paid wages	2,400
”	5	Paid for stationery	1,600
”	6	Paid for the repairs to machinery	6,000
”	6	Auto fare	400
”	7	Cartage	1,600
”	7	Paid for courier	2,800
”	8	Cartage	12,000
”	9	Stationery	8,000
”	10	Sundry expenses	20,000

[Closing Balance – 31,200/-]

Personal Note:-

Question 11: **[RTP May 20, May-21 & Nov. 23]**

Prepare a Triple Column Cash Book from the following transactions and bring down the balance for the start of next month:

2022			Rs.
Sep.	1	Cash in hand	6,000
	1	Cash at bank	24,000
	2	Paid into bank	2,000
	5	Bought furniture and issued cheque	3,000
	8	Purchased goods for cash	1,000
	12	Received cash from Mohan	1,960
		Discount allowed to him	40
	14	Cash sales	10,000
	16	Paid to Amar by cheque	2,900
		Discount received	100
	19	Paid into Bank	1,000
	23	Withdrawn from Bank for Private expenses	1,200
	24	Received cheque from Parul	2,860
		Allowed him discount	40
	26	Deposited Parul’s cheque into Bank	
	28	Withdrew cash from Bank for Office use	4,000
	30	Paid rent by cheque	1,600

[Closing Balance – Cash 17,960, Bank 17,160, Dis. Dr. 80 & Cr. 100]

Personal Note:-

Question: 12 **[PEQ. Dec. 23 (5 Marks)]**

Prepare a Triple Cash Book form the following transactions of G. Enterprises for the month of Jan 2023.

Date	Particulars	Amount Rs.
01.01.2023	Cash in hand	14,500
	Cash in Bank	1,95,000
03.01.2023	Received from K	
	- Cash	7,300
	- Cheque	15,000
	Discount allowed to him	400
06.01.2023	Goods sold for cash	9,100
07.01.2013	Withdrew from bank by self cheque	3,000
12.01.2023	Issued a cheque to B	10,590
	Discount received	410
14.01.2023	Received a cheque from R (in full settlement of her account Rs. 6,500) by cheque	6,350
17.01.2023	Withdrew from bank for personal use	15,000
18.01.2023	Paid electricity bill by cheque	5,000
20.01.2023	Cash purchases of stationary	1,200
31.01.2023	Deposit the entire cash in bank in excess of Rs. 10,000	

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 5:

Petty Cash Book

Receipts Rs.	Date 2022	V. No.	Particulars	Total Rs.	Con-veyance Rs.	Cartage Rs.	Statio-nery Rs.	Postage & Telegrams Rs.	Wages Rs.	Sundries Rs.
100	Jan.1		To Cash							
	2	1	By Conveyance	.50	.50					
		2	By Cartage	2.50		2.50				
	3	3	By Postage and Telegrams	5.00				5.00		
		4	By Wages	6.00					6.00	
		5	By Stationery	4.00			4.00			
	4	6	By Conveyance	2.00	2.00					
		7	By Repairs to Furniture	15.00						15.00
	5	8	By Conveyance	1.00	1.00					
		9	By Cartage	4.00		4.00				
		10	By Postage and Telegrams	7.00				7.00		
	6 "	11	By Conveyance	3.00	3.00					
	"	12	By Cartage	3.00		3.00				
	"	13	By Stationery	2.00			2.00			
	"	14	By General Expenses	5.00						5.00
				60.00	6.50	9.50	6.00	12.00	6.00	20.00
			By Balance c/d	40.00						
100				100.00						
40.00	8		To Balance b/d							
60.00			To Cash							

Solution 6:

1 Jan.	Petty Cash Account	Dr.	100	
	To Cash Account			100
	(Being Cash Received)			
6 Jan.	Conveyance Account	Dr.	6.5	
	Cartage Account	Dr.	9.5	
	Stationery Account	Dr.	6	
	Postage & Telegram	Dr.	12	
	Wages Account	Dr.	6	
	Repairs Account	Dr.	15	
	General Expenses	Dr.	5	
	To Petty Cash Account			60
	(Being Expense recorded for the week ended on Jan. 6)			

Solution 7:

Dr. Cash Book Cr.

Date	Receipt	L.F.	Discount Rs.	Cash Rs.	Bank Rs.	Date	Payment	L.F.	Discount Rs.	Cash Rs.	Bank Rs.
2022						2022					
Jan.1	To Capital A/c			20,000		Jan.3	By Bank A/c	C		19,000	
3	To Cash	C			19,000	7	By bank A/c	C		600	
4	To Kirti & Co.			600		10	By Ratan &C0.		20		330
7	To Cash	C			600	25	By Bank A/c	C		1,000	
12	To Tripathi & Co.				475	27	By Purchases A/c			275	
15	To Warshi		35	450		30	By S.Exp. A/c			50	
20	To Sales A/c			175							
25	To Cash	C			1,000						
						31	By Balance C/d			300	20,745
	TOTAL		35	21,225	21,075		TOTAL		20	21,225	21,075
Feb.	To Balance b/d			300	20,745						

Solution 8:

Dr.					CASH BOOK				Cr.
Date	**Particulars**	**L.F**	**Cash Rs.**	**Bank Rs.**	**Date**	**Particulars**	**L.F**	**Cash Rs.**	**Bank Rs.**
2022					2022				
April 1	To Balance b/d		1,200		April 1	By Balance b/d			15,000
April 3	To Capital A/c		4,000	16,000	April 4	By Purchases A/c			2,800
April 10	To Cheques in					(Rs. 3,000 - Rs. 200)			
	Hand A/c (Rakesh)			2,450	April 4	By Purchase A/c		4,000	
April 12	To Mohan		4,750		April 11	By Tej Printers		680	
April 16	To Bad Debts				April 25	By Cash A/c	C		3,000
	Recovered A/c		1,000		April 25	By Drawings A/c			1,500
April 17	To Manohar		200			(Rs. 1,000 + Rs. 500)			
April 20	To Furniture A/c		720		April 30	By Interest A/c			375
April 25	To Bank A/c	C	3,000		April 30	By Bank A/c (Bal. Fig.)	C	8,930	
April 28	To Surendra		240		April 30	By Balance c/d		2,000	7,205
April 28	To Loan to Ram A/c		500	2,500					
April 30	To Cash A/c	C		8,930					
			15,610	**29,880**				**15,610**	**29,880**
May 1	To Balance b/d		2,000	7,205					

Note : April 5 Credit Sales will be recorded in Sales Book.
April 6 Cheque recd. but not deposited treated as cheque in hand, therefore will be recorded in Journal Proper.
April 19 Cheque recd. and endorsed will be recorded in Journal Proper (we assume it as cheuqe in hand)
Alternatively we may treat cheque recd. as cash recd. then when it is deposited/endorsed it will be treated as cash paid.

Solution 9:

In The books of.....

Date	Particulars	L.F	Cash Rs.	Bank		Date	Particulars	L.F	Cash Rs.	Bank	
				SBI Rs.	PNB Rs.					SBI Rs.	PNB Rs.
2022						2022					
Mar. 1	To Balance b/d		8,500	25,000		Mar. 1	By Balance b/d				17,500
Mar. 3	To Sales A/c		7,000			Mar. 5	By Salaries A/c			10,000	
Mar. 8	To Anil				9,000	Mar. 10	By SBI	C	5,000		
Mar. 10	To Cash A/c	C		5,000		Mar. 12	By PNB	C		3,000	
Mar. 12	To SBI	C			3,000	Mar. 15	By Cash A/c	C		8,000	
Mar. 15	To SBI	C	8,000			Mar. 15	By Balance c/d		18,500	9,000	
Mar. 15	To Balance c/d				5,500						
			23,500	**30,000**	**17,500**				**23,500**	**30,000**	**17,500**
Mar. 16	To Balance b/d		**18,500**	**9,000**		Mar.16	By Balance b/d				**5,500**

Solution 10 :

PETTY CASH BOOK

Receipt	Date	V.No.	Particulars	Total	Conve-yance	Cartage	Stationary	Courier	Wages	Sun. Exp.
1,00,000	June1		To Cash							
	2	1	By Conveyance	2,000	2,000					
	3	2	By Cartage	10,000		10,000				
	4	3	By Courier	2,000				2,000		
	5	4	By Wages	2,400					2,400	
	5	5	By Stationery	1,600			1,600			
	6	6	By Repairs to machine	6,000						6,000
	6	7	By Conveyance	400	400					
	7	8	By Cartage	1,600		1,600				
	7	9	By Courier	2,800				2,800		
	8	10	By Cartage	12,000		12,000				
	9	11	By Stationery	8,000			8,000			
	10	12	By Sundry Expenses	20,000						20,000
				68,800	2,400	23,600	9,600	4,800	2400	26,000
			By Balance c/d	31,200						
1,00,000				1,00,000						
31,200	11		To Balance b/d							
68,800			To Cash							

Solution 11:

Triple Column Cash Book

Dr.											Cr.
Date		Particulars	Discount	Cash	Bank	Date		Particulars	Discount	Cash	Bank
2022						2022					
Sep. 1	To	Balance b/d	-	6,000	24,000	Sep. 2	By	Bank(C)		2,000	
Sep. 2	To	Cash (C)		-	2,000	Sep. 5	By	Furniture A/c			3,000
Sep. 12	To	Sapna	40	1,960		Sep. 8	By	Purchase A/c		1,000	
Sep. 14	To	Sales A/c		10,000		Sep. 16	By	Amar	100		2,900
Sep. 19	To	Cash (C)			1000	Sep. 19	By	Bank(C)		1,000	
Sep. 24	To	Parul (Note 2)	40	2,860		Sep. 23	By	Drawings A/c			1,200
Sep. 26	To	Cash (C)			2,860	Sep. 26	By	Bank(C)		2,860	
Sep. 28	To	Bank (C)		4,000		Sep. 28	By	Cash (C)			4,000
						Sep. 30	By	Rent A/c			1,600
						Sep. 30	By	Balance c/d		17,960	17,160
			80	24,820	29,860				100	24,820	29,860
Oct. 1	To	Balance b/d		17,960	17,160						

Note:

(1) Discount allowed and discount received Rs. 80 and Rs. 100 respectively should be posted in respective Accounts in the ledger.

(2) When cheque is not promptly deposited into Bank, first it is entered in the Cash Column and subsequently at the time of deposit, Bank Account is debited and Cash Account is credited.

Solution: 12

Triple Column Cash Book

Dr. Date 2023	Particulars	Dis-count Rs.	Cash Rs.	Bank Rs.	Date 2023	Particulars	Dis-count Rs.	Cash Rs.	Cr. Bank Rs.
Jan 1	To Balance b/d		14,500	1,95,000	Jan 7	By Cash (C)			3,000
Jan 3	To K	400	7,300	15,000	Jan 12	By B A/c	410		10,590
Jan 6	To Sales A/c		9,100		Jan 17	By Drawings A/c			15,000
Jan 7	To Bank (C)		3,000		Jan 18	By Electricity charges			5,000
Jan 14	To R	150		6,350	Jan 20	By Stationary		1,200	
Jan 31	To Bank (C)			22,700	Jan 31	By Bank (C)		22,700	
					Jan 31	By Balance c/d		10,000	2,05,460
		550	33,900	2,39,050			410	33,900	2,39,050
Feb 1	To Balance b/d		10,000	2,05,460					

Note: Discount allowed and discount received Rs. 550 and Rs. 410 respectively should be posted in respective Accounts in the ledger.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Cash book is a subsidiary book as well as a principal book.
2. Two column cash book always consists of two columns cash column & bank column.
3. Discount column of cash book is never balanced.
4. Contra entry cannot be passed in a three column cash book.
5. If the bank column is showing the opening balance on credit side, it is an overdraft.
6. A cash book records cash transactions as well as credit transactions.
7. Discount column of cash book records the trade discount
8. In a Cash Book, Cash Discount received is recorded on the debit side of Cash Book and Cash Discount allowed is recorded on the credit side of Cash Book.

Answer :

1. **True:** Since in cash book transections are recorded date wise so it is a subsidiary book. Further balance of cash book is taken in TB, therefore it is Principal Book also.
2. **False:** Two column cash book may consists of two columns cash column & discount column or cash and bank column.
3. **True:** it is totaled and transferred to the discount allowed or received account.
4. **False:** Contra entry is passed in a three column cash book in bank and cash columns
5. **True:** usually the debit side of opening balance shows a favorable balance, where there is unfavorable-overdraft then it should be shown on the credit side
6. **False:** A cash book records only cash transactions.
7. **False:** Discount column of cash book records the cash discount. Trade discount is not shown in the books of accounts.
8. **False:** In a Cash Book, Cash Discount received is recorded on the credit side of Cash Book and Cash Discount allowed is recorded on the debit side of Cash Book.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. The balance in the Petty Cash Book represents expense.
2. The balance in the cash book shows net income.
3. Bank column of the cash book will show only a debit balance.
4. Cash column of a Cash Book may show a debit or credit balance.
5. In a Cash Book, Discount Columns may show either debit balance or credit balance.
6. If a cheque is received and is endorsed on the same date, it must be entered on both sides of the cash book.
7. A crossed cheque is always payable across the bank counter.
8. Cash Book is a special Journal and not a Ledger.
9. In a Cash Book, Trade Discount received is recorded on the debit side of Cash Book and Trade Discount allowed is recorded on the credit side of Cash Book.
10. When a firm maintain a Three-column Cash Book, it need not maintain Cash Account, Bank Account and Discount A/c in the Ledger.
11. If a debit as well as credit aspects of a transaction are recorded in the Cash Book itself, it is called a contra entry.
12. The allowance made for prompt payment is called Trade Discount.
13. The total of Discount column on debit side of Cash Book is posted to the Credit of Discount Account.
14. Contra Entry is passed in two column cash book.

Answer:

1. **False:** The balance in the Petty Cash Book represents unspent petty cash balance lying with the Petty Cashier. It is shown on the asset side of the Balance Sheet under the heading 'Cash & Bank Balances'.
2. **False:** The balance in the cash book shows cash in hand.
3. **False:** Bank column of the cash book may show credit balance in case of bank overdraft.

4. **False:** Cash Column of a cash book always shows a debit balance
5. **False:** Discount Columns of a Cash Book are merely totalled but never balanced. Debit total of discount column represents discount allowed and that of credit side represents discount received. These are merely totalled and transferred to Discount Allowed and Discount Received Account respectively.
6. **True:** The cash book is debited when the cheque is received and it is credited when it is endorsed in favour of somebody. So, it is recorded on both side of cash book (cash column).
7. **False:** Only a Bearer cheque is payable across the bank counter. Crossed cheque can be collected through bankers only.
8. **False:** Cash Book is both special Journal and Ledger.
9. **False:** In a Cash Book, Cash Discount is recorded and not the Trade Discount.
10. **False:** When a firm maintain a Three-column Cash Book, it need not maintain Cash Account and Bank Account. Discount A/cs are maintained in the Ledger
11. **True :** If a debit as well as credit aspects of a transaction are recorded in the Cash Book itself, it is called a contra Entry
12. **False:** The allowance made for prompt payment is called Cash Discount.
13. **False:** The total of Discount column on debit side of Cash Book is posted to the debit of Discount Allowed Account.
14. **True:** Contra entry can be passed in a two column cash book which includes bank and cash column.

MULTIPLE CHOICE QUESTIONS (SM)

1. The total of discounts column on the debit side of the cash book, recording cash discount deducted by customers when paying their accounts, is posted to the _____
   (a) Credit of the discount allowed account.
   (b) Debit of the discount allowed account
   (c) Credit of the discount received account.

2. Cash book is a type of _____ but treated as a _____ of accounts.
   (a) Subsidiary book, principal book
   (b) Principal book, subsidiary book
   (c) Subsidiary book, subsidiary book

3. Which of the following is not a column of a three-column cash book?
   (a) Cash column (b) Bank column (c) Petty cash column

4. Contra entries are passed only when _____.
   (a) Double-column cash book is prepared
   (b) Three-column cash book is prepared
   (c) Simple cash book is prepared

5. The Cash Book records _____.
   (a) All cash receipts (b) All cash payments (c) All cash receipts and payments

6. The balance in the petty cash book is _____.
   (a) An expense (b) A profit (c) An asset

7. If Ram has sold goods for cash, the entry will be recorded _____ .
   (a) In the Cash Book (b) In the Sales Book (c) In the Journal

MCQs ANSWER

1.	(b)	2.	(a)	3.	(c)	4.	(b)	5.	(c)
6.	(c)	7.	(a)						

THEORETICAL QUESTIONS:-

Question 1 : **(SM)**

Is cash book a subsidiary book or a principal book? Explain.

Answer :

Cash book - subsidiary book or a principal book :

- **Subsidiary Book :** Cash transactions are recorded in the Cash Book and on the basis of such a record, ledger accounts are prepared. Therefore, the Cash Book is a **subsidiary book.**
- **Principal Book :** But the Cash Book itself serves as the cash account and the bank account; the balances are entered in the trial balance directly. The Cash Book, therefore, is part of the ledger also. Hence, it has also to be treated as the **principal book**.
- The Cash Book is thus **both a subsidiary book and a principal book.**

Question 2 : **(SM)**

What are the various kinds of cash book?

Answer :

The main Cash Book may be of the **three types:**

(i) Simple Cash Book;
(ii) Two-column Cash Book;
(iii) Three-column Cash Book.

In addition to the main Cash Book, firms also generally maintain a **petty cash book** but that is purely a subsidiary book.

Question 3 : **(SM)**

What are the advantages of a three column cash book?

Answer :

The **advantages of three column Cash Book** are as follows -

(a) **Contra entries :**The Cash Account and the Bank Account are prepared simultaneously, therefore the **double entry is completed** in the Cash Book itself. Thus the **contra entries** can be easily cross-checked in Cash column in one side and the Bank column in the other side of the Cash Book. Also the chances of error are reduced.

(b) **Quick information :**The **information** regarding Cash in Hand and the Bank Balance can be obtained very **easily and quickly** as there is no need to prepare Ledger of the Bank Account.

Question: 4 **(PEQ. Dec. – 23, 2 Marks)**

Discount column of cash book records the trade discount.

Answer:

False: Discount column of cash book records the cash discount. Trade discount is not shown in the books of accounts.

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QUESTION NO.	QR CODE
Cash Book	Q. 7 & 8	

THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Cash Book	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 2 – ACCOUNTING PROCESS
UNIT : 6 - RECTIFICATION OF ERRORS

Question 1 :
What do you mean by "Error" ? Give some examples.
Answer 1 :
Error – Meaning :
- ❖ It means an **Unintentional mistake** committed by the book-keeper while recording the books of accounts.
- ❖ The error may occur when the transactions are originally recorded in books of original entry i.e. journal / subsidiary books or when it is posted in the ledger or when the TB is prepared.

Example 1: Wrong entry in Journal book - Credit purchase of Rs. 9180 is entered in Journal book as Rs. 9810/-.

Example 2: Wrong posting from subsidiary book - Credit purchase recorded in Purchase book of Rs. 9500 is wrongly posted to Purchase A/c as Rs. 95000/-.

Example 3: Wrong Casting (addition) of subsidiary book - Wrong totalling of Purchase book or Sales book or Cash book.

Ex. Correct total of purchase book was Rs. 90000/- for the Month of April but it is wrongly totaled as Rs. 88000/-.

Example 4: Wrong balancing in Ledger book - In ledger, Dr. column of Ramesh is 5000/- and Cr. Column is Rs. 1500/-. But wrongly balance taken is Rs. 2500/-.

Question 2 :
What are the objectives of passing rectification entry ?
Answer 2 :
Object : If errors are not rectified then :-
(i) Profit and Loss Account does not indicate true and fair profit or loss.
(ii) Balance Sheet does not indicate true & fair financial position.
(iii) In addition, defective accounts create numerous problems at various stages of business.

Question 3 :
State the type of Errors. Give examples also.
Answer 3 :
Types of Errors – 2 types
- ❖ Error of Principle
- ❖ Clerical Error

(a) Error of Principle :
- ❖ **Meaning** : If at the time of recording transactions, there is contravention of accounting principles, it is known as Error of Principle.
- ❖ **Example 1** : Treating capital expenditure as revenue expenditure and vice versa. For ex. amount paid towards purchase of assets is wrongly entered in *Purchase book.*
- ❖ **Example 2 :** Revenue expenses debited to personal account. e.g. Rent paid to Ram wrongly debited to Ram A/c.
- ❖ **Effect on TB** : This error will not affect TB.

(b) Clerical Errors – 4 types

(i) Error of Omission,
(ii) Error of Commission,
(iii) Compensating Errors
(iv) Duplication Error

(i) Error of Omission :

- ❖ If a transaction is completely or partially omitted from recording in the books.
- ❖ **Complete omission – Example** : Not recording purchase of furniture in Journal.
- ❖ **Partial omission – Example** : Purchase of furniture recorded in Journal but not posted into Furniture A/c in Ledger - It is partial omission.
- ❖ **Examples of omission** : Transaction not posted to ledger, omission of casting and balancing of an account, omission of carrying forward.
- ❖ **Effect on TB** : A complete error of omission does not affect the TB whereas a partial error will affect the TB.

(ii) Error of Commission :

- ❖ **Meaning :** These errors are generally committed by the staff **due to negligence**.
- ❖ **Examples :**
  - If an amount is posted in the wrong account.
  - If an amount is written on the wrong side.
  - Wrong totaling/casting.
  - Wrong balancing.
- ❖ **Effect on TB :** These errors **will generally effect** TB.

(iii) Compensating Errors

- ♦ **Meaning** : Those errors which **cancel or compensate themselves**.
- ♦ **Example** : Amount paid towards salary of 1000/- recorded as 10000/- and at the same time payment towards advertisement of 10000/- recorded as 1000/-.
- ♦ **Effect on TB** : These errors will not effect TB.

(iv) Duplication Error

- ❖ **Meaning :** When a business transaction is recorded twice in the original books and also posted twice in the ledger, is called "Error of duplication". It is basically "error of commission".
- ❖ **Effect on TB :** It will not affect TB.

Question 4 :

State the steps for locating errors.

Answer 4 :

Steps to locate Errors

- ♦ T.B. must be totalled again
- ♦ Balancing of cash & bank book should be checked.
- ♦ Ledger A/c's should be balanced again.
- ♦ Totalling of subsidiary books must be checked again.
- ♦ Check opening balances of Ledger A/c.
- ♦ Current year's figure must be compared with last year's figure. Ex. If C.Y. Salary Exp. is 150000/- whereas in last year it was only 20000/-.
- ♦ Postings of the amounts equal to the difference or half or double the difference should be checked.

Question 5 :

State the errors which will affect TB.

Answer 5 :

The following errors will affect TB :

- ❖ Partial omission i.e. when posting is done in one account only.
- ❖ Wrong casting of subsidiary book.
- ❖ Wrong carry forward of amount.
- ❖ Wrong posting i.e. posting in wrong account or wrong side or double posting.
- ❖ Wrong balancing
- ❖ Omission of an account from the TB.
- ❖ Writing a balance in wrong column of the trial balance.
- ❖ Wrong totalling of the trial balance.

Question 6 :

State the errors which will not effect TB.

Answer 6 :

Errors do not affect the trial balance i.e. Errors not disclose by trial balance :-

i) Complete omission i.e. Omitting an entry altogether from the subsidiary book.
ii) Writing wrong amount in the primary books.
iii) Making an entry in the wrong subsidiary book.
iv) Posting (Dr. or Cr.) correct amount on correct side but in wrong account.
v) Errors of Principle
vi) Errors of Compensation.
vii) Recording a transaction in books twice.

Question 7 :

What do you mean by Rectification of Errors ?

Answer 7 :

Rectification of Errors -

- Error should never be corrected through overwriting.
- Whenever error is located, the correction should be made by making another suitable entry.
- This entry is called Rectification entry.

Question 8 :

State the stages at which errors may be located ? Also state how will you rectify error at different stages.

Answer 8 :

Detection of Errors at various stages – *3 stages*

- Rectification of an error depends on at which stage it is detected.
- An error can be located at any of the following stages :
  1. Before preparation of Trial Balance i.e. before closing the account.
  2. After T.B. but before the preparation of final accounts i.e. after closing the account.
  3. After preparing the final accounts. (I.e. in the next accounting period).

(a) **Before preparation of T.B.** : Before preparation of Trial Balance – At this stage Rectification can be made in following 2 ways.

I. **RECTIFICATION STATEMENT :**

There are some errors which affect one side of an account or which affect more than one account in such a way that it is not possible to pass a complete rectification entry. In other words, there are some errors which can be corrected by making rectification statement in the appropriate side(s) of concerned account(s).

(i) The sales book for November is undercast by Rs. 200. The effect of this error is that the Sales Account has been credited short by Rs. 200.
This will be done by making an entry for Rs. 200 on the credit side of Sales A/c : "By undercasting of Sales Book for November Rs. 200".

(ii) Rs. 200 received from Ram has been entered by mistake on the debit side of his account. This can be done now by entering Rs. 400 on the credit side of his account.
The entry will be "By Posting on the wrong side - Rs. 400".

(iii) Rs. 50 was received from Mahesh and entered on the debit side of the cash book but was not posted to his account.
The rectification will be by the entry. "By Omission of posting on the Rs. 50."

(iv) Rs. 51 paid to Mohan has been posted as Rs.15 to the debit of his account. Mohan has been debited short by Rs. 36.
The rectifying entry is "To mistake in posting on Rs. 36".

(v) Goods sold to Ram for Rs.1,000 was wrongly posted from sales day book to the debit of purchase account. Ram has however been correctly debited. Here the error affects two accounts, viz., purchases account and sales account but we cannot pass a journal entry for its rectification because both the accounts need to be credited.
The rectification will be by the entry "By wrong posting on Rs. 1,000" in the credit of purchases account and also "By omission of posting on - Rs. 1,000" in the credit sales account.

(vi) Bills receivable from Mr. A of Rs. 500 was posted to the credit of Bills payable Account and also credited to A account. Here also although two accounts are involved we cannot pass a complete journal entry for rectification.
The rectification will be by the entry "To wrong posting on Rs. 500" in debit of Bills payable Account and also "To omission of posting on Rs. 500" in the debit of Bills Receivable Account.

(viii) Goods purchased from Vinod for Rs. 1,000 was wrongly credited to Vimal account by Rs. 100. Again we cannot pass a complete journal entry for rectification even though two accounts are involved. The rectification will be done by the entry "To wrong posting on Rs.100" in the debit of Vimal account and "By omission of posting on Rs. 1,000" in the credit of Vinod account.
Thus, from the above illustrations it is clear that the general rule that errors affecting two accounts can always be corrected by a journal entry is not always valid.

II. RECTIFICATION ENTRY :-

Some times if an error effects more than one account then it can be corrected by passing a complete Journal entry. In this case don't make statement but make Rectification Entry.

Example :

(i) The purchase of machinery for Rs. 2,000 has been entered in the purchases book.
Rectifying Entry:

Machinery Account	Dr.	2,000	
To Purchases Account			2,000

(ii) Rs.100 received from Kamal Kishore has been credited in the account of Krishan Kishore.
Rectifying Entry :

Krishan Kishore	Dr.	100	
To Kamal Kishore			100

(iii) The sale of old machinery, Rs.1,000 has been entered in the sales book.
Rectifying Entry :

Sales Account	Dr.	1,000	
To Machinery Account			1,000

(b) **After T.B. but Before preparation of Final Accounts** : At this stage errors can be rectified in the following manner :

I. Those errors for which complete journal entries were not possible can be rectified by passing rectification entry with the help of suspense account.

II. Those errors which affect more than one account in such a way that a complete journal entries is possible, can be rectified by passing rectification entry without involving suspense account.

Question 9 :

What do you mean by suspense account ?

Answer 9 :

Suspense Account - Meaning :

- Sometime, the trial balance does not agree in spite of the best efforts made to locate the errors.
- But preparation of final account can not be delayed. In such a case, the trial balance is tallied by opening a new account called **"Suspense Account".**
- The suspense account is debited if the total of the credit column in the trial balance exceeds the total of the debit column and is credited in the other case.
- Thus, suspense account is an account to which the difference in the trial balance is put temporarily.

- ❖ **Nature of account** : The nature of suspense account may be **nominal, real or personal** depending upon the type of error.
- ❖ Later on when the errors are located, rectification entry shall be passed with the help of suspense account. After passing all the rectification entry, the balance of suspense account becomes NIL.
- ❖ **B/S – Presentation** : If all the error could not be located and suspense account does not become NIL at the end of the year then it will be c/f to next year. If the suspense account is having debit balance - show it in assets side of B/S and if it is having credit balance – show it in liability side of B/S.
- ❖ ***Refer Question 5.***

(c) <u>Correction in next Accounting period</u>

- ♦ Sometimes errors remain undetected in current year and suspense account does not close at the end of the year. So, the balance of suspense a/c is c/f to the next year Or balance of suspense a/c is closed by transferring it to Capital Account.
- ♦ At this stage, rectifications are made as per following rule :
- ♦ If it affects nominal account (i.e. income / expense) then **instead of** debiting/ crediting nominal account, **"Profit & Loss Adjustment a/c" or "Prior Period Items a/c".** (since they relate to prior period) will be debited / credited, so that current year's profit / loss may not be affected as a result of rectification of such errors.
- ♦ Balance of P&L Adjustment A/c will be transferred to **Capital A/c**.
- ♦ *Refer Question 14.*

Effect of Rectification of Errors on Profit or Loss :

1. If a **nominal account is debited** in a rectifying entry – Profit will be **decreased** or loss will be increased.
2. If a **nominal account is credited** in a rectifying entry – Profit will be **increased** or loss will be decreased.

CLASS WORK QUESTIONS

Question 1: **SM-ILL.1]**

How would you rectify the following errors in the book of Rama & Co.?

1. The total to the Purchases Book has been undercast by Rs. 100.
2. The Returns Inward Book has been undercast by Rs. 50.
3. A sum of Rs. 250 written off as depreciation on Machinery has not been debited to Depreciation Account.
4. A payment of Rs. 75 for salaries (to Mohan) has been posted twice to Salaries Account.
5. The total of Bills Receivable Book Rs. 1,500 has been posted to the credit of Bills Receivable Account.
6. An amount of Rs. 151 for a credit sale to Hari, although correctly entered in the Sales Book, has been posted as Rs. 115.
7. Discount allowed to Satish Rs. 25 has not been entered in the Discount Column of the Cash Book. It has been posted to his personal account.
8. Discount allowed to Satish Rs. 25 has not been entered in the Discount column of the Cash Book.

Personal Note:-

Question 2: **[SM-ILL.2]**

The following errors were found in the book of Ram Prasad & Sons. Give the necessary entries to correct them.

(1) Rs. 500 paid for furniture purchased has been charged to ordinary Purchases Account.
(2) Repairs made were debited to Building Account for Rs. 50
(3) An amount of Rs. 100 withdrawn by the proprietor for his personal use has been debited to Trade Expenses Account.
(4) Rs. 100 paid for rent debited to Landlord's Account.
(5) Salary Rs. 125 paid to a clerk due to him has been debited to his personal account.
(6) Rs. 100 received from Shah & Co, has been wrongly entered as from Shaw & Co.
(7) Rs. 700 paid in cash for a typewriter was charged to Office Expenses Account.

Personal Note:-

Question 3: **[SM-ILL.5]**

Correct the following errors found in the books of Mr. Dutt. The Trial Balance was out by Rs. 493 excess credit. The difference thus has been posted to a Suspense Account.

(i) An amount of Rs.100 was received from D. Das on 31st December, 2022 was omitted to be recorded.
(ii) The total of Returns Inward Book for December has been cast Rs.100 short.
(iii) The purchase of an office table costing Rs. 300 has been passed through the Purchases Day Book.
(iv) Rs. 375 paid for Wages to workmen for making show-cases had been charged to "Wages Account".
(v) A purchase of Rs. 67 had been posted to the creditors' account as Rs.60.
(vi) A cheque for Rs. 200 received from P.C. Joshi had been dishonoured and was passed to the debit of "Allowances Account".
(vii) Rs.1000 paid for the purchase of a motor cycle for Mr. Dutt had been charged to " Miscellaneous Expenses Account".
(viii) Goods amounting to Rs. 100 had been returned by customer and were taken in to stock, but no entry in respect there of, was made into the books.
(ix) A sale of Rs. 200 to Singh & Co. was wrongly credited to their account.

[debit bal. of sus. a/c- 493/-]

Personal Note:-

Question 4: (Effect of Errors on TB) **[SM-ILL.6]**

The following errors, affecting the account for the year 2022 were detected in the books of Jain Brothers, Delhi:

(1) Sale of old Furniture Rs. 150 treated as sale of goods.
(2) Receipt of Rs. 500 from Ram Mohan credited to Shyam Sunder.
(3) Goods worth Rs. 100 bought from Mohan Narain have remained unrecorded so far.
(4) A return of Rs. 120 from Mukesh posted to his debit.
(5) A return of Rs. 90 to Shyam Sunder posted as Rs. 9 in his account.
(6) Rent of proprietor's residence, Rs. 600 debited to rent A/c.
(7) A payment of Rs. 215 to Mohammad Sadiq posted to his credit as Rs. 125.
(8) Sales Book added Rs. 900 short.
(9) The total of Bills Receivable Book Rs. 1,500 left unposted.

You are required to pass the necessary rectifying entries and show how the trial balance would be affected by the errors.

Personal Note:-

Question 5: **(Effect of Rectifications on NP)** **[SM-PQ.1]**

The trial balance of Mr. W & H failed to agree and the difference Rs. 20,570 was put into suspense pending investigation which disclosed that:

(i) Purchase returns day book had been correctly entered and totaled at Rs. 6,160, but had not been posted to the ledger.
(ii) Discounts received Rs. 1,320 had been debited to discounts allowed.
(iii) The Sales account had been under added by Rs. 10,000.
(iv) A credit sale of Rs. 1,470 had been debited to a customer account at Rs. 1,740.
(v) A vehicle bought originally for Rs. 7,000 four years ago and depreciated to Rs. 1,200 had been sold for Rs. 1,500 in the beginning of the year but no entries, other than in the bank account had been passed through the books.
(vi) An accrual of Rs. 560 for telephone charges had been completely omitted.
(vii) A bad debt of Rs. 1,560 had not been written off and provision for doubtful debts should have been maintained at 10% of debtors which are shown in the trial balance at Rs. 23,390 with a credit provision for bad debts at Rs. 2,320.
(viii) Tools bought for Rs. 1,200 had been inadvertently debited to purchases.
(ix) The proprietor had withdrawn, for personal use, goods worth Rs. 1,960. No entries had been made in the books.

Required:

(i) Pass rectification entries without narration to correct the above errors before preparing annual accounts.
(ii) Prepare Suspense Account.
(iii) Show how the Rectification entries affect the profit.

[Cr. bal. of sus. a/c- 20570/-]

Personal Note:-

Question 6: **[SM-PQ.3]**

Mr. A closed his books of account on September 30, 2022 inspite of a difference in the trial balance. The difference was Rs. 830 the credits being short; it was carried forward in a Suspense Account. In 2022 following errors were located:

(i) A sale of Rs. 2,300 to Mr. Lala was posted to the credit of Mrs. Mala.
(ii) The total of the Returns Inward Book for July, 2022 Rs. 1,240 was not posted in the ledger.
(iii) Freight paid on a machine Rs.5,600 was posted to the Freight Account as Rs. 6,500. Depreciation @ 10% to be charged on Machinery.
(iv) While carrying forward the total in the Purchases Account to the next page, Rs.65,590 was written instead of Rs. 56,950.
(v) A sale of machine on credit to Mr. Mehta for Rs. 9,000 was not entered in the books at all. The book value of the machine was Rs. 6,750.

Pass journal entries to rectify the errors. Have you any comment to make ?

[N.P. increased by 15,590/-, Dr. bal. of sus. a/c- 2870/-]

Personal Note:-

Question 7: (Goods sent on Approval Basis) **[SM-PQ.4][Jan-21(10 Marks)]**

A merchant's trial balance as on June 30, 2022 did not agree. The difference was put to a Suspense Account. During the next trading period, the following errors were discovered:

(i) The total of the Purchases Book of one page, Rs. 4,539 was carried forward to the next page as Rs. 4,593.

(ii) A sale of Rs. 573 was entered in the Sales Book as Rs.753 and posted to the credit of the customer.

(iii) A return to a creditor, Rs. 510 was entered in the Returns Inward Book; however, the creditor's account was correctly posted.

(iv) Cash received from C. Dass, Rs. 620 was posted to the debit of G. Dass.

(v) Goods worth Rs. 840 were dispatched to a customer before the close of the year but no invoice was made out.

(vi) Goods worth Rs. 1,000 were sent on sale or return basis to a customer and entered in the Sales Book. At the close of the year, the customer still had the option to return the goods. The sale price was 25% above cost.

You are required to give journal entries to rectify the errors in a way so as to show the current year's profit or loss correctly.

[Ans. Balance of P/L Adjustment a/c trans. to Capital A/c – Rs. 1534]

Personal Note:-

Question 8:

Pass the necessary journal entries to rectify the following errors; assuming that errors detected after preparing TB.

(a) A cash sale of Goods to X Rs. 1,700 posted as Rs. 7,100.

(b) A credit sale of Goods to X Rs. 1,700 posted as Rs. 7,100.

(c) A credit sale of Furniture to Z for Rs. 1,700 posted as Rs. 7,100.

(d) Bills Receivable from Henry of Rs. 16,000 posted to the credit of Bills Payable Account and also credited to Henry.

(e) Discounts received of Rs. 14,200 had been debited to discount allowed.

(f) A credit sale of Goods of Rs. 4,230 to Krishan passed through the purchase Book as Rs. 4,320 and posted therefrom to the credit of kishan as Rs. 4,230.

(g) Goods (cost Rs. 4,230 Sale Price Rs. 4,320) taken by Ganesh, the proprietor for his personal use recorded in the Sales Book.

(h) An amount of Rs. 8,000 owing by a customer had been omitted from the list of Sundry Debtors.

(i) A credit sale of old furniture to Rohan for Rs. 17,000 omitted to be posted.

(j) Bills payable worth Rs. 3,000 accepted in favour of Murari, was passed through bills receivable book with Rs. 300 and Murari's account was debited with Rs. 3,000. Pass the rectifying Entry.

(h) Bad Debts aggregating Rs. 450 were written off during the year in the sales ledger but were not adjusted in general ledger.

Personal Note:-

Question 9: **[SM-PQ.2]**

On going through the Trial of Ball Bearing Co. Ltd. you find that the debit is in excess by Rs. 150. This was credited to "Suspense Account". On a close scrutiny of the books the following mistakes were noticed:

(1) The totals of debit side of "Expenses Account" have been cast in excess by Rs. 50.
(2) The "Sales Account" has been totaled in short by Rs. 100.
(3) One item of purchase of Rs. 25 has been posted from the day book to ledger as Rs. 250.
(4) The sale return of Rs. 100 from a party has not been posted to that account though the Party's account has been credited.
(5) A cheque of Rs. 500 issued to the Suppliers' account (shown under Trade Payable) towards his dues has been wrongly debited to the purchases.
(6) A credit sale of Rs. 50 has been credited to the Sales and also to the Trade Receivable Account.

(i) Pass necessary journal entries for correcting the above;
(ii) Show how they affect the Profits; and
(iii) Prepare the "Suspense Account" as it would appear in the ledger.

[Cr. opening bal. of sus. a/c- 150/-, Cr. Closing bal. of sus. a/c- 425/-, N.P. increase by 550/-]

Personal Note:-

Question 10: **(SM PQ. 5)[RTP May-18, Nov-19,20]**

The following errors were committed by the Accountant of Geete Dye-Chem.

(i) Credit sale of Rs. 400 to Trivedi & Co. was posted to the credit of their account.
(ii) Purchase of Rs. 420 from Mantri & Co. passed through Sales Day Book as Rs. 240

How would you rectify the errors assuming that :

(a) they were detected before preparation of Trial Balance.
(b) they were detected after preparation of Trial Balance but before preparing Final Accounts, the difference was taken to Suspense A/c.
(c) they were detected after preparing Final Accounts.

Personal Note:-

Question : 11 (Different Points of HW Qu.)

Pass Rectification entries assuming that errors were detected after preparing Trial Balance.

(i) A purchase of Rs. 5,600 from M/s Minu & Co. was recorded in the accounts of M/s Mintu & Co. as Rs. 6,500. Day Book entry has also been passed incorrectly.

(ii) Discount allowed Rs. 560 (as per Cash Book) has been posted to Commission Account. But the Cash Book total should be Rs. 650, because discount allowed of Rs. 90 to M/s Bantu Bros. has been omitted.

(iii) A purchase of goods from Ram amounting to Rs. 150 has been wrongly entered through the Sales Book.

(iv) An amount of Rs. 200 due from Mahesh Chand, which has been written off as a Bad Debt in a previous year, was unexpectedly recovered, and had been posted to the personal account of Mahesh Chand.

(v) Bad Debts aggregating Rs. 450 were written off during the year in the Sales ledger but were not adjusted in the General Ledger; and

(vi) Investments were sold for Rs. 75,000 at a profit of Rs. 15,000 and passed through Sales account.

(vi) General expenses Rs. 180 was posted in the General Ledger as Rs. 810.

(vii) A Bill Receivable for Rs. 1,550 was passed through Bills Payable book. The Bill was given by P.

Personal Note:-

Question: 12 (Different Points of HW Qu.)

Pass Rectification entries assuming that errors were detected after preparing Trial Balance.

(i) Legal Expenses Rs. 1,190 paid to Mrs. Neetu was debited to her personal account.

(ii) Amount of Rs. 4,167 of Sales was wrongly posted as Rs. 4,617.

(iii) Purchase of a scooter was debited to conveyance account Rs. 3,000. Firm has Policy to charge 10% depreciation on vehicles.

(iv) Rs. 500 due by Mr. Q was omitted to be taken to the trial balance.

(v) A bill of exchange (received from Raja & Co.) for Rs. 20,000 had been returned by the bank as dishonoured and had been credited to the bank and debited to bills receivable account.

(vi) A sale of Rs. 281 was entered in the Sales Book as Rs. 821 and posted to the credit of the customer.

(vii) Goods worth Rs. 1,600 were sent on sale or return basis to a customer and entered in the Sales Book. At the close of the year, the customer still had the option to return the goods. The gross profit margin was 20% on Sale.

Personal Note:-

Question: 13 **[PEQ - SEP. 25, 12 Marks]**

Pass the Journal entries to record/rectify the following transactions in the books of Mr. Dutt. Suspense account may be used, if required:

(i) Sale of goods to Mahesh at the list price of ₹ 1,80,000/- less 10% trade discount. Out of the amount due 50% is received, out of which two-third is received by cheque and the balance amount is received in cash. CGST and SGST applicable is 6% each.

(ii) One of the debtors, Mr. X has agreed to pay his dues of ₹ 3,000/- to Mr. C who is a creditor of Mr. Dutt with the same amount being due to him.

(iii) Employees have been given inventory having selling price of ₹ 1,00,000 (Cost price ₹ 75,000) on the eve of Deepawali as a gift. CGST and SGST applicable is 6% each.

(iv) Sale of ₹ 2,500/- made to Mr. Kamal Kumar has been debited to Mrs. Kamla Rani.

(v) A second hand machinery was purchased and its overhauling charges paid are ₹15,000/-. The accountant debited the overhaul charges to Repairs and Maintenance Account. Depreciation on machinery has been charged at 10%.

(vi) A purchase of ₹ 151 from Mr. X was entered in Purchase Day Book as ₹ 15 and posted to Mr. X account as ₹ 51.

(vii) R has been issued a credit note allowing rebate of ₹ 6,000/- as goods supplied to him was found defective. CGST and SGST charged @ 6% each.

(viii) S was also given a credit note of ₹ 2,000/- for making prompt payment for outstanding against goods sold to him. CGST and SGST charged on sale was @ 6%.

(ix) An accrual of telephone charges for ₹ 2,538 has been completely omitted.

(x) A cheque of ₹ 25,390 issued to Mr. C. Dass (shown under trade payables) towards his dues has been wrongly debited to the purchases.

Personal Note:-

HOME WORK QUESTIONS

Question 14: (1st & 2nd Stage) **[SM-ILL.4][Nov.2019-10 Marks]**

Correct the following errors (i) without opening a Suspense Account and (ii) Opening a Suspense Account:

(a) The Sales Book has been totalled Rs. 100 short.
(b) Goods worth Rs. 150 returned by Green & Co. have not been recorded anywhere.
(c) Goods purchased Rs. 250 have been posted to debit of the supplier Gupta & Co.
(d) Furniture purchased from Gulab & Bros, Rs. 1,000 has been entered in Purchases Day Book.
(e) Discount received from Red & Black Rs. 15 has not been entered in the Discount Column of the Cash Book.
(f) Discount allowed to G. Mohan & Co. Rs. 18 has not been entered in the Discount Column of the Cash Book. The account of G. Mohan & Co. has, however, been correctly posted.

[Cr. bal. of suspence a/c- 582/-]

Personal Note:-

Question 15: (1st Stage) **[RTP 21]**

M/s Suman & Co. find the following errors in their books of account before preparation of Trial Balance. You are required to pass necessary journal entries:

(i) A purchase of Rs. 5,600 from M/s Minu & Co. was recorded in the accounts of M/s Mintu & Co. as Rs. 6,500. Day Book entry has also been passed incorrectly.
(ii) A sale of Rs. 9,800 to M/s Bantu Bros. was recorded in M/s Bindu & Co.'s account as Rs. 8,900. Day Book entry has also been incorrectly passed.
(iii) Discount allowed Rs. 560 (as per Cash Book) has been posted to Commission Account. But the Cash Book total should be Rs. 650, because discount allowed of Rs. 90 to M/s Bantu Bros. has been omitted.
(iv) A cheque of Rs. 9,700 drawn by M/s Bantu Bros. has been dishonoured, but wrongly debited to M/s Bhakt & Co.

Should the Trial Balance tally without rectification of errors?

OR

How will the above errors impact Trial Balance?

Personal Note:-

Question 16: **(1st Stage)** **[SM-ILL.3]**

Give Journal entries to rectify the following:

(1) A purchase of goods from Ram amounting to Rs. 150 has been wrongly entered through the Sales Book.

(2) A Credit sale of goods amounting Rs. 120 to Ramesh has been wrongly passed through the Purchase Book.

(3) On 31st Dec. 2022 goods of the value of Rs. 300 were returned by Hari Saran and were taken into stock on the same date but no entry was passed in the books.

(4) An amount of Rs. 200 due from Mahesh Chand, which has been written off as a Bad Debt in a previous year, was unexpectedly recovered, and had been posted to the personal account of Mahesh Chand.

(5) A Cheque for Rs. 100 received from Man Mohan was dishonoured and had been posted to the debit of Sales Returns Account.

Personal Note:-

Question 17: **(2nd Stage)** **[Sep. – 24, 4 Marks(Similar)][SM-ILL.7][RTP May-19,21]**

Write out the Journal Entries to rectify the following errors, using a Suspense Account.

(1) Goods of the value of Rs. 100 returned by Mr. Sharma were entered in the Sales Day Book and posted there from to the credit of his account.

(2) An amount of Rs. 150 entered in the Sales Returns Book, has been posted to the debit of Mr. Philip, who returned the goods;

(3) A sale of Rs. 200 made to Mr. Ghansyam was correctly entered in the Sales Day Book but wrongly posted to the debit of Mr. Radheshyam as Rs. 20;

(4) Bad Debts aggregating Rs. 450 were written off during the year in the Sales ledger but were not adjusted in the General Ledger; and

(5) The total of "Discount Allowed" column in the Cash Book for the month of September 2022 amounting to Rs. 250 was not posted.

Personal Note:-

Question 18: **(2nd Stage)** **[May-2018 (4 Marks) May 20 RTP]**

Give journal entries (narrations not required) to rectify the following:

(i) Purchase of Furniture on credit from Nigam for Rs. 3,000 posted to Subham account as Rs. 300.

(ii) A Sales Return of Rs. 5,000 by Jyothy was not entered in the financial accounts though it was duly taken in the stock book.

(iii) Investments were sold for Rs. 75,000 at a profit of Rs. 15,000 and passed through Sales account.

(iv) An amount of Rs. 10,000 withdrawn by the proprietor (Darshan) for his personal use has been debited to Trade Expenses account.

Personal Note:-

Question 19: (2nd Stage) [RTP-Nov.22, May-2019, 4 Marks]

Give journal entries (with narrations) to rectify the following errors located in the books of a Trader after preparing the Trial Balance :

(i) An amount of Rs. 4,500 received on account of Interest was credited to Commission account.
(ii) A sale of Rs. 2,760 was posted from Sales Book to the Debit of M/S Sobhag Traders at Rs. 2,670.
(iii) Rs. 35,000 paid for purchase of Air conditioner for the personal use of proprietor debited to Machinery a/c.
(iv) Goods returned by customer for Rs. 5,000. The same have been taken into stock but no entry passed in the books of accounts.

Personal Note:-

Question 20: (3rd Stage) [Nov-2018, 10 Marks, RTP May 20]

The following mistakes were located in the books of a concern after its books were closed and a Suspense Account was opened in order to get the Trial Balance agreed:

(i) Sales Day Book was overcast by Rs. 1,000.
(ii) A sale of Rs. 5,000 to X was wrongly debited to the Account of Y.
(iii) General expenses Rs. 180 was posted in the General Ledger as Rs. 810.
(iv) A Bill Receivable for Rs. 1,550 was passed through Bills Payable book. The Bill was given by P.
(v) Legal Expenses Rs. 1,190 paid to Mrs. Neetu was debited to her personal account.
(vi) Cash received from Ram was debited to Shyam Rs. 1,500
(vii) While carrying forward the total of one page of the Purchases Book to the next, the amount of Rs. 1,235 was written as Rs. 1,325.

Find out the nature and amount of the Suspense Account and pass entries (including narration) for the rectification of the above errors in the subsequent year's books.

[Difference in Trial Balance Rs. 2720/-]

Personal Note:-

Question 21: (3rd Stage) [May-2018, 10 Marks]

Miss Daisy was unable to agree the Trial Balance last year and wrote off the difference to the profit and loss account of that year. On verifying the old books by a Chartered Accountant next year, the following mistakes were found.

(i) Purchase account was under cast by Rs. 8,000.
(ii) Sales of goods to Mr. Rahim for Rs. 2,500 was omitted to be recorded.
(iii) Receipt of cash from Mr. Ashok was posted to the account of Mr. Anbu Rs. 1,200.
(iv) Amount of Rs. 4,167 of Sales was wrongly posted as Rs. 4,617.
(v) Repairs to Machinery was debited to Machinery Account Rs. 1,800.
(vi) A credit purchase of goods from Mr. Paul for Rs. 3,000 entered as sale.

Suggest the necessary rectification entries. Prepare Suspense A/c also.

[Decrease in profit due to rectification – 13750, difference in suspence A/c - 8450]

Personal Note:-

Question 22: **(3rd Stage)** **(RTP JAN. 25)[MTP SEP 24 – 10 Marks][SM-ILL.8][July-21(10Marks)]**

Mr. Roy was unable to agree the Trial Balance last year and wrote off the difference to the Profit & Loss Account of that year. Next year, he appointed a Chartered Accountant who examined the old books and found the following mistakes:

(1) Purchase of a scooter was debited to conveyance account Rs. 3,000.
(2) Purchase account was over-cast by Rs. 10,000.
(3) A credit purchase of goods from Mr. P for Rs. 2,000 entered as a sale.
(4) Receipt of cash from Mr. A was posted to the account of Mr. B Rs. 1,000.
(5) Receipt of cash from Mr. C was posted to the debit of his account, Rs. 500.
(6) Rs. 500 due by Mr. Q was omitted to be taken to the trial balance.
(7) Sale of goods to Mr. R for Rs. 2,000 was omitted to be recorded.
(8) Payment of Rs. 2,395 for purchase was wrongly posted as Rs. 2,593.

Mr. Roy used 10% depreciation on vehicles. Suggest the necessary rectification entries. Prepare Suspense A/c also.

[Pft. trf. to cap. a/c- 10898/-]

Personal Note:-

Question 23: **[MTP-19- 4 Marks, RTP Nov-18, 21]**

Classify the following errors under the three categories – Errors of Omission, Errors of Commission and Errors of Principle.

(i) Sale of furniture credited to Sales Account.
(ii) Purchase worth Rs. 500 from M not recorded in subsidiary books.
(iii) Credit sale wrongly passed through the Purchase Book.
(iv) Machinery sold on credit to Mohan recorded in Journal Proper but omitted to be posted.
(v) Goods worth Rs. 5,000 purchased on credit from Ram recorded in the Purchase Book as Rs. 500.

[Error of Principal (i), Omission – (ii) & (iv), Commision (iii) & (v)]

Personal Note:-

Question 24: **(3rd stage)** **[MTP JAN. 25, 5 Marks][Nov-20 (5 Marks)]**

M/s. Applied Laboratories were unable to agree the Trial Balance as on 31st March, 2022 and have raised a suspense account for the difference. Next year the following errors were discovered:

(i) Repairs made during the year were wrongly debited to the building A/c - Rs. 12,500.
(ii) The addition of the 'Freight' column in the purchase journal was short by Rs. 1,500.
(iii) Goods to the value of Rs. 1,050 returned by a customer, Rani & Co., had been posted to the debit of Rani & Co. and also to sales returns.
(iv) Sundry items of furniture sold for Rs. 30,000 had been entered in the sales book, the total of which had been posted to sales account.
(v) A bill of exchange (received from Raja & Co.) for Rs. 20,000 had been returned by the bank as dishonoured and had been credited to the bank and debited to bills receivable account.

You are required to pass journal entries to rectify the above mistakes.

Personal Note:-

Question 25: **(2nd Stage)** **[PEQ. Dec-21, 5 Marks)]**

Pass the Journal entries to rectify the following errors detected during preparation of the Trial Balance:

(i) Wages paid for construction of office building debited to wages account Rs. 20,000.
(ii) A credit sale of goods Rs. 1,200 to Ramesh has been wrongly passed through the Purchase Book.
(iii) An amount of Rs. 2,000 due from Mahesh Chand which had been written off as a bad debt in the previous year was unexpectedly recovered and has been posted to the personal account of Mahesh Chand.
(iv) Goods (Cost being Rs. 5,000 and Sales price being Rs. 6,000) distributed as free samples amount prospective customers were not recorded anywhere.
(v) Goods worth Rs. 1,500 returned by Green have not been recorded anywhere.

Personal Note:-

Question 26: **(3rd Stage) (Read Only)** **[RTP-May-22]**

The books of accounts of Dime Ltd. for the year ending 31.3.2022 were closed with a difference in books carried forward. The following errors were detected subsequently:

(i) Return outward book was under cast by Rs. 100.
(ii) Rs. 1,500 being the total of discount column on the credit side of the cash book was not posted.
(iii) Rs. 6,000 being the cost of purchase of office furniture was debited to Purchase A/c.
(iv) A credit sale of Rs. 760 was wrongly posted as Rs. 670 to the customers' A/c. in the sales ledger.
(v) The Sales of Rs. 10,000 was omitted to be recorded.

Pass rectification entries in the next year.

Personal Note:-

Question 27: **(3rd Stage) (Similar to Q. 7)** **[PEQ.Jan-26] [PEQ. Jan-21, 4Marks]**

Mr. Joshi's trial balance as on 31st March, 2022 did not agree. The difference was put to a Suspense Account. During the next trading period, the following errors were discovered:

(i) The total of the Purchases Book of one page, Rs. 5,615 was carried forward to the next page as Rs. 6,551.
(ii) A sale of Rs. 281 was entered in the Sales Book as Rs. 821 and posted to the credit of the customer.
(iii) A return to creditor, Rs. 295 was entered in the Returns Inward Book; however, the creditor's account was correctly posted.
(iv) Cash received from Senu, Rs. 895 was posted to debit of Sethu.
(v) Goods worth Rs. 1,400 were dispatched to a customer before the close of the year but no invoice was made out.
(vi) Goods worth Rs. 1,600 were sent on sale or return basis to a customer and entered in the Sales Book. At the close of the year, the customer still had the option to return the goods. The gross profit margin was 20% on Sale.
(vii) Rs. 600 due from Mr. Q was omitted to be taken ·to the trial balance.
(viii) Sale of goods to Mr. R for Rs. 3,000 was omitted to be recorded.

You are required to give journal entries to rectify the errors in a way so as to show the current year's profit or loss correctly.

[Profit trans. to Cap. A/c Rs. 5066]

Personal Note:-

Question : 28 **(2nd Stage) (Good for Revision) (PEQ. May - 25) (PEQ. June – 24, 12 Marks)**

The Trial Balance of Mr. Sarvesh Kumar as on 31st March, 2024 did not tally and the difference was posted to Suspense Account. On a scrutiny of the books; the following errors were detected:

(i) The total of Sales Returns Book for January 2024 has been casted short by ₹ 1,000.
(ii) Freight paid for installation of a Machine ₹ 6,500 was posted to the Freight Account as ₹ 5,600.
(iii) Goods of the value of ₹ 2,500 returned by a customer were entered in the Sales day Book and posted therefrom to the credit of his account.
(iv) ₹ 18,000 paid for purchase of old Motorcycle for personal use of Mr. Sarvesh Kumar was debited to conveyance account.
(v) A purchase of ₹ 6,700 had been posted to creditor's account as ₹ 6,000.
(vi) Receipt of cash ₹ 5,000 from Mr. Avinash was posted to the debit of his account.
(vii) A cheque for ₹ 2,500 received form Mr. Alok had been dishonoured and was posted to the debit of Mr. Ashok.
(viii) Sale of ₹ 8,500 to Mr. Deepak was recorded in the sales book correctly but while posting in ledger credited to his account.
(ix) The total of "Discount Allowed" column in the cash for the month of December 2023 amounting to ₹ 3,800 was not posted.
(x) Sale of old office table for ₹ 2,200 treated as sale of goods.

You are required to pass necessary journal entries with narrations to rectify the above errors.

Personal Note:-

Question: 29 **(1st Stage) (Good for Revision) [MTP JAN. 25, 10 Marks]**

Before preparation of the trial balance, the following errors were found in the books of Saraswat & Sons. Give the necessary entries to correct them.

(i) Furniture purchased for office use amounting to Rs. 20,000 has been entered in the purchase day book.
(ii) An amount of Rs. 3,000 due from Satyam, which had been written off as bad debts in the previous year, recovered in the current year, and had been posted to the personal Account of Satyam.
(iii) Minor Repairs made to the building amounting to Rs. 18,500 were debited to the Building Account
(iv) Goods purchased from Ram Singh amounting to Rs. 18,000 have remained unrecorded so far.
(v) College fees of proprietor's son, Rs. 15,000 debited to the Audit fees Account.
(vi) Receipt of Rs. 4,500 from Kanika credited to the Anita.
(vii) Goods amounting to Rs. 8,900 had been returned by a customer and were taken into inventory, but no entry was made in the books.
(viii) Rs. 7,500 paid for wages to workmen for making office furniture had been charged to wages account.
(ix) Salary paid to a clerk Rs. 18,000 has been debited to his personal account.
(x) A purchase of goods from Raghav amounting to Rs. 20,000 has been wrongly entered through the sales book.

Personal Note:-

Question: 30 **(1st Stage) (Good for Revision)** **[MAY. 25, 10 Marks]**

Following errors were found in the books of XYZ. Give necessary entries to correct them:

(i) A purchase of goods from R amounting to ₹ 10,000 has been wrongly entered through the sales book.

(ii) Furniture purchased for office use amounting to ₹ 25,000 has been entered in the purchase day book.

(iii) Minor repairs to the Furniture Account amounting to ₹ 1,500 were debited to Furniture Account.

(iv) Wages amounting to ₹ 3,000 paid to workmen for making Office Furniture has been charged to wages account.

(v) Tuition Fees of proprietor's son ₹ 25,000 has been debited to Audit fees A/c.

(vi) An amount of ₹ 10,000 due from Mohan which had been written off as bad debt in the previous year was unexpectedly recovered and has been posted to the personal account of Mohan.

(vii) Goods (Cost being ₹ 7,000 and sales price being ₹ 10,000) distributed as free samples among prospective customers were not recorded anywhere.

(viii) Goods amounting to ₹ 1,000 returned by a customer, G & Co. were entered in the Sales Day Book and posted there from to the credit of his account.

(ix) A bill of Exchange (received from SS & Co.) for ₹ 10,000 had been returned by the bank as dishonoured and had been credited to the bank and debited to bills receivable account.

(x) A Bills Receivable for ₹ 2,500 was passed through Bills Payable Book. The Bill was given by Jack.

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 14:

(i) If a Suspense Account is not opened.

(a) Since sales book has been cast Rs.100 short, the Sales Account has been similarly credited Rs.100 short. The correcting entry is to credit the Sales Account by Rs.100 as "By wrong totalling of the Sales Book Rs.100".

(b) To rectify the omission, the Returns Inwards Account has to be debited and the account of Green & Co. credited. The entry:

Returns Inward Account To Green & Co. (Goods returned by the firm, previously omitted from the Returns Inward Book)	Dr.	Rs.150	Rs.150

(c) Gupta & Co. have been debited Rs. 250 instead of being credited. This account should now be credited by 500 to remove the wrong debit and to give the correct debit. The entry will be on the credit side of Gupta & Co. "By errors in posting Rs. 500".

(d) By this error Purchases Account has to be debited by Rs. 1,000 whereas the debit should have been to the Furniture Account. The correcting entry will be:

Furniture Account To Purchases Account (Correction of the mistake by which of the Furniture	Dr.	Rs. 1,000	Rs. 1,000

(e) The discount of Rs. 15 received from Red & Black should have been entered on the credit side of the cash book. Had this been done, the Discount Account would have been credited (through the total of the discount column) and Red & Black would have been debited. The Correct Entry will be:-

Red & Black To Discount Account (Rectification of the error by which the discount allowed by the firm was not entered in Cash Book)	Dr.	Rs. 15	Rs. 15

(f) In this case the account of the customer has been correctly posted; the Discount Account has been debited Rs.18 short since it has been omitted from the discount column on the debit side of the cash book. The discount account should now be debited by the entry;"To Omission of entry in the Cash Book Rs. 18."

(ii) If a Suspense Account is opened :

	Particulars	**L.F.**	**Dr. (Rs.)**	**Cr.(Rs.)**
(a)	Suspense Account Dr. To Sales Account (Being the correction arising from under-casting of Sales Day Book)		100	100
(b)	Return Inward Account Dr. To Green & Co (Being the recording of unrecorded returns)		150	150
(c)	Suspense Account Dr. To Gupta & Co. (Being the correction of the error by which Gupta & Co. was debited instead of being credited by Rs. 250)		500	500
(d)	Furniture Account Dr. To Purchased Account (Being the correction of recording purchase of furniture as ordinary purchases)		1,000	1,000
(e)	Red & Black Dr. To Discount Account (Being the recording of discount omitted to be recorded)		15	15
(f)	Discount Account Dr. To Suspense Account (Being the correction of omission of the discount allowed form Cash Book customer's account already posted correctly).		18	18

Suspense Account

Dr. **Cr.**

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
	To Sales A/c	100		By Difference in Trial Balance	582
	To Gupta & Co.	500		By Discount A/c	18
		600			600

Solution 15:

	Particulars	Dr.	Cr.
(i)	M/s Mintu & Co. A/c	6,500	
	To M/s Minu & Co. A/c		5,600
	To Purchases A/c		900
	(Rectification of purchase entry for Rs. 5,600 dated….as Rs. 6,500 in M/s Mintu & Co.'s Account in place of M/s Minu & Co. A/c).		
(ii)	M/s Bantu Bros. A/c	9,800	
	To Sales A/c		900
	To M/s Bindu & Co. A/c		8,900
	(Rectification of sale entry for Rs. 9,800 dated ….as Rs. 8,900 in M/s Bindu & Co.'s Account in place of M/s Bantu Bros. A/c).		
(iii)	(a) Discount Allowed A/c	560	
	To Commission A/c		560
	(b) Discount Allowed A/c	90	
	To Bantu Bros.		90
	(Rectification of wrong posting of discount in commission account and omission of discount transaction dated….).		
(iv)	M/s Bantu Bros. A/c	9,700	
	To Bhakt & Co. A/c		9,700
	(Wrong posting for the dishonoured cheque dated…. is being rectified).		

Since all the errors are two-sided in nature, Trial Balance would have tallied even if the rectifications are not done.

Solution 16:

Journal

	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
(1)	Purchases A/c	Dr.	150	
	Sales A/c	Dr.	150	
	To Ram			300
	(Correction of wrong entry in the sales Book for a purchases of goods from Ram)			
(2)	Ramesh	Dr.	240	
	To Purchases A/c			120
	To Sales A/c			120
	(Correction of wrong entry in the Purchases Book of a credit sale of goods to Ram)			
(3)	Returns Inwards A/c	Dr.	300	
	To Hari Saran			300
	(Entry of goods returned by him and taken in inventory omitted from records)			
(4)	Mahesh Chand	Dr.	200	
	To Bad Debts Recovered A/c			200
	(Correction of wrong credit to Personal A/c in respect of recovery of previously written off bad debts)			
(5)	Man Mohan	Dr.	100	
	To Sales Return A/c			100
	(Correction of wrong debit to Sales Returns A/c for dishonour of cheque received from Man Mohan)			

Solution 17:

Journal

	Particulars		L.F.	Dr. Rs.	Cr. Rs.
(1)	Sales Account	Dr.		100	
	Sales Returns Account	Dr.		100	
	To Suspense Account				200
	(The value of goods returned by Mr. Sharma wrongly posted to Sales and omission of debit to Sales Returns Account, now rectified)				
(2)	Suspense Account	Dr.		300	
	To Mr. Philip				300
	(Wrong debit to Mr. Philip for goods returned by him, now rectified)				
(3)	Mr. Ghanshyam	Dr.		200	
	To Mr. Radheshyam				20
	To Suspense Account				180
	(Omission of debit to Mr. Ghanshyam and wrong credit to Mr. Radhesham for sale of Rs. 200, now rectified)				
(4)	Bad Debts Account	Dr.		450	
	To Suspense Account				450
	(The amount of Bad Debts written off not adjusted in General Ledger, now rectified)				
(5)	Discount Account	Dr.		250	
	To Suspense Account				250
	(The total of Discount allowed during September, 2015 not posted from the Cash Book; error now rectified)				

Solution 18:

Journal Entries.

	Particulars	*L.F.*	*Dr. (Rs.)*	*Cr. (Rs.)*
(i)	Subham A/c	Dr.	300	
	Suspense A/c	Dr.	2,700	
	To Nigam			3000
(ii)	Sales Returns A/c	Dr.	5,000	
	To Jyothy A/c			5,000
(iii)	Sales A/c	Dr.	75,000	
	To P & L A/c (Gain on sale of investments)			15,000
	To Investments A/c			60,000
(iv)	Drawings A/c	Dr.	10,000	
	To Trade Expenses A/c			10,000

Solution 19:

S.N.		Debit (Rs.)	Credit (Rs.)
1	Commission A/c Dr. To Interest Received (Correcting wrong entry of interest received into commission account)	4,500	 4,500
2	M/s Sobhag Traders A/c Dr. To Suspense A/c (Being credit sale of Rs. 2,760 posted as Rs. 2,670 i.e. debiting M/s Sobhag Traders A/c less by 90, now rectified)	90	 90
3	Drawing A/c Dr. To Machinery A/c (Correction of wrong debit to machinery account for purchase of air-conditioner for personal use)	35,000	 35,000
4	Return Inward A/c Dr. To Debtors (Personal) A/c (Correction of omission to record return of goods by customers)	5,000	 5,000

Solution 20:

(i)	P&L Adjustment A/c To Suspense A/c (Correction of error by which sales account was overcast last year)	Dr.	1,000	 1,000
(ii)	X To Y (Correction of error by which sale of Rs.5,000 to X was wrongly debited to Y's account)	Dr.	5,000	 5,000
(iii)	Suspense A/c To P & L Adjustment A/c (Correct of error by which general expenses of Rs.180 was wrongly posted as Rs.810)	Dr	630	 630
(iv)	Bills Receivable A/c Bills Payable A/c To P (Correction of error by which bill receivable of Rs.1,550 was wrongly passed through BP book)	Dr. Dr.	1,550 1,550	 3,100
(v)	P&L Adjustment A/c To Mrs. Neetu (Correction of error by which legal expenses paid to Mrs. Neetu was wrongly debited to her personal account)	Dr.	1,190	 1,190
(vi)	Suspense A/c To Ram To Shyam (Removal of wrong debit to Shyam and giving credit to Ram from whom cash was received)	Dr.	3,000	 1,500 1,500
(vii)	Suspense A/c To P&L Adjustment A/c (Correction of error by which Purchase A/c was excess debited by Rs.90/- ie. Rs.1,325 - Rs.1,235)	Dr.	90	 90

Suspense A/c

	Rs.		Rs.
To P& L Adjustment A/c	630	By Difference in Trial balance	2,720
To Ram	1,500	(Balancing figure)	
To Shyam	1,500	By P& L Adjustment A/c	1,000
To P& L Adjustment A/c	90		
	3,720		3,720

Solution 21:

Journal Entries in the books of Miss Daisy

Date	Particulars		Dr. (Rs.)	Cr. (Rs.)
(i)	Profit & Loss Adjustment A/c	Dr.	8,000	
	To Suspense A/c			8,000
	(Purchase Account under cast in the previous year; error now rectified)			
(ii)	Rahim's Account	Dr.	2,500	
	To Profit & Loss Adjustment A/c			2,500
	(Sales to Rahim omitted last year; now adjusted)			
(iii)	Anbu's Account	Dr.	1,200	
	To Ashok's Account			1,200
	(Amount received from Asok wrongly posted to the account of Anbu; now rectified)			
(iv)	Profit & Loss Adjustment A/c	Dr.	450	
	To Suspense* A/c			450
	(Excess posting to sales account last year, Rs. 4,617, instead of Rs. 4,167 now adjusted)			
(v)	Profit & Loss Adjustment A/c	Dr.	1,800	
	To Machinery A/c			1,800
	(Repairs to machinery was wrongly debited to machinery account, now rectified)			
(vi)	Profit & Loss Adjustment A/c	Dr.	6,000	
	To Mr. Paul Account			6,000
	Credit purchase of goods from Mr. Paul sale last year, now rectified)			
(vii)	Daisy's Capital A/c	Dr.	13,750	
	To Profit and Loss Adjustment Account			13,750
	(Being balance in P & L Adjustment Account transferred to Daisy's Capital A/c – Refer W.N. 1)			
(viii)	Suspense A/c	Dr.	8,450	
	To Daisy's Capital A/c			8,450
	(Being balance of Suspense A/c transferred to Capital A/c– Refer W.N. 2)			

Working Notes

1. Profit and Loss Adjustment Account

	Rs.		Rs.
To Suspense A/c	8,000	By Rahim's A/c	2,500
To Suspense A/c	450	By Daisy's Capital A/c.	13,750
To Machinery A/c	1,800	(Bal. Transfer)	
To Mr. Paul's A/c	6,000		
	16,250		**16,250**

2. Suspense Account

	Rs.		Rs.
To Daisy's Capital A/c	8,450	By P & L Adj. A/c	8,000
(Balance Transfer)		By P & L Adj. A/c	450
	8,450		**8,450**

Solution 22:

Journal Entries in the books of Mr. Roy

Date	Particulars			Dr. Rs.	Cr. Rs.
(1)	Motor Vehicles Account	Dr.		3,000	
	To Profit and Loss Adjustment A/c				3,000
	(Purchase of scooter wrongly debited to conveyance account now rectified)				
(2)	Suspense Account	Dr.		10,000	
	To Profit & Loss Adjustment A/c				10,000
	(Purchase Account overcast in the previous year; error now rectified).				
(3)	Profit & Loss Adjustment A/c	Dr.		4,000	
	To P's Account				4,000
	(Credit purchase from P Rs. 2,000, entered as sales last year; now rectified)				
(4)	B's Account	Dr.		1,000	
	To A's Account				1,000
	(Amount received from A wrongly posted to the account of B; now rectified)				
(5)	Suspense Account	Dr.		1,000	
	To C's Account				1,000
	(Rs. 500 received from C wrongly debited to his account; now rectified)				
(6)	(Mr. Q)	Dr.		500	
	To Suspense Account				500
	(Rs. 500 due by Q not taken into trialbalance; now rectified)				
(7)	R's Account	Dr.		2,000	
	To Profit & Loss Adjustment A/c				2,000
	(Sales to R omitted last year; now adjusted)				
(8)	Suspense Account	Dr.		198	
	To Profit & Loss Adjustment A/c				198
	(Excess posting to purchase account last year, Rs. 2,593, instead of Rs. 2,395, now adjusted)				
(9)	P & L Adj. Account	Dr.		300	
	To Motor Vehicle A/c				300
	(Dep. charged @ 10% on Vehicle)				
(10)	Profit & Loss Adjustment A/c	Dr.		10,898	
	To Roy's Capital Account				10,898
	(Balance of Profit & Loss Adjustment A/c transferred to Capital Account)				
(11)	Roy's Capital Account	Dr.		10,698	
	To Suspense Account				10,698
	(Balance of Suspense Account transferred to the Capital Account)				

Profit and Loss Adjustment Account
(Prior Period Items)

	Rs.		Rs.
To P	4,000	By Motor Vehicles A/c	3,000
To Motor Vehicle	300	By Suspense A/c	10,000
To Roy's Capital (transfer)	10,898	By R	2,000
		By Suspense Account	198
	14,898		14,898

Suspense Account

	Rs.		Rs.
To Profit & Loss Adjustment A/c	10,000	By Trade Receivables (Q)	500
To C	1,000	By Roy's Capital Account (Transfer)	10,698
To Profit & Loss Adjustment A/c	198		
	11,198		11,198

Solution 23:

(i) Error of Principle
(ii) Error of Omission.
(iii) Error of Commission
(iv) Error of Omission
(v) Error of Commission

Solution 24:

Rectification entries in the books of M/s Applied Laboratories

	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
1.	Profit and Loss Adjustment Account Dr. To Building Account (Repairs amounting Rs. 12,500 wrongly debited to building account, now rectified)		12,500	 12,500
2.	Profit and Loss Adjustment Account Dr. To Suspense Account (Addition of freight column in purchase journal was under casted, now rectification entry made)		1,500	 1,500
3.	Suspense Account Dr. To Rani & Co. (Goods returned by Rani & Co. had been posted wrongly to the debit of her account, now rectified)		2,100	 2,100
4.	Profit and Loss Adjustment Account Dr. To Furniture account (Being sale of furniture wrongly entered in sales book, now rectified)		30,000	 30,000
5.	Raja & Co. Dr. To Bills receivable account (Bill receivable dishonoured debited to Bills receivable account instead of customer account, now rectified)		20,000	 20,000

Solution 25:

Journal

	Particulars	L.F.	Dr.	Cr.
(1)	Building A/c To Wages A/c (Correction of wrong debit in the wages A/c of the construction of office building)	Dr.	20,000	 20,000
(2)	Ramesh To Purchases A/c To Sales A/c (Correction of wrong entry in the Purchases Book of a credit sale of goods to Ramesh)	Dr.	2,400	 1,200 1,200
(3)	Mahesh Chand To Bad Debts Recovered A/c (Correction of wrong credit to Personal A/c in respect of recovery of previously written off bad debts)	Dr.	2,000	 2,000
(4)	Advertisement expenses or Sales Promotion or Free Samples A/c To Purchases A/c (Entry of the goods distributed as free samples omitted from records)	Dr.	5,000	 5,000
(5)	Returns Inwards /Sales Return A/c To Green (Entry of goods returned by Green omitted from records)	Dr.	1,500	 1,500

Solution 26:

In the Books of Dime Ltd.

2022	Particulars		Dr. Amount Rs.	Cr. Amount Rs.
(i)	Suspense A/c To Profit & Loss Adjustment A/c (Returns outward book was under cast now rectified)	Dr.	100	 100
(ii)	Suspense A/c To Profit & Loss Adjustment A/c (Discount received was not recorded, now rectified)	Dr.	1,500	 1,500
(iii)	Office Furniture A/c To Profit & Loss Adjustment A/c (office furniture purchased wrongly debited to Purchase A/c. now rectified)	Dr.	6,000	 6,000
(iv)	Debtors A/c To Suspense A/c (Debtors account was posted Rs. 670 in place of 760 now rectified)	Dr.	90	 90
(v)	Debtors A/c To Profit & Loss Adjustment A/c (Debtors account was posted Rs. 670 in place of 760 now rectified)	Dr.	10,000	 10,000

Solution: 27

Journal Entries

	Particulars		L.F.	Dr. Rs.	Cr. Rs.
(i)	Suspense Account To Profit and Loss Adjustment A/c (Correction of error by which Purchase Account was over debited last year- Rs. 5,615 carried forward instead of Rs. 6,551)	Dr.		936	936
(ii)	Profit & Loss Adjustment A/c Customer's Account To Suspense Account (Correction of the entry by which (a) Sales A/c was over credited by Rs. 540 (b) customer was credited by Rs. 821 instead of being debited by Rs. 281)	Dr. Dr.		540 1,102	 1,642
(iii)	Suspense Account To Profit & Loss Adjustment A/c (Correction of error by which Returns Inward Account was debited by Rs. 295 instead of Returns Outwards Account being credited by Rs. 295)	Dr.		590	590
(iv)	Suspense Account To Senu To Sethu (Removal or wrong debit to Sethu and giving credit to Senu from whom cash was received)	Dr.		1,790	 895 895
(v)	Customer's Account To Profit & Loss Adjustment A/c (Rectification of the error arising from non-preparation of invoice for goods delivered)	Dr.		1,400	1,400
(vi)	Profit & Loss Adjustment A/c To Customer's Account (The Customer's A/c credited with goods not yet purchased by him)	Dr.		1600	1,600
(vii)	Inventory A/c (WN) To Profit & Loss Adjustment A/c (Cost of goods debited to inventory and credited to Profit & Loss Adjustment A/c)	Dr.		1280	1280
(viii)	Trade receivable/ Q's Account To Suspense Account (Rs.600 due by Q not taken into trial balance, now rectified)	Dr.		600	600
(ix)	R's account/Trade receivable To Profit & Loss Adjustment A/c (Sales to R omitted, now rectified)	Dr.		3,000	3,000
(x)	Profit & Loss Adjustment A/c To Joshi's Capital Account (Transfer of the Profit & Loss Adjustment A/c balance to the Capital Account)	Dr.		5,066	5,066

Working Note:-

(vii) Calculation of Cost of Inventory :- Cost = Sale Price (-) Profit

SP	=	1600
(-) Pft. 20% on SP (1600 x 20%)	=	320
CP	=	**1280**

Solution : 28

Journal Entries in the Books of Mr. Sarvesh Kumar

	Particulars	L.F.	Amount Dr. (₹)	Amount Cr. (₹)
(i)	Returns Inward/ Sales Return A/c Dr. To Suspense A/c (Being the mistake in totalling the Returns Inward Book corrected)		1,000	 1,000
(ii)	Machinery A/c Dr. To Freight A/c To Suspense A/c (Being the freight paid for installation of machinery should have been capitalised and not to be charged to freight Account)		6,500	 5,600 900
(iii)	Returns Inward/Sales Return A/c Dr. Sales A/c Dr. To Suspense A/c (Being value of goods returned by a customer wrongly posted to sales and omission of debit to sales returns account, now rectified)		2,500 2,500	 5,000
(iv)	Drawings A/c Dr. To Conveyance A/c (Being the motorcycle purchased for Mr. Suresh Kumar debited to his Drawings Account instead of Conveyance Account as previously done by mistake)		18,000	 18,000
(v)	Suspense A/c Dr. To Creditors (personal) A/c (Being the mistake in crediting the creditors account less by ₹ 700, now corrected)		700	 700
(vi)	Suspense A/c Dr. To Mr. Avinash's A/c (Being cash received for Rs. 5,000 wrongly posted to the debit of his account now corrected)		10,000	 10,000
(vii)	Mr. Alok's A/c Dr. To Ashok's A/c (Being the cheque of Mr. Alok dishonoured, previously debited to Mr. Ashok)		2,500	 2,500
(viii)	Deepak A/c Dr. To Suspense A/c (Being the correction of mistake by which the account of Deepak A/c was credited instead of being debited)		17,000	 17,000
(ix)	Discount A/c Dr. To Suspense A/c (Being the total of discount allowed during December not posted; error now rectified)		3,800	 3,800
(x)	Sales A/c Dr. To Furniture A/c (Being the rectification of mistake by which sales of furniture was entered in sales book and hence now corrected by debiting the sales A/c)		2,200	 2,200

Solution: 29

In the books of Saraswat & Sons
Journal

	Particulars	L.F.	Dr. Rs.	Cr. Rs.
(i)	Furniture A/c Dr. To Purchases A/c (Correction of wrong debit to Purchases A/c for furniture purchased)		20,000	20,000
(ii)	Satyam A/c Dr. To Bad Debts Recovered A/c (Correction of wrong credit to Personal A/c in respect of recovery of previously written off bad debts)		3,000	3,000
(iii)	Repairs A/c Dr. To Building A/c (Correction of wrong debit to building A/c for repairs made)		18,500	18,500
(iv)	Purchases A/c Dr. To Ram Singh A/c (Purchases of goods from Ram Singh remained unrecorded)		18,000	18,000
(v)	Drawings A/c Dr. To Audit Fees A/c (Correction of wrong debit to Audit Fees A/c for college fees of proprietor's son)		15,000	15,000
(vi)	Anita Dr. To Kanika (Correction of wrong credit to Anita instead of Kanika)		4,500	4,500
(vii)	Returns Inwards / Sales Return A/c Dr. To Customer/Debtors A/c (Entry of goods returned by customer and taken in inventory omitted from records)		8,900	8,900
(viii)	Furniture A/c Dr. To Wages A/c (Wages paid to workmen for office furniture wrongly charged to wages a/c now rectified)		7,500	7,500
(ix)	Salaries A/c Dr. To Clerk's (Personal) A/c (Correction of wrong debit to Clerk's personal A/c for salaries paid)		18,000	18,000
(x)	Purchases A/c Dr. Sales A/c Dr. To Raghav A/c (Correction of wrong entry in the sales Book for purchases of goods from Raghav)		20,000 20,000	40,000

Solution: 30

In the books of XYZ
Journal

	Particulars	L.F.	Dr. ₹	Cr. ₹
(i)	Purchases A/c Dr. Sales A/c Dr. To R (Purchases from R wrongly entered in Sales Book now rectified)		10,000 10,000	 20,000
(ii)	Furniture A/c Dr. To Purchases A/c (Furniture purchased was wrongly debited to purchases daybook now rectified)		25,000	 25,000
(iii)	Repairs A/c Dr. To Furniture A/c (Minor repairs to the furniture wrongly debited to furniture now rectified)		1,500	 1,500
(iv)	Furniture A/c Dr. To Wages A/c (Wages paid for making furniture wrongly charged to wages now rectified)		3,000	 3,000
(v)	Drawings A/c Dr. To Audit Fees A/c (Tuition fees of proprietor's son wrongly debited to Audit fees A/c now rectified)		25,000	 25,000
(vi)	Mohan A/c Dr. To Bad Debts Recovered A/c (Bad debts recovered had been wrongly posted to Personal A/c now rectified)		10,000	 10,000
(vii)	Advertisement Expenses/Free Sample A/c Dr. To Purchases A/c (Goods distributed as free samples were not recorded anywhere now rectified)		7,000	 7,000
(viii)	Returns Inwards / Sales Return A/c Dr. Sales A/c Dr. To Suspense A/c (Goods returned wrongly posted to sales book now rectified)		1,000 1,000	 2,000
(ix)	SS & Co A/c Dr. To Bills Receivable A/c (Bills of Exchange dishonoured and had credited to bank and debited to Bills receivable a/c now rectified)		10,000	 10,000
(x)	Bills Receivable A/c Dr. Bills Payable A/c Dr. To Jack A/c (Bills receivable wrongly passed through Bills payable now rectified)		2,500 2,500	 5,000

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. The method of rectification of errors depends on the stage at which the errors are detected.
2. In case of error of complete omission, the trial balance does not tally.
3. When errors are detected after preparation of trial balance, suspense account is opened.
4. When purchase of an asset is treated as an expense, it is known as error of principle.
5. Trial balance agrees in case of compensating errors.
6. When amount is written on wrong side, it is known as an error of principle.
7. On purchase of furniture, the amount spent on repairs should be debited to repairs account.
8. 'Profit & Loss adjustment account' is opened to rectify the errors detected in the current accounting period.
9. Rent paid to land lord of the proprietors house, must be debited to 'Rent account'.
10. If the errors are detected after preparing trial balance, then all the errors are rectified through suspense account.
11. Errors of complete omission will be located, if trial balance is prepared.

Answer:

1. **True:** there are 3 different stages when the mistakes are identified and then the rectification depends on the stage of identification
2. **False:** In case of error of complete omission, the trial balance tallies.
3. **True:** Difference of balances in the trial balance is transferred to Suspense Account.
4. **True:** When capital expenditure is treated as revenue exp. and vice-versa, it is an error of principle.
5. **True:** compensating errors cancel out each other when Trial balance is prepared as the mistake pertains to the same amount.
6. **False:** When amount is written on wrong side, it is known as an error of commission.
7. **False:** On purchase of furniture, the amount spent on repairs should be debited to furniture account as it is a capital expense.
8. **False:** 'Profit & Loss adjustment account' is opened to rectify the errors detected in the next accounting period.
9. **False:** Rent paid to land lord of the proprietors house, must be debited to 'Drawings account'.
10. **False:** If the errors are detected after preparing trial balance, then all the errors are not rectified through suspense account. There may be principal errors, which can be rectified without opening a suspense account.
11. **False:** Such errors cannot be located because both debit and credit aspects of an entry are not recorded and hence it will not affect trial balance.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

1. A tallied trial balance means that the books of accounts contain no errors.

   OR

   A tallied Trial balance is a conclusive proof of accuracy of books of accounts.
2. Errors of principle will affect trial balance.
3. Errors of principle involves an incorrect allocation of expenditure or receipt between capital and revenue.
4. Any type of error affects the agreement of trial balance.
5. Wrong casting of subsidiary books does not affect the trial balance.
6. If the amount is posted in the wrong account or it is written on the wrong side of an account, it is called an error of commission.
7. Under or over-casting of a subsidiary book is an example of error of commission.

8. Purchase of office furniture has been debited to general expenses account. It is a compensating error.
9. A tallied trial balance will not reveal compensating errors and errors on account of wrong balancing.
10. Error of carry forward of totals of purchase journal affects two accounts.
11. Travelling expenses of ₹ 80,000 paid to a technician for the installation of a new machine is debited to a profit and loss account.
12. Rectification of mistakes is necessary to tally the trial balance.
13. Rectifying errors in subsequent accounting period always affects the profit or loss of that period.
14. Salary paid to Ram will be debited to Ram's Personal account.
15. A trial balance will reveal all errors of commission .
16. A trial balance will reveal all errors of posting.
17. The object of opening Suspense Account is to avoid the delay in preparation of Trial Balance.
18. The balance of Suspense A/c represents the net effect of all errors whether detected or not.
19. After the preparation of financial statements, Profit & Loss Adjustment Account is used to rectify all errors involving Real & Personal A/cs in the subsequent year so as not to affect the Profit/Loss of that period.
20. The preparation of a Trial Balance helps in locating errors of complete omission.
21. Freight Inward Account shows a debit balance but a Freight Outward Account shows a credit balance.
22. Errors of recording in the books of original entry will affect the Trial Balance.
23. Correct recording in the Journal Proper but not posted in the ledger at all will affect the Trial Balance.
24. Trial Balance is prepared for a particular period which may be a week, month, quarter, half year or year.
25. When some of the errors affecting the Trial Balance are located and rectified, the Suspense Account automatically stands balanced.
26. The difference in the Trial Balance is transferred on the debit side of the Suspense Account if the total of debit column of the Trial Balance exceeds that of credit column.
27. Trial Balance is prepared after preparing the Profit & Loss Account.

Answer:

1. **False:** Agreement of trial balance is not an absolute proof of the accuracy, because there may be some errors like errors of principle, compensating errors etc. which do not affect the agreement of trial balance.
2. **False:** Errors of principle will not affect trial balance because both the aspects (debit & credit) of a transaction are recorded. Error of Principle involves incorrect allocation of payments/receipts between capital and revenue.
3. **True:** Recording the transaction in a fundamentally incorrect manner in contravention of accounting principles is an error of principle. Therefore, if capital exp. is treated as revenue exp. etc. then it is an error of Principal.
4. **False:** Every error does not affect the agreement of trial balance. For example: Errors of Principle, compensating errors do not affect the agreement of trial balance.
5. **False:** Wrong casting of subsidiary books affects the trial balance. For example, if Purchase Book is undercast by ₹ 1,000, the total of debit column will be lower by ₹ 1,000.
6. **True:** Errors of commission includes errors on account of wrong posting, wrong balancing of an account, wrong carry forward, wrong casting etc., whether of subsidiary books or any other books.
7. **True:** Errors of commission includes errors on account of wrong posting, wrong balancing of an account, wrong carry forward, wrong casting etc., whether of subsidiary books or any other books.
8. **False:** It is an error of principle because an item of capital nature has been treated as an item of revenue nature.

9. **False:** A tallied trial balance will not reveal compensating errors as it will agree inspite of the existence of these errors. However, in the case of errors on account of wrong -balancing, the trial balance will not tally.
10. **False:** It will affect only one account i.e. purchases account and hence it will affect the agreement of trial balance. Total of purchase book is transferred to purchase account only.
11. **False:** Such expenses being a capital expenditure should be debited to Machinery Account.
12. **False:** The trial balance can be tallied by debiting or crediting the difference amount to suspense account. However, rectification of mistakes is necessary to have a proper accounting of transactions and if all errors are located and rectified then there is no reason for disagreement of trial balance.
13. **False:** Rectifying errors involving Real & Personal Accounts will not affect the profit of that period.
14. **False:** Salary paid to Ram will be debited to Salaries account.
15. **False:** A trial balance will reveal all errors of commission other than error of recording and error of posting involving to wrong account on correct side with correct amount.
16. **False:** A trial balance will not reveal errors of posting involving to wrong account on correct side with correct amount.
17. **False:** The object of opening Suspense Account is to avoid the delay in preparation of Financial Statements.
18. **False:** The balance of Suspense A/c represents the net effect of errors which still remain undetected.
19. **False:** After the preparation of financial statements, Profit & Loss Adjustment Account is used to rectify all errors involving Nominal A/c in the subsequent year so as not to affect the Profit / Loss of that period.
20. **False:** The preparation of a Trial Balance helps in locating one sided errors of commission. Error of complete omission cannot be located from trial balance.
21. **False:** Both Freight Inward Account and Freight Outward Account shows a debit balance because both are Expenses.
22. **False:** Errors of recording in the books of original entry will not affect the Trial Balance.
23. **False:** Correct recording in the Journal Proper but not posted in the ledger at all (i.e. neither debited or credited) will not affect the Trial Balance.
24. **False:** Trial Balance is prepared at a particular date not for a period.
25. **False:** When all the errors affecting the Trial Balance are located and rectified then only the Suspense Account automatically stands balanced.
26. **False:** The difference in the Trial Balance is transferred on the credit side of the Suspense Account if the total of debit column of the Trial Balance exceeds that of credit column
27. **False:** Trial Balance is prepared before preparing the Profit & Loss Account.

MULTIPLE CHOICE QUESTIONS (SM)

1. Goods purchased from A for Rs.10,000 passed through the sales book. The error will result in
   (a) Increase in gross profit.
   (b) Decrease in gross profit.
   (c) No effect on gross profit.

2. If a purchase return of Rs.1,000 has been wrongly posted to the debit of the sales returns account, but has
   been correctly entered in the suppliers' account, the total of the
   (a) Trial balance would show the debit side to be Rs.1,000 more than the credit.
   (b) Trial balance would show the credit side to be Rs.1,000 more than the debit.
   (c) The debit side of the trial balance will be Rs.2,000 more than the credit side.

3. If the amount is posted in the wrong account or it is written on the wrong side of the account, it is called
(a) Error of omission.
(b) Error of commission.
(c) Error of principle.

4. Rs.200 paid as wages for erecting a machine should be debited to
(a) Repair account.
(b) Machine account.
(c) Capital account.

5. On purchase of old furniture, the amount of Rs.1,000 spent on its repair should be debited to
(a) Repair account.
(b) Furniture account.
(c) Cash account.

6. Goods worth Rs.50 given as charity should be credited to
(a) Charity account.
(b) Sales account.
(c) Purchase account.

7. Goods worth Rs.100 taken by proprietor for domestic use should be credited to
(a) Sales account.
(b) Proprietor's personal expenses.
(c) Purchases account.

8. Sales of office furniture should be credited to
(a) Sales Account.
(b) Furniture Account.
(c) Purchase Account.

9. The preparation of a trial balance is for:
(a) Locating errors of commission.
(b) Locating errors of principle.
(c) Locating clerical errors.

10. Rs.200 received from Smith whose account, was written o- as a bad debt should be credited to:
(a) Bad Debts Recovered account.
(b) Smith's account.
(c) Cash account.

11. Purchase of office furniture Rs.1,200 has been debited to General Expense Account. It is:
(a) A clerical error.
(b) An error of principle.
(c) An error of omission.

MCQs ANSWER

1.	(a)	2.	(c)	3.	(b)	4.	(b)	5.	(b)
6.	(c)	7.	(c)	8.	(b)	9.	(c)	10.	(a)
11.	(b)								

THEORETICAL QUESTIONS:

Question 1 :

State the types of errors.

Answer:

Errors can be of 2 types :

(a) Error of Principle

(b) Clerical Error

(a) Error of Principle :

- Meaning : If at the time of recording transactions, there is contravention of accounting principles, it is known as Error of Principle.
- Example 1 : Treating capital expenditure as revenue expenditure and vice versa. For ex. amount paid towards purchase of assets is wrongly entered in Purchase book.
- Example 2 : Revenue expenses debited to personal account. e.g. Rent paid to Ram wrongly debited to Ram A/c.
- Effect on TB : This error will not affect TB.

(b) Clerical Errors – 3 types

(i) Error of Omission, (ii) Error of Commission, (iii) Compensating Errors

(i) Error of Omission:

- If a transaction is completely or partially omitted from recording in the books.
- Complete omission – Example : Not recording purchase of furniture in Journal.
- Partial omission – Example : Purchase of furniture recorded in Journal but not posted into Furniture A/c in Ledger - It is partial omission.
- Examples of omission : Transaction not posted to ledger, omission of casting and balancing of an account, omission of carrying forward.
- Effect on TB : A complete error of omission does not affect the TB whereas a partial error will affect the TB.

(ii) Error of Commission :

- Meaning : These errors are generally committed by the staff due to negligence.
- Examples :
- If an amount is posted in the wrong account.
- If an amount is written on the wrong side.
- Wrong totaling/casting.
- Wrong balancing.
- Effect on TB : These errors will generally effect TB.

(iii) Compensating Errors

- Meaning : Those errors which cancel or compensate themselves.
- Example : Amount paid towards salary of 1000/- recorded as 10000/- and at the same time payment towards advertisement of 10000/- recorded as 1000/-.
- Effect on TB : These errors will not effect TB.

Question 2 : **(SM)**

How does errors of omission differ from errors of commission?

Answer.

(i) **Errors of Omission**: If a transaction is **completely or partially omitted** from the books of account, it will be a case of omission. For Examples - Not recording a credit purchase of furniture or not posting an entry into the ledger.

(ii) **Errors of Commission**: If an amount is posted in the wrong account or it is written on the wrong side or the totals are wrong or a wrong balance is struck, it will be a case of "errors of commission."

Question 3 : **(SM)**

What is error of principle and how does it affect Trial Balance?

Answer :

Errors of principle:

- When a transaction is recorded in **contravention of accounting principles**, it is an error of principle.
- Ex. Treating the purchase of an asset as an expense, Treating sale of assets is an income, treating capital exp. as revenue exp. and revenue exp. as capital exp.
- In this case there is **no effect on the trial balance** since the amounts are placed on the correct side, though in a wrong account. Suppose on the purchase of a typewriter, the office expenses account is debited; the trial balance will still agree.

Question 4 : **(SM)**

When and how is Suspense account used to rectify errors?

Answer :

Suspense account – use in rectifying errors :

- **Error detected :**When the errors have been located before the end of the accounting period, then after corrections of errors, the trial balance will agree.
- **Errors not detected :**Sometimes due to **non detection of errors**, the trial balance could **not be tallied**. Then we may artificially tally the trial balance by opening a suspense account and putting the difference in the trial balance.
- **Suspense Account – Debited or Credited ? :**The suspense account will be debited if the total of the credit column in the trial balance exceeds the total of the debit column; it will be credited in the other case.
- **Rectifications :** Subsequently when the errors located then it can be corrected by passing journal entry. In case of one sided error, first we have to rectify that account which was incorrect and in other side we have to debit or credit suspense account.

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QR CODE	QUESTION NO.	QR CODE
ROE		Q. 14 (i)	
		Q. 14 (ii)	
		Q. 14 (iii)	
		Q. 15 (1, 2)	

		Q. 15 (4)	
		Q. 16 → Q. 17 (1)	
		Q. 16 → Q. 17 (3)	
		Q. 16 → Q. 17 (4)	
		Q. 17 → Q. 18 (i)	
		Q. 17 → Q. 18 (ii)	
		Q. 17 → Q. 18 (iii)	
		Q. 19 → Q. 23 (iii)	
		Q. 19 → Q. 23 (iv) (v) (vi)	
		Q. 20 → Q. 24 (iv)	

		Q. 21 → Q. 25 (6, 8)	
		Q. 23 → Q. 28 (v)	
		ROE_8 Promises	

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE	LECTURE	QR CODE
ROE		Part 1	
		Part 2	
		Part 3	
		Part 4	

THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
ROE	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 3
BANK RECONCILIATION STATEMENT (BRS)

Question 1 :

State the meaning of Bank Pass book or bank statement.

Answer 1 :

BANK PASS BOOK OR BANK STATEMENT- MEANING :

- Banker sends to its customer either Pass book or Statement in which the details of his deposits & withdrawals are mentioned.
- Therefore, it is basically a Customer's Account in the books of bank.
- **Format of Pass book:**

Date	Particulars	Dr. (Withdrawal)	Cr. (Deposit)	Balance (Dr./Cr.)

Note : What is shown on the debit side of cash book (bank column) appears on the credit side of pass book and vice-versa. It means if there is debit balance in cash book then pass book will show credit balance.

Question 2 :

What is BRS ? When BRS needs to be prepared ? State the characteristics of BRS.

Answer 2 :

I. BRS – Meaning : BRS is a statement which reconcile the bank balance as per cash book with the balance as per pass book, by showing the causes of difference between the two.

II. BRS – *When ?*

- If Bank balance in our book and Pass book tally then no question of BRS arises.
- But if they differ, BRS must be prepared to search the reasons of differences.

III. Characteristics :

1. It is prepared by an account holder and not by bank.
2. It is a periodical statement and not an account.
3. It does not form part of the double entry system.
4. It is prepared on a particular day (as per the wishes of account holder)
5. It gives the details of the transactions, causing the difference in bank balance as per cash book and pass book.

Question 3 :

State the Importance / objectives of BRS.

Answer 3 :

Importance of BRS

- It brings out errors committed either in cash book or in pass book.
- Undue delay in the clearance / collection of cheque is shown up.
- Discourage embezzlement of cash. (I.e. made entry of deposit but in fact not deposited)
- To find out actual bank balance.

Question 4 :

Explain certain important terms which causes BRS.

Answer 4 :

Following are some important terms :

- **Cheques issued /drawn (Outgoing cheque) but not presented or cleared or encashed for payment (unpresented cheque)** : Whenever cheque are issued to creditor, it is recorded (credited to bank a/c) in cash book due to which the bank balance of cash book decreases. However, bank will debit the account of customer when it will be presented for payment. Until the cheque is presented for payment, the balance appearing in pass book would be more than the balance appearing in cash book.

- **Cheques deposited or cheque paid into bank but not collected or cleared or credited by bank (Uncollected cheque)** : Whenever cheque is received from customer and sent it to bank for collection, it is debited in cash book, which increases the bank balance of cash book. But, bank will credit our account when it is actually collected by bank, till date balance of pass book will be less than cash book.

- **Dishonoured bills, cheques by the bank** : When we deposit cheque in bank a/c, it will immediately recorded (debited) in cash book, which results an increase in cash book balance. But, if the cheque could not get collected (i.e. cheque dishonoured) by the bank, it will not be credited in pass book, due to which the balance of pass book is less than cash book.
  Similarly when the B/R is discounted, the bank a/c is debited in our cash book and bank will credit the customer a/c. If on due date the amount of B/R could not be collected (i.d. B/R dishonours) then the bank will debit the customer's account but it is not recorded in cash book. Due to this the balance of pass book is less than cash book.

- **Issued cheques but dishonoured by the bank** : When we make payment to creditor, we make immediate entry (bank a/c credited) in cash book due to which the balance of cash book reduce but if the bank dishonoured the cheque then the balance of pass book shll be more than cash book.

- **Interest on overdraft, bank charges debited by the bank** : It means the bank balance reduce due to such charges but the balance of cash book remain as it is until such charges are recorded in cash book also. In this case balance of pass book is less than cash book.

- **Interest allowed or credited by the bank** : It means the bank allowed interest to us which results an increase in pass book balance but as it is not recorded in cash book its balance remain as it is. In this case balance of pass book is more than cash book.

- **Dividend and interest etc. collected by the bank** : It mean bank collectec dividend and interest on our behalf and deposited in our a/c which result an increase in pass book balance but such dividend and interest is not recorded in cash book. In this case balance of pass book is more than cash book.

- **Direct payment by the bank** : It means bank directly paid some amount from our account and debited our account which reduces pass book balance but, such payment is not recorded in cash book due to which the balance of pass book is less than cash book.

- **Direct deposited by the customers into the bank** : If customer directly deposited some amount in our account then it is recorded (credited) by bank which increased pass book balance but such deposit is not recorded in cash book so, balance of pass book is more than cash bank.

- **Clerical errors in pass book** : It means bank has wrongly debited or credited our a/c due to which our balance as per pass book decreases or increases but as such errors are not recorded in the cash book its balance remains as it is.

Question 5 :

State examples of timing of recording banking transactions in Cash Book & Pass book.

Answer 5 :

Timings of recording banking transactions in Cash Book & Pass book :

Transactions	Timing of recording in cash book	Timing of recording in pass book
1. Cash deposits	When cash is deposited	When cash is deposited
2. Cash withdrawal	When cash is withdrawal	When cash is withdrawn
3. Cheque issued	When cheque is issued	When cheque is presented for payment
4. Cheque deposited	When cheque is deposited	When cheque is collected.
5. Bank charges	When pass book is received	When charges are levied.
6. Interest charged by bank	When pass book is received	When intt. is charged by bank
7. Interest allowed by bank	When pass book is received	When intt. is allowed by bank
8. Direct payment by bank on behalf of customer	When pass book is received	When payment is made by the bank.
9. Direct collection by bank on behalf of customer	When pass book is received	When amount is collected by the bank.
10. Cheque directly deposited by bank.	When pass book is received	When amount is collected by the bank.
11. Dishonour of cheque/ discounted B/R	When pass book is received	When cheque/discounted B/R is dishonoured.

Question 6 :

Explain the type of difference arises between cash book and pass book.

Answer 6 :

Type of difference - 2 types :

i) Timing Difference ii) Difference due to errors

i) **Timing Difference -** Meaning - Entry is made in one book earlier and another book later.

Examples :

- ❖ Cheque issued but not presented.
- ❖ Cheque deposited but not cleared.
- ❖ Interest allowed by bank.
- ❖ Interest & other exp. Charged by bank.
- ❖ Interest & Dividend Collected by bank.
- ❖ Direct deposited to bank by customer.
- ❖ Dishonour of bill discounted with bank.
- ❖ Amount collected by bank for customer.

ii) **Difference arises due to errors -** Error can be done either by Us or by Bank.

Types of Error –

- ❖ Omission of entry
- ❖ Wrong recording of amount
- ❖ Wrong balancing
- ❖ Entry in wrong side
- ❖ Wrong totaling etc.
- ❖ If there is mistake in our book, then before preparing BRS we should rectify error first.

Question 7 :

What are the rules of preparing BRS ?

Answer 7 :

Rules of preparing BRS

- ❖ If the balance of the other book is More on account of the said cause then Add the amount.
- ❖ If the balance of the other book is Less on account of the said cause then Deduct / Subtract the amount.

Question 8 :

State the stages of preparing BRS.

Answer 8 :

BRS can be prepared at following 2 stages :

i) **Before Rectification of errors :** At this stage each & every transaction which is not recorded or incorrectly recorded in one book will be shown in BRS.

ii) **After Rectification of errors :** At this stage before preparing BRS, ALL rectification entries are made in our book. Then BRS is prepared on the basis of rectified balance.

Question 9 :

State the format of preparing BRS.

Answer 9 :

Format of BRS :

Causes of differences	Favourable Bal. (Dr.) as per cash book	Unfavourable Bal. (Cr.) as per cash bank	Favourable Bal. (Cr.) as per pass book	Unfavourable Bal. (Dr,) as per pass book
Cheque deposited but not cleared	Subtract	Add	Add	Subtract
Cheque issued but not presented to bank	Add	Subtract	Subtract	Add
Cheque directly deposited in bank by a customer	Add	Subtract	Subtract	Add
Income (e.g., interest from UTI) directly received by bank	Add	Subtract	Subtract	Add
Expenses (e.g., telephone bills) directly paid by bank on standing instruction	Subtract	Add	Add	Subtract

Bank charges levied by bank	Subtract	Add	Add	Subtract
Locker rent levied by bank	Subtract	Add	Add	Subtract
Wrong debit in the cash book	Subtract	Add	Add	Subtract
Wrong credit in the cash book	Add	Subtract	Subtract	Add
Wrong debit in the pass book	Subtract	Add	Add	Subtract
Undercasting of Dr. side of bank account in the cash book	Add	Subtract	Subtract	Add
Overcoasting of Dr. side of bank account in cash book	Subtract	Add	Add	Subtract
Undercasting of Cr. Side of bank account in cash book	Subtract	Add	Add	Subtract
Overcasting of Cr. Side of bank account in cash book	Add	Subtract	Subtract	Add
Bill receivable collected directly by bank	Add	Subtract	Subtract	Add

Causes of differences	**Favourable Bal. (Dr.) as per cash book**	**Unfavourable Bal. (Cr.) as per cash bank**	**Favourable Bal. (Cr.) as per pass book**	**Unfavourable Bal. (Dr,) as per pass book**
Interest on bank overdraft charged Final Balance	Subtract If answer is Positive then favourable bal. (Cr.) as per pass book and if negative then unfavourable bal. (Dr.) as per pass book.	Add If answer is Positive then Unfavourable bal. (Dr.) as per pass book and if negative then favourable bal. (Cr.) as per pass book.	Add If answer is Positive then Unfavourable bal. (Dr.) as per Cash book and if negative then favourable bal. (Cr.) as per Cash book.	Subtract If answer is Positive then favourable bal. (Cr.) as per Cash book and if negative then unfavourable bal. (Dr.) as per Cash book.

Practical based Notes :

1. If is given in question that "Balance as per cash Book" – It is assumed tobe "Debit Balance".
2. If is given in question that "Balance as per Pass Book" – It is assumed tobe "Credit Balance".
3. Cash Book showed favoured Balance = Dr. Balance of Cash Book.
4. Cash Book showed Unfavoured Balance = Cr. Balance of Cash Book.
5. Pass Book showed favoured Balance = Cr. Balance of Pass Book.
6. Pass Book showed Unfavoured Balance = Dr. Balance of Pass Book.

CLASS WORK QUESTIONS

Question : 1 **(SM Illu. 11)**

Mr. Manoj is employed by Century Rayon and Carpets Pvt Ltd. as their cashier. The main responsibility of Mr. Manoj is to maintain the company's cash book and prepare a bank reconciliation statement at the end of each month. The cash book (only bank column) is set out below together with a copy of the bank statement for the month of February 2022.

You are required to :

a) Reconcile the cash book with the bank statement.

b) Make necessary entries to update the cash book.

c) Start with the balance as per cash book, list any unpresented cheques and sub-total on the reconcliation statement.

Century Rayon and Carpets Pvt. Ltd . Cash Book (Bank Column only)

Date	Particulars	Amount Dr. ₹	Date	Particulars	Amount Cr. ₹
01/02/2022	To Balance b/d	1,42,500	03/02/2022	By Bhagwandas	1,980
01/02/2022	To Blue and Co	1,570	07/02/2022	By Maruti Ltd (400460)	1,500
04/02/2022	To GM Ltd	2,430	12/02/2022	By Jackson Ltd (400461)	54,000
08/02/2022	To Robinson Ltd	910	18/02/2022	By PC computers (400462)	1,420
13/02/2022	To Donald	750	24/02/2022	By Shiv garage (400463)	49,000
20/02/2022	To Avenue Super mart	4,200	29/02/2022	By Petty cash (400465)	1,500
28/02/2022	To Sleep Well Ltd	940		By Shweta & Co (400464)	2,100
				By AV Partners (400466)	5,200
				By Balance c/d	36,600
		1,53,300			1,53,300

Customer: Century Rayon and Carpets Pvt Ltd. Account No – xxxxx0439
Account Statement for the month of February 2022

Date	Particulars	Amount Dr.	Amount Cr.	Dr. or Cr.	Balance ₹
1/02/2022	Balance b/d				1,42,500
3/02/2022	Cheques		1,570	Cr.	1,44,070
5/02/2022	Maruti Ltd	1,500		Dr.	1,42,570
7/02/2022	Bhagwandas	1,980		Dr.	1,40,590
12/02/2022	GM Ltd		2,430	Cr.	1,43,020
15/02/2022	Robinson Ltd		910	Cr.	1,43,930
20/02/2022	Premium of New India Insurance Ltd	3,800		Dr.	1,40,130
14/02/2022	Donald		750	Cr.	1,40,880
14/02/2022	400463	49,000		Dr.	91,880
23/02/2022	cheques		4,200	Cr.	96,080
26/02/2022	Savita	1,030		Dr.	95,050
26/02/2022	400465	1,500		Dr.	93,550
27/02/2022	Shreya		2,200	Cr.	95,750
28/02/2022	Bank charges	2,538		Dr.	93,212

Personal Note:-

Question 2: **[SM-ILL.2]**

From the following particulars, prepare a Bank Reconciliation Statement for Jindal Ouset Ltd.

(1) Balance as per cash book is Rs. 2,40,000
(2) Cheques issued but not presented in the bank amounts to Rs. 1,36,000.
(3) Cheques deposited in bank but not yet cleared amounts to Rs. 90,000.
(4) Bank charges amounts to Rs. 300.
(5) Interest credited by bank amounts to Rs. 1,250.

Calculate the balance as per pass book.

[Bal. as per pass book- 2,86,950]

Personal Note:-

Question 3: **[SM-PQ.1]**

From the following particulars prepare a bank reconciliation statement as on 31st December 2022 :

(i) On 31st December, 2022 the cash-book of a firm showed a bank balance of Rs. 60,000 (debit balance).
(ii) Cheques had been issued for Rs. 15,00,000, out of which cheques worth Rs. 4,00,000 only were presented for payment.
(iii) Cheques worth Rs. 11,40,000 were deposited in the bank on 28th December, 2022 but had not been credited by the bank. In addition to this, one cheque for Rs. 5,00,000 was entered in the cash book on 30th December, 2022 but was banked on 3rd January, 2023.
(iv) A cheque from Susan for Rs. 4,00,000 was deposited in the bank on 26th December 2022 but was dishonoured and the advice was received on 2nd January, 2023.
(v) Pass-book showed bank charges of Rs. 2,000 debited by the bank.
(vi) One of the debtors deposited a sum of Rs. 5,00,000 in the bank account of the firm on 20th December, 2022 but the intimation in this respect was received from the bank on 2nd January, 2023.

[Dr. Bal. as per pass book- 3,82,000/-]

Personal Note:-

Question 4: **[SM-ILL.9]**

The following are the Cash Book and Pass Book of Jain for the month of March, 2022 and April, 2022.

Dr. Cash Book (Bank Column only) Cr.

Date	Particulars	Amount Rs.	Date	Particulars	Amount Rs.
01/3/22	To Balance b/d.	6,000	03/3/22	By Cash A/c.	2,000
06/3/22	To Sales A/c.	3,000	07/3/22	By Modi	6,000
10/3/22	To Ram	6,500	12/3/22	By Patil	3,000
18/3/22	To Singhal	2,700	18/3/22	By Suresh	4,000
25/3/22	To Goyal	3,300	24/3/22	By Ramesh	1,500
31/3/22	To Patel	6,500	31/3/22	By Bal. C/d	11,500
		28,000			28,000

Pass Book

Dr. **Cr.**

Date	Particulars	Amount Dr. Rs.	Amount Cr. Rs.	Dr. or Cr.	Balance Rs.
1/4/22	By Balance b/d.		3,200	Cr.	3,200
3/4/22	By Goyal		3,300	Cr.	6,500
5/4/22	By Patel		6,500	Cr.	1,3000
7/4/22	To Naresh	2,800		Cr.	10,200
12/4/22	To Ramesh	1,500		Cr.	8,700
15/4/22	To Bank Charges	200		Cr.	8,500
20/4/22	By Usha		1,700	Cr.	10,200
25/4/22	By Kalpana		3,800	Cr.	14,000
30/4/22	To Sunil	6,200		Cr.	7,800

Reconcile the balance of cash book on 31/3/2022.

[Bal. as per pass book- 3,200/-]

Personal Note:-

Question 5: **[SM-ILL.8]**

The Cash Book of Mr. Gadbadwala shows Rs. 8,364 as the balance at Bank as on 31st December, 2022, but you find that it does not agree with the balance as per the Bank Pass Book. On scrutiny, you find the following discrepancies:

(1) On 15th December, 2022 the Payments side of the Cash Book was undercast by Rs. 100.
(2) A cheque for Rs. 131 issued on 25th December, 2022 was not taken in the bank column.
(3) One deposit of Rs. 150 was recorded in the Cash Book as if there is no bank column therein.
(4) On 18th December, 2022 the debit balance of Rs. 1,526 as on the previous day, was brought forward as credit balance.
(5) Of the total cheques amounting to Rs. 11,514 drawn in the last week of December, 2022, cheques aggregating Rs. 7,815 were encashed in December.
(6) Dividends of Rs. 250 collected by the Bank and subscription of Rs. 100 paid by it were not recorded in the Cash Book.
(7) One out-going Cheque of Rs. 350 was recorded twice in the Cash Book.

Prepare a Reconciliation Statement.

[Bal. as per pass book- 15,534/-]

Personal Note:-

Question 6: **[SM-ILL.10]**

When Nikki & Co. received a Bank Statement showing a favourable balance of Rs. 10,392 for the period ended on 30th June, 2022, this did not agree with the balance in the cash book.

An examination of the Cash Book and Bank Statement disclosed the following-

1. **A deposit of Rs. 3,092 paid on 29th June, 2022 had not been credited by the Bank until 1st July, 2022.**
2. **On 30th March, 2022 the company had entered into hire purchase agreement to pay by bankers order a sum of Rs. 3,000 on the 10th of each month, commencing from April, 2022. No entries had been made in Cash Book.**
3. **A customer of the firm, who received a cash discount of 4% on his account of Rs. 4,000 paid the firm a cheque on 12th June. The cashier erroneously entered the gross amount in the bank column of the Cash Book.**
4. **Bank Charges amounting to Rs. 300 had not been entered in Cash-Book.**
5. **On 28th June, a customer of the company directly deposited the amount in the bank Rs. 4,000, but no entry had been made in the Cash Book.**
6. **Rs. 1,200 paid into the bank had been entered twice in the Cash Book.**
7. **A debit of Rs. 100 appeared in the Bank Statement for an unpaid cheque, which had been returned marked 'out of date'. The cheque had been re-dated by the customer and paid into Bank again on 5th July, 2022.**

Prepare Bank Reconciliation Statement on 30th June, 2022.

[Bal. as per cash book- 20,244/-]

Personal Note:-

Question 7: **[MTP JAN. 25, 5 Marks][SM-PQ.3][May-22(5Marks)]**

Prepare a bank reconciliation statement as on 30th September, 2022 from the following particulars :

Particulars	**Rs.**
Bank balance as per pass-book	10,00,000
Cheque deposited into the bank, but no entry was passed in the cash-book	5,00,000
Cheque received, but not sent to bank	11,20,000
Credit side of the bank column cast short	2,000
Insurance premium paid directly by the bank under the standing advice	60,000
Bank charges entered twice in the cash book	2,000
Cheque issued, but not presented to the bank for payment	5,00,000
Cheque received entered twice in the cash book	10,000
Bills discounted dishonoured not recorded in the cash book.	5,00,000

[Bal. as per cash book-16,90,000/-]

Personal Note:-

Question 8: **[PEQ-June.23 – 5 Marks] [SM-ILL.7]**

From the following information, prepare a BRS as at 31st December, 2022 for Messers New Steel Limited:

	Rs.
(1) Bank overdraft as per Cash Book on 31st December, 2022	22,45,900
(2) Interest debited by Bank on 26th December, 2022 but no advice received.	2,78,700
(3) Cheque issued before 31st December, 2022 but not yet presented to Bank	6,60,000
(4) Transport subsidy received from the State Government directly by the Bank but not advised to the company.	14,25,000
(5) Draft deposited in the Bank, but not credited till 31st December, 2022	13,50,000
(6) Bills for collection credited by the Bank till 31st December, 2022 but no advice received by the company	8,36,000
(7) Amount wrongly debited to company account by the Bank, for which no details are available	7,40,000

[Over draft as per pass book 16,93,600/-]

Personal Note:-

Question 9: **[May 18 – 10 Marks]**

The Bank Pass Book of Account No. 5678 of Mrs. Rani showed as overdraft of Rs. 33,575 on 31st March 2022. On going through the Pass Book, the accountant found the following:

(i) **A Cheque of Rs. 1,080 credited in the pass book on 28th March 2022 being dishonoured is debited again in the pass book on 1st April 2022. There was no entry in the cash book about the dishonour of the cheque until 15th April 2022.**

(ii) **Bankers had credited her account with Rs. 2,800 for interest collected by them on her behalf, but the same has not been entered in her cash book.**

(iii) **Out of Rs. 20,500 paid in by Mrs. Rani in cash and by cheques on 31st March 2022 cheques amounting to Rs. 7,500 were collected on 7th April 2022.**

(iv) **Out of Cheques amounting to Rs. 7,800 drawn by her on 27th March 2022 a cheque for Rs. 2,500 was encashed on 3rd April 2022.**

(v) **Bankers seems to have given her wrong credit for Rs. 500 paid in by her in Account No. 8765 and a wrong debit in respect of a cheque for Rs. 300 against her account no. 8765.**

(vi) **A cheque for Rs. 1,000 entered in Cash Book but omitted to be banked on 31st March, 2022.**

(vii) **A Bill Receivable for Rs. 5,200 previously discounted (Discount Rs. 200) with the Bank had been dishonoured but advice was received on 1st April, 2022.**

(viii) **A Bill for Rs. 10,000 was retired/paid by the bank under a rebate of Rs. 175 but the full amount of the bill was credited in the bank column of the Cash Book.**

(ix) **A Cheque for Rs. 2,400 deposited into bank but omitted to be recorded in Cash Book and was collected by the bank on 31st March, 2022.**

Prepare Bank Reconciliation Statement as on 31st March 2022.

[O/D as per cash book – 27,950]

Personal Note:-

Question 10: **[SM-PQ.2][Dec-21(10Marks)]**

According to the cash-book of Gopi, there was a balance of Rs. 44,50,000 in his bank on 30th June, 2022.

On investigation you find that :

(i) Cheques amounting to Rs. 6,00,000 issued to creditors have not been presented for payment till the date.

(ii) Cheques paid into bank amounting to Rs. 11,05,000 out of which cheques amounting to Rs. 5,50,000 only collected by the bank up to 30th June 2022.

(iii) A dividend of Rs. 40,000 and rent amounting to Rs. 6,00,000 received by the bank and entered in the pass-book but not recorded in the cash book.

(iv) Insurance premium (up to 31st December, 2022) paid by the bank Rs. 27,000 not entered in the cash book.

(v) The payment side of the cash book had been under casted by Rs. 5,000.

(vi) Bank charges Rs. 1,500 shown in the pass book had not been entered in the cash book.

(vii) A bill payable of Rs. 2,00,000 had been paid by the bank but was not entered in the cash book and bill receivable for Rs. 60,000 had been discounted with the bank at a cost of Rs. 1,000 which had also not been recorded in cash book.

Required:

(a) **to make the appropriate adjustments in the cash book, and**

(b) **to prepare a statement reconciling it with the bank pass book.**

[Bal. of adjusted cash book- 49,15,500/-, bal. as per pass book- 49,60,500/-]

Personal Note:-

Question 11: **[SM-ILL.5][Nov.19- 10 Marks]**

On 30th September, 2022 the bank account of X, according to the bank column of the Cash-Book, was overdrawn to the extent of Rs. 4,062. On the same date the bank statement showed a balance of Rs. 1,400 in favour of X. An examination of the Cash Book and Bank Statement reveals the following:

1. **A Cheque for Rs. 1,140 deposited on 29th September, 2022 was credited by the bank only on 3rd October, 2022.**
2. **A payment by cheque of Rs. 160 has been entered twice in Cash Book.**
3. **On 29th September, 2022 the bank credited an amount of Rs. 1,740 received from a customer of X, but the advice was not received by X until 1st October, 2022.**
4. **Bank charges amounting to Rs. 58 had not been entered in the Cash Book.**
5. **On 6th September, 2022, the bank credited Rs. 2,000 to X in error.**
6. **A bill of exchange for Rs. 1,000 was discounted by X with his bank. This bill was dishonoured on 28th September, 2022 but no entry had been made in the books of X.**
7. **Cheques issued upto 30th September, 2022 but not presented for payment upto that date totaled Rs. 3,760.**

You are required:

(a) **to show the appropriate rectifications required in the Cash Book of X, to arrive at the correct balance on 30th September, 2022 and**

(b) **to prepare a bank reconciliation statement as on that date.**

[cr. bal. of adjusted cash book- 3220/-, bal. as per pass book cr. 1400/-]

Personal Note:-

HOME WORK QUESTIONS

Question 12: (C/B-Dr.Bal.) **[SM-PQ.4][Nov.2018-10Marks, RTP May-20]**

Prepare a bank reconciliation statement from the following particulars as on 31st March, 2022.

Particulars	(Rs.)
Debit balance as per bank column of the cash book	18,60,000
Cheque issued to creditors but not yet presented to the Bank for Payment	3,60,000
Dividend received by the bank but not entered in the Cash book.	2,50,000
Interest allowed by the Bank	6,250
Cheques deposit into bank for collection but not collected by bank up to this date	7,70,000
Bank Charges not entered in Cash Book.	1,000
A cheque deposited into bank was dishonored, but no intimation received	**1,60,000**
Bank Paid house tax on our behalf, but no intimation received from bank in this connection.	1,75,000

[Cr. Bal. as per P/B – 13,70,250/-]

Personal Note:-

Question 13: (P/B-Cr. Bal) **[MTP SEP 24 – 5 Marks][SM-ILL.3]**

On 31st March 2022, the Bank Pass Book of Namrata showed a balance of Rs. 1,50,000 to her credit while balance as per cash book was Rs. 1,12,050. On scrutiny of the two books, she ascertained the following causes of diuerence:

i) She has issued cheques amounting to Rs. 80,000 out of which only Rs. 32,000 were presented for payment.
ii) She received a cheque of Rs. 5,000 which she recorded in her cash book but forgot to deposit in the bank.
iii) A cheque of Rs. 22,000 deposited by her has not been cleared yet.
iv) Mr. Gupta deposited an amount of Rs. 15,700 in her bank which has not been recorded by her in Cash Book yet.
v) Bank has credit an interest of Rs. 1,500 while charging Rs. 250 as bank charges. Prepare a bank reconciliation statement.

[Bal. as per cash book- 1,12,050/-]

Personal Note:-

Question 14: (P/B-Cr. Bal) **[RTP-Nov.21]**

On 31st March, 2022 the pass-book of a trader showed a credit balance of Rs. 15,65,000 but the pass book balance was different for the following reasons from the cash book balance:

1. Cheques issue to 'X' for Rs. 60,000 and to 'Y' for Rs. 3,84,000 were not yet presented for payment.
2. Bank charged Rs. 350 for bank charges and 'Z' directly deposited Rs. 1,816 into the bank account, which were not entered in the cash book.
3. **Two cheques one from 'A' for Rs. 5,15,000 and another form 'B' for Rs. 12,500 were collected in the first week of April, 2022 although they were banked on 25.03.2022.**
4. Interest allowed by bank Rs. 4,500

Prepare a bank reconciliation statement as on 31st March, 2022.

[Bal. as per cash book 16,42,534/-]

Personal Note:-

Question 15: (C/B-Cr.Bal. i.e. O/D) **[SM-ILL.4]**

From the following particulars ascertain the balance that would appear in the Bank Pass Book of A on 31st December, 2022.

(1) The bank overdraft as per Cash Book on 31st December, 2022 Rs.6,340.
(2) Interest on overdraft for 6 months ending 31st December, 2022 Rs.160 is entered in Pass Book.
(3) Bank charges of Rs. 30 for the above paid are debited in Pass Book.
(4) Cheques issued but not cashed prior to 31st December, 2022 were for Rs. 1,168.
(5) Cheques paid into bank but not cleared before 31st December, 2022 were for Rs. 2,170.
(6) Interest on investments collected by the bank and credited in the Pass Book Rs. 1,200.

[O/D Balance as per pass book- 6,332]

Personal Note:-

Question 16: (C/B- Cr.Bal.) **[SM-ILL.11]**

The bank account of Mukesh was balance on 31st March, 2022. it showed an overdraft of Rs. 5,000. Prepare a bank reconciliation statement taking the following into account:

(1) Cheques issued but not presented for payment till 31.3.2022 Rs. 12,00,000.
(2) Cheques deposited but not collected by bank till 31.3.2022 Rs. 20,00,000.
(3) Interest on term-loan Rs. 10,00,000 debited by bank on 31.3.2022 but not accounted in Mukesh's book.
(4) Bank charges Rs. 2,500 was debited by bank during March, 2022 but accounted in the books of Mukesh on 4.4.2022.
(5) An amount of Rs. 30,68,000 representing collection of Murukesh's cheque was wrongly credited to the account of Mukesh by the bank in their bank statement.

[Cr. bal. as per pass book- 12,60,500/-]

Personal Note:-

Question 17: (BRS After Rect.) **[RTP-May-21]**

From the following information (as on 31.3.2022), prepare a bank reconciliation statement after making necessary amendments in the cash book.

	Amount (Rs.)
Bank balances as per cash book (Dr.)	32,50,000
Cheques deposited, but not yet credited	44,75,000
Cheques issued but not yet presented for payment	35,62,000
Bank charges debited by bank but not recorded in cash-book	12,500
Dividend directly collected by the bank	1,25,000
Insurance premium paid by bank as per standing instruction not intimated	15,900
Cash sales wrongly recorded in the Bank column of the cash-book	**2,55,000**
Customer's cheque dishoured by bank not recorded in the cash-book	1,30,000
Wrong credit given by bank	1,50,000

Also show the bank balance that will appear in the trial balance as on 31.3.2022.

[Rectified Bank Balance- 29,61,600/-, P/B- 21,98,600/-]

Personal Note:-

Question 18: (P/B-Dr.Bal.) (Read Only) **[MTP- Nov. 22, May 25, May 19- 10 Marks]**

Prepare the Bank Reconciliation Statement of M/s. R.K. Brothers on 30th June 2022 from the particulars given below:

(i) The Bank Pass Book had a debit balance of Rs. 25,000 on 30th June, 2022.

(ii) A cheque worth Rs. 400 directly deposited into Bank by a customer but no entry was made in the Cash Book.

(iii) Out of cheques issued worth Rs. 34,000, cheques amounting to Rs. 20,000 only were presented for payment till 30th June, 2022.

(iv) A cheque for Rs. 4,000 received and entered in the Cash Book but it was not sent to the Bank.

(v) Cheques worth Rs. 20,000 had been sent to Bank for collection but the collection was reported by the Bank as under.

(1) Cheques collected before 30th June, 2022, Rs. 14,000

(2) Cheques collected on 10th July, 2022, Rs. 4,000

(3) Cheques collected on 12th July, 2022, Rs. 2,000.

(vi) The Bank made a direct payment of Rs. 600 which was not recorded in the Cash Book.

(vii) Interest on Overdraft charged by the bank Rs. 1,600 was not recorded in the Cash Book.

(viii) Bank charges worth Rs. 80 have been entered twice in the cash book. Whereas insurance charges of Rs. 70 directly paid by bank was not at all entered in the cash book.

(ix) The credit side of bank column of Cash Book was undercast by Rs. 2,000.

[O/D as per C/B –Rs. 25,210]

Personal Note:-

Question 19: (BRS After Rect.)

On 31st March 2022, the bank column of the Cash Book of Mr. Sanjeev disclosed an overdraft balance of Rs. 8,300. On examining the Cash Book and bank Statement you find that:

(i) Cheques were deposited into bank for Rs. 16,000, but of these cheques for Rs. 4,600 were cleared and credited in April 2022.

(ii) Cheques were issued for Rs. 7,500, out of which cheques for Rs. 6,000 had been presented for payment in March 2022.

(iii) In March Mr. Sanjeev had discounted with bank a bill of exchange for Rs. 10,000 and had entered this amount in the Cash Book, but the proceeds credited, as shown by the Pass Book, amounted to Rs. 9,600.

(iv) No entry is made in the Cash Book of an amount of Rs. 6,100 directly deposited by a customer in the bank account.

(v) Bank column of the payment side of the Cash Book was undercast by Rs. 1,000.

(vi) Payment of insurance premium of Rs. 2,000 and receipt of insurance claim of Rs. 8,000 appear in the Pass Book but not entered in the Cash Book.

(vii) A cheque for Rs. 3,500 issued to Mr. X was omitted to be recorded in the Cash Book.

(viii) A cheque for Rs. 2,800 issued to Mr.Y was entered in the cash column of the Cash Book.

Make the appropriate adjustments in the Cash Book and prepare a bank reconciliation statement with the Amended Cash Book balance as on 31st March 2022.

[Rect. Bal.-3,900 (O/D), O/D as per P/B-7,000]

Personal Note:-

Question 20: (BRS After Rect.) **[SM-ILL.6]**

On 30th December, 2022 the bank column of A. Philip's cash book showed a debit balance of Rs. 4,610. On examination of the cash book and bank statement of find that:

1. Cheques amounting to Rs. 6,30,000 which were issued to trade payables and entered in the cash book before 30th December, 2022 were not presented for payment until that date.
2. **Cheques amounting to Rs. 2,50,000 had been recorded in the cash book as having been paid into the bank on 30th December, 2022 were not presented for payment until that date.**
3. A cheque for Rs. 73,000 had been dishonoured prior to 30th December, 2022, but no record of this fact appeared in the cash book.
4. A dividend of Rs. 3,80,000, paid direct to the bank had not been recorded in the cash book.
5. Bank interest and charges amounting to Rs. 4,200 had been charged in the bank statement but not entered in the cash book.
6. No entry had been made in the cash book for a trade subscription of Rs. 10,000 paid vide banker's order in November, 2022.
7. **A cheque for Rs. 27,000 drawn by B.Philip had been charged to A.Philip's bank account by mistake in December, 2022.**

You are required:

(a) to make appropriate adjustments in the cash book bringing down the correct balance, and

(b) to prepare a statement reconciling the adjusted balance in the cash book with the balance shown in the bank statement.

[Rectified Bal.- 2,97,410, Cr. Bal. as per P/B -6,50,410]

Personal Note:-

Question 21: (C/B-Cr.Bal.) (BRS after Rect.) **[Nov.20 (10Marks]**

On 31-3-2022, Mahesh's Cash Book Showed a Bank overdraft of Rs. 98,700. On comparison he finds the following :

(1) Out of the total cheques of Rs. 8,900 issued on 27th March, one cheque of Rs. 7,400 was presented for payment on 4th April and the other cheque of Rs. 1,500 handed over to the creditor, was returned by him and in lieu of that a new cheque of the same amount was issued to him on 1st April. No entry for the return was made.

(2) Out of total cash and cheques of Rs. 6,800 deposited in the Bank on 24th March, one cheque of Rs. 2,600 was cleared on 3rd April and the other cheque of Rs. 500 was returned dishonoured by the bank on 4th April.

(3) Bank charges Rs. 35 and Bank interest Rs. 2,860 charged by the bank appearing in the passbook are not yet recorded in the cash book.

(4) A cheque deposited in his another account of Rs. 1,550 wrongly credited to this account by the bank.

(5) A cheque of Rs. 800, drawn on this account, was wrongly debited in another account by the bank.

(6) A debit of Rs. 3,500 appearing in the bank statement for an unpaid cheque returned for being 'out of date' had been re-dated and deposited in the bank account again on 5th April 2022.

(7) The bank allowed interest on deposit Rs. 1,000.

(8) A customer who received a cash discount of 4% on his account of Rs. 1,00,000 paid a cheque on 20th March, 2022. The cashier erroneously entered the gross amount in the bank column of the Cash Book.

Rectify Cash Book and Prepare Bank Reconciliation Statement as on 31-3-2022.

[Rectified Bal. 1,07,095, O/D As per P/B Rs. 99,945]

Personal Note:-

Question 22: (C/B-Dr.Bal.) (BRS after Rect.) **[Jan-21(4 Marks)]**

Prepare a Bank Reconciliation Statement after rectifications from the following particulars as on 31st December, 2022 :

Particulars	Rs.
Bank Balance as per Cash Book (Debit)	1,98,000
Bank Charges debited by the bank not recorded in Cash Book	34,000
Received from debtors vide RTGS on 31st December, 2022 not recorded in Cash Book	**1,00,000**
Cheque issued but not presented for payment	45,000
Cheque deposited but not cleared	25,000
Cheque received and deposited but dishonoured. Entry for dishonour not made in the Cash Book	5,000
Instruction for payment given to the bank on 31st December, 2022 but the same effected by the Bank on 1st January, 2023	**4,000**

[Bal. as per P/B Rs. 2,83,000]

Personal Note:-

Question 23: (P/B-Dr. Bal.) (Read Only) **[July-21(5 Marks)]**

From the following information, ascertain the Cash Book balance of Mr. Bajaj as on 31st March, 2022:

(i) Debit balance as per Bank Pass Book Rs. 3,500.

(ii) A cheque amounting to Rs. 2,500 deposited on 15th March, but the same was returned by the Bank on 24th March for which no entry was passed in the Cash Book.

(iii) During March, two bills amounting to Rs. 2,500 and Rs. 500 were collected by the Bank but no entry was made in the Cash Book.

(iv) A bill for Rs. 5,000 due from Mr. Balaji previously discounted for Rs. 4,800 was dishonored. The Bank debited the account, but no entry was passed in the Cash Book.

(v) A Cheque for Rs. 1,500 was debited twice in the cash book.

[Bal. as per C/B Rs. 25,00]

Personal Note:-

Question 24: (P/B-Dr. Bal.) **[RTP JAN. 25][RTP-May-22]**

From the following particulars of M/s Swapnil enterprises, prepare a Bank reconciliation statement:

(1) Bank overdraft as per Pass Book as on 31st March, 2022 was Rs. 8,800

(2) Cheques deposited in Bank for Rs. 5,800 but only Rs. 2,000 were cleared till 31st March.

(3) Cheques issued were Rs. 2,500, Rs. 3,800 and Rs. 2,000 during the month. The cheque of Rs. 5,800 is still with supplier.

(4) Dividend collected by Bank Rs. 1,250 was wrongly entered as Rs. 1,520 in Cash Book.

(5) Amount transferred from fixed deposit A/c into the current A/c Rs. 2,000 appeared only in Pass Book.

(6) Interest on overdraft Rs. 930 was debited by Bank in Pass Book and the information was received only on 3rd April 2022.

(7) Direct deposit by M/s Rajesh Trader Rs. 400 not entered in Cash Book.

(8) Corporation tax Rs. 1,200 paid by Bank as per standing instruction appears in Pass Book only.

[O/D as per C/B Rs. 10,800]

Personal Note:-

Question 25: (P/B-Cr. Bal.) **[RTP-Nov.20]**

Prepare a Bank Reconciliation Statement of Shri Hari as on 31st March, 2022:

(i) Balance as per Pass Book is Rs. 10,000.

(ii) Bank collected a cheque of Rs. 500 on behalf of Shri Hari but wrongly credited it to Shri Hari's Account (another customer of bank).

(iii) Bank recorded a cash deposit of Rs. 1,589 as Rs. 1,598.

(iv) Withdrawal column of the Pass Book undercast by Rs. 100.

(v) The credit balance of Rs. 1,500 on page 5 was recorded on page 6 as debit balance.

(vi) The payment of a cheque of Rs. 350 was recorded twice in the Pass Book.

(vii) The Pass Book showed a credit for a cheque of Rs. 1,000 deposited by Shri Hari (another customer of the bank).

[Bal. as per C/B Rs. 12,741]

Personal Note:-

Question 26: (C/B-Cr. Bal.) **[RTP-May-19]**

On 30th November, 2022, the Cash Book of Mr. Hari showed an overdrawn position of Rs. 4,480 although his Bank Statement showed only Rs. 3,200 overdrawn. An examination of the two records showed the following errors:

(i) The debit side of the Cash Book was undercast by Rs. 400.

(ii) A cheque for Rs. 1,600 in favour of Y suppliers Ltd. was omitted by the bank from the statement, the cheque was debited to another customer's Account.

(iii) A cheque for Rs. 172 drawn for payment of telephone bill was recorded in the Cash Book as Rs. 127 but was shown correctly in the Bank Statement.

(iv) A cheque for Rs. 425 from Mr. Pal paid into bank was dishonoured and shown as such on the Bank Statement, although no entry relating to the dishonoured cheque was made in the Cash Book.

(v) The Bank had debited a cheque for Rs. 150 to Mr. Hari's Account by mistake, it should have been debited by them to Mr. Kar's Account.

(vi) A dividend of Rs. 100 was collected by the bank but not entered in the Cash Book.

(vii) Cheques totalling Rs. 1,300 drawn on November was not presented for payment.

(viii) Cheque for Rs. 1,200 deposited on 30th November was not credited by the Bank.

(ix) Interest amounting to Rs. 300 was debited by the Bank but yet to be entered in the Cash Book.

You are required to prepare a Bank Reconciliation Statement on 30th November, 2022.

[O/D as per C/B Rs. 4,480]

Personal Note:-

Question 27: (C/B-Dr. Bal.) **(SM PQ. 6) [RTP-May-18, Nov.22]**

The Cash-book of M/s ABC shows Rs. 27,570 as the balance at Bank as on 31st March, 2022. But this does not agree with balance as per the Bank Statement. On scrutiny following discrepancies were found:

(i) Subsidy Rs. 10,250 received from the government directly by the bank, but not advised to the company.

(ii) On 15th March, 2022 the payments side of the Cash-book was under cast by Rs. 350.

(iii) On 20th March, 2022 the debit balance of Rs. 2,156 as on the previous day, was brought forward as credit balance in Cash-book.

(iv) A customer of the M/s ABC, who received a cash discount of 5% on his account of Rs. 2,000, paid to M/s ABC a cheque on 24th March, 2022. The cashier erroneously entered the gross amount in the Cash-Book.

(v) On 10th March, 2022 a bill for Rs. 5,700 was discounted from the bank, entered in Cash-book, but proceeds credited in Bank Statement amounted to Rs. 5,500 only.

(vi) A cheque issued amounting to Rs. 1,725 returned marked 'out of date'. No entry made in Cash-book.

(vii) Insurance premium Rs. 756 paid directly by bank under a standing order. No entry made in cash-book.

(viii) A bill receivable for Rs. 1,530 discounted for Rs. 1,500 with the bank had been dishonoured on 30th March, 2022, but advice was received on 1st April, 2022.

(ix) Bank recorded a Cash deposit of Rs. 1,550 as Rs. 1,505.

Prepare Bank Reconciliation Statement on 31st March, 2022.

[Bal. as per P/B Rs. 40,876]

Personal Note:-

Question 28: (C/B – Cr. Bal.) **[MTP SEP. 24, 10 Marks][MTP March 22, 10 Marks]**

On 30th June. 2022, Cash Book of Ms. Suman (Bank Column of Account No.1) shows a Bank Overdraft of Rs. 1,97,400. On going through the Bank Pass book for reconciling the Balance, she found the following:

(a) Out of cheques drawn on 26th June, those for Rs. 14,800 were cashed by the bankers on 2nd July.

(b) A crossed cheque for Rs. 3000 given to Abdul was returned by him and a bearer cheque was issued to him in lieu on 1st July.

(c) Cash and cheques amounting to Rs. 13,600 were deposited in the Bank on 29th June., but cheques worth Rs. 5,200 were cleared by the Bank on 1st July., and one cheque for Rs. 1,000 was returned by them as dishonoured on the latter date.

(d) According to Suman's standing instructions, the bankers have on 30th June, paid Rs. 1,280 as interest to her creditors, paid quarterly premium on her policy amounting to Rs. 640 and have paid a second call of Rs. 2,400 on shares held by her and lodged with the bankers for safe custody. They have also received Rs. 600 as dividend on her shares and recovered an Insurance Claim of Rs. 3,200, as their charges and commission charged on the above being Rs. 400. On receipt of information of the above transaction, she has passed necessary entries in her Cash Book on 1st July.

(e) Bankers seem to have given a wrong credit for Rs. 2,000 paid in by her in No. 2 account and wrong debit in respect of a ceque for Rs. 1,200 drawn against her No. 2 account.

Prepare a Bank Reconciliation Statement as on 30th June, 2022.

[O/D as per P/B Rs. 185920/-]

Personal Note:-

Question : 29 (Read Only) **(PEQ-Sep.25-5 Marks) (SM - PQ. 5)**

Prepare a bank reconciliation statement from the following particulars on 31st March, 2022 and show the balance as per cash book:

i) Overdraft as per passbook on March 31, 2022, is ₹ 3,00,000.

ii) Interest on bank overdraft not entered in the cash book Rs. 36,500

iii) Insurance premium of Rs. 17,950 was due and paid by the bank but same has not been accounted in the books.

iv) Cheques drawn in the last week of March, 2022, but not cleared till date for ₹ 13,000 and Rs. 23,500.

v) Cheques deposited into bank on February, 2022, but yet to be credited on dated March 31, 2022 Rs. 56,000.

vi) Amount of Rs. 20,500 is wrongly debited by the bank

vii) Interest on Investment Rs. 83,800 collected and credited by bank but the same has not been entered in the Cash Book.

Personal Note:-

Question 30: [SM-ILL.1]

Messer's Tall & Short, Faiz Bazar, New Delhi-110002
in account with
Punjab National Bank, Daryaganj, New Delhi-110002

PASS-BOOK

Date		Particulars	Withdrawals Rs.	Deposits Rs.	Dr. or Cr.	Balance Rs.
2022						
Jan.	2	By Cash		4,00,000	Cr.	4,00,000
"	4	To Furniture Dealers Ltd.	60,000		Cr.	3,40,000
"	4	To Das & Co.	1,25,000		Cr.	2,15,000
"	10	By J. Johnson & Co.'s cheque		35,000	Cr.	2,50,000
"	12	To Roy & James	1,00,000		Cr.	1,50,000
"	15	By B. Babu & Co's cheque		76,000	Cr.	2,26,000
"	16	By Cash		30,000	Cr.	2,56,000
"	20	To Cash	50,000		Cr.	2,06,000
"	26	By J. Rai & Bros cheque		43,000	Cr.	2,49,000
"	31	To Premium paid as per standing instructions	25,000		Cr.	2,24,000
	31	To Bank Charges	1,000		Cr.	2,23,000
	31	By Interest collected on Government Securities		20,000	Cr.	2,43,000

CASH-BOOK (Bank column only)

Date	Particulars	Amount Rs.	Date	Particulars	Amount Rs.
2022			2022		
Jan. 1	To Cash	4,00,000	Jan. 2	By Furniture	
Jan. 2	To J. Johnson & Co.	35,000		Dealers Ltd.	60,000
Jan. 8	To B. Babu& Co.	76,000	Jan. 2	By Roy & James	1,00,000
Jan. 10	To Cash	30,000	Jan. 2	By Das & Co.	1,25,000
Jan. 16	To J. Rai & Bros.	43,000	Jan. 4	By K. Nagpal & Co.	73,000
Jan. 20	To M. Mohan & Co.	1,05,000	Jan. 17	By Cash	50,000
Jan. 22	To N. Nandy & Sons	34,000	Jan. 20	By B. Babu & Co.	78,000
			Jan. 31	By Balance c/d	2,37,000
		7,23,000			7,23,000
Feb. 1	To Balance b/d	2,37,000			

Start BRS with the pass book balance and arrive at the balance as per cash book.

Personal Note:-

Question: 31 (Read Only) **(PEQ. Jan.-26-10M)(PEQ. Dec. - 23, 8 Marks)**

From the following particulars, prepare a Bank Reconciliation Statement as on 31st December, 2022.

(i) Debit balance (overdraft) shown by the pass book Rs. 2,48,000.
(ii) Cheques of 2,10,000 were issued in the last week of December, but of these Rs. 1,40,000 only were presented for payment.
(iii) A Cheque for Rs. 19,200 drawn for the payment of telephone bill had been entered in the cash book as Rs. 29,200 but was shown correctly in the bank statement.
(iv) A cheque received for Rs. 37,520 entered twice in the Cash book.
(v) A Cheque for Rs. 1,17,000 was issued for purchase of merchandise and was paid by the bank but not recorded in cash book.
(vi) Interest on overdraft and bank charges amounting to Rs. 3,500 were not entered in the Cash Book.
(vii) A Cheque for 45,000 was credited in the Pass Book but was not recorded in the Cash Book.
(viii) A bill of exchange for Rs. 26,200 which was discounted with bank returned dishonored but no entry was made in the cash book.
(ix) Payment side of the Cash Book has been undercast by Rs. 12,000.

Personal Note:-

Question : 32 (Read Only) **(PEQ. June – 24, 5 Marks)**

From the following particulars, prepare the Bank Reconciliation Statement of businessman as on 31st March, 2024:

Sl. No.	Particulars	₹
1	Bank Overdraft as per cash book	24,000
2	Cheque deposited as per bank statement but not recorded in cash book	4,000
3	Cash received from Exe was entered in bank column of cash book.	3,150
4	Debit side of the bank column casted short	1,000
5	A cheque for ₹ 9,000 deposited but collection as per bank statement	8,950
6	Bills sent to the bank for collection, collected by the bank but not recorded in cash book	4,200
7	Bank charges recorded twice in cash book	40
8	Noting charges debited in Pass-Book for discounted bill dishonoured	60
9	Cheques deposited on 25th March, 2024 but collected by bank on 5th April, 2024	4,800
10	Cheques issued on 26th Mrach, 2024 but presented for encashment on 6th April, 2024	3,000

Personal Note:-

Question : 33 **(PEQ. Sep. – 24, 10 Marks)**

The cash book of Hari showed a debit balance of ₹ 1,36,800 as on 31.12.2023 which was in disagreement with balance as per pass book. Following discrepancies were noticed :

(i) Dividend of ₹ 18,000 was deposited in the bank of which Hari had no information.

(ii) Cheque was issued to Suresh of ₹ 14,780 on 18.12.2023 which was recorded in cash book as ₹ 14,870.

(iii) Cheques totalling of ₹ 55,000 were deposited into bank on 30.12.2023 which were not cleared until 31.12.2023.

(iv) Mediclaim premium of ₹ 14,160 was paid as per the standing instruction of Hari which was not recorded in cash book.

(v) Goods amounting ₹ 1,60,000 were sold to Ajay in November 2023. He deposited cheque on 15.12.2023 after deducted 4% cash discount. This entry was missed while preparing cash book.

(vi) Bank charges for issue of cheque book ₹ 150 was skipped while preparing cash book.

(vii) Hari received a UPI of ₹ 1,000 on 29.12.2023 for sale of scrap which was not entered in cash book.

(viii) Cheques amounting to ₹ 1,80,000 were issued during the month but cheques of ₹ 1,44,000 were only presented during the month for payment.

Prepare Bank Reconciliation Statement on 31.12.2023 and ascertain balance as per pass book.

Personal Note:-

Question: 34 **(Similar to Q. 5 & 6) (Read Only)** **(PEQ – JAN. 25, 10 Marks)**

From the following information, prepare a Bank Reconciliation Statement as on June 30, 2024 for M/s XYZ Limited:

(i) The Bank column of Cash Book was overdrawn to the extent of Rs. 24,768.

(ii) Bank charges amounting to Rs. 350 had not been entered in the Cash Book.

(iii) Cheque amounting to Rs. 88,678 issued before June 30, 2024 but not yet presented to Bank.

(iv) One payment of Rs. 4,590 was recorded in the Cash Book as if there is no bank column.

(v) The company paid Rs. 15,500 to a creditor and received a cash discount @ 2%. The cashier erroneously entered the gross amount in the bank column of the Cash Book.

(vi) A debit of Rs. 5,700 appeared in the Bank Statement for an unpaid cheque, which had been returned marked out of date'. The cheque had been re-dated by the customer and paid into the Bank again on July 8, 2024.

(vii) Cheques deposited in bank but not yet cleared amount to Rs. 45,789.

(viii) Dividends of Rs. 1,980 collected by the Bank was not recorded in the Cash Book.

(ix) Amount of Rs. 2,340 wrongly credited by bank to company account for which no details are available.

(x) On June 25, 2024 the credit side of bank column of the Cash Book was overcast by Rs. 6,789.

Personal Note:-

Question: 35 **(MTP Jan. 25, 10 Marks)**

Prepare a Bank Reconciliation statement for Ramesh Traders as on 31st March, 2024.

The cash book of Ramesh Traders shows a debit balance of Rs. 8,24,400 at bank as on 31st March,2024, but you find that it does not agree with the balance as per Pass Book. After checking you find the following:

1. On 12th March, 2024 the payment side of the Cash Book was under cast by Rs. 24,000/-
2. A cheque of Rs. 1,70,000 issued on 20th March, 2024 was not taken in the bank column.
3. On 22nd March, 2024 the debit balance of Rs. 37,000 as on the previous day, was brought forwards as credit balance.
4. Out of the total cheques amounting to Rs. 84,000 issued in, the last week of March, 2024, cheques aggregating Rs. 57,000 were encashed in March, 2024.
5. Dividends of Rs. 70,000 collected by the Bank and Fire insurance premium of Rs. 40,000 paid by it were not recorded in the cash book.
6. One cheque issued to a creditor of Rs. 2,58,000 was recorded twice in the Cash book.
7. **A debtor Mr. Sahid has deposited the Cheque for Rs. 64,000 into the bank directly in the month of March, 2024 without intimating to Ramesh Traders and the same cheque was dishonored by the bank due to insufficient funds in the month of March itself.**
8. A cheque from customer for Rs. 10,000 was deposited in bank on 28th March, 2024 but was dishonored and advice received from bank on 3rd April, 2024.
9. Bank paid credit card bill of Rs. 5,000 which is not recorded in cash book.
10. Bank wrongly credited cheque of Rs. 50,000 of other customer in our account.
11. **Bank credited cheque of Rs. 4,000 in savings account of proprietor of Ramesh Traders instead of crediting cheque in current account of Ramesh Traders.**
12. **Rs. 1,000 discount received wrongly entered in bank column in cash book.**
13. Bank debited charges Rs. 400 on 25th March for which no intimation received till 31st March

Personal Note:-

ANSWER OF HOME WORK QUESTIONS

Solution 12:

Bank Reconciliation Statement as on 31st March, 2022

Particulars	Details Rs.	Amount Rs.
Debit balance as per Cash Book		18,60,000
Add: Cheque issued but not yet presented to bank for payment	3,60,000	
Dividend received by bank not entered in Cash book	2,50,000	
Interest Credited by bank	6,250	6,16,250
		24,76,250
Less: Cheques deposited into bank but not yet collected	7,70,000	
Bank charges debited by Bank	1,000	
Cheque deposited into bank was dishonoured	1,60,000	
House tax paid by bank	1,75,000	(11,06,000)
Credit balance as per Pass Book		**13,70,250**

Solution 13:

Bank Reconciliation Statement as on 31st March 2022

Particulars	Details (Rs.)	Amount (Rs.)
Balance as per Pass Book (Cr.)		1,50,000
Add: Cheque deposited but not yet cleared	22,000	
Add: Cheque recorded in Cash Book but not yet deposited	5,000	
Add: Bank Charges debited by bank	250	27,250
Less: Cheque issued but not yet presented	48,000	
Less: Amount deposited but not recorded in Cash Book	15,700	
Less: Interest allowed by bank	1,500	(65,200)
Balance as per Cash Book		1,12,050

Solution 14:

Bank Reconciliation Statement as on 31st March, 2022

Particulars	Details Rs.	Rs.	Amount Rs.
Credit Balance as per the pass book			15,65,000
Add: Cheques deposited into bank but not yet collected	A: 5,15,000 B: 12,500	5,27,500	
Bank Charges debited by the bank		350	5,27,850
			20,92,850
Less: Cheques issued but not presented for payment	X: 60,000 Y: 3,84,000	4,44,000	
Direct deposit of cash in bank by Z		1,816	
Interest allowed by the bank		4,500	(4,50,316)
Debit balance as per the cash book			16,42,534

Solution 15:

Bank Reconciliation Statement As on 31st December, 2022

Particulars	Amount Rs.
Overdraft as per Cash Book (Cr. Bal.)	6,340
Add: Interest debited in the Pass Book but not yet entered in the Cash Book	160
Add: Bank charges debited in the Pass Book but not entered in the Cash Book	30
Add : Cheques deposited but not yet credited in the Pass Book	2170
	8700
Less: Cheques issued but not yet presented	(1168)
Less: Interest collected and credited by bank but not yet entered in Cash Book	(1200)
Overdraft as per Pass Book	6332

The above Question can also be presented with the column for "Plus" and"Minus."

Particulars	Plus Amount Rs.	Minus Amount (Rs.)
Overdraft as per Cash Book		6,340
Interest debited in Pass Book but not yet in Cash Book		160
Cheque issued but not yet presented	1168	
Cheques paid in but not yet credited by the Bank		2170
Bank charges		30
Interest collected and credited by the Bank in the Pass Book but not yet entered in Cash Book	1200	
	2368	
Overdraft as per Pass Book (Rs.8,700 – 2,368)	6332	
Total	8700	8700

Solution 16:

In the books of Mukesh
Bank Reconciliation Statement as on 31.3.2022

Particulars	Details	Amount Rs.
Overdraft (i.e. Cr. Bal.) as per the cash book		5,000
Add: Cheques deposited in bank but not collected and credtired by bank till 31.3.2022	20,00,000	
Interest on term loan not accounted in books	10,00,000	
Bank Charges not accounted in books	2,500	30,02,500
		30,07,500
Less: Cheque issued but not presented for payment till 31.3.2022		(12,00,000)
		18,07,500
Less: Erroneous credit by bank to Mukesh's account		(30,68,000)
Credit Balance as per the bank statement		12,60,500

Solution 17:

Cash Book as on 31.3.2022
(After making necessary amendments)

Dr. **Cr.**

Particulars	Amount Rs.	Particulars	Amount Rs.
To Balance b/d	32,50,000	By Bank charges	12,500
To Dividend	1,25,000	By Insurance premium	15,900
		By Trade receivables (cheque dishonoured)	1,30,000
		By Cash A/c (wrongly recorded cash sales)	2,55,000
		By Balance c/d	29,61,600
	33,75,000		33,75,000

Bank Reconciliation Statement as on 31.3.2022

Particulars	Details	Amount Rs.
Dr. balance as per the cash book		29,61,600
Add: Cheques issued but not yet presented for payment	35,62,000	
Wrong credit given by bank	1,50,000	37,12,000
		66,73,600
Less: Cheques deposited but not yet credited by bank		(44,75,000)
Balance as per the pass book		21,98,600

The bank balance of Rs. 29,61,600 will appear in the trial balance as on 31st March, 2022.

Solution 18:

Bank Reconciliation Statement as on 30th June 2022

	Particulars	Amount	Amount
	Overdraft as per Pass Book (Dr. Balance)		25,000
Add:	Cheques issued but not presented Rs. (34,000- 20,000)	14,000	
	Cheques deposited into the Bank by Customer but not entered in Cash Book	400	
	Bank charges written twice in Cash Book	80	14,480
			39,480
Less:	Cheques received, recorded in cash Book but not sent to the Bank	4,000	
	Cheques sent to the Bank but not collected (20,000 – 14,000)	6,000	
	Direct payment made by the bank not recorded in the Cash book	600	
	Interest on Overdraft charged by Bank	1,600	
	Insurance charges not entered in Cash Book	70	
	Credit side of bank column of Cash Book was undercast	2,000	(14,270)
	Overdraft as per Cash Book		25,210

Solution 19:

AMENDED CASH BOOK (BANK COLUMN)
As on 31st March, 2022

Receipts	L.F.	Amount (Rs.)	Payments	L.F.	Amount
To Customer A/c		6,100	By Balance b/d		8,300
To Insurance Claim A/c		8,000	By Discount Charges		400
To Balance c/d		3,900	By Adjustment of undercasting		1,000
			By Insurance Premium A/c		2000
			By X (Cheque issued omitted to be recorded)		3,500
			By Y (Cheque issued wrongly entered in the cash column)		2,800
		18,000			**18,000**

BANK RECONCILIATION STATEMENT
As on 31st March 2022

Particulars	Amount (Rs.)
Overdraft (Cr.) Balance as per Amended Cash Book	3,900
Cheques deposited but not credited by bank upto 31st March	4,600
Cheques issued but not presented for payment upto 31st March	(1,500)
Overdraft (Dr.) Balance as per Pass Book	7000

Solution 20:

(a) **A. Philip Cash Book (Bank column)**

Date 2022	Particulars	Amount Rs.	Date 2022	Particulars	Amount Rs.
Dec. 30			Dec. 30		
	To Balance b/d	4,610		By Trade Receivables- Cheque dishonoured	73,000
	To Dividend received	3,80,000		By Bank Interest and Charges	4,200
				By Trade Subscription	10,000
			Dec. 30	By Balance c/d	2,97,410
		3,84,610			3,84,610
2023					
Jan. 1	To Balance b/d	2,97,410			

(b) **Bank Reconciliation Statement as at 30th December, 2022**

Particulars	**Amount Rs.**
Dr. Balance per cash book	2,97,410
Add: Cheques issued not yet presented	6,30,000
	9,27,410
Deduct: Cheque deposited but not collected	(2,50,000)
	6,77,410
Deduct: Cheque wrongly charged	(27,000)
Balance as per the bank statement	6,50,410

Solution 21:

(i) Adjusted Cash Book as on 31-03-2022

Particulars	Rs.	Particulars	Rs.
To Interest on deposit	1,000	By balance b/d	98,700
To Creditor a/c-		By bank charges & interest	2,895
Cheque returned	1,500	(35 + 2,860)	
To Balance c/d	1,07,095	By customer a/c - cheque dishonoured	500
		By Cheque Returned	3,500
		By Discount allowed	4,000
		(1,00,000 -96,000)	
	1,09,595		1,09,595

(ii) Bank Reconciliation Statement as on 31st March, 2022

Particulars	Rs.	Rs.
Overdraft (Cr. Bal.) as per Adjusted Cash Book		1,07,095
Add:		
Cheque deposited but not credited in the bank	2,600	2,600
		1,09,695
Less:		
Cheques issued but not presented in the bank	(7,400)	
Cheque deposited in another account wrongly credited to this account by the bank	(1,550)	
Cheque drawn (issued) in this a/c wrongly debited to another A/c by bank	(800)	(9,750)
Overdraft balance as per Bank Statement		99,945

Solution 22:

Adjusted Cash Book as on 31st December, 2022

Particulars	Rs.	Particulars	Rs.
To Balance b/d	1,98,000	By Bank charges	34,000
To Debtors	1,00,000	By Debtor (cheque dishonour)	5,000
		By Balance c/d	2,59,000
	2,98,000		2,98,000

Bank Reconciliation Statement as on 31st December, 2022

Particulars	Rs.	Rs.
Balance as per adjusted cash book		2,59,000
ADD: Cheque issued but not presented	45,000	
Payment not effected by bank	4,000	
		49,000
		3,08,000
LESS: Cheque deposited but not cleared	25,000	(25,000)
Balance as per Bank pass book		2,83,000

Note:- Instructions for payment given on 31/12 but the same effected by bank on 1st Jan. It means entry is CB is made on 31/12 but in PB entry made on 1/1.

Solution 23:

Bank Reconciliation Statement as on 31st March, 2022

Particulars	Amount (Rs.)
Balance as per Pass Book (Dr.)	3,500
Less: Cheques deposited but returned on 24th March, 2022	(2,500)
Discounted bill from Mr. Balaji dishonoured	(5,000)
Wrong debit in Cashbook	(1,500)
	(5,500)
Add: Bill discounted by bank (2,500+500)	3000
Balance as per Cash book (Dr. / Favourable)	2,500

Solution 24:

Bank Reconciliation Statement as on 31st March, 2022

Particulars				**Amount Rs.**
Overdraft as per Pass Book (Dr. Bal.)				8,800
Add:	(i)	Cheques issued but not presented till 31st March	5,800	
	(ii)	Transfer from fixed deposit	2,000	
	(iii)	Direct deposit by M/s Rajesh Trader	400	8,200
				17,000
Less:	(i)	Cheques deposited but not cleared (5,800 – 2,000)	3,800	
	(ii)	Dividend collected excess recorded in Cash Book(1,520- 1,250)	270	
	(iii)	Interest on overdraft debited in Pass Book only	930	
	(iv)	Corporation tax paid appeared in Pass Book only	1200	6,200
		Overdraft as per Cash Book		10,800

Solution 25:

Bank Reconciliation Statement as at 31.03.2022

Particulars		Rs.	Rs.
Balance as per Pass Book (Cr. Bal.)			10,000
Add:	Cheque wrongly credited to another customer's A/c	500	
	Error in carrying forward	3,000	
	Cheque recorded twice	350	3,850
			13,850
Less:	Excess credit for cash deposit	9	
	Undercasting of withdrawal column	100	
	Wrong credit	1,000	1,109
Balance as per Cash Book			12,741

Solution 26:

Bank Reconciliation Statement as at 31.03.2022

Particulars				**Amount Rs.**
Bank Overdraft (Dr. Bal.) as per Bank Statement				3,200
Add:	(i)	Debit side of the Cash Book was undercast	400	
	(ii)	Cheque issued but debited by the Bank to another customer's account by mistake	1,600	
	(vi)	Dividend directly collected by the Bank but not entered in the Cash Book	100	
	(vii	Cheque issued but yet to be presented for payment	1,300	3,400
				6,600
Less:	(iii)	Cheque issued for Rs. 172 posted in the Cash Book as Rs. 127	45	
	(iv)	Cheque dishonoured but not recorded in the Cash Book	425	
	(v)	Wrong debit by the Bank to Hari's A/c	150	
	(viii)	Cheque deposited but yet to be credited	1,200	
	(ix)	Interest debited by the Bank and yet to be entered in the Cash Book	300	2,120
Bank overdraft as per the Cash Book (Cr.)				**4,480**

Solution 27:

Bank Reconciliation Statement on 31st March, 2022

Particulars				**Amount Rs.**
Dr. Balance as per Cash Book				27,570
Add:	(i)	Subsidy from government received directly by the bank not recorded in the Cash Book	10,250	
	(iii)	Debit balance of Rs. 2,156 brought forward as credit balance on 20th March, 2022 in the Cash Book	4,312	
	(vi)	Cheque issued returned marked 'out of date'	1,725	16,287
				43,857
Less:	(ii)	Cash Book under cast on 15th March, 2022	350	
	(iv)	Discount allowed to a customer, however entry made at gross amount in the Cash Book	100	
	(v)	Commission charged by bank on discounting of bill, not considered in Cash Book	200	
	(vii)	Insurance Premium Paid directly by bank under standing instructions	756	
	(viii)	Discounted B/R dishonoured; not entered in Cash Book	1,530	
	(ix)	Bank recorded short cash deposit	45	2,981
Balance as per Bank Statement				40,876

Comment:-

(vi) In this case cash book credited the cheque issued. But this cheque dishonoured. Entry of dishonour not recorded in cash book. Since issued cheque is dishonoured, So, no entry in pass book made for issued cheque.

Therefore C/B – Cr. ∴ added.

Solution 28:

	Cr. Balance as per Cash Book			1,97,400
Less :	Cheques issued but not presented for payment		14,800	
	Crossed Cheque issued to Abdul not presented for payment		3,000	
	Amounts collected by Bank on our behalf but not entered in the Cash Book			
	Dividend	600		
	Insurance Claim	3,200	3,800	
	Amount paid in A/c No. 2 credited by the Bank wrongly to this A/c		2,000	(23,600)
				1,73,800
Add:	Cheques deposited in the bank but no cleared (Rs. 5,200 + Rs. 1,000)		6,200	
	Payments made by Bank on our behalf but not entered in the Cash Book			
	Interest	1,280		
	Premium	640		
	Second Call	2,400	4,320	
	Bank Charges & Comm.		400	
	Cheques issued against A/c No. 2 but wrongly debited by the Bank to this A/c		1,200	12,120
	Dr. Bal. (Overdraft) as per Pass Book			1,85,920

Solution : 29

Bank Reconciliation Statement as on 31st March, 2022

	Rs.	Rs.
Dr. Balance as per bank statement (Overdraft)		3,00,000
Add: Cheques drawn but not cleared	36,500	
Interest collected on investments directly credited by bank	83,800	1,20,300
		4,20,300
Less: Interest on bank overdraft not entered in the cash book	36,500	
Cheques deposited but not yet cleared	56,000	
Insurance premium paid by bank	17,950	
Amount wrongly debited by bank	20,500	1,30,950
Overdraft as per cash book		2,89,350

Solution : 30

As per Balance Presentation:
Bank Reconciliation Statement as on 31st January, 2022

Particulars	Details (Rs.)	Amount (Rs.)
Cr. Balance as per Pass Book		2,43,000
Add: Cheques deposited but not yet credited:		
M. Mohan & Co.	1,05,000	
N. Nandy & Sons	34,000	1,39,000
Add: Premium paid and bank charges entered in the Pass Book but not yet entered in the Cash-Book		26,000
		4,08,000
Less: Cheques issued but not yet presented		
K. Nagpal & Co.	73,000	
B. Babu & Co.	78,000	1,51,000
		2,57,000
Less: Interest credited by bank but not yet entered in the Cash Book		20,000
Balance as per Cash Book		2,37,000

Solution: 31

Bank Reconciliation Statement as on 31st December, 2022

	Particulars	Amount (Rs.)	Amount (Rs.)
	Overdraft as per Pass Book (Dr. Balance)		2,48,000
Add:	Cheques issued but not yet presented Rs. (2,10,000 - 1,40,000)	70,000	
	Cheque wrongly entered in cash book (29,200-19,200)	10,000	
	Cheque credited in Pass Book was not recorded in the Cash book	45,000	1,25,000
Less:	Cheques received entered twice in Cash Book	37,520	
	Cheque issued not recorded in the Cash book	1,17,000	
	Interest on Overdraft and bank charges not entered in Cash Book	3,500	
	Bill of exchange dishonoured	26,200	
	Payment side of bank column of Cash Book was undercast	12,000	1,96,220
	Overdraft as per Cash Book		

Solution : 32

Bank Reconciliation Statement as on 31st March, 2024

Particulars	Details ₹	Amount ₹
Overdraft as per Cash Book (Cr. Bal.)		24,000
Add: Cash received from Exe entered in bank column of cash book	3,150	
Cheque deposited but collected less as per bank statement	50	
Noting charges not recorded in cash book	60	
Cheque deposited but collected by bank on 5th April	4,800	8,060
		32,060
Less: Cheque deposited but not recorded in Cash Book	4,000	
Debit side of bank column casted short	1,000	
Bills for collection credited in the bank not yet entered in the cash book	4,200	
Bank Charges recorded twice	40	
Cheque issued but not presented	3,000	12,240
Overdraft as per bank Pass book		19,820

Alternatively, the above question can also be solved using adjusted cash book.

Solution: 33

Bank Reconciliation Statement of Mr. Hari as on 31st Dec., 2023

Particulars	Details Rs.	Amount Rs.
Dr. Balance as per the Cash Book		1,36,800
Add: Cheques issued but not presented for payment	36,000	
Dividends directly collected by bank but not yet entered in the Cash Book	18,000	
Cheque recorded with wrong amount in the Cash Book	90	
Cheque directly deposited but not recorded in the cash book	1,53,600	
Amount received from sale of scrap not recorded in cash book	1,000	2,08,690
		3,45,490
Less:	55,000	
Cheques deposited but not cleared till 31st dec		
Mediclaim paid by the bank directly		
not yet recorded in the Cash Book	14,160	
Bank charges not recorded in cash book	150	(69,310)
Balance as per the Pass Book		2,76,180

Alternatively, the question can also be solved by preparing adjusted cash book. In that case the solution will be:

Cash Book (Bank Column)

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
To Balance b/d	1,36,800	By Bank charges	150
To Amount received from sale of scrap	1,000	By Mediclaim	14,160
To dividends collected by bank	18,000	By balance c/d	2,95,180
To cheques recorded with wrong amount	90		
To cheque directly deposited not recorded	1,53,600		
	3,09,490		3,09,490

Bank Reconciliation Statement of Mr. Hari as on 31st Dec., 2023

Particulars	Rs.
Balance as per the Cash Book (corrected)	2,95,180
Add: Cheques issued but not yet presented	36,000
Less: Cheques deposited but not cleared	(55,000)
Balance as per the Pass Book	2,76,180

Solution: 34

Bank Reconciliation Statement of M/s XYZ Limited as on 30th June, 2024

Particulars	Details Rs.	Amount Rs.
Balance as per the Cash Book (Cr.)		24,768
Add: Bank charges not enteredin the cash book	350	
Cheques issued but not recorded in cash book	4,590	
Cheques deposited but not cleared	45,789	
Cheque returned out of date in pass book	5,700	56,429
		81,197

Less: Cheque issued but not presented to Bank	(88,678)	
Discount received wrongly entered in the bank column of cash book	(310)	
Dividend collected by bank not recorded in cash book	(1,980)	
Amount wrongly credited by Bank	(2,340)	
Credit side of the bank column overcast	(6,789)	(1,00,097)
Balance as per the Pass Book (credit)		(18,900)

Alternatively, if the books are to be closed on 30th June, then adjusted cash book will be prepared. In that case the solution will be as given below:

Cash Book (Bank Column)

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
To discount	310	By balance b/d	24,768
To dividends	1,980	By bank charges not entered in cash book	350
To credit side of the bank column overcast	6,789	By payment recorded in the cash column of cash book	4,590
To balance c/d	26,329	By cheque returned out of date	5,700
	35,408		35,408

Bank Reconciliation Statement

Particulars	Amount (Rs.)
Balance as per the Cash Book (Cr.) (corrected)	26,329
Add: Cheque deposited but not cleared	45,789
Less: Cheques issued not yet presented	(88,678)
Amount wrongly credited by bank	(2,340)
Balance as per Pass Book (Credit)	(18,900)

Alternative solution –

Alternatively, in point (v) of the question, if it is assumed that the amount paid Rs. 15,500 is a net amount. then the discount will be Rs. 316 {(i.e. (15,500/98 %) x 2%) and accordingly the solution will be:

Bank Reconciliation Statement of M/s XYZ Limited as on June 30, 2024

Particulars	**Amount** (Rs.)	Amount (Rs.)
Balance as per Cash Book (Cr.)		24,768
Add: Bank Charges not entered in cash book	350	
Cheques issued but not entered in cash book	4,590	
Cheque returned out of date entered in Pass Book	5,700	
Cheque deposited but not cleared	45,789	56,429
		81,197
Less: Cheque issued but not presented to bank	(88,678)	
Discount received wrongly entered in bank column of cash book	(316)	
Dividend collected by Bank not recorded in cash book	(1,980)	
Amount wrongly credited by Bank	(2,340)	
Credit side of the bank column overcast	(6,789)	(1,00,103)
Balance as per Pass Book (Cr.)		(18,906)

Alternatively, if the books are to be closed on 30th June, then adjusted cash book will be prepared. In that case the solution will be as given below:

Cash Book (Bank Column only)

Date	Particulars	(Rs.)	Date	Particulars	(Rs.)
June-30	To Discount	316	June-30	By Balance b/d	24,768
	To Dividends	1,980		By bank charges not entered in cash book	350
	To credit side of the bank column overcast	6,789		By payment ecorded in the cash column of cash book	4,590
	To Balance c/d	26,323		By cheque returned out of date	5,700
		35,408			35,408

Bank Reconciliation Statement as on June 30, 2024

Particulars	Amount (Rs.)
Balance as per Cash Book (Cr.)	26,323
Add: Cheque deposited but not cleared	45,789
	72,112
Less: Cheque issued but not presented	(88,678)
Amount wrongly credited by ank	(2,340)
Balance as per Pass Book (Cr.)	(18,906)

Solution : 35

Bank Reconciliation Statement of Ramesh Traders as on 31st March, 2024

Particulars	Amount (Rs.)	Amount (Rs.)
Dr. Balance as per Cash Book		8,24,400
Add:		
Mistake in bringing forward Rs. 37,000/- debit balance as credit balance on 22nd March	74,000	
Cheques issued but not presented		
Issued = Rs. 84,000 less cashed Rs. 57,000 = Rs. 27,000/-	27,000	
Dividend directly collected but not entered in cash book	70,000	
Cheques recorded twice in the cash book	2,58,000	
Wrongly credited cheque by bank	50,000	
Discount Recd. wrongly entered in bank column	1,000	4,80,000
Less:		
Wrong casting in cash book on 12th March, 2024	24,000	
Cheque issued and not entered in the Bank Column	1,70,000	
Fire Insurance premium paid directly by bank	40,000	
Cheque dishonored not recorded in books	10,000	
Credit card payment not recorded in cash book	5,000	
Cheque wrongly deposited by bank in savings account	4,000	
Bank charges debited not recorded in cash book	400	2,53,400
Balance as per the Passbook		10,51,000

Note : Point No. 7 cheque deposit directly and dishonored in the same Month is recorded in the pass book. In cash book no entry has been made for dep. and dish. Hence no difference in C/B & P/B due to this transaction.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

State with reason whether the following statements are true or false:

1. Bank Reconciliation is the process of reconciling cash column of the cash book and bank column of the cash book.
2. There are 3 types of differences between cash book and pass book namely Timing, Transactions & Errors.
3. Adjusting the cash book for any errors and/or omissions before preparing bank reconciliation is optional when the reconciliation is done at the end of the financial year.
4. Debit balance in cash book is same as overdraft as per pass book.
5. Overcasting of the debit side of the cash book is an example of a difference that is due to Error.
6. When we start bank reconciliation with a debit balance in cash book, then cheques issued but not yet presented should be added back to arrive at the balance as per pass book.
7. The bank charges charged by the bank should be deducted when bank reconciliation statement is being prepared starting from a credit balance of pass book.
8. When the causes of differences between pass book balance and cash book is not known, then the bank reconciliation statement can be prepared by matching the two books and identifying any unticked items in both sets.
9. While preparing the bank reconciliation statement starting with debit balance as per pass book or bank statement, the deposited cheques that are not yet cleared need not be adjusted.
10. Cash book shows a debit balance of Rs. 50,000 and the only difference from the balance as shown in pass book relates to cheques issued for Rs. 60,000 but not yet presented for payment. The balance as per passbook should be Rs. 1,10,000.
11. Overcasting of credit side of the cash book shall result in a higher bank balance in cash book when compared with pass book balance.
12. A cheque for Rs. 25,000 that was issued and was also presented for payment in same month but erroneously recorded on debit side of the cash book would cause a difference of Rs. 50,000 from the balance in pass book.
13. A direct debit by bank on account of any payment as may be instructed by customer should be recorded on credit side of cash book.
14. Bank Reconciliation Statement can be prepared in two formats – "Balance" presentation and "Plus & Minus" presentation.
15. The difference between cash book & pass book that relates to errors are those mostly made by Bank.
16. A cheque for Rs.80,000 that was discounted from bank was dishonoured and the bank charged Rs. 1,600 as the charges on account of same. While starting with debit balance in cash book for preparing bank reconciliation statement, we need to deduct Rs. 78,400 to reconcile with pass book.
17. Interest on savings bank that is allowed or credited by bank is generally recorded in cash book prior to itbeing recorded by bank.
18. A regular bank reconciliation discourages the accountants to be involved in any kind of funds embezzlement.
19. Timing difference relates the transactions that are recorded in the same period in both cash book and also the bank pass book.
20. Bank charges debited by the bank is an example of timing difference for the purposes of bank reconciliation.

Answer:

1. **False :** Bank Reconciliation Statement reconciles bank column of cash book with the balance in the passbook i.e. customer account in the books of bank.
2. **True :** These are the three broad categories.
3. **False :** Adjusting the cash book is mandatory when bank reconciliation is done at the end of the financial year.
4. **False :** Debit balance as per cash book should be represented by credit or favourable balance in pass book.
5. **True :** Overcasting is an example of an error.
6. **True :** Since the cheques issued would have been recorded as payments and bank balance was credited in cash book, we need to add it back as the same is not yet deducted from our bank balance.
7. **False :** Bank charges should be added when we start with credit or favourable balance in pass book as bank would have debited the charges.

8. **True :** Since, we don't know the causes of difference, matching the two statements is only efficient way to identify the difference.
9. **False :** Cheques deposited but not yet cleared should be subtracted from debit or unfavourable balance in pass book.
10. **True :** Cheques issued but not yet presented should be added back to a debit balance in cash book to arrive at pass book balance i.e. Rs. 50,000 + Rs. 60,000 = Rs. 1,10,000.
11. **False :** Overcasting of credit side means excessive payments are recorded and hence would lower the bank balance.
12. **True:** Rs. 25,000 payment is recorded as a receipt and hence it will have to be adjusted twice (once to nullify and then once to record actual payment) hence causing the difference of double amount.
13. **True :** It is an example of a payment instructed by customer to be directly debited by bank, and hence credited in the cash book.
14. **True :** Reconciliation statement can be prepared in either of the two formats.
15. **False :** Bank rarely makes mistakes, and hence differences that relate to errors are generally made in cash book.
16. **False :** We need to deduct 81,600 (i.e. both cheque returned & charges) from debit balance in cash book to arrive at balance as per pass book.
17. **False :** Interest allowed by bank is mostly recorded in cash book after the entry has been made in the pass book or bank statement.
18. **True :** In absence of any reconciliation, the accountants can mis-utilize the funds temporarily by recording the entry without actual depositing the cash.
19. **False :** Timing differences relate to the transactions that are recorded in cash book and pass book in two different periods.
20. **False :** Bank charges are example of the transactions that bank carries out by itself and the same has not been recorded in the cashbook until statement is obtained from the bank.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

1. Bank reconciliation statement is prepared to arrive at the bank balance.
2. Interest charged by the bank will be deducted, when the overdraft as per the cash book is the starting point for making the bank reconciliation statement.
3. If the balance as per cash book and pass book are the same, there is no need to prepare a reconciliation statement.
4. Direct collection received by the bank on behalf of its customers will increase the balance as per the Bank Pass Book as compared to the balance as per the Cash Book.
5. The interest charged by Banker to customer on overdrawn account is called Red ink interest.
6. While preparing a BRS taking the balance as per pass book as starting point undercast of bank (debit) column of Cash Book is added.
7. While preparing a BRS taking the balance as per cash book as starting point wrong credit in pass book is subtracted.
8. Amended Cash Book is prepared by passing Rectifying Entries in respect of errors committed in Cash Book and Pass Book.
9. While preparing a BRS taking balance as per Amended Cash Book, Uncollected Cheques, Unpresented Cheques and all items which appear only in Pass Book are considered.
10. In Balance Sheet bank balance as per unamended cash book appears and not as per Pass Book.
11. Bank Reconciliation Statement is a part of Cash Book.
12. Bank Reconciliation Statement is prepared by a Bank.
13. Credit balance in Pass Book means overdraft.
14. A debit balance of ₹ 1,000 has been brought forward as a credit balance of ₹ 100 on the next page in the Pass Book. ₹ 900 should be added to the balance as per Pass Book in order to ascertain the balance as per Cash Book.
15. A Bank Reconciliation statement is prepared to reconcile the Cash Balance as per Cash Book with Bank Balance as per Pass Book.
16. The Pass Book is a copy of the Bank column of Cash Book of the account holder.
17. When balance as per Cash Book is the starting point, unpresented cheques are subtracted.
18. When balance as per Pass Book is the starting point, uncollected cheques are subtracted.
19. When balance as per Pass Book is the starting point, direct deposits by customers into the bank are added.

Answers:

1. **False:** Bank reconciliation statement is prepared to reconcile and explain the causes of differences between bank balance as per cash book and the same as per bank statement as on a particular date.
2. **False:** Interest charged by the bank will be added to arrive at the O/D as per pass book.
3. **False:** Bank reconciliation statement is prepared to find out the causes of difference in individual items of cash book and pass book even if the balance as per cash book and pass book are same.
4. **True:** Because as soon as amount is received by bank, the balance of pass book will be increased but since it is not recorded in cash book therefore, the balance as per Cash Book will remain lower as compared to Bank Balance as per Pass Book.
5. **False:** Interest changed by banker to customer on overdrawn account is called 'interest on overdraft' whereas 'red-ink interest' is applied in account current if the due date of a bill falls after the date of preparing the account. The red-ink interest is treated as negative interest.
6. **False:** While preparing a BRS taking the balance as per pass book as starting point undercast of bank (debit) column of Cash Book is subtracted.
7. **False:** While preparing a BRS taking the balance as per cash book as starting point wrong credit in pass book is added.
8. **False:** Amended Cash Book is prepared by passing Rectifying Entries in respect of errors committed in Cash Book only. Errors of pass book can not be rectified by us.
9. **False:** While preparing a BBS taking balance as per Amended Cash Book Uncollected Cheques, Unpresented Cheques and Wrong Entry only in Pass Book are considered.
10. **False:** In Balance Sheet bank balance as per amended cash book appears and not as per Pass Book.
11. **False:** Bank Reconciliation Statement is not a part of Cash Book. It is a separate statement.
12. **False:** Bank Reconciliation Statement is prepared by a Account holder.
13. **False:** Credit balance in Pass Book means balance with Bank (i.e. deposit).
14. **False:** A debit balance of ₹ 1 ,000 has been brought forward as a credit balance of ₹1 00 on the next page in the Pass Book. ₹ 1 ,100 should be subtracted from the balance as per Pass Book is order to ascertain the balance as per Cash Book.
15. **False:** A Bank Reconciliation statement is prepared to reconcile the Bank Balance as per Cash Book with Bank Balance as per Pass Book.
16. **False:** The Pass Book is a copy of the Bank Account of account holder in bank books.
17. **False:** When balance as per Cash Book is the starting point, unpresented cheques are added.
18. **False:** When balance as per Pass Book is the starting point, uncollected cheques are added.
19. **False:** When balance as per Pass Book is the starting point, direct deposits by customers into the bank are subtracted.

MULTIPLE CHOICE QUESTIONS (SM)

1. When the balance as per Cash Book is the starting point, direct deposits by customers are:
   (a) Added
   (b) Subtracted
   (c) Not required to be adjusted.

2. A debit balance in the depositor's Cash Book will be shown as:
   (a) A debit balance in the Bank Statement.
   (b) A credit balance in the Bank Statement.
   (c) An overdrawn balance in the Bank Statement.

3. When balance as per Pass Book is the starting point, interest allowed by Bank is
   (a) Added (b) Subtracted (c) Not required to be adjusted.

4. A Bank Reconciliation Statement is prepared with the help of:
   (a) Bank statement and bank column of the Cash Book.
   (b) Bank statement and cash column of the Cash Book
   (c) Bank column of the Cash Book and cash column of the Cash Book.

5. The cash book showed an overdraft of Rs.1,50,000, but the pass book made up to the same date showed that cheques of Rs. 10,000, Rs. 5,000 and Rs. 12,500 respectively had not been presented for payments; and the cheque of Rs. 4,000 paid into account had not been cleared. The balance as per the pass book will be:
(a) Rs. 1,10,000 (b) Rs. 2,17,500 (c) Rs. 1,26,500

6. When drawing up a Bank Reconciliation Statement, if you start with a debit balance as per the Bank Statement, the unpresented cheques should be:
(a) Added; (b) Deducted; (c) Not required to be adjusted.

7. When drawing up a BRS if you start with a Dr. Balance as per Bank Statement, the following are added:
1. Cheque issued but not presented to bank
2. B/R collected directly by bank
3. Overcasting of the Dr. Side of bank A/c in the cash book.
(a) only 1 (b) only 1& 2
(c) all of the above (d) only 3.

8. A bank reconciliation statement is mainly prepared to:
(a) Reconcile the cash balance of the cash book
(b) Reconcile the difference between the bank balance shown by the cash book and bank passbook
(c) both a & b

MCQ,s ANSWER

1.	(a)	2.	(b)	3.	(b)	4.	(a)	5.	(c)	6.	(a)	7.	(b)	8.	(b)

THEORETICAL QUESTIONS

Question 1 : **(SM)**

Write short note on Bank reconciliation statement.

Answer.

Bank Reconciliation Statement :

- Why prepared ? Bank reconciliation statement is prepared as on a particular date to reconcile and explain the causes of difference between the bank balance as per cash book and as per bank pass book or bank statement.
- Reconcile : At regular intervals, the bank balance as per cash book and that as per pass book /bank statement should be compared and, if there is disagreement, these balances should be reconciled stating exact reasons of disagreement.
- The reconciliation is made in a statement called the bank reconciliation statement.

Question 2 : **(SM)**

State the causes of difference between the balance shown by the pass book and the cash book.

Answer.

The difference between the balance shown by the passbook and the cashbook may arise on account of the following:

(i) Cheques issued but not yet presented for payment.
(ii) Cheques deposited into the bank but not yet cleared.
(iii) Interest allowed by the bank.
(iv) Interest and expenses charged by the bank.

(v) Interest and dividends collected by the bank.
(vi) Direct payments by the bank.
(vii) Direct deposits into the bank by a customer.
(viii) Dishonour of a bill discounted with the bank.
(ix) Bills collected by the bank on behalf of the customer.
(x) An error committed by the bank etc.

Question 3 :

Distinguish between Pass book and BRS.

Answer :

Basis of Distinction	Bank Statement/Pass Book	Bank Reconciliation Statement
1. Who prepares	It is prepared by the Bank	It is prepared by the Bank Customer i.e., account holder.
2. Object	It is prepared to inform the customer about all transactions which have taken place during the period covered by the Statement.	It is prepared to reconcile the bank balance as per cash book with the bank balance shown by the Bank Statement.
3. Timing When prepared	It is prepared for a particular period.	It is prepared on a particular date.
4. Necessity	It is compulsory for the bank to prepare it.	It is not compulsory.
5. Contents	It shows- (a) Dates of Transactions (b) Particulars of Transactions (c) Withdrawals (d) Deposits (e) Balances	It shows- (a) Cause of disagreement & (b) Amount thereof
6. Starting Amount	It starts with the balance as per customer's account in bank ledger.	It may start with bank balance as per cash book or Bank Statement.

Question 4 : **[RTP-NOV-21]**

Importance of bank reconciliation to an industrial unit.

Answer :

Most of the business transactions are done through bank whether it is a receipt or payment.

It is legally necessary to operate the transactions through bank after a certain limit.

All the transactions, which have been operated through bank, if not verified properly, the industrial unit may not be sure about its liquidity position in the bank on a particular date.

There may be some cheques which have been issued, but not presented for payment, as well as there may be some deposits which has been deposited in the bank, but not collected or credited so far. Some expenses might have been debited or bills might have been dishonoured. It is not known to the industrial unit in time, it may lead to wrong conclusions.

The errors committed by bank may not be known without preparing bank reconciliation statement.

Preparation of bank reconciliation statement prevents the chances of embezzlement.

Hence, bank reconciliation statement is very important and is a necessity of an industrial unit as it plays a key role in the liquidity control of the industry.

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QR CODE	QUESTION NO.	QR CODE
BRS		Q. 21→ Q. 24,	
		Q. 22 → Q. 25,	
		Q. 23 → Q. 26,	
		Q. 24 → Q. 27,	
		Q. 25 → Q. 28,	
		Q. 26 → Q. 29	

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE
BRS	

THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
BRS	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 5
DEPRECIATION AND AMORTISATION

Question 1 :

State the general meaning of Depreciation.

Answer 1:

Depreciation – Meaning :

- The word "Depreciation" is derived from a latin word "Depretium", where "De" means decline and "Pretium" means price. Thus the word "Depretium" means decline in the value of assets.
- Assets may be classified as i) Fixed Assets & ii) Current assets.
- Fixed assets are used in the business to earn benefits for more than one accounting period.
- Depreciation is the permanent decrease in the value of **Fixed Assets** due to passes of time and its utilization I.e. wear and tear.

Question 2:

State the definition of depreciation according to Accounting Standard – 10 issued by ICAI.

Answer 2 :

Depreciation – Defination (AS-10) :

- Depreciation is a measure of
- **Wearing out, consumption or other loss of**
- Value of a **Depreciable Asset** arising from
- **Use, Effluxion of time or obsolescence** through technology and market changes.
- Depreciation includes **amortization** of assets whose **useful life is pre-determined.**
- Depreciation is allocated so as to charge a **fair proportion** of the depreciation amount **in each accounting period** during the expected useful life of the asset.

Question 3:

What do you mean by depreciable asset ?

Answer 3 :

Depreciable Asset - *Meaning*

Those assets which -

- Are expected to be used for **more than one** accounting period.
- Have **limited useful life**.
- Held by entity for use in **production, supply of goods & services or for administration** purpose and not for sale in ordinary course of business.

Question 4 :

State the causes of depreciation.

Answer 4 :

The main causes of depreciation are :

i) **Physical wear and tear** : When the fixed assets are put to use, the value of such assets may decrease. Such decrease in the value of assets is said to be due to physical wear and tear.

ii) **Decay or with effluxion of time (passage of time)** : Sometimes although assets are not put to use but their value decreases by the effect of nature e.g. rain, moisture, change in weather etc.

iii) **Obsolescence** : Sometimes value of assets decreases due to changed conditions e.g. change in market demand due to change in fashion or new inventions, change in technology etc. In such case the old machines becomes useless, it is called obsolescence. **[PEQ-JAN.21-1 Marks]**

iv) **Expiration of legal rights :** There are some assets which can be used only upto a certain period and its value decreases with the passage of time e.g. patent, lease, license, copyrights etc. Such assets becomes valueless after the expiry of their life. Thus, their cost is to be written off over their working life.

Question 5 :

Why it is necessary to pass entries of depreciation ?

Answer 5 :

Depreciation accounting – Purpose :

- It is a Normal Business Expenditure (i.e. Charge against profit)
- To calculate correct profit/loss.
- For ascertaining true and fair financial position i.e. correct value of Asset.
- To generate fund for replacement of Asset.
- Ascertain true cost of production.
- To comply legal requirements. (In case of companies, it is compulsory to charge dep.)

Question 6 :

State Factors taken into account to calculate depreciation.

Answer 6 :

Factors taken into account to calculate depreciation

- **Historical Cost of Assets** : It includes acquisition cost of assets + Expenditure incurred to make the assets ready to commence commercial production (i.e. production intended for sale or captive consumption) (i.e. Freight, Transit Insurance, carriage, site preparation cost, Professional fees of Architects and engineers, Exp. incurred on test runs, borrowing cost incurred upto the date the asset is put to use, first repair on old asset purchased, Installation charges / erection charges, Loading/unloading charges, octroi duty, import duty etc.)
- **Estimated useful / working life of asset :** Useful life is either
  - The **period** (Hours/Days/Months/Years) over which a depreciable asset is expected to be used, or
  - The **number** of units produced or expected to be produced from the use of asset.
- **Estimated Scrap Value / Residual Value / Salvage value/ Turnover value** : It refers to the estimated amount which will be realized when the asset is sold, discarded or exchanged for a new assets at the end of useful life.

Question 7 :

State the formula of depreciation.

Answer 7 :

Formula of depreciation :

Depreciation = Depreciable Amount / Estimated useful life

- **Meaning of Depreciable Amount :** Cost of Assets – Estimated Scrap Value

Question 8 : **[PEQ-DEC.21-3 Marks]**

Compare the term depreciation with depletion, amortization.

Answer 8:

The term depreciation **includes** depletion and amortization also.

- **Meaning of depreciation** – Already discussed.
- **Meaning of Depletion** – It refers to the physical deterioration by the exhaustion of natural recourses or wasting assets. For ex. extraction of coal from mines, oil from oil-well, quarries etc.
- **Meaning of Amortisation** – The process of writing off intangible assets, such as goodwill, patent, copyright, trademark etc. is called amortization.

Question 9 :

State journal entries for Depreciation.

Answer 9 :

Depreciation Entries - 2 alternative approaches for recording entries for depreciation

1st Alternative –

i) Depreciation Account Dr.
To Asset Account
(Depreciation charged on the assets)

ii) Profit & Loss Account Dr.
To Depreciation Account
(Depreciation transferred to P/L Account)

Note : In this method, Asset A/c will be appeared at Book Value (i.e. Original cost less depreciation till date)

2nd Alternative : (Provision for depreciation A/c or Accumulated Depreciation A/c Method) –

i) Depreciation A/c Dr.
To Provision for depreciation A/c or Accumulated Depreciation A/c
(Being provision for dep. made)

ii) Profit & Loss Account Dr.
To Depreciation A/c
(Being balance of dep. a/c trans. to P&L A/c)

Note :

1. In 2nd method Asset Account will be shown in Account always **"at Cost"** where as amount of depreciation will be accumulated in "Provision for depreciation Account".
2. In balance sheet balance of asset account – balance of provision for depreciation account.
   - In both the methods c.y.'s depreciation will be charged to Profit & Loss Account.

Question 10 :

State the method of providing depreciation.

Answer 10 :

Methods of providing Depreciation :

i) Straight Line Method (SLM) or Fixed Instalment Method or Original cost method.
ii) Reducing Balance Method or Written Down Value Method (WDV) or Diminishing Balance Method
iii) Sum of Years of Digits Method.
iv) Annuity Method.
v) Sinking Fund Method.
vi) Machine Hour Method.
vii) Production Units Method.
viii) Depletion Method.

i) Straight Line Method (SLM):

- **On Cost** : Under this method depreciation is calculated **on Cost** of Assets.
- **Equal amount** : Therefore, amount of depreciation remains **same** each year.
- **NIL** : Therefore, at the end of life of asset, the value of asset becomes **NIL** or equal to its scrap value at the expiry of its useful life.
- **Suitability** : This method is very suitable for those assets which has a fixed working life or whose repair charges and possibility of obsolescence are less. e.g. patent, lease hold assets, copy right, trade mark, furniture etc.
- **Formula (If depreciation rate is not given in question)** :
  Depreciation = Cost of Asset – Scrap Value / Useful Life of Asset

Depreciation Rate = Annual amount of depreciation / Cost of assets X 100

Note :

1. If Dep. **Rate is given** then above formula becomes irrelevant. **[Dep. = Cost X Rate]**
2. If word "**P.A.**" is given – charge depreciation on proportionate basis and in word P.A. is not given, charge dep. for full year.

ii) Reducing Balance Method or Diminishing balance method or Written down value (WDV)

- Under this method depreciation is calculated on diminishing value of Assets (Book Value).
- Therefore, amount of depreciation **changes** every year. **[PEQ-DEC.23-1 Marks]**
- Amount of depreciation **decreases** every year.
- At the end of life of asset, value of asset **never becomes NIL**.
- This method is suitable for long life assets. It is also suitable for those assets for which the amount of repairs increases as the assets goes older or possibility of obsolescence are higher. For ex. Plant & Machinery, Building etc.
- **Formula** : Depreciation = WDV of asset * Rate of Dep.
- If rate of depreciation not given - Rate of depreciation = 1 - n $\sqrt{SV/Cost\ x\ 100}$

Refer Question 2.

Note : According to Income Tax Act, Depreciation should be provided as per WDV method.

iii) Sum of Years of Digit Method (SYD Method)

- It is variation of Reducing Balance Method.
- **Amount of Depreciation =**
- (Cost of Asset – SV) X No. of years of remaining life of the asset (Including C.Y.) / Total of all digits of the life of the assets (In years)
- Calculation of **Total of all digits** of the life of the assets *by formula* :
- n(n+1) / 2 [here n = estimated life of assets]
- At the end of life of assets, balance of assets account **becomes NIL**.
- This method is not in practical use currently.

iv) Machine Hour Method or Service Hour method

- This method is suitable for those assets whose working hour is fixed.
- **Depreciation** = (Original cost of assets – SV) / Estimated Total working hours X Actual no. of hours worked in a year.

v) Production Units Method

- This method is suitable for machines producing products of uniform specifications.
- Depreciation = (Original cost of assets – SV) / Estimated Total Production X Actual Production in a year.

vi) Depletion Method or Productive output method :

- This method is useful for depreciating natural recourses like mines, quarries, oil well, timber stands etc.
- Depletion refers to physical deterioration by exhaustion of natural resources.
- Depreciation = (Original cost of assets – SV) / Estimated Total no. of units extracted X Actual no. of units extracted in a year.

Question 11:

A proprietorship firm using the SLM now it wants to adopt WDV Method. Is it possible ?

Answer 11 :

- The depreciation method should be consistently applied over the years.
- But in following 3 cases, method may be changed "
  (a) If it is required by statute,
  (b) If it is necessary to comply an accounting standards,
  (c) If the change will result in a more appropriate presentation of financial statement.
- **Disclosure** : Change in depreciation method should be treated as change in accounting policy. Therefore, its effect should be quantified and disclosed.

Question 12 :

What do you mean by revaluation of assets?

Answer 12 :

I. REVALUATION OF PROPERTY, PLANT AND EQUIPMENT (PPE)

The asset whose fair value could be reliably measured should be carried at the revalued amount. Following points should be kept in mind :

(a) Revaluations must be made at **adequate intervals** (say yearly).

(b) In case an item of PPE is revalued, **whole class** of such PPE to which such asset belongs should be revalued.

(c) In case the carrying amount of an asset **increases** due to revaluation, such increase should be credited to **Revaluation Reserve**.
However, such increase should be **recognized in P/L** statement **to the extent of reversal of a previous decrease** of that asset that was recognized in the P/L account.

(d) In case the carrying amount of an asset is decreased due to revaluation, such decrease should be recognized in the P/L account. However, such decrease should be debited to the Revaluation Reserve to the extent of reversal of a previous increase that was recognized in Revaluation Reserve for that asset.

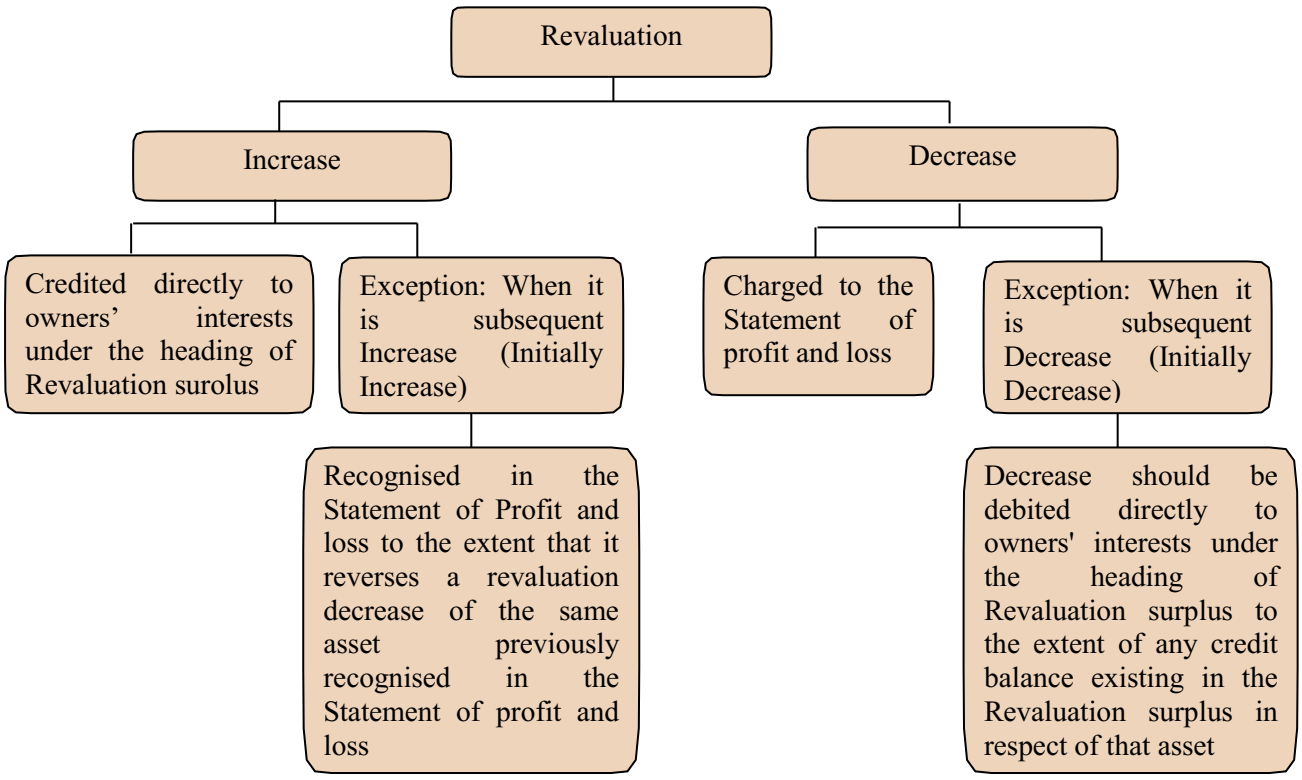
Note :

- Where the depreciable assets are revalued, the depreciation shall be now based on revalued amount and on the estimate of the remaining useful life of such assets.
- If revaluation has a material effect on the amount of depreciation then it should be separately disclosed in the financial statement.

II. Accounting Treatment : (If Asset revalued at first time)

a) If Increase in value –
Assets A/c Dr.
To Revaluation Reserve A/c.

b) If Decrease in value –
P&L A/c Dr.
To Assets A/c



Question 13 :

Revision of the estimated usefu life of property, plant and equipment

Answer 13 :

The residual value and the useful life of an asset should be reviewed at least at each financial year-end and, if expectations differ from previous estimates, the change(s) should be accounted for as a change in an accounting estimate in accordance with Accounting Standards.

Whenever there is a revision in the estimated useful life of the asset, the written down value or the balance depreciable amount should be charged over the revised remaining estimated useful life of the asset.

NOTES :

1. **Disclosure in financial statement :** In financial statement – Method of depreciation followed and rate of depreciation charged should be disclosed.
2. In case of companies, depreciation rate is given in **Schedule II** of the Companies Act.
3. If BV is given and COST is to be calculated then apply this formula. **[CP = BV (100 / 100-r)^n]**

SOME IMPORTANT ISSUES RELATING TO DEPRECIATION:

1. Depreciation is charged on **Depreciable Assets (3 CONDITIONS)** .
2. Accounting of Depreciation is given in **AS-10** issued by ICAI named as **"Property, Plant & Equipment"**
3. Depreication is a **charge against profit** and it is **non-cash expenditure**.
4. Methods of calculating the **amount of depreciation** :
   - i) SLM/Fixed Instalment/Original cost method
     - Dep. on cost.
     - If Rate is given : Dep. = Cost X Rate
     - If Rate is not given : Dep = Cost – SV / Useful Life.
   - ii) WDV/Reducing balance /Dimunishing balance method
     - Dep. on BV/WDV.
     - If Rate is given : Dep. = BV X Rate
     - If Rate is not given : Dep rate calculated by applying formula : $1-\frac{\sqrt[n]{sv}}{cost}x100$
   - iii) Sum of years digit method
   - iv) to vi) Machine hour rate / Production Unit / Depletion Method.
   - vii) Revaluation Method.
5. **Journal Entries – 2 Options** :
   - i) Depreciation A/c Dr.
     To Assets A/c
     (Assets shown at BV. In B/S, the balance of Asset a/c shown in Asset side)
   - ii) Depreciation A/c Dr.
     To Provision for Dep. A/c
     (Assets shown at Cost. In B/S, Asset is shown as "Historical Cost – Accumulated Depreciation" in Asset side)

6. **If Assets are sold** :
   - Calculate P/L on sale of assets and pass entry. Profit = SV – BV.
   - If Prov. for dep. method is followed – Open "Sale or Disposal of Assets A/c" also to calculate P/L on sale of assets.

7. **Change in method of Dep.** :
   - 3 Reasons : If required by Law / AS / Better presentment of FS.
   - Dep. as per new method is calculated with Prospective effect.
   - Now the unamortised depreciable amount (BV) will be written off as per new method.

8. **Revaluation of Assets** : Downward / Upward Revaluation – Pass Entry.

9. **Revision in Life / SV of Assets** : The unamortised depreciable amount (BV) should be charged over the revised remaing estimated useful life of the asset.

10. **If BV is given under WDV method and COST is to be calculated** then calculate cost by appling this formula :

    $CP = BV\ (100 / 100\text{-}r)^n$

11. **Expense debited to Cost of Asset** :
    - All expenses upto the date the asset is ready for use shall be debited to the cost of assets.
    - Ex. delivery charge / Tranportation exp., Installation / erection charges, financing exp. upto the date asset becomes usable.
    - Exp. incurred thereafter will not be added to cost. Ex. Repair exp. incurred after asset becomes in usable condition will not be debited to Asset A/c.

CLASS WORK QUESTIONS

Question 1: (SLM + No Rate)

On 1st April, 2020, X Ltd. purchased a Plant and Machinery for Rs. 43,000. It was estimated that the effective life of the Plant and Machinery will be 10 years and after 10 years its scrap value will be Rs.3,000.

On 1st April, 2021, the Company purchased additional machine for Rs. 25,000, of which the effective life will be 15 years and scrap value Rs. 2,500.

On 1st October, 2022, a new machine was purchased for Rs. 12,000, of which the scrap value will be Rs. 2,000 and effective life 20 years.

Show the Plant and Machinery A/c upto 31st March 2023, if depreciation is provided on Straight Line Method. The accounts are closed on 31st March every year.

[Ans. Depre. 2016-Rs.4,000, 2017-Rs. 5,500, 2018-Rs. 5,750]

Personal Note:-

Question 2: (SLM + Rate)

A company whose accounting year is the calendar year, purchased on 1st April, 2021, machinery costing Rs. 30,000. It purchased further machinery on 1st October, 2021, costing Rs. 20,000 and on 1st July, 2022, Costing Rs. 10,000.

Show how the machinery account would appear in the books of the company, it being given that machinery was depreciated by Fixed Installment at 10 percent p.a.

Personal Note:-

Question 3: (WDV)

On 1st April, 2020, Sonu Ltd. purchased a machinery for Rs. 3,90,000 on which they spent Rs. 5,000 for carriage, Rs. 2,000 for brokerage of the middle-man, Rs. 2,500 for installation and Rs. 500 for an iron pad. On 1st Novermber, 2021, they purchased another machinery for Rs. 1,00,000 and immediately spent Rs. 20,000 on its overhauling. The company charges depreciation @ 10% p.a. on written down value basis. Accounts are closed on 31st March every year.

Prepare Machinery Account upto 31st March, 2023.

Personal Note:-

Question 4: (SYD) **[SM-ILL.3]**

M/s Raj & Co. purchased a machine for Rs. 1,00,000. Estimated useful life and scrap value were 10 years and Rs. 12,000 respectively. The machine was put to use on 1.1.2018. Show Machinery Account and Depreciation Account in their books for 2023 by using sum of year digits method.

[opening bal of machinery a/c on 1st jan. 15- 36,000/-, bal. of machinery a/c- 28,000/-]

Personal Note:-

Question 5: (Production unit) **[SM-ILL.5]**

A machine is purchased for Rs. 2,00,000. Its estimated useful life is 10 years with a residual value of Rs. 20,000. The machine is expected to produce 1.5 lakh units during its life time.

Expected distribution pattern of production is as follows:

Year	Production
1 – 3	20,000 units per year
4 – 7	15,000 units per year
8 – 10	10,000 units per year

Determine the value of depreciation for each year using production units Method.

[Dep. 1st to 3rd year- 24,000/-, 4th to 7th year- 18,000/-, 8th to 10th year- 12,000/-]

Personal Note:-

Question 6: (Depletion)

A Ltd. acquired a lease right for 10 years of a mine on 1.1.2018 on a lumpsum payment of Rs. 9,00,000 to the landlord. It was estimated by the expert that the coal deposit of the mine was 40,00,000 tonnes, 75% of which could be raised within time period allowed. A Ltd. decided to depreciate the lease on Depletion Method. The sales and stocks (in tonnes) were as under :

Year	2018	2019	2020	2021	2022	2023
Sales	30,000	62,000	1,96,000	4,02,000	4,02,000	3,98,000
Closing Stock	10,000	8,000	12,000	10,000	8,000	10,000

Required : Show the Lease Account from 1st Jan. 2018 to 31st Dec. 2023.

[Dep. 12000,18000,60000,120000. Balance of Lease Account – 450000/-]

Personal Note:-

Question 7: (MHR)

A Ltd. purchased a machine for Rs. 2,20,000 on 1st January, 2018 and incurred Rs. 40,000 towards freight, insurance, carriage inwards and installation charges. It was estimated that the machinery will have a scrap value of Rs. 20,000 at the end of its useful life which is 10 years of 12,000 hours each. A Ltd. decided to depreciate the machines on 'Machine Hour Rate Method'. The machine hours during first six years were as under :

Year	2018	2019	2020	2021	2022	2023
Machines Hours	6,000	8,000	10,000	14,000	14,000	12,000

Show the Machinery Account from 1st January, 2018 to 31st December, 2023.

[Bal. of machine A/c as on 31/12/18- 1,32,000/-]

Personal Note:-

Question 8: (Sale, WDV) **[SM-ILL.7] [Nov-19 (4 Marks)]**

A firm purchased on 1st January, 2021 certain machinery for Rs. 58,200 and spent Rs. 1,800 on its erection. On July 1, 2021 another machinery for Rs. 20,000 was acquired. On 1st July, 2022 the machinery purchased on 1st January, 2021 having become obsolete was auctioned for Rs. 38,600 and on the same date fresh machinery was purchased at a cost of Rs. 40,000.

Depreciation was provided for annually on 31st December at the rate of 10% p.a. on written down value. Prepare machinery account.

[loss on sale 1st july – 12700/-, bal. of machinery a/c- 55100/-]

Personal Note:-

Question 9: (One Portion sold , SLM)

M/s. Prabha Pharmaceuticals has imported a machine on 1st July, 2020, for Pound 8,000, paid custom duty and freight Rs. 80,000 and incurred erection charges Rs. 60,000. Another local machinery costing Rs. 1,00,000 was purchased on 1st Jan 2021. On 1st July, 2022, a portion of the imported machinery (value one-third) got out of order and was sold for Rs. 1,34,800. Another machinery was purchased to replace the same for Rs. 50,000. Depreciation is to be calculated at 20% p.a on cost. Show the machinery account for 2020, 2021, and 2022. Exchange rate is Rs. 80 per pound.

[loss on sale (1st July)- 21,200/-, dep. for 2022- 129000/-, bal. of machinery- 3,65,000]

Personal Note:-

Question 10: **(Revaluation + Revision)**

M/s. Mayur & Co. purchased a machine on 1.1.2017 for Rs. 20,00,000. Estimated useful life was 10 years and scrap value at the end was expected to be Rs. 2,00,000. On 1.1.2022, the written down value of the machine was revalued to be up by 20%, useful life was re-estimated as 13 years and scrap value as Rs. 2,80,000. The company follows SLM method of charging depreciation. Show Machinery Account for the year ended 31.12.2022.

[Bal. of Machine Account- 11,90,000/-]

Personal Note:-

Question 11: **(Revision)** **[SM-ILL.11]**

A Machine costing Rs. 6,00,000 is depreciated on straight line basis, assuming 10 years working life and Nil residual value, for three years. The estimate of remaining useful life after third year was reassessed at 5 years.

Required : Calculate depreciation for the fourth year.

[Book value of computer at the end of 3rd year – 4,20,000/-, dep. for 4th year- 84,000/-]

Personal Note:-

Question 12: **Change of Method (SLM to WDV)**

(RTP JAN. 25)[RTP-May-21,22 Nov.20 & 22 May-19(10 Marks)]

A Firm purchased an old Machinery for Rs. 37,000 on 1st January, 2019 and spent Rs. 3,000 on its overhauling. On 1st July 2020, another machine was purchased for Rs. 10,000. On 1st July 2021, the machinery which was purchased on 1st January 2019, was sold for Rs. 28,000 and the same day a new machinery costing Rs. 25,000 was purchased. On 1st July, 2022, the machine which was purchased on 1st July, 2020 was sold for Rs. 2,000.

Depreciation is charged @ 10% per annum on straight line method. The firm changed the method and adopted diminishing balance method with effect from 1st January, 2020 and the rate was increased to 15% per annum. The books are closed on 31st December every year.

Prepare Machinery account for four years from 1st January, 2019.

Personal Note:-

Question 13: (Change of method WDV to SLM) [Sep. – 24, 5 Marks (Similar)][SM-ILL.10]

M/s Anshul & Co. commenced business on 1st January 2019, when they purchased plant and equipment for Rs. 7,00,000. They adopted a policy of charging depreciation at 15% per annum on diminishing balance basis and Over the years, their purchases of plant have been:

	Rs.
1-1-2020	1,50,000
1-1-2023	2,00,000

On 1-1-2023 it was decided to change the method and rate of depreciation to straight line basis. On this date remaining useful life was assessed as 6 years for all the assets purchased before 1.1.2023 with no scrap value and 10 years for the asset purchased on 1.1.2023.

Required

Prepare Asset Account for the year ended 31.12.2023.

[Opening bal. of plant & machinery- 457523/-, Dep.- 96254, closing bal.- 561270/-]

Personal Note:-

Question 14: (Provision for Dep. A/c , SLM)

On 1st April, 2018, X Ltd. purchased 5 machines for Rs. 60,000 each. The accounting year of the Company ends on 31st March. Depreciation at the rate of 10% p.a. on initial cost is charged to Profit & Loss Account and Credited to a separate 'provision for depreciation account'. On 1st April 2020, one machine was sold for Rs. 40,000 and on 1st July, 2021 a second machine was sold for Rs. 28,000. Another machine with a higher capacity costing Rs. 1,00,000 was purchased on 1st Oct. 2021. You are required to prepare Machinery Account, Depreciation Account and Provision for Depreciation Account. From 2018-19 to 2021-22.

[Bal. of Machine A/c- 2,80,000/-, Loss on Sale- 8,000/ & 12,500/-, Bal. of Prov. A/c.- 77,000/-]

Personal Note:-

Question 15: (Prov., Disposal, WDV) (PEQ – JUNE.23, MTP JAN. 25, 10 Marks)

The following balances appear in the books of Gopi Chand & Sons:

Machinery A/c as on 1-1-2022 Rs. 8,00,000

Provision for Depreciation as on 1-1-2022 Rs. 3,18,000

On 1-1-2022 they decided to sell a machine for Rs. 34,500. This machine was purchased for Rs. 1,20,000 on 1-1-2018.

Show the Machinery A/c, Provision for Depreciation A/c and sale or disposal of asset account for the year 2022 assuming the firm has been charging depreciation at 10% p.a. on the Written Down value method and accounts are closed on 31st December every year.

[Bal. of Machine A/c- 6,80,000/-, Prov. A/c- 3,17,059/-, Loss on Sale- 44,232/-]

Personal Note:-

Question 16: **(Prov., Disposal, Multiple Assets, SLM)** **[SM-PQ.1]**

A firm's plant and machinery account at 31st December, 2022 and the corresponding depreciation provision account, broken down by year of purchase are as follows:

Year of Purchase	Plant and Machinery at cost Rs.	Depreciation Provision Rs.
2005	2,00,000	2,00,000
2011	3,00,000	3,00,000
2012	10,00,000	9,50,000
2013	7,00,000	5,95,000
2020	5,00,000	75,000
2021	3,00,000	15,000
	30,00,000	21,35,000

Depreciation is at the rate of 10% per annum on cost. It is the Company's policy to assume that all purchases, sales or disposal of plant occurred on 30th June in the relevant year for the purpose of calculating depreciation, irrespective of the precise date on which these events occurred.

During 2022 the following transactions took place:

1. **Purchase of plant and machinery amounted to Rs. 15,00,000**
2. **Plant that had been bought in 2011 for Rs. 170,000 was scrapped.**
3. **Plant that had been bought in 2012 for Rs. 90,000 was sold for Rs. 5,000.**
4. **Plant that had been bought in 2013 for Rs. 2,40,000 was sold for Rs. 15,000.**

You are required to:

Calculate the provision for depreciation of plant and machinery for the year ended 31st December, 2022. In calculating this provision you should bear in mind that it is the company's policy to show any profit or loss on the sale or disposal of plant as a completely separate item in the Profit and Loss Account. You are also required to prepare the following ledger accounts during 2022.

(i) **Plant and machinery at cost; (ii) Depreciation provision; (iii) Sales or disposal of plant and machinery.**

[Bal. of prov. a/c- 19,22,000/-, loss on sale of machine- 4,000/-]

Personal Note:-

Question 17: **(Revaluation – 2nd Time)** **[SM-PQ.5]**

Amazing group had Property, Plant & Equipment (PP&E) with a book value of Rs. 35,00,000 on 31st December 2022. The balance in Revaluation Surplus on that date was Rs. 3,00,000. As part of their practice of revaluing the assets on yearly basis, another revaluation was carried out on 31st December 2022. Evaluate the impact of Revaluation if the Fair Value as a result of Revaluation done on 31st December 2022 was (a) Rs. 37,00,000 (b) Rs. 33,00,000 and (c) Rs. 31,00,000. Also, give the journal entries.

Personal Note:-

Question : 18 (Amortisation) **(SM -Illu. 14)**

Prime Streaming Co. acquired the streaming rights of a movie for ₹ 18,00,000 with the contracted duration of the streaming period being 10 years. At the beginning of the fourth year, based on the decline in viewership, Prime Streaming Co. decided to stream the movie only for the next 5 years.

Required

Calculate amortisation for the fourth year.

Personal Note:

Question : 19 **(PEQ. Sep. 25, 8 Marks)**

The following are the details of machineries held by a firm:

Machine	Purchase Date	Purchase Value (₹)	Useful Life	Scrap Value (₹)
M1	01/04/2020	11,00,000	8 years	20,000
M2	01/04/2022	9,40,000	8 years	40,000
M3	01/04/2024	8,10,000	5 years	--

The firm uses 'sum of years digits' method for charging depreciation and maintains a separate account for it.

On 1st April, 2024, the M1 machine has become obsolete and has been sold for ₹ 1,34,000/-. On the same date the estimated useful remaining life of M2 machine is reassessed at 3 years with ₹10,000 as scrap value.

You are required to prepare the Machinery Account, Provision for Depreciation Account and Machinery Disposal Account for the year ending 31st March, 2024 and 31st March, 2025.

Personal Note:-

HOME WORK QUESTIONS

Question 19: (SLM + No Rate)

On 1st Jan 2022, A Ltd. purchased a second-hand machiner for Rs. 80,000 and spent Rs. 20,000 on its cartage, repairs and installation. The residual value at the end of its expected useful life of 4 years is estimated at Rs. 68,000. Calculate the amount of depreciation according to Straight Line Method for the first year ending on 31st March, 2022.

[Amt. of Depreciation for first year = 2,000]

Personal Note:-

Question 20: (SLM + No Rate)

On 1st April, 2018 Atual Glass Limited purchased a Machine for Rs. 90,000 and spent Rs. 6,000 on its carriage and Rs. 4,000 on its erection. On the date of purchase, it was estimated that the effective life of the machine will be 10 years and after 10 years its scrap value will be Rs. 20,000.

Prepare Machine A/c and Depreciation A/c for 4 years after providing depreciation on Fixed Installment method. Accounts are closed on 31st March every year.

[Machine A/c Bal. – 92,000, 84,000, 76,000, 68,000]

Personal Note:-

Question 21: (SLM + Rate) **[SM-ILL.1]**

Jain Bros. acquired a machine on 1st July, 2021 at a cost of Rs.14,00,000 and spent Rs.1,00,000 on its installation. The firm writes off depreciation at 10% p.a. of the original cost every year. The books are closed on 31st December every year.

Show the Machinery Account and Depreciation Account for the year 2021 and 2022.

[Machine A/c Bal. 14,25,000 , 12,75,000]

Personal Note:-

Question 22: **(WDV)** **[SM-ILL.2]**

Jain Bros. acquired a machine on 1st July, 2021 at a cost of Rs. 14,00,000 and spent Rs.1,00,000 on its installation. The firm writes off depreciation at 10% p.a. every year. The books are closed on 31st December every year.

Show the Machinery Account and Calculation of depreciation on diminishing balance method for the year 2021 and 2022.

[Machine A/c Bal. 14, 25,000, 12,82,500]

Personal Note:-

Question 23: **(WDV)**

Alpine Traders purchased a machine on April 1, 2018 at a cost of Rs. 8,000 and spent Rs. 2,000 on its installation. The firm writes off depreciation @ 10 % p.a. by written down value method. The scrap value of the Plant at the end of its economic life of 4 years is expected to be Rs. 6,561.

Show the machine account for 4 years in the books of Alpine Traders. The book are closed on 31March every year.

[Machine A/c Bal. – 9,000, 8,100, 7,290, 6,561]

Personal Note:-

Question 24: **(SYD)**

Original Cost	=	Rs. 1,26,000
Salvage Value	=	Rs. 6,000
Useful Life	=	6 year

Prepare Asset A/c using Sum of year's Digit method

[Dep. – 34,286, 28,571 etc. Asset A/c C/B- 6,000]

Personal Note:-

Question 25: (Production Unit)

A machine is purchased for Rs. 4,00,000. Its estimated useful life is 10 years with a residual value of Rs. 40,000. The machine is expected to produce 3 lakh units during its life time. Expected distribution pattern of production is as follows:

Year	Production
1 – 3	40,000 units per year
4 – 7	30,000 units per year
8 – 10	20,000 units per year

Required : Determine the amount of depreciation for each year using production units method.

[Dep.- 48,000/-p.a., 36,000/- p.a., 24,000/- p.a.]

Personal Note:-

Question 26: (Depletion) **[SM-ILL.6] [MTP- May 22- 4 Marks]**

M/s Jay & Co. took lease of a quarry on 1-1-2020 for Rs.1,00,00,000. As per technical estimated the total quantity of mineral deposit is 2,00,000 tonnes. Depreciation was charged on the basis of depletion method. Extraction pattern is given in the following table:

Year	Quantity of Mineral extracted
2020	2,000 tonnes
2021	10,000 tonnes
2022	15,000 tonnes

Show the Quarry Lease Account and Depreciation Account for each year from 2020 to 2022.

[Bal. of Quarry lease A/c- 86,50,000/-]

Personal Note:-

Question 27: (MHR) **[SM-ILL.4]**

A machine was purchased for Rs.30,00,000 having an estimated total working of 24,000 hours. The scrap value is expected to be Rs.2,00,000 and anticipated pattern of distribution of effective hours is as follows:

Year	
1 – 3	3,000 hours per year
4 – 6	2,600 hours per year
7 – 10	1,800 hours per year

Determine Annual Depreciation under Machine Hour Rate Method.Prepare machine A/c for first 5 years.

[Dep. – 3,50,000, 3,03,333, 2,10,000]

Personal Note:-

Question 28: (Sale of Portion + SLM) [SM-PQ.3][RTP May-18, Nov-21 & Jan-21 (10Marks)]

The LG Transport company purchased 10 trucks at Rs. 45,00,000 each on 1st April 2020. On October 1st, 2022, one of the trucks is involved in an accident and is completely destroyed and Rs. 27,00,000 is received from the insurance in full settlement. On the same date another truck is purchased by the company for the sum of Rs. 50,00,000. The company write off 20% on the original cost per annum. The company observe the calendar year as its financial year.

Give the motor truck account for two year ending 31 Dec, 2023.

[Pft. on settlement - 4,50,000/- (1 oct. 2022), dep. for 2022 - 90,25,000/-, dep. for 2023 - 91,00,000]

Personal Note:-

Question 29: (Sale of Asset + WDV) [Dec-21(5 Marks)]

On 1st January, 2020, the Jaipur Transport Company purchased a Truck for Rs. 4,00,000. On 1st July, 2021, this truck was involved in an accident and was completely destroyed and Rs. 3,00,000 were received from the Insurance Company in full settlement. On the same date another truck was purchased by the Co. for Rs. 5,00,000. The Company writes off 20% depreciation p.a. on Written Down Value Method and the accounts are closed on 31st March every year. Give the Truck Account for 3 years.

[Profit on sale- 11,200/-, Balance of Truck as on 31/03/22- 4,25,000]

Personal Note:-

Question 30: (Sale of Asset + WDV) [NOV-19- 4 Marks]

X purchased a machinery on 1st January 2021 for Rs. 4,80,000 and spent Rs. 20,000 on its installation. On July 1, 2021 another machinery costing Rs. 2,00,000 was purchased. On 1st July, 2022 the machinery purchased on 1st January, 2021 having become scrapped and was sold for Rs. 2,90,000 and on the same date fresh machinery was purchased for Rs. 5,00,000. Depreciation is provided annually on 31st December at the rate of 10% p.a. on written down value. Prepare Machinery account for the years 2021and 2022.

[Machine A/c Bal. 6,40,000, 6,46,000, Loss- 1,37,500]

Personal Note:-

Question 31: (Revision + Revaluation) [SM-ILL.12]

A machine of cost Rs. 12,00,000 is depreciated on straight-line assuming 10 year working life and zero residual value for three years. At the end of third year, the machine was revalued upwards by Rs. 60,000 the remaining useful life was reassessed at 9 years.

Required:-

Calculate depreciation for the fourth year.

[Book value of machine at the end of 3rd year- 8,40,000/-, dep. for 4th year- 1,00,000/-]

Personal Note:-

Question 32: (Revision + Revaluation) [SM-PQ.4][Nov-18 & May 20- 4 Marks]

A Plant & Machinery costing Rs. 10,00,000 is depreciated on straight line assuming 10 year working life and zero residual value, for four years. At the end of the fourth year, the machinery was revalued upwards by Rs. 40,000. The remaining useful life was reassessed at 8 years. Calculate Depreciation for the fifth year.

[Depreciable Amt. after Revaluation= 6,40,000/-, Dep. For 5th year onwards= 80,000/-]

Personal Note:-

Question 33: (Sale of Asset + Change of method SLM to WDV)

A purchased on Ist January, 2020 certain machinery for Rs. 1,94,000 and spent Rs. 6,000 on its erection. On Ist July, 2020 additional machinery costing Rs. 1,00,000 was purchased. On Ist July, 2022 the machinery purchased on Ist January. 2020 having become obsolete was auctioned for Rs. 1,00,000 and the same date new machinery was purchased at a cost of Rs. 1,50,000. Depreciation was provided for annually on 31st December at the rate of 10% per annum on the original cost of the machinery. No depreciation need be provided when an assets is sold or auctioned, for that part of the year in which sale auction took place. But in the year of purchase, depreciation shall be provided on time basis. In 2023 however, A changed this method of providing depreciation and adopted the method of writing off 15 p.a. on the written down value on the balance as appeared in machinery account on 1.1.2023.

Show the machinery account for the calender years 2020 to 2023.

[Machine A/c Bal. 2,75,000, 2,45,000, 2,17,500, 1,84,875, Loss-60,000]

Personal Note:-

Question 34: (Sale of old Asset + WDV)

[SM-PQ.2] [PEQ-Jan.26][MTP- Nov.22, May-22(10Marks)]

The Machinery Account of a Factory showed a balance of Rs. 19,00,000 on 1st January, 2022. Its accounts were made up on 31st December each year and depreciation is written off at 10% p.a. under the Diminishing Balance Method.

On 1st June 2022, a new machinery was acquired at a cost of Rs. 2,80,000 and installation charges incurred in erecting the machine works out to Rs. 8,920 on the same date. On 1st June, 2022 a machine which had cost Rs. 4,37,400 on 1st January 2020 was sold for Rs. 75,000. Another machine which had cost Rs. 4,37,000 on 1st January, 2021 was scrapped on the same date and it realised nothing.

Write a plant and machinery account for the year 2022, allowing the same rate of depreciation as in the past calculating depreciation to the nearest multiple of a Rupee.

[bal. of machinery a/c- 13,09,232/-, loss on sale of machine- 2,64,532/-, loss due to scrap.- 3,76,912/, dep. for 2020- 1,32,094/-]

Personal Note:-

Question 35: (Prov. for Dep., Asset Disposal + Change of Method SLM to WDV)

ABC Ltd. Purchased on 1st Jan., 2020 second hand plant for Rs. 30,000 and immediately spent Rs. 20,000 in overhauling it. On 1st July, 2020 additional machinery of a cost of Rs. 25,000 was purchased. On 1st July 2022, the plant purchased on 1st Jan., 2020 became obsolete and was sold for Rs. 10,000. On that date new machinery was purchased at cost of Rs. 60,000.

Depreciation was provided at 10% per annum on the original cost of the asset. In 2023 the company changed this method of providing depreciation to 15% per annum W.D.V. with Prospective effect.

Required: Show Plant and Machinery A/c, Provision for Depreciation A/c and Machine Disposal Account for the years 2020-2023. Year ends on 31st Dec.

[Machine A/c C/B 85,000 , Prov. A/c C/B 20,613, Loss-27,500]

Personal Note:-

Question 36: (Prov. for Dep. + SLM)

Chandan & Co. purchased a machine on 1st April, 2021 for Rs. 8,00,000. It was decided to write off depreciation @ 10% p.a. on straight line basis. On 31st March, 2023, one-fourth of the machinery was sold for Rs. 1,75,000.

Prepare Machinery Account and Provision for Depreciation Account for first two years. Books are closed each year on 31st March.

[Machine C/B- 6,00,000, Prov. C/B-1,20,000, Profit-15,000]

Personal Note:-

Question 37: (Prov. for Dep., Asset Disposal + SLM)

On 1st April, 2021, Roshan Ara purchased 3 machines for Rs. 40,000 each. On 31st March, 2023, one machine was sold for Rs. 25,000. Depreciation was charged @10% p.a. on straight line method.

Prepare Machinery account, Machinery disposal account and Provision for depreciation account for two years. Accounts are closed on 31st March, every year.

[Machine A/c C/B- 80,000, Prov. C/B-16,000, Loss -7,000]

Personal Note:-

Question 38: (Prov. for Dep. + WDV)

On 1st April, 2020, Parvez Khan purchased machinery for Rs. 1,00,000. On 30th September, 2022, one-fourth of the machinery purchased on 1-4-2020 was sold for Rs. 14,500. Depreciation was charged @ 10% p.a. on reducing balance method.

Prepare Machinery Account and Provision for Depreciation Account for three years. Accounts are closed on 31st March every year.

[Machine C/B-75,000, Prov. C/B- 20,325, Loss-4,737]

Personal Note:-

Question 39: (Complete Qu. With/Without Prov. - SLM & WDV) [PEQ-MAY.25][SM-ILL.8]

On April 1, 2020, X Ltd. purchased a machinery for Rs. 12,00,000, On Oct 1, 2022, a part of the machinery purchased on April 1, 2020 for Rs. 80,000 was sold for Rs. 45,000 and a new machinery at a cost of Rs. 1,58,000 was purchased and installed on the same date. The company has adopted the method of providing 10% p.a. depreciation on the original cost of the machinery.

Required:

(I) Show the necessary ledger accounts for the year ended 31st March 2021 to 2023 assuming that (a) 'Provision for Depreciation Account' is not maintained, (b) 'Provision for Depreciation Account' is maintained.

(II) Solve the above question, if Company maintains WDV method for charging depreciation.

Personal Note:-

Question 40: (Prov. for Dep., Asset Disposal, SLM) [MTP SEP.-24 – 10 Marks][SM-PQ.6]

On 1st April, 2021 a firm purchased a machinery for Rs. 2,00,000. On 1st October in the same accounting year, additional machinery costing Rs. 1,00,000 was purchased. On 1st October, 2022, the machinery purchased on 1st April, 2021, having become obsolete, was sold for Rs. 90,000. On 1st October, 2023, new machinery was purchased for Rs. 2,50,000 while the machinery purchased on 1st October, 2021 was sold for Rs. 85,000 on the same day.

The firm provides depreciation on its machinery @ 10% per annum on original cost on 31st March every year.

Show machinery account, provision for depreciation account and depreciation account for the period of three accounting years ending 31st March, 2024. Also provide alternate solution, if Disposal of Asset A/c is maintained.

[Machine C/B-2,50,000, Prov. C/B -12,500, Loss-80,000, Profit -5,000]

Personal Note:-

Question 41: (Prov. for Dep., SLM)

On 1st April, 2022, the following balance appeared in the books of Krishna Traders :

	Rs.
Furniture Account	50,000
Provision for Depreciation Account	22,000

On 1st October, 2022, a part of furniture purchased for Rs. 20,000 on 1st April, 2018 was sold for Rs. 5,000. On the same date, new furniture costing Rs. 25,000 was purchased. The depreciation was provided @ 10% per annum on original cost of the asset and no depreciation was charged on the asset in the year of sale. Prepare 'Furniture Account' and 'Provision for Depreciation Account' for the year ending 31st March, 2023.

[Fur. A/c C/B -55,000, Prov. C/B – 18,250, Loss-7,000]

Personal Note:-

Question 42: (Prov. for Dep., Asset Disposal, SLM)

The following balances appeared in the books of Aishwarya Bachana & Associates :

2021		Rs.
April 1,	Machinery Account	60,000
	Provision for Depreciation Account	36,000

On 1st April, 2021, they decided to dispose off a machinery for Rs. 8,400 which was purchased on 1st April, 2017 for Rs. 16,000.

You are required to prepare Machinery Account, Provision for Depreciation Account and Machinery Disposal Account for the year 2021-22, assuming 10% p.a. depreciation on straight line method and books closed on 31st March every year.

[Machine C/B- 44,000, Prov.- 34,000, Loss-1200]

Personal Note:-

Question 43: (Prov. for Dep., Asset Disposal , WDV)

Shippers Ltd. which depreciates the machines @ 25% p.a. on the reducing balance method, provides you the following particulars:

Cost on 31.12.2020 *Rs.* 2,46,000. Provision for Depreciation on 31.12.2020 Rs. 1,24,000. No Depreciation is being charged in the year of sale but full charge is being made for the years during which addition is made. On 1.7.2022, one new machine was purchased for Rs. 24,000 and old machinery purchased on 1.7.2019 for Rs.20,000 was discarded and sold immediately for Rs. 5,000. Prepare (a) Machinery Account, (b) Provision for Depreciation Account, and (c) Machinery Disposal Account for the years 2021 and 2022.

[Machine C/B- 2,50,000, Prov. 1,69,703, Loss-3,437]

Personal Note:-

Question 44: (Prov. for Dep., SLM)

Metropol Ltd acquired a machine for Rs. 5,40,000 on April 1, 2020. Depreciation was to be charged at 20% p.a. on straight line method, During 2022-2023, a modification was made to improve its technical reliability at a cost of Rs.50,000 which It was considered would extend the useful life of the machine for two years. At the same time an important component of the machine was replaced at a cost of Rs.10,000 to increase the efficiency of machine. Routine maintenance during the said accounting period cost Rs.7,500. Show the Machinery Account, Provision for Depreciation on Machinery Account and the charge to Profit and Loss Account for the year ending March 31, 2023 only assuming that the company follows a policy of charging full year's depreciation on additions.

[Machine C/B-6,00,000, Prov.- 2,92,800, Revised Dep.- 76,800]

Personal Note:-

Question 45: (Sale of Asset, WDV) **[July-21(4 Marks)]**

The balance of Machinery Account of a firm on 1st April, 2020 was Rs. 28,54,000. Out of this,a plant having book value of Rs.2,16,000 as on 1st April, 2020 was sold on 1st July, 2020 for Rs. 82,000. On the same date a new plant was purchased for Rs. 4,58,000 and Rs. 22,000 was spent on its erection. On 1st November, 2020 a new machine was purchased for Rs. 5,60,000. Depreciation is written off @ 15% per annum under the diminishing balance method. Calculate the depreciation for the year ended 31st March, 2021.

[Total Dep. Rs.4,92,800]

Personal Note:-

Question 46: (Prov. for Dep., Asset Disposal, SLM) **[SM-ILL.9]**

A firm purchased second hand machinery on 1st January, 2020 for Rs. 3,00,000, subsequent to which Rs. 60,000 and Rs. 40,000 were spent on its repairs and installation, respectively. On 1st July, 2021 another machinery was purchased for Rs. 2,60,000. On 1st July, 2022, the first machinery having become outdated was auctioned for Rs. 3,20,000 and on the same date, another machinery was purchased for Rs. 2,50,000.

On 1st July, 2023, the second machinery was also sold off and it fetched Rs. 2,30,000.

Depreciation was provided on machinery @ 10% on the original cost annually on 31st December, under the straight line method.

Required

Prepare the following accounts in the books of the company: (i) Machinery Account for the years ending Dec. 31, 2020 to 2023 and (ii) Machinery Disposal Account.

[Bal. of Machine A/c Rs. 3,60,000, 5,67,000, 4,58,500, 2,12,500. Profit on Sale Rs. 20,000 & 22,000]

Personal Note:-

Question : 47 (Amortisation) **(SM ILL. 13)**

Kumar R&D Co. registered a patent (the patent meets the criteria of an intangible asset) on 1st July, 2021 developed at a cost of ₹ 28,00,000 and spent ₹ 2,00,000 towards legal fees and registration. The patent is granted for a period of 10 years. The books are closed on 31st December every year.

Required

Show the Patent Account and Amortisation Account for the year 2021 and 2022.

Personal Note:-

Question: 48 **[PEQ. Dec. 23, 5 Marks]**

From the following transactions of a concern, prepare the Machinery Account for the year ending 31st December, 2022:

01.01.21	Purchased a second – hand Machinery for Rs. 2,00,000
01.01.21	Spent Rs. 50,000 on repairs for making it serviceable
30.06.21	Purchased additional new Machinery for Rs. 3,50,000
30.06.21	Installation charges of new Machine Rs. 15,000
01.04.22	Repairs and maintenance of Machinery Rs. 30,000
30.06.22	Sold second hand Machinery purchased on 01.01.21 for Rs. 1,55,000
31.12.22	Depreciate the Machinery at 10% per annum by WDV method

Personal Note:-

Question : 49 **(PEQ. June – 24, 8 Marks)**

On 1st April, 2022, LMP Co. which depreciates its machinery @ 10% p.a. on diminishing balance method, had ₹ 9,72,000 to the debit of Machinery Account. On 1st October, 2022, part of machinery purchased on 1st April, 2020 for ₹ 80,000 was sold for ₹ 45,000.

Also, a new machinery at a cost of ₹ 1,50,000 was purchased on 1st October, 2022 and installed on the same date and installation charges being ₹ 8,000.

The company changed the method of depreciation from diminishing balance method to straight line method with effect from 1st April, 2020 and adjusted the difference on 31st March, 2023. The rate of depreciation remains the same.

Show the Machinery Account and ascertain the amount chargeable to Profit and Loss Account as depreciation in the year 2022-23.

Personal Note:-

Question : 50 **(Change of Method WDV to SLM, Sale of Asset)** **(PEQ. Jan. 25, 10 Marks)**

A firm purchased a second-hand machinery on April 1, 2021 for Rs. 15,00,000 subsequent to which Rs. 2,00,000 were spent on its repairs and installation. On October 1, 2021 another machinery was purchased for Rs. 9,00,000 and cost of installing the machine in a new plant is Rs. 20,000. The firm also shifted the machinery purchased on April 1, 2021 to the new plant and incurred freight of Rs. 10,000. They adopted a policy of charging depreciation @ 12% per annum on diminishing balance method.

On April 1, 2023 it was decided to change the method and rate of depreciation to straight line basis. On this date, the remaining useful life was assessed as 5 years for both the machines purchased with no scrap value.

On October 1, 2023 the first machine become outdated and sold for Rs. 2,50,000. On the same date, another machinery was purchased for Rs. 8,50,000. The estimated useful life of the machine is 10 years and residual value is Rs. 30,000.

You are required to prepare the machinery account for the year ending March 31, 2024.

Personal Note:-

Question : 51 **(Sale of Asset + SLM)** **(PEQ. May. 25, 10 Marks)**

On 1st July, 2022, Maritime Limited purchased second hand machine for ₹ 1,20,000 and reconditioned the same by spending ₹ 18,000. On 1st January, 2023 a new machine was purchased for ₹ 72,000.

On 30th June, 2024 the machine purchased on 1st January, 2023 was sold for ₹ 48,000 and another machine was installed at a cost of ₹ 90,000. Rate of depreciation is 15% on original cost every year.

Show the Machinery Account from 1st July, 2022 to 31st March, 2025.

Personal Note:-

ANSWERS OF HOME WORK QUESTIONS

Solution 19:

Step 1: Total Cost of Asset = Purchase Price + Expenses to be capitalized
= Rs. 80,000 + Rs. 20,000 = Rs. 1,00,000

Step 2: Amount of Depreciation per year

$$= \frac{Total\ Cost\ of\ Assets - Estimated\ Residual\ Value}{Expected\ Useful\ Life}$$

$$= \frac{Rs.1,00,000 - Rs.68,000}{4} = \text{Rs.8,000 per year}$$

Step 3: = Amount of Depreciation for the first year of purchase
Amount of Depreciation for 3 months = Rs.8,000 x 3/ 12 = Rs. 2,000

Solution 20:

As the rate of depreciation is not given in the question, the amount of annual depreciation will be arrived at as under:

Annual Depreciation $= \frac{Cost\ of\ Asset - Scrap\ Value}{Estimated\ life\ of\ Asset}$

$$= \frac{Rs.1,00,000 - Rs.20,000}{10\ years} = \text{Rs. 8,000}$$

MACHINERY ACCOUNT

Dr.					Cr.
Date	**Particulars**	**Amount Rs.**	**Date**	**Particulars**	**Amount Rs.**
2018			2019		
April 1	To Bank A/c	90,000	Mar. 31	By Depreciation A/c	8,000
April 1	To Bank A/c(expenses)	6,000			
April 1	To Bank A/c(expenses)	4,000	Mar. 31	By Balance c/d	92,000
		1,00,000			1,00,000
2019			2020		
April 1	To Balance b/d	92,000	Mar. 31	By Depreciation A/c	8,000
			Mar. 31	By Balance c/d	84,000
		92,000			92,000
2020			2021		
April 1	To Balance b/d	84,000	Mar. 31	By Depreciation A/c	8,000
			Mar. 31	By Balance c/d	76,000
		84,000			84,000
2021			2022		
April 1	To Balance b/d	76,000	Mar. 31	By Depreciation A/c	8,000
			Mar. 31	By Balance c/d	68,000
		76,000			76,000
2022					
April 1	To Balance b/d	68,000			

DEPRECIATION ACCOUNT

Dr.					Cr.
Date	**Particulars**	**Amount Rs.**	**Date**	**Particulars**	**Amount Rs.**
2019 Mar. 31	To Machine A/c	8,000	2019 Mar. 31	By Profit & Loss A/c	8,000
2020 Mar. 31	To Machine A/c	8,000	2020 Mar. 31	By Profit & Loss A/c	8,000
2021 Mar. 31	To Machine A/c	8,000	2021 Mar. 31	By Profit & Loss A/c	8,000
2022 Mar. 31	To Machine A/c	8,000	2022 Mar. 31	By Profit & Loss A/c	8,000

Solution 21:

Dr. **Machinery Account** **Cr.**

		Rs.			Rs.
2021			2021		
July 1	To Bank A/c	14,00,000	Dec. 31	By Depreciation A/c	
July 1	To Bank A/c-Installation Exp.	1,00,000		10% on Rs. 15,00,000 for 6 months	75,000
			Dec. 31	By Balance c/d	14,25,000
		15,00,000			15,00,000
2022			2022		
Jan. 1	To Balance b/d	14,25,000	Dec. 31	By Depreciation A/c	
				10% on Rs. 15,00,000	1,50,000
			Dec. 31	By Balance c/d	12,75,000
		14,25,000			14,25,000

Depreciation Account

		Rs.			Rs.
2021			2021		
Dec. 31	To Machinery A/c	75,000	Dec. 31	By Profit & Loss A/c	75,000
2022			2022		
Dec. 31	To Machinery A/c	1,50,000	Dec. 31	By Profit & Loss A/c	1,50,000

Solution 22:

Machinery Account

Dr. **Cr.**

		Rs.			Rs.
2021			2022		
July 1	To Bank A/c	14,00,000	Dec. 31	By Depreciation A/c	75,000
July 1	To Bank A/c-	1,00,000		(Rs. 15,00,000 x 10% x 6/12) for 6 months	
			Dec. 31	By Balance c/d	14,25,000
		15,00,000			15,00,000
2022			2022		
Jan. 1	To Balance b/d	14,25,000	Dec. 31	By Depreciation A/c	1,42,500
				(Rs. 14,25,000 x 10%)	
			Dec. 31	By Balance c/d	12,82,500
		14,25,000			14,25,000

Solution 23:

MACHINERY ACCOUNT

Dr.					Cr.
Date	**Particulars**	**Amt. (Rs.)**	**Date**	**Particulars**	**Amt. (Rs.)**
2018			2019		
April 1	To Bank A/c	8,000	Mar. 31	by Depreciation A/c	
April 1	To Bank A/c (Expenses)	2,000		(10% on Rs. 10,000)	1,000
			Mar. 31	Balance c/d	9,000
		10,000			10,000
2019			2020		
April 1	To Balance b/d	9,000	Mar. 31	By Depreciation A/c	
				(10% on Rs. 9,000)	900
			Mar. 31	Balance c/d	8,100
		9,000			9,000
2020			2021		
April 1	To Balance b/d	8,100	Mar. 31	By Depreciation A/c	810
				(10% on Rs. 8,100)	
			Mar. 31	Balance c/d	7,290
		8,100			8,100
2021			2022		
April 1	To Balance b/d	7,290	Mar. 31	Depreciation A/c	729
			Mar. 31	Balance c/d	6,561
		7,290			7,290
2022					
April 1	To Balance b/d	6,561			

Solution 24:

Assets A/c

Particulars	**Amount**	**Particulars**	**Amount**
To Bank A/c	1,26,000	By Depreciation A/c	34,286
		By Balance c/d	91,714
	1,26,000		1,26,000
To Balance b/d	91,714	By Depreciation A/c	28,571
		By Balance c/d	63,143
	91,714		91,714
To Balance b/d	63,143	By Depreciation A/c	22,857
		By Balance c/d	40,286
	63,143		63,143
To Balance b/d	40,286	By Depreciation A/c	17,143
		By Balance c/d	23,143
	40,286		40,286
To Balance b/d	23,143	By Depreciation A/c	11,429
		By Balance c/d	11,714
	23,143		23,143
To Balance b/d	11,714	By Depreciation A/c	5,714
		By Balance c/d	6,000
	11,714		11,714

Working Note :-

Depreciation = $\frac{\text{Cost} - \text{SV}}{\text{Total of all digits of life of Asset}}$ x No. of years remaining of Assets Life (Incl. C.Y.)

Calculation of Depreciation:-

Depreciation	=	$\frac{1,20,000}{21}$	=	5714.28
1st Year	=	5714.28 x 6	=	34,286
2nd Year	=	5714.28 x 5	=	28,571
3rd Year	=	5714.28 x 4	=	22,857
4th Year	=	5714.28 x 3	=	17,143
5th Year	=	5714.28 x 2	=	11,429
6th Year	=	5714.28 x 1	=	5,714

Solution 25:

STATEMENT SHOWING DEPRECIATION UNDER PRODUCTION UNITS METHOD

Year	Annual Depreciation
1 – 3	(Rs. 4,00,000 – Rs. 40,000) / 300000 X 40000 = Rs. 48,000
4 – 7	(Rs. 4,00,000 – Rs. 40,000) / 300000 X 30000 = Rs. 36,000
8 – 10	(Rs. 4,00,000 – Rs. 40,000) / 300000 X 20000 = Rs. 24,000

Solution 26:

Quarry Lease Account

		Rs.			Rs.
2020			2020		Rs.
Jan.	To Bank A/c	1,00,00,000	Dec. 31	By Depreciation A/c [2000 x 50]	1,00,000
			Dec. 31	By Balance c/d	99,00,000
		1,00,00,000			1,00,00,000
2021			2021		
Jan. 1	To Balance b/d	99,00,000	Dec. 31	By Depreciation A/c [10,000x50]	5,00,000
			Dec. 31	By Balance c/d	94,00,000
		99,00,000			99,00,000
2022			2022		
Jan. 1	To Balance b/d	94,00,000	Dec. 31	By Depreciation A/c [15000x50]	7,50,000
			Dec. 31	By Balance C/d	86,50,000
		94,00,000			94,00,000

Working Note :

Calculation of Depreciation per unit of production = Cost (-) SV / Total Estimated Production
= 10000000/200000 = 50/-

Depreciation Account

		Rs.			Rs.
2020			2020		
Dec. 31	To Quarry lease A/c	1,00,000	Dec. 21	By Profit & Loss A/c	1,00,000
		1,00,000			1,00,000
2021			2021		
Dec. 31	To Quarry lease A/c	5,00,000	Dec. 31	By Profit & Loss A/c	5,00,000
		5,00,000			5,00,000
2022			2022		
Dec. 31	To Quarry lease A/c	7,50,000	Dec. 31	By Profit & Loss A/c	7,50,000
		7,50,000			7,50,000

Solution 27:

Statement of Annual Depreciation under Machine Hours Rate Method.

Year	Annual Depreciation
1-3	$\frac{3,000}{24,000}$ x (Rs. 30,00,000 – Rs. 2,00,000) = Rs. 3,50,000
4-6	$\frac{2,600}{24,000}$ x (Rs. 30,00,000 – Rs. 2,00,000) = Rs. 3,03,333
7-10	$\frac{1,800}{24,000}$ x (Rs. 30,00,000 – Rs. 2,00,000) = Rs. 2,10,000

Solution 28:

Truck Account

Date	Particulars	Amount	Date	Particulars	Amount
2022			2022		
Jan-01	To balance b/d (WN-1) (2925000 x 10)	2,92,50,000	Oct-01	By Bank A/c	27,00,000
			Oct-01	By Depreciation on lost assets	6,75,000
Oct-01	To Profit & Loss A/c (Profit on settlement of Truck) (WN1)	4,50,000			
Oct-01	To Bank A/c	50,00,000	Dec-31	By Depreciation A/c (WN-2)	83,50,000
			Dec-31	By balance c/d	2,29,75,000
		3,47,00,000			3,47,00,000
2023			2023		
Jan-01	To balance b/d	2,29,75,000	Dec-31	By Depreciation A/c (81L + 10L)	91,00,000
			Dec-31	By balance c/d	1,38,75,000
		2,29,75,000			2,29,75,000

Working Note: 1

1.To find out Profit or loss on settlement of truck [SLM]

	Rs.
Original cost as on 1.4.2020	45,00,000
Less: Depreciation for 2020 (45,00,000 x 20% x 9/12)	(6,75,000)
	38,25,000
Less: Depreciation for 2021 (45,00,000 x 20%)	(9,00,000)
BV as on 1/1/22	29,25,000
Less: Depreciation for 2022 (9 months) (45,00,000 x 20% x 9/12)	(6,75,000)
	22,50,000
Less: Amount received from Insurance company	(27,00,000)
Profit	4,50,000

Working Note 2 :

Calculation of Depreciation :

i) On 9 Truck (45,00,000 x 9 x 20%) = 8100000

ii) On New Truck 5000000 x 20% x 3/12 = 250000

TOTAL = 8350000

Solution 29:

Dr. TRUCK ACCOUNT Cr.

Date	Particulars	Amt.	Date	Particulars	Amt.
2020		Rs.	2020		Rs.
Jan. 1	To Bank A/c	4,00,000	Mar. 31	By Depreciation A/c (20% on Rs. 4,00,000 For 3 months)	20,000
			Mar. 31	By Balance c/d	3,80,000
		4,00,000			4,00,000
2020			2021		
April 1	To Balance b/d	3,80,000	Mar. 31	By Depreciation A/c	76,000
			Mar. 31	By Balance c/d	3,04,000
		3,80,000			3,80,000
2021			2021		
April 1	To Balance b/d	3,04,000	July	By Bank	3,00,000
July 1	To profit & Loss (Profit on Truck Rs. 3,00,000 + 15,200 – 3,04,000)	11,200	July 1	By Depreciation A/c (20% on Rs. 3,04,000 for 3 months)	15,200
			2022		
July 1	To Bank A/c	5,00,000	Mar. 31	By Depreciation A/c (20% on Rs. 5,00,000 For 9 months)	75,000
			Mar. 31	By Balance c/d	4,25,000
		8,15,200			8,15,200
2022					
April 1	To Balance b/d	4,25,000			

Solution 30:

Machinery Account

Dr. 2021		Rs.	2021		Cr. Rs.
Jan. 1	To Bank A/c	4,80,000	Dec. 31	By Depreciation A/c	60,000
Jan. 1	To Bank A/c - erection Charges	20,000		By Balance c/d	6,40,000
July 1	To Bank A/c	2,00,000			
		7,00,000			7,00,000
2022			2022		
Jan. 1	To Balance b/d	6,40,000	July 1	By Depreciation on sold machine	22,500
July 1	To Bank A/c	5,00,000		By Bank A/c	2,90,000
				By Profit and Loss A/c	1,37,500
			Dec. 31	By Depreciation A/c	44,000
				By Balance c/d	6,46,000
		11,40,000			**11,40,000**

Working Note:

Book Value of Machines

	Machine I Rs.	Machine II Rs.	Machine III Rs.
Cost	5,00,000	2,00,000	5,00,000
Depreciation for 2021	50,000	10,000	
Written down value	4,50,000	1,90,000	
Depreciation for 2022	22,500	19,000	25,000
Written down value	4,27,500	1,71,000	4,75,000
Sale Proceeds	2,90,000		
Loss on Sale	1,37,500		

Solution 31:

Depreciation per year charged for three years = Rs.12,00,000 / 10 = Rs.1,20,000
WDV of the machine at the end of third year = Rs.12,00,000 - Rs.1,20,000 × 3 = 8,40,000.
Depreciable amount after revalution = Rs.8,40,000 + Rs.60,000 = Rs.9,00,000
Remainning useful life as per revised estimate = 9 years
Depreciation for the fourth year onwards = Rs.9,00,000 / 9 = Rs.1,00,000.

Solution 32:

Calculation of depreciation for 5th year

(a) Depreciation per year charged of four years = Rs.10,00,000/10 = Rs.1,00,000
(b) WDV of the machine at the end of fourth year = Rs.10,00,000 - Rs.1,00,000 × 4 = Rs.6,00,000.
(c) Depreciable amount after revaluation = Rs.6,00,000 + Rs.40,000 = Rs.6,40,000
(d) Remaining useful life as per revised estimate = 8 years
(e) Depreciation for the fifth year and onwards = Rs.6,40,000 / 8 = Rs.80,000 .

Solution 33:

Dr. Machinery Account Cr.

		Rs.			Rs.
2020			2020		
Jan. 1	To Bank A/c (Purchase price	1,94,000	Dec. 31	By Depreciation A/c	25,000
	To Bank A/c (Cost of erection)	6,000		By Balance c/d	2,75,000
July 1	To Bank A/c (Purchase price)	1,00,000			
		3,00,000			3,00,000
2021			2021		
Jan. 1	To Balance b/d	2,75,000	Dec. 31	By Depreciation A/c	30,000
				By Balance c/d	2,45,000
		2,75,000			2,75,000
2022			2022		
Jan. 1	To Balance b/d	2,45,000	July 1	By Bank A/c (Sale)	1,00,000
July 1	To Bank A/c	1,50,000	Dec. 31	By P/L A/c (Loss on sale of Machinery) (WN-2)	60,000
				By Depreciation A/c	17,500
				By Balance c/d	2,17,500
		3,95,000			3,95,000
2023			2023		
Jan. 1	To Balance b/d	2,17,500	Dec. 31	By Depreciation A/c (15% on 2,17,500)	32,625
				By Balance c/d	1,84,875
		2,17,500			2,17,500

Working Notes:

1. Calculation of Depreciation

(10% per annum on the original cost)

	Machinery I [Date of Purchase: Ist Jan. 2020	Machinery II Ist July 2020	Machinery III Ist July 2022]	Total Depre.
Cost	Rs.200000	**Rs. 100000**	**Rs. 150000**	
2020	20,000	5,000	–	25,000
2021	20,000	10,000	–	30,000
2022	–	10,000	7,500	17,500

2. Loss on sale of Machinery:

	Rs.
Original Cost (including erection charges)	2,00,000
Less: Total Depreciation (on machinery 1)	(–) 40,000
W. D. V. on the date of sale	1,60,000
Less: Sale Proceeds	(–) 1,00,000
Loss on sale of machinery	60,000

Note:- When method of Dep. Changed, it shall be given prospective effect.

Solution 34:

Plant and Machinery Account

		Rs.			Rs.
2022			2022		
Jan. 1	To Balance b/d	19,00,000	June 1	By Bank (Sales)	75,000
June. 1	To Bank (2,80,000 + 8,920)	2,88,920		By Depreciation (on sold machine)	14,762
				By Loss on sale	2,64,532
				By Loss on scrapping the machine	3,76,912
				By Depreciation (on scrapped machinery)	16,388
				By Depreciation (Note iii)	1,32,094
				By Balance c/d	13,09,232
		21,88,920			**21,88,920**

Working Note :

(i) Calculation of loss on sale of machiner on 1-6-2022

	Rs.
Cost on 1-1-2020	4,37,400
Less: Depreciation @ 10% on Rs. 4,37,400	(43,740)
W.D.V. on 31-12-2020	3,93,660
Less: Depreciation @10% on 3,93,660	(39,366)
W.D.V on 31-12-2021	3,54,294
Less: Depreciation @ 10% on Rs. 3,54,294 for 5 months	(14,762)
	3,39,532
Less: Sale proceeds on 1-6-2022	(75,000)
Loss	2,64,532

(ii) Calculation of loss on scrapped machine

	Rs.
Cost on 1-1-2021	4,37,000
Less: Depreciation @ 10% on Rs. 4,37,000	(43,700)
W.D.V. on 1-1-2022	3,93,300
Less: Depreciation @ 10% on Rs. 3,93,300 for 5 months	(16,388)
Loss	3,76,912

(iii)	**Depreciation**		
	Balance of machinery account on 1-1-2022		19,00,000
	Less: W.D.V of machinery sold	3,54,294	
	W.D.V . of machinery scrapped	3,93,300	(7,47,594)
	W.D.V. of other machinery on 1-1-2022		11,52,406
	Depreciation @ 10% on Rs. 11,52,406 for 12 months		1,15,240
	Depreciation @ 10% on Rs. 2,88,920 for 7 months		16,854
			1,32,094

Solution 35:

Dr. MACHINERY ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
01.01.2020	To Bank A/c-I	30,000	31.12.2020	By Balance c/d	75,000
01.01.2020	To Bank A/c-I	20,000			
01.07.2020	To Bank A/c-II	25,000			
		75,000			**75,000**
01.01.2021	To Balance b/d	75,000	31.12.2021	By Balance c/d	75,000
		75,000			**75,000**
01.01.2022	To Balance b/d	75,000	01.07.2022	By Machine Disposal A/c	50,000
01.06.2022	To Bank A/c -III	60,000	31.12.2022	By Balance c/d	85,000
		1,35,000			**1,35,000**
01.01.2023	By Balance b/d	85,000	31.12.2023	By Balance c/d	85,000

Dr. PROVISION FOR DEPRECIATION ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars		Rs.
31.12.2020	To Balance c/d	6,250	31.12.2020	By Depreciation A/c:		
				I	5,000	
				II (6 months)	1,250	6,250
		6,250				**6,250**
31.12.2021	To Balance c/d	13,750	01.01.2021	By Balance b/d:		6,250
				Depreciation A/c :		
				I	5,000	
				II	2,500	7,500
		13,750				**13,750**
01.07.2022	To Machine Disposal A/c	12,500	01.01.2022	By Balance b/d		13,750
	(5,000 + 5,000+ 2,500)		01.07.2022	By Depreciation (I)		2,500
	To Balance c/d	9,250		(for 6Months)		
			31.12.2022	By Depreciation		
				II	2,500	
				III (for 6 months)	3,000	5,500
		21,750				**21,750**
31.12.2023	To Balance c/d	20,613	01.01.2023	By Balance b/d		9,250
			31.12.2023	By Depreciation A/c:		
				Machine II	2,813	
				Machine III	8,550	11,363
		20,613				**20,613**

Dr.	MACHINERY DISPOSAL ACCOUNT				Cr.
Data	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
01.07.2022	To Machine A/c	50,000	01.07.2022	By Provision for Depreciation	12,500
				By Bank A/c	10,000
				By Profit and Loss A/c	27,500
				Loss (Balancing Figure)	
		50,000			**50,000**

Working Notes :-

Depreciation for current year as per New Method (WDV @15%)

Depreciation = Book value x %

Machine II (25,000 – 6,250) x 15% = 2,813

Machine III (60,000 – 3000) x 15% = 8,550

Solution 36:

Books of Chandan & Co.

Machinery Account

Dr. **Cr.**

Date	Particulars	J.F	Amount	Date	Particulars	J.F	Amount
2021			Rs.	2022			Rs.
April 1	To Bank Account		8,00,000	Mar. 31	By Balance c/d		8,00,000
			8,00,000				8,00,000
2022				2023			
April 1	To Balance b/d		8,00,000	Mar. 31	By Bank Account		1,75,000
2023				Mar. 31	By Provision for Depreciation A/c		40,000
Mar. 31	To Profit and Loss Account		15,000	Mar. 31	By Balance c/d		6,00,000
			8,15,000				8,15,000

Dr. **Provision for Depreciation Account** **Cr.**

Date	Particulars	J.F.	Amount	Date	Particulars	J.F.	Amount
2022				2022			
Mar. 31	To Balance c/d		80,000	Mar. 31	By Depreciation Account		80,000
			80,000				80,000
2023				2022			
Mar. 31	To Machinery Account (2,00,000 x 10% x 2 years)		40,000	April 1	By Balance b/d		80,000
				2023			
Mar. 31	To Balance c/d		1,20,000	Mar. 31	By Depreciation Account		80,000
			1,60,000				1,60,000

1. Calculation of Profit or Loss on Sale of Machinery:

		Rs.
Cost of Asset Sold (8,00,000 x 1/4)		2,00,000
Less:	Depreciation for 2 years (2,00,000 x 10/100 x 2 years)	40,000
	Book Value of Asset	1,60,000
Less:	Sales Value	1,75,000
	Profit on Sale	15,000

Solution 37:

Books of Roshan Ara
Machinery Account

Dr. **Cr.**

Date	Particulars	J.F.	Amount	Date	Particulars	J.F	Amount
2021				2022			Rs.
April 1	To Bank Account		1,20,000	Mar. 31	By Balance c/d		1,20,000
			1,20,000				1,20,000
2022				2023			
April 1	To Balance b/d		1,20,000	Mar. 31	By Machinery Disposal Account		40,000
				Mar.31	By Balance c/d		80,000
			1,20,000				1,20,000
2023							
April 1	To Balance b/d		80,000				

Provision for Depreciation Account

Dr. **Cr.**

2022			Rs.	2022			Rs.
Mar. 31	To Balance c/d		12,000	Mar. 31	By Depreciation A/c		12,000
			12,000				12,000
2023				2022			
Mar. 31	To Machinery Disposal A/c (40,000 x 10% x 2 years)		8,000	April 1	By Balance b/d		12,000
				2023			
Mar. 31	To Balance c/d		16,000	Mar.31	By Depreciation A/c		12,000
			24,000				24,000

Machinery Disposal Account

Dr. **Cr.**

2023			Rs.	2023			Rs.
Mar. 31	To Machinery Account		40,000	Mar. 31	By Provision for Depreciation A/c		8,000
				Mar. 31	By Bank Account		25,000
				Mar. 31	By Profit and Loss A/c (loss)		7,000
			40,000				40,000

Solution 38:

Books of Parvez Khan
Machinery Account

Dr. **Cr.**

Date	Particulars	J.F	Amount	Date	Particulars	J.F	Amount
			Rs.				Rs.
2020				2021			
Apr. 1	To Bank Account		1,00,000	Mar. 31	By Balance c/d		1,00,000
			1,00,000				1,00,000
2021				2022			
Apr. 1	To Balance b/d		1,00,000	Mar. 31	By Balance c/d		1,00,000
			1,00,000				1,00,000
2022				2022			
Apr. 1	To Balance b/d		1,00,000	Sept. 30	By Bank A/c		14,500
				Sept. 30	By Provision for Dep. A/c		5,763
				Sept. 30	By Profit & Loss A/c (Loss)		4,737
				2023			
				Mar.31	By Balance c/d		75,000
			1,00,000				1,00,000

Provision for Depreciation Account

Dr.							Cr.
2021			Rs.	2021			
Mar. 31	To Balance c/d		10,000	Mar. 31	By Depreciation A/c		10,000
			10,000				10,000
2022				2021			
Mar.	To Balance c/d		19,000	Apr. 1	By Balance b/d		10,000
				2022			
				Mar. 31	By Depreciation A/c		9,000
					(1,00,000 – 10,000) x $\frac{10}{100}$		
			19,000				19,000
2022				2022			
Sept. 30	To Machinery A/c		5,763	Apr. 1	By Balance b/d		19,000
				Sept. 30	By Depreciation (6 Months)		1,013
2023				2023			
Mar. 31	To Balance c/d		20,325	Mar. 31	By Depreciation A/c		6,075
			26,088				26,088

Working Notes:

1. Calculation of Profit or Loss on Sale of Machinery:

Cost of Machinery Sold	25,000
- Dep. For 2020-21	2,500
	22,500
- Dep. For 2021-22	2,250
	20,250
- Dep. for 6 months (2022-23)	1,013
Book Value	19,237
Less Sales Value	14,500
Loss on Sale	4,737

2. Calculation of Depreciation on Remaining Assets for 2022-23:

	Rs.
Cost of Remaining Asset (1,00,000 x 3/4)	75,000
(-) Depreciation charged upto 31/03/22 (19,000 x 3/4)	14,250
BV as on 1/4/22	60,750
Depreciation @ 10%	6,075

3. Total Depreciation on machinery sold:
(2,500 + 2,250 + 1,013) = Rs. 5,763

Solution 39:

(I) If Company maintains SLM method.

(a) When 'Provision for Depreciation Account' is not maintained

MACHINERY ACCOUNT

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
01.04.2020	To Bank A/c	12,00,000	31.03.2021	By Depreciation A/c	1,20,000
				By Balance c/d	10,80,000
		12,00,000			12,00,000
01.04.2021	To Balance b/d	10,80,000	31.03.2022	By Depreciation A/c	1,20,000
				By Balance c/d	9,60,000
		10,80,000			10,80,000
01.04.2022	To Balance b/d	9,60,000	01.10.2022	By Bank A/c	45,000
01.10.2022	To Bank A/c	1,58,000	01.10.2022	By Depreciation A/c (6 M) (80,000 x 10% x 6/12) (WN-1)	4,000
				By Profit & Loss A/c	15,000
			31.03.2023	By Depreciation A/c	1,19,900
				By Balance c/d	9,34,100
		11,18,000			11,18,000

(b) When 'Provision for Depreciation Account' is maintained

MACHINERY ACCOUNT (AT ORIGINAL COST)

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
01.04.2020	To Bank A/c	12,00,000	31.03.2021	By Balance c/d	12,00,000
01.04,2021	To Balance b/d	12,00,000	31.03.2022	By Balance c/d	12,00,000
01.04.2022	To Balance b/d	12,00,000	01.10.2022	By Machinery Disposal A/c	80,000
01.10.2022	To Bank A/c	1,58,000	31.03.2023	By Balance c/d	12,78,000
		13,58,000			13,58,000

PROVISION FOR DEPRECIATION ACCOUNT

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
31.03.2021	To Balance c/d	1,20,000	31.03.2021	By Depreciation A/c	1,20,000
31.03.2022	To Balance c/d	2,40,000	01.04.2022	By Balance b/d	1,20,000
			31.03.2022	By Depreciation A/c	1,20,000
		2,40,000			2,40,000
01.10.2022	To Machinery Disposal A/c	20,000	01.04.2022	By Balance b/d	2,40,000
31.03.2023	To Balance c/d	3,43,900	01.10.2022	By Depreciation A/c	4,000
			31.03.2023	By Depreciation A/c	1,19,900
		3,63,900			3,63,900

Dr.	MACHINERY DISPOSAL ACCOUNT				Cr.
Data	**Particulars**	**Rs.**	**Date**	**Particulars**	**Rs.**
01.10.2022	To Machinery A/c	80,000	01.10.2022	By Provision for Depreciation A/c	20,000
				By Bank A/c	45,000
				By Profit and Loss A/c (Loss on Sale)	15,000
		80,000			80,000

Working Notes :-

1. CALCULATION OF PROFIT /LOSS ON SALE OF MACHINERY

	Particulars	Rs.
A.	Original Cost	80,000
B.	Less: Depreciation @ 10% p.a. for 2½ years [Rs. 80,000 x 10/100 x 2½]	20,000
C.	Book Value as on date of Sale [A-B]	60,000
D.	Less: Sale Proceeds	45,000
E.	Loss on Sale [C-D]	15,000

2. CALCULATION OF DEPRECIATION FOR CURRENT YEAR ON MACHINES (OTHER THAN SOLD)

	Particulars	Rs.
A.	On Old Machine of Rs. 11,20,000 (12,00,000 – 80,000) for 1 year	1,12,000
B.	On New Machine of Rs. 1,58,000 for 6 Months	7,900
		1,19,900

(II) If Company maintains WDV method of Depreciation:-

(a) When 'Provision for Depreciation Account' is not maintained

MACHINERY ACCOUNT

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
01.04.2020	To Bank A/c	12,00,000	31.03.2021	By Depreciation A/c	1,20,000
				By Balance c/d	10,80,000
		12,00,000			12,00,000
01.04.2021	To Balance b/d	10,80,000	31.03.2022	By Depreciation A/c	1,08,000
				By Balance c/d	9,72,000
		10,80,000			10,80,000
01.04.2022	To Balance b/d	9,72,000	01.10.2022	By Bank A/c	45,000
01.10.2022	To Bank A/c	1,58,000		By Depreciation A/c	3,240
				By Profit & Loss A/c	16,560
			31.03.2023	By Depreciation A/c (WN-2)	98,620
				By Balance c/d	9,66,580
		11,30,000			11,30,000

(b) When 'Provision for Depreciation Account' is maintained

MACHINERY ACCOUNT (AT ORIGINAL COST)

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
01.04.2020	To Bank A/c	12,00,000	31.03.2021	By Balance c/d	12,00,000
01.04.2021	To Balance b/d	12,00,000	31.03.2022	By Balance c/d	12,00,000
01.04.2022	To Balance b/d	12,00,000	01.10.2022	By Machinery Disposal A/c	80,000
01.10.2022	To Bank A/c	1,58,000	31.03.2023	By Balance c/d	12,78,000
		13,58,000			**13,58,000**

PROVISION FOR DEPRECIATION ACCOUNT

Dr. **Cr.**

Date	Particulars	Rs.	Date	Particulars	Rs.
31.03.2021	To Balance c/d	1,20,000	31.03.2021	By Depreciation A/c	1,20,000
31.03.2022	To Balance c/d	2,28,000	01.04.2021	By Balance b/d	1,20,000
			31.03.2022	By Depreciation A/c	1,08,000
		2,28,000			**2,28,000**
01.10.2022	To Machinery Disposal A/c	18,440	01.04.2022	By Balance b/d	2,28,000
31.03.2023	To Balance c/d	3,11,420	01.10.2022	By Depreciation A/c	3,240
			31.03.2023	By Depreciation A/c	98,620
		3,29,860			**3,29,860**

Machinery Disposal Account

Dr. **Cr.**

Data	Particulars	Rs.	Date	Particulars	Rs.
01.10.2022	To Machinery A/c	80,000	01.10.2022	By Provision for Depreciation A/c	18,440
				By Bank A/c	45,000
				By P&L A/c (Loss on sale)	16,560
		80,000			80,000

Working Notes :-

1. CALCULATION OF PROFIT /LOSS ON SALE OF MACHINERY

	Particulars	Rs.
A.	Original Cost 1/4/20	80,000
B.	Less: Depreciation @ 10% p.a. for First year 31/3/21	(8,000)
C.	Book Value 1/4/21	72,000
D.	Less: Depreciation @ 10% p.a. for Second year 31/3/22	(7,200)
E.	Book Value 1/4/22	64,800
F.	Less: Depreciation @ 10% p.a. upto date of Sale [Rs. 67,800 x 10/100 x 6/12] i.e 1/10/22	(3,240)
G.	Book Value as on Date of Sale	61,560
H.	Sale Proceeds	(45,000)
I.	Loss on Sale [G-H]	16,560

2. CALCULATION OF DEPRECIATION FOR CURRENT YEAR ON MACHINES (OTHER THAN SOLD)

	Particulars	Rs.
A.	BV of Remaining Asset = 9,72,000 – 64,800 = 9,07,200 (Dep. @ 10%)	90,720
B.	On New Machine [Rs. 1,58,000 x 10/100 x 6/12]	7,900
		98,620

Solution 40:

Machinery Account

Dr. **Cr.**

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
2021			2022		
April 1	To Bank A/c	2,00,000	March 31	By Balance c/d	3,00,000
Oct.1	To Bank A/c	1,00,000			
		3,00,000			**3,00,000**
2022			2022		
April 1	To Balance b/d	3,00,000	Oct. 1	By Bank A/c	90,000
				By Provision for Dep. A/c	30,000
				By Profit & Loss A/c (Loss on sale)	80,000
			2023		
			March 31	By Balance c/d	1,00,000
		3,00,000			**3,00,000**
2023			2023		
April 1	To Balance b/d	1,00,000	Oct. 1	By Bank A/c	85,000
Oct.1	To Bank A/c	2,50,000	Oct. 1	By Provision for Dep. A/c	20,000
Oct.1	To Profit & Loss A/c (Profit on Sale)	5,000			
			2024		
			March 31	By Balance c/d	2,50,000
		3,55,000			**3,55,000**

Provision for Depreciation Account

Date	Particulars	Amt. (Rs.)	Date	Particulars	Amt. (Rs.)
2022			2022		
March 31	To Balance c/d	25,000	March 31	By Depreciation A/c	25,000
Oct. 1	To Machinery A/c (Rs.20,000+ Rs.10,000)	30,000	April 1, 22	By Balance b/d	25,000
			Oct. 1	By Depreciation A/c	10,000
2023			2023		
March 31	To Balance c/d	15,000	March 31	By Depreciation A/c	10,000
		45,000			45,000
Oct, 1	To Machinery A/c (Rs.5,000 + Rs.10,000 + Rs. 5,000)	20,000	April 1, 2023	By Balance b/d	15,000
			Oct. 1	By Depreciation A/c	5,000
2024			2024		
March 31	To Balance c/d	12,500	March 31	By Depreciation A/c (2,50,000 x 10% x 6/12)	12,500
		32,500			32,500
			April 1	By Balance b/d	12,500

Depreciation Account

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
2022			2022		
March 31	To Provision for Dep. A/c	25,000	March 31	By Profit Loss A/c	25,000
Oct, 1	To Provision for Dep. A/c	10,000			
2023			2023		
March 31	To Provision for Dep. A/c	10,000	March 31	By Profit & Loss A/c	20,000
		20,000			20,000
Oct. 1	To Provision for Dep. A/c	5,000			
2024			2024		
March 31	To Provision for Dep. A/c	12,500	March 31	By Profit & Loss A/c	17,500
		17,500			17,500

An Alternative Method: Preparation of Machinery Disposal Account

Machinery Account

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
2021			2022	By Balance c/d	3,00,000
April 1	To Bank A/c	2,00,000	March 31		
Oct. 1	To Bank A/c	1,00,000			
		3,00,000			3,00,000
2022			2022		
April 1	To Balance b/d	3,00,000	Oct. 1	By Machinery Disposal A/c	2,00,000
			2023		
			March 31	By Balance c/d	1,00,000
		3,00,000			3,00,000
2023			2023		
April 1	To Balance b/d	1,00,000	Oct. 1	By Machinery Disposal A/c	1,00,000
Oct. 1	To Bank A/c	2,50,000			
			2024		
			March 31	By Balance c/d	2,50,000
		3,50,000			3,50,000

Provision for Depreciation Account

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
2022			2022		
March 31	To Balance c/d	25,000	March 31	By Depreciation A/c	25,000
Oct. 1	To Machinery Disposal A/c		April 1	By Balance b/d	25,000
	(Rs.20,000 + Rs.10,000)	30,000	Oct. 1	By Depreciation A/c	10,000
2023			2023		
March 31	To Balance c/d	15,000	March 31	By Depreciation A/c	10,000
		45,000			45,000
Oct. 1	To Machinery Disposal A/c		April 1	By Balance b/d	15,000
	(Rs.5,000 + Rs.10,000 + Rs.5,000)	20,000	Oct. 1	By Depreciation A/c	5,000
2024			2024		
March 31	To Balance c/d	12,500	March 31	By Depreciation A/c	12,500
		32,500			32,500
			April 1	By Balance b/d	12,500

Machinery Disposal Account

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
2022			2022	By Provision for Dep. A/c	30,000
Oct. 1	To Machinery A/c (cost)	2,00,000	Oct 1	By Bank A/c	90,000
				By Profit & Loss A/c (Loss)	80,000
		2,00,000			2,00,000
2023			2023		
Oct. 1	To Machinery A/c	1,00,000	Oct. 1	By Bank A/c	85,000
Oct. 1	To Profit & Loss A/c (Profit)	5,000		By Provision for Dep. A/c	20,000
		1,05,000			1,05,000

Note:

(i) Machinery Account will show balance at cost.

(ii) Provision for depreciation account will show accumulated depreciation on Machinery still in use.

(iii) Depreciation Account similar to Alternative 1.

Working Note :-

			Rs.
(i)	Machinery Sold on 1.10.2022		
	Cost of Machinery on 1.4.2021		2,00,000
	Less: Depreciation for 2021-22	20,000	
	Depreciation for 6 month (2,00,000 x 1/2 x 10%)	10,000	(30,000)
	W.D.V. of Machinery on 1.10.2022		1,70,000
	Less: Sale value		(90,000)
	Loss on Sale of Machinery		80,000

			Rs.
(ii)	Machinery sold on 1.10.2023:		
	Cost of Machinery on 1.10.2021		1,00,000
	Less: Depreciation for 6 month in 2021-22(1,00,000 x 10% x 1/2)	5,000	
	Less: Depreciation for 2022-23	10,000	
	Less: Depreciation for 6 months in 2023-24 (1,00,000 x 10% x 1/2)	5,000	(20,000)
	W.D.V. of Machinery on 1.10.2023		80,000
	Sale value of Machinery		85,000
	Profit on sale of Machinery		5,000

Solution 41:

Dr. Furniture Account Cr.

Date	Particulars	J.F	Amount	Date	Particulars	J.F	Amount
2022				2022			
Apri.1	To Balance b/d		50,000	Oct. 1	By Cash A/c (Sale)		5,000
Oct. 1	To Cash A/c (Purchase)		25,000	Oct. 1	By Provision for Depreciation A/c		8,000
				Oct. 1	By Profit and Loss A/c (W/N1)		7,000
				2023			
				Mar. 31	By Balance c/d		55,000
			75,000				75,000
2023							
Apr. 1	To Balance b/d		55,000				

Dr. Provision for Depreciation Account Cr.

Date	Particulars	J.F	Amount	Date	Particulars	J.F	Amount
2022				2022			
Oct. 1	To Furniture A/c		8,000	Apr. 1	By Balance b/d		22,000
2023				2023			
Mar. 31	To Balance c/d		18,250	Mar. 31	By Depreciation A/c (W/N2)		4,250
			26,250				26,250
				2023			
				Apr. 1	By Balance b/d		18,250

Working Note :

(1) Calculation of Profit/ Loss on Sale

	Rs.
Cost of furniture sold	20,000
Less: Depreciation for 2018-2019 @ 10%	2,000
Written Down Value on 31.3.2019	18,000
Less: Depreciation for 2019-2020	2,000
Written Down Value on 31.3.2020	16,000
Less: Depreciation for 2020-2021	2,000
Written Down Value on 31.3.2021	14,000
Less: Depreciation for 2021-2022	2,000
Written Down Value on 31.3.2022	12,000
Less: Sale Value	5,000
Loss on Sale of Furniture	7,000

(2) Calculation of Depreciation for the year 2022-23

Depreciation	
- on furniture worth Rs. 25,000 purchased on 1.10.2022	Rs.
Dep. @ 10% for 6 months=	1,250
- on Furniture worth Rs. 30,000	
Dep. @ 10% p.a. for full year	3,000
Total Depreciation	4,250

Solution 42:

Books of Aishwarya Bachans & Associates
Machinery Account

Dr. Cr.

Date	Particulars	J.F.	Amount	Date	Particulars	J.F	Amount
2021				2021			
April 1	To Balance b/d		60,000	April 1	By Machinery Disposal A/c		16,000
				2022			
				Mar. 31	By Balance c/d		44,000
			60,000				60,000

Dr. Provision for Depreciation Account Cr.

			Rs.				Rs.
2021				2021			
April 1	To Machinery Disposal A/c (1,600 x 4 years)		6,400	April 1	By Balance b/d		36,000
2022				2022			
Mar. 31	To Balance c/d		34,000	Mar. 31	By Depreciation A/c (60,000 – 16,000) x 10%		4,400
			40,400				40,400

Dr. Machinery Disposal Account Cr.

			Rs.				Rs.
2021				2021			
April 1	To Machinery A/c		16,000	April 1	By Provision for Depreciation A/c		6,400
				April 1	By Bank A/c		8,400
				April 1	By Profit & Loss A/c		1,200
			16,000				16,000

Solution 43:

Dr. **MACHINERY ACCOUNT** Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
01.01.2021	To Balance b/d	2,46,000	31.12.2021	By Balance c/d	2,46,000
01.01.2022	To Balance b/d	2,46,000	01.07.2022	By Machinery Disposal A/c	20,000
01.07.2022	To Bank A/c	24,000	31.12.2022	By Balance c/d	2,50,000
		2,70,000			2,70,000

Dr. PROVISION FOR DEPRECIATION ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
31.12.2021	To Balance c/d	1,54,500	01.01.2021	By Balance b/d	1,24,000
			31.12.2021	By Depreciation A/c [25% of (Rs.2,46,000 – Rs.1,24,000]	30,500
		1,54,500			1,54,500
01.07.2022	To Machinery Disposal A/c (WN-1)	11,563	01.01.2022	By Balance b/d	1,54,500
31.12.2022	To Balance c/d	1,69,703	31.12.2022	By Depreciation A/c (WN-2)	26,766
		1,81,266			1,81,266

Dr. MACHINERY DISPOSAL ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
01.07.2022	To Machinery A/c	20,000	01.07.2022	By Provision for Depreciation A/c	11,563
				By Bank A/c	5,000
				By P & L A/c (Loss)	3,437
		20,000			**20,000**

Working Note :-

1. Calculation of Depreciation provided on Machine discarded

	Particulars	Book Value Rs.	Total Dep. Rs.
A	Original Cost (1/7/19)	20,000	-
B	**Less:** Depreciation For 2019	(5,000)	5,000
C	Book value on 1.1.2020	15,000	
D	**Less:** Depreciation for 2020	(3,750)	3,750
E	Book Value on 1,1.2021	11,250	
F	**Less:** Depreciation for 2021	(2,813)	2,813
		8,437	11,563

2. Calculation of Depreciation provided on Remaining Machine (other than machine Discarded)

Cost of Remaining machine (2,46,000 – 20,000)	2,26,000
(-) Accumulated Depreciation (1,54,500 – 11,563)	(1,42,937)
Bv of Remaining Asset	83,063
Depreciation for 2022 @ 25%	20,766
Dep. on new machine @ 25% 24000×25%	6,000
Total	26,766

Solution 44:

Dr. MACHINERY ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
01.04.2022	To Balance b/d	5,40,000	31.03.2023	By Balance c/d	6,00,000
2022-2023	To Bank A/c	50,000			
	To Bank A/c	10,000			
		6,00,000			**6,00,000**

Dr. AN EXTRACT OF PROFIT AND LOSS ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
	To Repair & Maintenance	7,500			
	To Depreciation on machinery	76,800			

Dr. PROVISION FOR DEPRECIATION ACCOUNT Cr.

Date	Particulars	Rs.	Date	Particulars	Rs.
31.03.2023	To Balance c/d	2,92,800	01.04.2022	By Balance b/d	
				(Rs. 5,40,000 x 20% x 2 years)	2,16,000
			31.03.2023	By Depreciation A/c (WN)	76,800
		2,92,800			**2,92,800**

Working Notes :-

(i) The amount spent on routine maintenance is of revenue nature and not of capital nature and hence not debited to machinery Account.

(ii) The unamortised depreciable amount (i.e. Rs. 5,40,000 - Rs. 2,16,000 + Rs. 50,000 + Rs. 10,000 = 6,00,000) has been charged over the revised remaining useful life (i.e. 5 years).

i.e. $\frac{3,84,000}{5} = 76,800$

Solution 45:

Calculation of depreciation for the year ended 31.3.21

	Machine I (28,54,000 - 2,16,000) Rs.	Machine II Purchased on 1st July (4,58,000 + 22,000) Rs.	Machine III Purchased on 1st Nov Rs.	Depreciation on sold machine IV Rs.
Book value as on 1st April, 2020	26,38,000	4,80,000	5,60,000	2,16,000
Depreciation @15%	3,95,700 (for full year)	54,000 (for 9 months)	35,000 (for 5 months)	8,100 (for 3 months)

Total depreciation (I + II + III + IV) Rs. 4,92,800

Solution 46:

Dr. Machinery Account Cr.

Date	Particulars		Rs.	Date	Particulars		Rs.
01.01.2020	To Bank A/c (A) - Cost		3,00,000	31.12.2020	By Depreciation (A)		40,000
	- Repairs		60,000		By Balance c/d (A)		3,60,000
	- Installation		40,000				
			4,00,000				**4,00,000**
01.01.2021	To Balance b/d		3,60,000	31.12.2021	By Depreciation		
					(A)	40,000	
					(B)	13,000	53,000
01.07.2021	To Bank A/c (B)		2,60,000		By Balance b/d		
					(A)	3,20,000	
					(B)	2,47,000	5,67,000
			6,20,000				**6,20,000**
01.01.2022	To Balance b/d			01.07.2022	By Dep. A/c (A)		20,000
	(A)	3,20,000		01.07.2022	By Machinery Disposal A/c (A)		3,00,000
	(B)	2,47,000	5,67,000		(BV of Machine (A) i.e. 3,20,000 –		
01.07.2022	To Bank A/c (C)		2,50,000		20,000 trf. to disposal A/c)		
				31.12.2022	By Depreciation A/c		
					(B)	26,000	
					(C)	12,500	38,500
					By Balance c/d		
					(B)	2,21,000	
					(C)	2,37,500	4,58,500
			8,17,000				**8,17,000**
01.01.2023	To Balance b/d			01.07.2023	By Deprication (B)		13,000
	(B)	2,21,000		01.07.2023	By Machinery Disposal A/c (B)		2,08,000
	(C)	2,37,500	4,58,500		(BV of Machine (B) trf to Disposal A/c		
				31.12.2023	By Deprication (C)		25,000
					By Balance c/d (C)		2,12,500
			4,58,500				**4,58,500**

Machinery Disposal Account

Date	Particulars	Rs.	Date	Particulars	Rs.
01.07.2022	To Machinery A/c (A)	3,00,000	01.07.2022	By Bank A/c	3,20,000
	To Profit Loss A/c (Profit)	20,000			
		3,20,000			**3,20,000**
01.07.2023	To Machinery A/c (B)	2,08,000	01.07.2023	By Bank A/c	2,30,000
	To P & L A/c (Profit)	22,000			
		2,30,000			**2,30,000**

Solution 47:

Useful Life: 10 years from 1 July, 2021 Residual Value: NIL

Value of patent = ₹ 30,00,000 (₹ 28,00,000 cost + ₹ 2,00,000 legal expenses and registration fees)

Therefore, annual depreciation: ₹ 30,00,000 ÷ 10 years = ₹ 3,00,000

Patent Account

Date	Particulars	₹	Date	Particulars	₹
2021			2021		
July 1	To Bank A/c	28,00,000	Dec. 31	By Amortisation A/c:	
July 1	To Bank A/c - Legal & Reg. Exp.	2,00,000		₹ 3,00,000 x 6/12	1,50,000
			Dec. 31	By Balance c/d	28,50,000
		30,00,000			30,00,000
2022			2022		
Jan. 1	To Balance b/d	28,50,000	Dec. 31	By Amortisation A/c	3,00,000
			Dec. 31	By Balance c/d	25,50,000
		28,50,000			28,50,000

Amortisation Account

Date	Particulars	₹	Date	Particulars	₹
2021			2021		
Dec. 31	To Patent A/c	1,50,000	Dec. 31	By Profit & Loss A/c	1,50,000
2022			2022		
Dec. 31	To Patent A/c	3,00,000	Dec. 31	By Profit & Loss A/c	3,00,000

Solution 48:

Machinery Account

Date	Particualrs	Rs.	Date	Particulars	Rs.
2021			2021		
Jan. 1	To Bank A/c	2,00,000	Dec. 31	By Depreciation A/c	43,250
Jan. 1	To Bank A/c – Repairs	50,000	Dec. 31	By Balance c/d	5,71,750
June 30	To Bank A/c	3,50,000			
June 30	To Bank A/c- Installation	15,000			
		6,15,000			6,15,000
2022			2022		
Jan. 1	To Balance b/d	5,71,750	June 30	By Depreciation on sold machine	11,250
			June 30	By Bank A/c	1,55,000
			June 30	By Profit and Loss A/c	58,750
			Dec. 31	By Depreciation A/c	34,675
				By Balance c/d	3,12,075
		5,71,750			5,71,750

Working Note:

Book Value of Machines

	Machine I Rs.	Machine II Rs.
Cost	2,50,000	3,65,000
Depreciation for 2021	(25,000)	(18,250)
Written down value	2,25,000	3,46,750
Depreciation for 2022	(11,250)	(34,675)
Written down value	2,13,750	3,12,075
Sale Proceeds	(1,55,000)	
Loss on Sale	58,750	

Solution 49:

The change in the method of computing depreciation is treated as a change in accounting estimate which may affect the current period only or both the current period and future periods. Accordingly, the question is solved by ignoring the retrospective effect of depreciation as mentioned in the question.

In the books of LMP Co.
Machinery Account

Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)
01.04.22	To Balance b/d	9,72,000	01.10.22	By Depreciation on Machinery sold (W.N.1)	3,240
01.10.22	To Bank	1,58,000	01.10.22	By Bank- Machinery sold	45,000
			01.10.22	By Loss on sale of machinery (W.N.1)	16,560
			31.03.23	By Depreciation on remaining Machineries (W.N.4)	98,620
			31.03.23	By Balance c/d	9,66,580
		11,30,000			11,30,000

Working Note:

1. **Calculation of amount of Depreciation, written down value and loss on sale of the part of the machinery**

Particulars	Amount (₹)
Cost as on 01.04.2020	80,000
Less: Depreciation @ 10% for the year 2020-2021	(8,000)
Written Down Value (WDV) as on 31.03.2021 or 01.04.2021	72,000
Less: Depreciation @ 10% for the year 2021-2022	(7,200)
Written Down Value (WDV) as on 01.04.2022	64,800
Less: Depreciation @ 10%for the half year till 30th September, 2022	(3,240)
Written Down Value (WDV) as on 1.10.2022	61,560
Less: Sale price of the asset sold on 01.10.2022	(45,000)
Loss on sale of Machinery sold	16,560

2. Computation of written down value of the remaining asset as on 01.04.2022

	₹
Total WDV of the machinery as on 01.04.2022	9,72,000
Less: WDV of the part of the machinery sold as on 01.04.2022	(64,800)
Written down value of the remaining asset as on 01.04.2022	9,07,200

3. Computation of the written down value of the machinery as on 31.03.2023

	₹	
Written down value of the remaining asset as on 01.04.2022	9,07,200	
Less: Depreciation @ 10% for the year 2022 - 2023	(90,720)	8,16,480
Add: New machinery purchased on 1.10.2022 (1,50,000 + 8,000)	1,58,000	
Less: Depreciation for 6 months @ 10%	(7,900)	1,50,100
Written down value of the machinery as on 31.03.2023		9,66,580

4. Total Depreciation to be charged to Profit and Loss Account during the year 2022-2023

S. No.	Particulars	Depreciation (₹)
1.	Depreciation at 10% on existing machinery on 01.4.2022 i.e. (9,07,200*10%)	90,720
2.	Depreciation on addition i.e.1,58,000* 10%*1/2	7,900
	Sub-Total	98,620
3.	Depreciation on machinery sold 1.10.2022	3,240
Grand Total		1,01,860

Note:- ICAI in Suggested Answer solve this questions by giving Prospective effect.

Solution: 50

Machinery Account

Date	Particulars	Amount (Rs.)	Date	Particulars	Amount (Rs.)
2023			2023		
April 1	To Bal b/d-		Oct. 1	By Depreciation- on machinery 1 sold	1,31,648
	Machine 1 13,16,480				
	Machine 2 7,61,024	20,77,504	Oct. 1	By Bank – machinery 1 sold	2,50,000
Oct. 1	To Bank A/c (Machine 3)	8,50,000	Oct. 1	By Profit & Loss– Loss on Sale of machinery (WN. 1)	9,34,832
			2024		
			Mar. 31	By Depreciation (WN. 2)	
				Machine 2 1,52,205	
				Machine 3	1,93,205
			Mar. 31	41,000	14,17,819
				By bal c/d	
		29,27,504			29,27,504

Working Note 1:
Calculation of depreciation and Profit/loss on sale:

	Machine 1 purchased on April 1,2021 (Rs.)	Machine 2 purchased on Oct 1, 2021 (Rs.)	Total (Rs.)
Cost of Purchase	15,00,000	9,00,000	
	2,00,000	20,000	
Total Cost	17,00,000	9,20,000	
Less: Depreciation @ 12%			
Machine 1 (12 months)	(2,04,000)		
Machine 2 (6 months)		(55,200)	2,59,200
W.D.V. on 31-3-2022	14,96,000	8,64,800	
Less: Depreciation @ 12%	(1,79,520)	(1,03,776)	2,83,296
W.D.V. on 31-3-2023	13,16,480	7,61,024	
Less: Depreciation on SLM Basis (WN. 2)	(1,31,648)	(1,52,205)	2,83,853
	11,84,832	6,08,819	
Less: Sale proceeds on 1-10-2023	(2,50,000)		
Loss on sale of machinery	9,34,832		

Working Note 2:

Calculation of Depreciation on the basis of Straight-line method with effect from April 1, 2023

1. Machine 1 (purchased on 1st April, 2021) = 17,00,000 - 2,04,000 - 1,79,520 = 13,16,480 / 5 = 2,63,296 / 2 = Rs. 1,31,648
2. Machine 2 (purchased on 1st Oct, 2021) = 9,20,000 – 55,200 – 1,03,776 = 7,61,024 / 5 = Rs. 1,52,20 5
3. Machine 3 (purchased on 1st Oct,2023) = $\frac{8,50,000-30,000}{10}$ = 82,000/2 = Rs. 41,000

Note: Freight incurred on Machinery purchased on 1st April,2021 is to be excluded from the cost of machinery since this cost is incurred only for shifting the machinery to the new plant and does not increase the operating capacity of the machinery.

Solution: 51

Machinery Account

Date	Particulars	Amount `	Date	Particulars	Amount `
1-7-22	To Bank A/c	1,20,000	31-3-23	By Depreciation A/c	18,225
1-7-22	To Bank A/c – reconditioning charges	18,000	31-3-23	By Balance c/d	1,91,775
1-1-23	To Bank A/c	72,000			
		2,10,000			2,10,000
1-4-23	To Balance b/d	1,91,775	31-3-24	By Depreciation (20,700+10,800)	31,500
			31-3-24	By Balance c/d	1,60,275
		1,91,775			1,91,775
1-4-24	To Bal. b/d	1,60,275	30-6-24	By Depreciation on machinery sold (WN 1)	2,700
30-6-24	To Bank	90,000	30-6-24	By Bank A/c (WN 1)	48,000
			30-6-24	By Profit and Loss A/c (WN 1)	7,800

			31-3-25	By Depreciation on remaining machinery (WN 1)	30,825
			31-3-25	By Bal c/d	1,60,950
		2,50,275			2,50,275

Working Note:

1. Book Value of Machines

	Machinery Purchased on 1st July,2022	**Machine purchased on 1st Jan,2023 for ` 72,000)**	**Machinery Purchased on 30th June,2024**	**Total**
Cost of machine purchased	1,38,000	72,000		2,10,000
Depreciation for 2022-23	(15,525)	(2,700)		(18,225)
Written down value as on 31-3-2023	1,22,475	69,300		1,91,775
Depreciation for 2023-24	(20,700)	(10,800)		(31,500)
Written down value as on 31-3-2024	1,01,775	58,500	90,000	2,50,275
Depreciation for 2024-25 (3 months only for Machine II)	(20,700)	(2,700)	(10,125)	(33,525)
Written down value as on 30-6-2024		55,800		(48,000)
Less: Sale Proceeds		(48,000)		
Loss on Sale	81,075	7,800		(7,800)
Written down value as on 31-3-2025			79,875	160,950

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Increase in market value of a fixed asset is one of the reasons for depreciation being charged.
2. Cost of property, plant and equipment includes purchase price, refundable taxes & import duties after deducting any discount or rebate.
3. Cost of fixed asset should also include cost of opening a new facility such as inauguration costs.
4. Depreciation is charged with a constant amount under straight line method and charged with a constant percentage under diminishing balance method.
5. In case an item of Property, Plant & Equipment is revalued, whole class of assets to which that asset being revalued belongs should be revalued.
6. In case the carrying amount of an asset is decreased due to revaluation, such decrease should always be recognized in the Profit and Loss account.
7. Akash purchased a machine for Rs. 12,00,000. Estimated useful life is 10 years and scrap value is Rs.1,00,000. Depreciation for the first year using sum of the years digit method shall be Rs. 2,00,000.
8. Providing for depreciation also helps in providing for accumulation of funds to facilitate the replacement at the end of its useful life.
9. If the equipment account has a balance of Rs. 12,50,000 and the accumulated depreciation account has a balance of Rs. 4,00,000, the written down value of same shall be Rs. 16,50,000.
10. Sum of the years digit method is an example of accelerated method of charging depreciation.
11. Over the life of an asset subject to depreciation, the accelerated method will result in less Depreciation Expense in early years and more depreciation in later years of its life.
12. While depreciating Land cost, Straight line method shall give more depreciation than the written down value.
13. Provision for depreciation account is debited at the time of recording the depreciation on an asset.
14. If adequate maintenance expenditure is incurred with relation to running repairs of an asset, we need not charge any depreciation.
15. When a property, plant or equipment is sold then provision for depreciation account is debited, asset account is credited and any gain or loss is recorded to profit and loss account.
16. While calculating the depreciation as per diminishing balance method, the salvage value of the asset at the end of its life is reduced from its cost.
17. Any change in the estimated useful life of an asset should be accounted for as a change in an accounting estimate in accordance with Accounting Standards.
18. Depreciation cannot be provided in case of loss, in a financial year.
19. Depreciation is a cash expenditure like other normal expenses.
20. An intangible asset is a non identifiable, non monetary asset.

Answer :

1. **False :** It is the decrease in market value as one of the reasons for depreciation. Increase in market value may result in Revaluation.
2. **False :** Non refundable taxes & duties form part of the cost.
3. **False :** Inauguration costs shouldn't be part of cost.
4. **True :** SLM method results in same amount and Declining method involves same rate of depreciation.
5. **True :** Revaluation should be done for the whole class of the asset.
6. **False :** Any decrease in value of asset on account of revaluation should be first debited to Revaluation Reserve, if any, and then to Profit & Loss account.
7. **True :** Sum of years digit method depreciation is calculated as 10/55 x (12,00,000 – 1,00,000)= 2,00,000
8. **True :** Depreciation being non cash expense reduces the distributable profits and hence facilitates replacement of asset when required.
9. **False :** WDV = Rs. 12,50,000 - Rs. 4,00,000 = Rs. 8,50,000
10. **True :** Accelerated method of Dep. means charging higher Dep. in earlier years and lower in later years eg. WDV, SYD etc. Higher depreciation is charged in earlier years under sum of the years digit method.
11. **False :** Under Accelerated method of Dep., higher depreciation is charged in beginning.
12. **False :** Land is not depreciated.
13. **False :** Provision for Depreciation account is credited while charging the depreciation.

14. **False :** Depreciation is allocation of the cost of an asset over its useful life. Regular repairs may be required during its life are expensed and depreciation has to be charged anyways.
15. **True :** At the time of sale of an asset, respective asset account is credited with provision for depreciation account being debited and any resulting gain or loss being charged to profit & loss account.
16. **False:** Under diminishing balance method, salvage value is not considered initially as it assumes that at the end of the asset's life the remaining value shall be its salvage value.
17. **True :** Any change in useful life of an asset is accounted for as a change in estimate.
18. **False:** Depreciation being a charge against profit has to be provided for whether there is profit or loss in a financial year.
19. **False:** Depreciation is non-cash expenditure because it does not involve any cash outflow.
20. **False :** An intangible asset is an identifiable non-monetary asset, held for use in production and supply of goods and services.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

1. Depreciation of an asset begins when it is available for use in the location & condition necessary for it to be capable of being operated.
2. Depletion is the allocation of the cost of intangible assets such as patents and copyrights.
3. Whenever any depreciable asset is sold during the year, depreciation is charged on it for that entire year.
4. Depreciation is an amortised expenditure.
5. Depreciation is a process of allocation of the cost of fixed asset.
6. Depreciable amount refers to the difference between historical cost and the market value of an asset.
7. Land is also a depreciable asset.
8. Providing depreciation ensures sufficient cash for asset replacement.
9. Reducing balance method for depreciation is followed to have a uniform charge for depreciation and repairs and maintenance together.
10. Depletion refers to economic deterioration of natural resources like ore deposits in mines, oil wells.
11. Amortization refers to the physical deterioration of intangible assets like Goodwill, Patents, Copy Rights.
12. Obsolescence refers to physical deterioration by change in technology or taste or fashion.
13. Depreciation Accounting is the process of valuation and not allocation.
14. If market value of a fixed asset is higher than its cost ,then Depreciation need not be provided.
15. Depreciation is non-cash and non- operating expense which is to be provided for if there are profits.
16. Providing depreciation in the accounts reduces the amount of cash profits .
17. Fixed Assets are stated in the Balance Sheet at their market value.
18. There exists difference between the Written Down Value Method and Diminishing Balance Method of Depreciation.
19. The expressions—depreciation is to be charged at 10% and 10% p.a. on furniture carry the same meaning.
20. M/s Ram & Co need not provide any depreciation on Plant & Machinery as its market value (₹10,00,000) is much higher than the cost of purchase (₹ 9,00,000).
21. Straight Line Method of Depreciation is followed to have a uniform charge for depreciation and Repairs & Maintenance together.

Answer:

1. **True :** It is not necessary that the asset must be used to be depreciated, thus depreciation may start once it is brought in the location & condition required to be used.
2. **False :** Depletion relates to allocation of cost of natural resources
3. **False :** Whenever any depreciable asset is sold during the year, depreciation is charged on it for the period it has been used in the year of sale.
4. **True:** Depreciation is charged on value of fixed assets over their useful life. Thus, by way of depreciation charge, capital expenditure is amortised over the useful life of depreciable asset.
5. **True:** Depreciation is allocated so as to charge a fair proportion of the depreciable amount in each accounting period during the expected useful life of the asset.
6. **False:** Depreciable amount refers to historical cost less estimated salvage values.
7. **False:** Land is not a depreciable asset because its useful life is unlimited.

8. **False:** Providing depreciation does not necessarily ensure sufficient cash for asset replacement especially under inflationery conditions.
9. **True:** In the early periods of useful life of a fixed assets, repairs and maintenance expenses are relatively low because the asset is new but depreciation charge is high. Whereas in later periods, as the asset become old, repairs and maintenance expenses increase continuously but depreciation charge reduces continuously. Thus, depreciation and repair and maintenance expenses become more or less uniform throughout the useful life of the asset.
10. **False:** Depletion refers to physical deterioration of natural resources like ore deposits in mines, oil wells.
11. **False:** Amortization refers to the economic deterioration of intangible assets like Goodwill, Patents, Copy Rights.
12. **False:** Obsolescence refers to economic deterioration by change in technology or taste or fashion.
13. **False:** Depreciation Accounting is the process of allocation and not valuation.
14. **False:** Depreciation needs be provided since Depreciation is not concerned with the Fluctuations in market price.
15. **False:** Depreciation is non-cash but operating expense which is to be provided for whether there are profits/ losses.
16. **False:** Providing depreciation in the accounts does not reduce the amount of cash profits.
17. **False:** Fixed Assets are stated in the Balance Sheet at their cost less depreciation.
18. **False:** There does not exist any difference between the Written Down Value Method and Diminishing Balance Method of Depreciation.
19. **False:** The expressions—depreciation is to be charged at 10% and 10% p.a. on furniture do not carry the same meaning. Depreciation at 10% means charge depreciation without reference to time but Depreciation at 10% p.a. means charge depreciation with reference to time
20. **False:** M/s Ram & Co must provide depreciation since depreciation is not affected by fluctuations in the market value.
21. **False:** Reducing Balance Method of Depreciation is followed to have a uniform charge for depreciation and Repairs & Maintenance together.

MULTIPLE CHOICE QUESTIONS (SM)

1. Original cost = Rs. 12,60,000; Salvage value = Nil; Useful life = 6 years. Depreciation for the first year under sum of years digits method will be
   (a) Rs. 3,60,000
   (b) Rs. 1,20,000
   (c) Rs. 1,80,000

2. Obsolescence of a depreciable asset may be caused by:
   I. Technological changes.
   II. Improvement in production method.
   III. Change in market demand for the product or service output.
   IV. Legal or other restrictions.
   (a) Only (I) above
   (b) Both (I) and (II) above
   (c) All (I), (II), (III) and (IV) above

3. The number of production of similar units expected to be obtained from the use of an asset by an enterprise is called as
   (a) Unit life
   (b) Useful life
   (c) Production life

4. If a concern proposes to discontinue its business from March 2023 and decides to dispose of all its plants within a period of 4 months, the Balance Sheet as on March 31, 2023 should indicate the plants at their
   (a) Historical cost
   (b) Net realizable value
   (c) Cost less depreciation

5. In the case of downward revaluation of a plant which is for the first time revalued, the account to be debited is
(a) Plant account
(b) Revaluation Reserve
(c) Profit & Loss account

6. The portion of the acquisition cost of the tangible asset, yet to be allocated is known as
(a) Written down value
(b) Accumulated value
(c) Realisable value

7. The main objective of providing depreciation is to
(a) Create secret reserve
(b) Reduce the book value of assets
(c) Allocate cost of the assets

8. Original cost of a machine was Rs. 25,20,000 salvage value was Rs. 1,20,000, useful life was 6 years. Annual depreciation under Straight Line Method
(a) Rs. 4,20,000
(b) Rs. 4,00,000
(c) Rs. 3,00,000

9. The cost of a machine is Rs. 20,00,000. Two years later the book value is Rs. 10,00,000. The Straight-line percentage depreciation is
(a) 50%
(b) 33-1/3%
(c) 25%

10. A machinery with original cost of Rs. 10,00,000 and Nil Salvage value acquired on 1st April 2020 with 4 years useful life was depreciated using Straight Line Method. It was decided to sell the machinery on 1st October 2023 for Rs. 1,20,000. What shall be the gain or (loss) on the sale of Machinery?
(a) Loss of Rs. 1,30,000 (b) Gain of Rs. 1,20,000
(c) Gain of Rs. 5,000 (d) Loss of Rs. 5,000

11. Which of the following assets does not depreciate?
(a) Machinery and equipment (b) Patents (c) Land

12. A company purchased a machinery on April 01, 2019, for Rs. 15,00,000. It is estimated that the machinery will have a useful life of 5 years after which it will have no salvage value. The depreciation charged during the year 2022-23 was
(a) Rs. 5,00,00 (b) Rs. 4,00,000 (c) Rs. 3,00,000

13. If the equipment account has a balance of Rs. 22,50,000 and the accumulated depreciation account has a balance of Rs. 14,00,000, the book value of the equipment is
(a) Rs. 36,50,000 (b) Rs. 8,50,000 (c) Rs. 14,00,000

14. A plant with original cost of Rs.50,00,000 was revalued after 2 years resulting in credit to Revaluation Surplus account of Rs. 4,00,000. Towards the year end of 2019-20, due to COVID-19 the plant value had gone down by Rs.5,00,000 and accordingly management decided to revalue the same. What shall be the impact of this downwards revaluation on the Profit & Loss Account ?
(a) Debit of Rs. 5,00,000 (b) Debit of Rs. 1,00,000
(c) Credit of Rs. 5,00,000 (d) Credit of Rs. 1,00,000

15. In respect of intangible assets, there is a presumption that the useful life of an intangible asset will not exceed
(a) 2 years (b) 3 years (c) 10 years

16. A company developed a technology to enhance the battery life of mobile phones. The cost of development have been capitalized as an intangible asset at ₹ 5,00,000. The company estimates the life of the technology developed to be 3 years. The company has forecasted that 50% of sales will be in year 1, 35% in year 2 and 15% in year 3. What should be the amortisation charge in third year?
(a) ₹ 2,50,000
(b) ₹ 75,000
(c) ₹ 1,75,000

17. An intangible asset is an asset
(a) with no physical existence
(b) generated internally by the business
(c) cannot be sold

MCQS ANSWER

1.	(a)	2.	(c)	3.	(b)	4.	(b)	5.	(c)	6.	(a)	7.	(c)
8.	(b)	9.	(c)	10.	(d)	11.	(c)	12.	(c)	13.	(b)	14.	(b)
15.	(c)	16.	(b)	17.	(a)								

THEORETICAL QUESTIONS

Question 1 : **[(SM) Nov-20 (5 Marks)]**

Discuss the factors taken into consideration for calculation of depreciation.

Answer :

Following factors are taken into consideration for calculation of depreciation :

1. **Cost of asset** - Cost of a depreciable asset represents its money outlay or its equivalent in connection with its acquisition, installation and commissioning or improvement thereof for the purpose of increase in efficiency.

2. **Estimated useful life of the asset -** Useful Life' is either (i) the **period** over which a depreciable asset is expected to be used by the enterprise or (ii) the **number of production or similar units** expected to be obtained from the use of the asset by the enterprise.
Determination of the useful life is a matter of estimation and is normally based on various factors including experience with similar type of assets.
Several other factors like estimated working hours, production capacity, repairs and renewals, etc. are also taken into consideration on demanding situation.

3. **Estimated scrap value** (if any) is calculated at the end of useful life of the asset. If such value is considered as **insignificant**, it is normally regarded as **nil**. On the other hand, if the residual value is likely to be **significant**, it is estimated at the time of acquisition/installation, or at the time of subsequent revaluation of asset.

Question 2 : **(SM)**

Distinguish between Straight line method of depreciation and Written down value method of depreciation.

Answer :

The basic distinction between these two methods are as follows:

i) Amount of Depreciation : Under straight line method, annual depreciation charge is equal throughout the life of the asset; but under reducing balance method, depreciation charge is reduced over the years as the asset grows old.

ii) Book Value : Under straight-line method, the asset can be fully depreciated, i.e. book value of assets become NIL but under reducing balance method asset can never be fully depreciated.

iii) Total Charge : Under straight line method the charge for depreciation is constant while repair charges increase with the life of the asset, so the total charge throughout the life of the asset will not be uniform. Under reducing balance method the charge for depreciation is reducing year by year while repair charges increase with the life of the asset, so the total charge throughout the life of the asset will be uniform.

Question 3 : **(SM)**

Write short notes on Depletion method of depreciation.

Answer :

Depletion method of depreciation :

- Natural resources include physical assets like mineral deposits, oil and gas resources and timber.
- These natural resources exhaust by exploitation.
- Depletion per unit is calculated as "Acquisition cost - Residual value / Estimated life in terms of production units"

Question 4 : **[RTP-NOV-20]**

Machine Hour Rate method of calculating depreciation.

Answer :

Machine Hour Rate method of calculating depreciation:

Where it is practicable to keep a record of the actual running hours of each machine, depreciation may be calculated on the basis of hours that the concerned machinery worked.

Under this the life of a machine is not estimated in years but in hours.

Thus depreciation is calculated after estimating the total number of hours that machine would work during its whole life.

However, it may be varied due to changes in the economic and technological conditions which might take place.

Proper records are maintained for running hours of the machine and depreciation is computed accordingly.

For example, the cost of a machine is Rs.10,00,000 and life of the machine is estimated at 50,000 hours. The hourly depreciation will be calculated as follows:

$$\text{Hourly Depreciation} = \frac{Total\ cost\ of\ Machiner}{Estimated\ life\ of\ Machine}$$

$$= \frac{Rs.\ 10{,}00{,}000}{50{,}000\ hours}$$

= Rs. 20 per hour

If the machine runs for say, 2,000 hours in a particular period, depreciation for the period will be 2,000 hours x Rs. 20 = Rs. 40,000.

Question : 5 **(SM)**

What are intangible assets. Explain with the help of examples.

Answer : Refer to ICAI study mate.

Question: 6 **(PEQ. Dec. 23, 4 Marks)**

(i) Depreciation is non-cash and non-operating expense which is to be provided for if there are profits.

(ii) Sum of the year's digit method is an example of accelerated method of charging depreciation.

Answer:

(i) **False:** Depreciation is non-cash but operating expenses which are to be provided for whether there are profits or losses in the financial year.

(ii) **True:** Sum of year digit method is an example of accelerated method of charging depreciation. Higher depreciation is charged in earlier years sum of year's digit method.

Question: 7 **(PEQ. Dec. 23, 1 Marks)**

Briefly explain the following terms.

(i) Diminishing Balance Method

Answer:

Diminishing Balance Method: It is a method under which the periodic charge for depreciation of an asset is computed by applying a fixed percentage to its historical cost or substituted amount less accumulated depreciation (net book value). This is also referred to as written down value method.

Question: 8 **(SM)**

What factors are considered for calculation of depreciation of a plant?

Answer:

The factors considered for calculation of depreciation are as: (i) Cost of asset including expenses for installation, commissioning, trial run etc. (ii) Estimated useful life of the asset and (iii) Estimated scrap value (if any) at the end of useful life of the asset.

HOME WORK DISCUSSION VIDEO QR CODE

TOPICS	QR CODE	QUESTION NO.	QR CODE
Depreciation		Q. 46 → (Q. 48)	
		Q. 44 → (Q. 45)	
		Q. 43 → (Q. 45)	
		Q. 28 → (Q. 28)	

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE
Depreciation	

THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Depreciation	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 7 - PREPARATION OF FINAL ACCOUNTS OF SOLE PROPRIETORS
UNIT : 1 - FINAL ACCOUNTS OF NON-MANUFACTURING ENTITIES

Question 1 :
What do you mean by Non Manufacturing entities?

Answer 1 :
Non Manufacturing entities or Trader – Meaning :
- ❖ It means Trading entities i.e. Entities which are engaged in the purchase and sale of goods at profit.
- ❖ Without changing the form of goods.
- ❖ Therefore, it don't process the goods.
- ❖ It just purchase and sale the goods in its original form.

Question 2 :
What do you mean by Financial statement or Final accounts ?

Answer 2 :
Financial statements / Final accounts – Meaning / Objects : Financial statements are those statement which contains the information relating to the **financial position** (i.e. position of assets & liabilities) and **financial performance** (i.e. profit or loss) of an enterprises.

Question 3 :
State the type of statement to be prepared in financial statement.

Anwer 3 :
Type of Statement – 2 Types : Every Trader prepares following 2 types of statement to know the position of business :

I. **Income Statement** – It contains two Parts:
- ❖ Trading Account
- ❖ Profit & Loss Account

II. **Position Statement** – Balance Sheet i.e. position of assets & liabilities on a particular day.

Question 4 :
State the meaning and purpose of preparing Trading A/c ?

Answer 4 :
I. **Meaning :**
- ❖ It shows the result of buying and selling of goods / services during an accounting period.
- ❖ It is basically a **nominal account**. In debit side "To" and in credit side "By" word is used.

II. **Purpose :** To know Gross profit / loss
GP = NET SALES – COGS
NET SALES = SALES – S.R.
COGS = O/S + NET PURCHASE + DIRECT EXPENSES– C/S

EXAMPLE I : Mr. A started business on 10th July 06. He purchased goods for Rs. 1,20,000/- and Goods mounting to 20,000/- returned. At the end of the year 15,000/- stock remain unsold. Find COGS.
Answer : 1,20,000 – 20,000 – 15,000 = 85,000/-.

EXAMPLE II : 2ND Year Purchase = 1,50,000/-, Closing stock = 20,000/-. Find COGS.
Ans. COGS = O/S + Purchase – C/S
15,000 + 1,50,000 – 20,000 = 1,45,000.
EXAMPLE III : If Net Sales = 2,00,000/-. Find GP.
Ans. = GP = Net sales – COGS i.e. 2,00,000 – 1,45,000 = 55,000.

Question 5 :

State the Format of Trading account.

Answer 5 :

Format of Trading account :

Trading A/c of M/S…….

(For the year ended/ending.....)

Dr. **Cr.**

Particular		Amt.	Particular		Amt.
To	Opening Stock A/c	.....	By	Sales	
To	Purchase			Less : Sales Return or Return inward	.....
	Less : Purchase return or Return outward	.....	By	Abnormal loss (cost of goods lost by fire or theft	
To	Wages / Wages & salary / Productive wages / Manufacturing wages / Direct wages	.....	By	Closing Stock	.....
To	Carriage/Freight/Cartage inward / Carriage on purchase	.....	By	**Gross Loss** (If debit side is more than credit side)	.....
To	Other Direct expenses (Import duty, Custom duty, dock charges etc.)	.....		(Transf. to P & L A/c)	
To	Manufacturing Exp. (Power and Fuel)	….			
To	**Gross Profit** (If credit side is more than debit side)	.....			
	(Transf. to P & L A/c)	.....			

Question 6 :

Explain the items appearing in Trading account.

Answer 6 :

TRADING A/C ITEMS - Explanation :

i) Opening Stock (O/S) :

- It is the **goods** remain unsold at the end of previous year i.e. it is Closing stock of last year.
- In c.y. last year's C/S is brought forward by making **opening entry**. So, it always appears in T.B.
- If first year of business – No O/S.
- It is shown in debit side because it becomes the part of COGS. It is an expense.
- The opening stock of stationery, postal stamp, packing material etc. will not be shown in trading account. Only **O/S of goods** shall appear.

ii) Purchase :

- Purchase means the commodity in which a trader deals.
- Purchase includes both cash & credit purchase.
- To calculate net figure of purchase, following items shall be **deducted** :
  1. Purchase return or return outward
  2. Goods given by way of charity/donation/free sample/advertisement/publicity.
  3. Goods withdrawn by proprietor.
  4. Cost of goods sent on consignment.

- Certain goods are **not to be treated as Purchase** of goods :
  1. Goods received on consignment.
  2. Goods received on approval basis.
  3. Goods received for third party.

iii) Direct expense :

- **Meaning** : Those expense which is incurred in purchasing the goods and incurred before the goods become ready for sale (i.e. salable).
- **Examples** :
  - Wages / Wages & salary / Productive wages / Direct wages (wages paid for purchase of goods)
  - Carriage/Freight/Cartage inward / Carriage on purchase (Carriage exp. paid from seller's godown to buyer's godown.
  - Manufacturing Exp.- Power, Fuel, Factory Lighting, Gas and Fuel, Manufacturing Exp, Fuel & Water etc.
  - Other Direct expenses – Octroi (paid to municipal corporation), Import duty or Custom duty (For imported goods), dock charges (paid to dock authorities), Commission on purchase, Primary packing of goods (necessary for handling products, without which product can not be sold e.g. bottle in case of ink or tube in case of tooth paste etc.

Notes :

- **Capitalization :** Payment of freight / wages/ transit insurance etc to purchase asset then it should be added to the cost of asset.
- **Packing expense** : If the packing is required to **transport the goods** from one place to another i.e. boxes, container etc then it should be treated as INDIRECT EXP (called distribution exp.). Similarly fancy packing exp. done to attract customers shall also be treated as INDIRECT EXP (called selling exp.) and will also be shown in Profit & Loss A/c.

iv) Sales :

- Sales refers to the sales of goods which have been **bought for resale**.
- It includes both **cash and credit** sale of goods.
- **Goods sold on "hire purchase, consignment or approval basis"** should be recorded separately. If it is included in sales then it should be excluded from it.
- **Sale of assets** should not be included in sales.
- **Goods & Service Tax** (GST) should not be included in sales. If included then it will be excluded from it.
- Sale of goods for others (eg. as an agent), it will not be recorded as sale.

v) Goods & Service Tax (GST) :

- It is collected by Seller from customer and deposited to Govt. A/c.
- If It is included in sales then will be deducted from Gross Sales figure and gst payable is shown as liability.

vii) Closing Stock :

- It refers to the stock remain unsold at the end of the current accounting period.
- At the end of the year, stock is physically counted then it is valued by using cost formulas like FIFO, LIFO method etc.
- According to **"Prudence or Conservatism concept"**, It is valued at **"Cost or Net realizable value (NRV), whichever is Lower".**
- The following goods must also be included in stock :
  - Goods purchased but still in transit
  - Goods lying unsold with agent or consignee.
  - Goods sent on approval basis.
  - Goods lying with branch.
- **Presentation of closing stock :**
  - Generally C/S does not appear in TB – In this case following entry shall be passed to incorporate C/S in the books :

    C/S A/c Dr.

    To Trading A/c / Purchase A/c (In this case C/S will be shown in credit side of Trading A/c as well as Asset side of B/S)

    If C/S is appearing in TB then it will be shown in B/S only.

Question 7 :

What do you mean by closing entries. Pass closing entries for trading account.

Answer 7 :

I. Closing Entries – Meaning :

- At the end of the year all **personal and real accounts** are balanced and their balances c/f to next accounting period.
- But all **nominal accounts** are not balanced. These accounts are closed by transferring them either to Trading Account or Profit & Loss A/c.
- The journal entry by which these nominal accounts are trans. to Trading & P/L A/c is called "Closing entry"

II. Journal Entry :

1. PR/ RO A/c Dr.
   To Purchase A/c
   (Being P/R tr. to Purchase A/c)

2. Sales A/c Dr.
   To SR / RI A/c
   (Being S/R tr. to Sales A/c)

3. Trading Account Dr.
   To Opening Stock
   To Purchase
   To Wages / Carriage Inward / Other direct exp.

4. Sales Account Dr.
   Closing Stock A/c Dr.
   To Trading Account

5. Trading Account Dr.
   To Profit & Loss Account
   (Being Gross Profit trans. To P&L A/c)

6. Profit & Loss Account Dr.
   To Trading Account
   (Being Gross Loss trans. To P&L A/c)

Question 8 :

What do you mean by Profit & Loss A/c ? State closing entries relating to P/L A/c. Also state its format.

Answer 8 :

I. PROFIT & LOSS ACCOUNT – Meaning :

- After preparing trading account, the next step is to prepare Profit & Loss account.
- It is prepared to show the net profit / loss during an accounting period.
- **It is a nominal account.** In debit side "To" and in credit side "By" word is used.
- It starts with Gross Profit or Gross Loss transferred from Trading account.
- All Income (whether received or not) and all expenses (whether paid or not) relating to current accounting period are shown in Profit & Loss account.
- Net profit means the excess of all revenue (whether operating or non operating) over expenses & loss (whether operating or non operating)
- Credit Side of P/L A/C – Gross Profit, Indirect Incomes and Profits.
- Debit Side of P/L A/C – Gross Loss, Indirect Expenditures and Losses.
- If Credit side is bigger than Debit side – Net Profit.
- If Debit side is more than Credit side – Net Loss
- Net Profit / loss will be transferred to "Capital A/c"

I. CLOSING ENTRIES

1. Profit & Loss Account Dr.
   To Salary Account
   To Rent Account
   To other indirect exp. a/c
   (Being various indirect exp. trans. to P&L A/c)

2. Discount Recd. Account Dr.
   Bad Debts Recovered Account Dr.
   To Profit & Loss Account
   (Being various income Trans. To P&L A/c)

3. P&L A/C Dr.
   To Capital Account (NP trans. To Cap. A/c)

4. Capital Account Dr.
   To P&L A/C (NL trans. To Cap. A/c)

III. Format : Profit and Loss A/c

(For the year ended .....)

Dr. Cr.

Particular		Amount	Particular		Amount
To	Gross Loss b/d	.....	By	Gross Profit b/d	
	(Transf. from Trading A/c)	.....		(Transf. from Trading A/c)	.....
To	Salaries	.....	By	Interest	.....
To	Rent, Rates and Taxes	.....	By	Commission Received	.....
To	Postage and Telegram	.....	By	Discount Received	.....
To	Printing and Stationery	.....	By	Rent Received	.....
To	Legal Expenses	.....	By	Bad Debts Recovered	.....
To	Audit Fees	.....	By	Joint Venture Profit	.....
To	Office Lighting	.....	By	Other Incomes	.....
To	Office Expenses	.....	By	Net Loss c/d	.....
To	Insurance Premium	.....			
To	Advertisement	.....			
To	Expenses on Delivery Vans	.....			
To	Godown Rent	.....			
To	Carriage Outwards	.....			
To	Commission	.....			
To	Travelling Expenses	.....			
To	Sales Tax	.....			
To	Bad Debts	.....			
To	Interest on Loan	.....			
To	Interest on Capital	.....			
To	Discount	.....			
To	Bank Charges	.....			
To	Depreciation	.....			
To	Repairs	.....			
To	Renewals	.....			
To	Loss on sale of Assets	.....			
To	Other Expenses	.....			
To	Net Profit	.....			

The Indirect exp. can be shown in Profit & Loss Account according to the various functions, such as administrations, selling and financing **:**

(1) **Administrative expense** :
- (a) Salary
- (b) Rent and Rates
- (c) Electricity exp.
- (d) Printing & stationery
- (e) Postage, telegram and telephone exp.
- (f) Legal exp.
- (g) Audit fee etc.

(2) **Selling & Distribution expense** :
- (a) Sales man Salary & commission
- (b) Commission to agent
- (c) Advertising
- (d) warehousing exp.
- (e) packing exp.
- (f) freight and carriage on sale
- (g) export duties
- (h) insurance of finished goods
- (i) bad debts
- (j) sales tax to the extent not recoverable
- (k) maintenance of vehicles for distribution of goods and their running exp.

(3) **Finanance exp.** includes interest paid on loan, discount on bills discounted and discount allowed to customers.

Question 9 :

What do you mean by "Operating expense and Operating profit" ?

Answer 9 :

I. Operating exp. (non-manufacturing expenses):
- ❖ An expense incurred in carrying out an organization's day-to-day activities (i.e. normal business operation), but **not directly associated with production**. Operating expenses include sales commission, transporation and travel, depreciation, rent, repairs etc.
- ❖ These expenses are usually subdivided into selling expenses and administrative and general exp.
- ❖ Operating expenses **include** administrative and selling expenses but **exclude interest, taxes, and cost of goods sold**.

II. Operating / Trading profit :
- ❖ It is profit earned through the normal operations and activities of the business.
- ❖ It is the excess of operating incomes over operating exp.
- ❖ It is the profit earned before interest, tax, loss on sale of assets and other income like investment income, profit on sale of assets etc.
- ❖ Operating NP = Sales + Other operating incomes – COGS – Other operating exp. Or
  GP + other operating incomes (i.e. commission, disc. etc.) – other operating exp. Or
  GP – Administrative and Selling Expense.

Note : Non-operating incomes like interest on investment, profit on sale of fixed assets are not included while calculating operating profits.

Question 10 :

What do you mean by Balance sheet ? State its characteristics and Format.

Answer 10 :

I. Meaning of Balance Sheet : It is basically a statement which shows the financial position i.e. position of "Assets and Liabilities" of an organisation on a particular date.

II. Characteristics :
- ❖ It is just a **statement** and not an account.
- ❖ It has **no debit or credit** side that is why "To" or "By" word is not used in Balance Sheet.
- ❖ B/S is prepared **on a particular date** and not for a particular period.

- The word **"as at" or "as on"** is used. For ex. B/S as on 31st march 2007.
- It is prepared **after preparation of P&L A/c**.
- It is summary of closing balances of **Personal, Real and fictitious assets** accounts.
- In India Liability is written on left hand side and Assets are written on right hand side.
- B/S discloses how much business owes to others and how much others owes to business.
- Two sides of B/S must be **tallied**.
- **Marshalling** : Marshalling denotes the **sequence of assets and liabilities** to be shown in the Balance Sheet. For Proprietorship or Partnership Concern there is **no specific guidelines** for sequence or order of assets & liabilities in Balance Sheet. But for companies, format of Balance Sheet is given in Companies Act. However, generally the assets & liabilities are shown either in the order of **Permanency or Liquidity** (discussed later)

III. BALANCE SHEET – Format :

(1) Horizontal / Traditional format (T form)

Balance Sheet as on .....

Capital and Liabilities	Amount	Assets	Amount
Capital A/c :		**Tangible Fixed Assets :**	
Balance		Land and Building	
Add : Net Profit/Less : Net Loss		Plant and Machinery	
Less : Drawings		Furniture and Fixture	
Long Term Loans :		Vehicles	
Term Loans		**Intangibles :**	
Other Loans		Goodwill	
Short Term Loans :		Patent Rights	
Cash Credit		Designs and Brand Names	
Overdrafts		Trade mark / copyright	
Other Loans		**Investments :**	
Current Liabilities :		Long term investments	
Sundry Creditors		Short term investments	
Bills Payable		**Current Assets:**	
Outstanding Expenses		Stock in Trade	
Advances Taken		Sundry Debtors	
Provision :		Bills Receivable	
Provision for Bad debts		Prepayments	
Provision for Retirement Benefits		Advances	
Provisions for Taxation		Bank Balances	
		Cash In Hand	
		Fictitious Assets:	
		Losses & Misc. exp. not w/off	

(2) Vertical Format :

Vertical Form of Balance Sheet

Particulars	Rs	Rs	Rs
A. Sources of Funds			
(a) Proprietor's Funds			**xxxx**
(b) Long-term Debts			**xxxx**
B. Application of Funds			**xxxx**
(a) Net Working Capital (CA-CL)			
(i) Current Assets			
Cash in hand	**XXXX**		
Cash at bank	**xxxx**		
Bills receivable	**xxxx**		
Accrued income	**xxxx**		
Debtors	**xxxx**		
Stock	**xxxx**		
Prepaid Expenses	**xxxx**	**xxxx**	

(ii)	**Less: Current Liabilities**			
	Bank Overdraft	**xxxx**		
	Accrued expenses	**xxxx**		
	Bills payable	**xxxx**		
	Trade creditors	**Xxxx**		
	Income received in advance	**xxxx**	**xxxx**	**xxxx**
(b)	**Investments**			**xxxx**
(c)	**Fixed Assets**			
	Furniture & Fixtures		xxxx	
	Patents & Trade Marks		xxxx	
	Plant & Machinery		xxxx	
	Building		xxxx	
	Land		xxxx	
	Goodwill		xxxx	xxxx
				xxxx

A Schedule of Proprietor's Funds

Particulars		*Rs.*	*Rs.*	*Rs.*
A.	Capital in the beginning (opening capital)			xxxx
B.	**Add:** Additional Capital Introduced		xxxx	
	Interest on Capital		Xxxx	
	Profit for the current accounting period		xxxx	xxxx
C.	**Less:** Drawings		xxxx	
	Interest on Drawings		xxxx	
	Loss for the current accounting period		xxxx	xxxx
D.	Capital at the end of the year			xxxx

Question 11 :

State the sequence of presenting (Marshalling) assets & liabilities in B/S.

Answer 11 :

Arrangement of Assets & Liabilities (Marshalling) :

Assets : Assets may be grouped in one of the following 2 ways –

Liquidity – Under this approach assets, which can be converted into cash first, will be presented first.

Permanence – Assets which are used for a long term and not meant for sale is presented first.

I. Assets Presentation - Example

Liquidity – Cash, Bank, Investment, Debtor, Stock – Finished Goods, Raw Material, Semi Finished Goods, Machinery, Furniture, Patents, Goodwill.

Permanence – Just opposite to above sequence I.e. Goodwill…….Cash.

II. Presentation of Liabilities

There are 2 ways to show liabilities –

Permanence : First show Capital then Long Term Liabilities and lastly Short Term Liab.

Liquidity – Short Term Liabilities (B/P, Creditors, Outstanding Exp.), Long Term Liabilities and lastly Capital.

The various assets in two order will be as follows :

In the order of Liquiditys	**In the order of Permanence**
Cash in Hand	Goodwill
Cash at Bank	Patents
Investments in Govt. Securities	Land and Building
Investment in others	Land and Building
Bills Receivable	Furniture
Sundry Debtors	Machinery

Stock of Finished Goods	Stock of Partly Finished Goods
Stock of Raw Materials	Stock of Raw Materials
Partly Finished goods	Stock of Finished Goods
Machinery	Bills Receivable
Furniture	Sundry Debtors
Land & Building	Investments
Patents	Cash at Bank
Goodwill	Cash in Hand

Question 12 :

State various types of assets.

Answer 12 :

Type of Assets : Assets are basically of 3 types –

I. **Fixed Assets or Capital Assets or Fixed capital expenditure or Long lives assets :** Fixed Assets refer to those assets which are held for the purposes of providing or producing goods or services and those which are not held for resale in the normal course of business. Fixed Assets may be classified as under:

- ***Tangible Fixed Assets*** refer to those fixed assets which can be seen and touched e.g., Land & Building, Plant & Machinery, Furniture & Fixture, Motor Vehicles,
- ***Intangible Fixed Assets*** refer to those fixed assets which can neither been seen nor touched (i.e. no physical existance) *e.g.,* Goodwill, Patents, Trade Marks.
- ***Wasting fixed assets*** refers to those fixed assets, whose value gradually reduces on account of use and finally, they exhaust completely. e.g. mines, forests, leasehold properties, oil wells etc.
- *Note: Fixed assets are usually valued at cost less depreciation.*

II. **Investments :** It represent an expenditure on assets to earn interest, dividend, income or other benefit *e.g.,* Shares, Debentures, Bonds, Investment properties.

III. **Current or Floating or Circulating Assets** : Current assets are those assets which are held—

(i) in the form of cash *e.g.,* cash in hand and cash at bank,
(ii) for their conversion into cash *e.g.,* stock of finished goods, debtors, Bills Receivable, Accrued Income,
(iii) for their consumption in the production of goods or rendering of services in the normal course of business *e.g.,* Stock of raw materials, WIP.

Note 1: Current assets may further be classified as **Liquid assets and Non-liquid assets**. Cash in hand & cash at bank are examples of liquid assets and other assets are non-liquid assets e.g. debtor, stock, advance etc.

Note 2: Current Assets are usually valued at cost or net realizable value whichever is less on the basis of Prudence (or Conservatism) Principle.

Note 3 : Fictitious Asset : These are not asset in a correct sense. These are the expenditure/ losses which have not been written off to profit & loss account, hence appears on the asset side of Balance Sheet. Example : Preliminary exp., discount of issue of shares/debentrues etc.

Question 13 :

State various types of liabilities.

Answer 13 :

Type of Liabilities -

- Internal Liability or Fixed liability or Capital.
- Outsider's / External Liability

(i) **Current / Short term Liability -** Which must be settled within a period of 1 year.
(ii) **Long Term Liability** – Which will be paid after 1 year.
(iii) **Capital or Fixed liabilities –** Those liabilities which will be paid at the time of closure of business, is called fixed liabilities. The liability of owner is fixed liability.
(iv) **Liquid or Quick Liability :** Those liabilities which are repayable within a period of 1 month are called liquid liability. For ex. outstanding exp., bills payable etc.

Question 14 :

What do you mean by Contingent Assets & Contingent Liabilities.

Answer 14 :

CONTINGENT ASSET AND CONTINGNET LIABILITY

1. Contingent asset

(a) **Meaning :** "An asset, the existence, value and ownership of which depend upon the occurrence or non-occurrence of future uncertain event is called Contingent Assets.

(b) ***Example*** Suppose the firm has filed a suit for some property now in the possession of someone else. If the suit is decided in the firm's favour, the firm will get the property; at the moment it is a contingent asset.

2. Contingent Liability

(a) Meaning : A contingent liability is one which is not an actual liability but which may become actual liability on the happening of some uncertain future event.

(b) Disclosure : It should be disclosed in the balance sheet by way of a note, unless there is a probability that a loss will materialise and its reasonable estimate can be made. In that event, it is no more a contingent liability and a specific provision should be made therefore.

(c) ***Examples***

(i) Bills of exchange discounted;

(ii) Guarantees given; and

(iii) Suit for damages against the entity.

(v) Gratuities payable to staff on retirement or death.

Some important Notes

- ❖ Final Account is prepared on the basis of Trial Balance.
- ❖ If T.B. is not given in question then it will be prepared with the help of Ledger.
- ❖ If an item is appearing in T.B. then it will appear once only.
- ❖ If an item is appearing in Adjustment then it will have 2 effects.
- ❖ Trading and Profit & Loss Account is made for a period but B/S is made of a particular date.

FINAL ACCOUNTS* - *IMPORTANT ADJUSTMENT

PROFIT & LOSS ACCOUNT

1.Interest on Loan (Exp.) -

(a) If Amount of loan is given in Trial balance and date of loan not given, calculate Interest on loan for whole year.

(b) If it is given that loan is taken during the year but date of loan taken is not given then calculate Interest on loan for 6 months.

Entry - Interest on loan Dr.- Expenses.
To Interest Payable / Loan Account - Liabilities.

2. Provision for Dis. on debtor - Calculated as below -

Closing Debtor	-x--x-
(-) Prov. for Bad debts	-x--x-
	-x--x-
(-) Prov. for Dis. @--% on above debtors	-x--x-
Net Amt. to be shown in B/s	-x--x-

[Debtors - Prov. for Bad debts] x %

3. Provision is made for expected losses -

Entry - P & L A/c Dr.
To Prov. for .....

4. Abnormal loss - (i.e. loss by theft or fire etc.)
Ex. - Goods worth 6,000/- are destroyed by fire.

(1) Insurance Co. admitted entire claim -
Entry –

(i)	Loss by fire	Dr.	6,000	
	To Purchase/ Trading A/c			6,000
(ii)	Insurance Co.	Dr.	6,000	
	To loss by fire			6,000

(2) Insurance Co. Admitted 4500/- on claim -

(i)	Loss by fire	Dr.	6,000	
	To Purchase/ Trading A/c			6,000
(ii)	Insurance Co.	Dr.	4,500	
	P & L A/c	Dr.	1,500	
	To loss by fire			6,000

(3) Insurance Co. Rejected the Claim -

(i)	Loss by fire	Dr.	6,000	
	To Purchase/ Trading A/c			6,000
(ii)	P & L	Dr.	6,000	
	To loss by fire			6,000

Note - Until Insurance Claim is Received, Insurance Co. will be shown as Debtors in B/s.

5. Commission based on Profit -

On N.P. **before** charging commission → N.P. before Commission x Rate / 100

On N.P. **after** charging commission → N.P. before Commission x Rate / 100 + Rate

Entry - Commission Dr.
To Commission Payable A/c

6. Interest on Capital -
- Calculated on opening capital (+) Capital introduced during the year
- If date on which capital introduced is not given, 6 month Interest will be calculated

Entry - Interest on Capital Dr.
To Capital A/c

7. Interest on Drawing -
Drawing Dr.
To Interest on Drawing

8. Income Tax - For sole proprietor, it is paid by owner and not by the business - If It appears in Trial Balance, it should be treated like Drawing and hence should be deducted from capital.
But in Partnership firm, it is payable by the business itself and not by partner. It will be shown in P&L Appropriation A/c.

9. Advance Tax - For sole proprietor - same treated as that of I.T. But in Partnership firm - shown in Asset side.

10. Interest on Advance Tax -
Prop. - Treated as capital introduced.
Partnership firm - Income.

11. Meaning of "Rebate" - It is the allowance given to a customer when his purchases during a period, say 1st year, total up to a certain figure.

Ex. - A firm allows a rebate of 4% to those customers whose purchases during the year are ≥5,000/- .One customer's purchase are 4,500/-, he will not get any rebate. Another customer purchases total Rs.5,100/-, he will get rebate of Rs.204/-.
The entry for rebate is made only at the end of the year. (B' coz. total Purchase/ sale can be known only after the end of year).
Entry - Rebate A/c Dr.
To Debtor's A/c

12. Bad Debts - It is a loss.
Bad Debts A/c Dr.
To customer

13. Bad Debts - Recovered - Income
Cash A/c Dr.
To Bad Debts Recovered

Balance Sheet – Adjustment :

1. Opening Entry Concepts (1st Entry in Books in New F.Y.) -
Suppose we have prepared B/s as at 31/12/2006. Now in the beginning of next year. i.e. 2007 first of all the assets & Liabilities of last year must be c/f in our books. The entry through which Assets & Liabilities is b/f in books is called as opening entry. In ledger all Assets & Liabilities a/c will be opened. In Assets Dr. side "To balance b/d" is written where as in Liabilities Cr. side. "By balance b/d " is written.
Entry - All Assets A/c Dr. (Head wise)
To All Liabilities
To Capital A/c

2. Bills Receivable Dishonoured -
Debtor's A/c Dr.
To Bills Receivable

3. Cheque Dishonoured -
Debtor's A/c Dr.
To Bank A/c

4. Mutual Indebtness - It means take and pay to same person. In other words he is our debtor as well as creditor.
Creditors A/c Dr.[Deducted in Creditors]
To Debtor's A/c [Deducted in Debtors]

5. Provision -
(i) It is made to provide depreciation on Assets or for any known Liabilities of which the amount can't be determined with substantial accuracy.
(ii) Provision is charge against Profit.
(iii) Ex. Prov. for Bad Debts, Provision for Tax, Provision for claim (admitted but Amount not certain)

6. Reserve - (i)Reserve is an Appropriation of Profit.
(ii) Provision in excess of requirement is known as Reserve.
(iii) Profit retained in the business other than Provision is known as Reserve.

7. Reserve Fund - It signifies the amount standing to the credit of the reserve that is invested outside the business in security which are readily realisable. The amount to which these amounts are annually credited is described as the reserve fund. **Ex.** Sinking fund

Meaning of Duty Drawback :

- To promote export, government may allow refund of excise duty, import duty etc. known as duty drawback.
- The credit of duty drawback should go to respective material (purchase) account or Asset a/c, if it is related to same, otherwise it can be credited to Profit & Loss account.

Subsidy / Government Grant :

- It is received from Governemnt under export promotion etc.
- It should generally be credited to Profit & Loss account.
- But when it is specially related to some fixed assets, then it should be credited to that asset account.

CLASS WORK QUESTIONS

Question 1: (Opening Entry) **[SM-ILL.11]**

The Balance Sheet of Mr. Popatlal, a merchant on 31st March, 2022 stood as below:

Liabilities	Amount Rs.	Assets		Amount Rs.
Capital	2,40,000	Fixed Assets		1,25,600
Trade payables	1,64,000	Inventories		2,06,400
Bank Overdraft	1,46,000	Trade receivables	1,88,000	
		Less: Provision	(6,200)	1,81,800
		Cash		36,200
	5,50,000			5,50,000

Required:

Show opening journal entry on 1st April, 2022 in the books of Mr. Popatlal.

Personal Note:-

Question 2: (Closing Entry) **[SM-IIL.2]**

From the following information, prepare Closing Entries and Trading Accounts of M/s. ABC Traders for the year ended 31st March, 2022:

	Rs.
Opening Inventory	1,00,000
Purchases	6,72,000
Carriage Inwards	30,000
Wages	50,000
Sales	11,00,000
Returns inward	1,00,000
Returns outward	72,000
Closing Inventory	2,00,000

[G.P.- 4,20,000/-]

Personal Note:-

Question 3: (Closing Entry) **[SM-ILL.3]**

Revenue, Expenses and Gross Profit Balances of M/s ABC Traders for the year ended on 31st March 2022 were as follows:

Gross Profit Rs. 4,20,000, Salaries Rs. 1,10,000, Discount (Cr.) Rs. 18,000, Discount (Dr.) Rs. 19,000, Bad Debts Rs. 17,000, Depreciation Rs. 65,000, Legal Charges Rs. 25,000, Consultancy Fees Rs. 32,000, Audit Fees Rs. 1,000, Electricity Charges Rs. 17,000, Telephone, Postage and Telegrams Rs. 12,000, Stationery Rs. 27,000, Interest paid on Loans Rs. 70,000.

Prepare Closing Entries and Profit and Loss Account of M/s ABC Traders for the year ended on 31st March, 2022.

[N.P.- 43,000/-]

Personal Note:-

Question 4: (Basic) **[SM-ILL.10]**

Mr. Mohan gives you the following trial balance and some other information:

Trial Balance as on 31st March, 2022

	Dr. Rs.	Cr. Rs.
Capital		6,50,000
Sales		9,70,000
Purchases	4,30,000	
Opening Stock	1,10,000	
Freights Inward	40,000	
Salaries	2,10,000	
Other Administration expenses	1,50,000	
Furniture	3,50,000	
Debtors and Creditors	2,10,000	1,90,000
Returns (SR/PR)	20,000	12,000
Discounts	19,000	9,000
Bad Debts	5,000	
Investments in Government Securities	1,00,000	
Cash in Hand and Cash at Bank	1,89,000	
Input CGST	10,000	
Input SGST	10,000	
Output CGST		8,000
Output SGST		8,000
Output IGST		6,000
	18,53,000	18,53,000

Other Information:

(i) Closing stock was Rs. 1,80,000

(ii) Depreciate Furniture @ 10% p.a.

You are required to prepare Trading and Profit and Loss Account for the year ended on 31.3.2022 and Balance Sheet of Mr. Mohan as on that date.

[G.P.- 5,62,000/-, N.P.- 1,52,000/-, B/S Total- 9,94,000/-]

Personal Note:-

Question 5: **(Accrual System)** **[MTP SEP 24 – 5 Marks][SM-PQ.2][Nov-20 (5 Marks)]**

Sengupta & Co. employs a team of eight workers who were paid Rs. 3,000 per month each in the year ending 31st December, 2021. At the start of 2022, the company raised salaries by 10% to Rs. 3,300 per month each.

On July 1, 2022 the company hired two trainees at salary of Rs. 2,100 per month each. The work force are paid salary on the first working day of every month, one month in arrears, so that the employees receive their salary for January on the first working day in February etc.

Calculate:

(i) Amount of salaries which would be charged in the profit and loss for the year ended 31st December, 2022.

(ii) Amount actually paid as salaries during 2022.

(iii) Calculate Outstanding salary for the year ended 31st December, 2022.

[Total salary due in 2022 - 3,42,000/-, actual salary paid - 3,35,400/-, salary outstanding on 31st Dec. 2022 - 30,600/-]

Personal Note:-

Question 6: **(PDD)** **[SM-ILL.4]**

On 1st Jan. 2022 provision for Doubtful Debts existed at Rs. 400.Debtors on 31.12.2022 were Rs. 15,000; bad debts totaled Rs. 1,000. It is required to write off the bad debts and create a provision equal to 5% of the debtors' balances. Show how you would compute the amount debited to the Profit and Loss Account.

[Prov. during the year out of P & L A/c - 1,300/-]

Personal Note:-

Question 7: **(PDD)**

The following extracts and additional information are provided from the books of Prakash Malhotra as on 31st March, 2022:

Trial Balance as on 31st March, 2022

	Particulars		Debit Rs.	Credit Rs.
	Sundry Debtors		4,10,000	
	Bad Debts		6,000	

Additional Information:

Write off further bad debts Rs. 10,000 and create 10% provision for doubtful debts.

Show the relevant ledger accounts and final account. Also pass journal entries.

[Amount transferred to P&L A/c = 56,000/-]

Personal Note:-

Question 8: (PDD)

Following extracts and the additional information are provided from the books of Vinod as on 31st March, 2022:

Trial Balance as 31st March, 2022

	Particulars		Debit Rs.	Credit Rs.
	Sundry Debtors		1,02,500	
	Bad Debts		3,000	
	Provision for Doubtful debts			16,000

Additional Information:

Write off further bad debts Rs. 2,500 and create 10% provision for doubtful debts.

Show the relevant ledger and final accounts. Also pass necessary Journal entries.

[Amount trans. to Cr. Side of P&L A/c Rs. 500]

Personal Note:-

Question 9: (PDD & Prov. for Dis.)

The following balances appeared in the books of Miss Tejasavi on 1st April, 2021:

	Rs.
Provision for bad debts	**13,000**
Provision for discount on debtors	**7,000**

On 31st March, 2022, debtors were Rs. 3,00,000. During the year 2021-22, bad debts amounted to Rs. 9,000 and discount allowed to debtors Rs. 3,000. Create the provision for bad debts @ 5% and provision for discount on debtors @ 3%.

Prepare the necessary accounts and place it in final A/c.

[PDD Amount trans. to P&L A/c Rs. 11,000, Dis. Trans to P&L – 4,550/-]

Personal Note:-

Question 10: (PDD & Prov. for Dis.)

Following balances have been taken from the books of Raj Kumar as on 31st March, 2022:

		Debit Rs.	Credit Rs.
	Sundry debtors	10,000	-
	Bad debts	200	-
	Bad debts provision	-	900
	Discount allowed	500	-

Adjustments: You are required to provide for provision for doubtful debts at 5% and provision for discount on debtors at 2% of debtors. Give adjustment entries and prepare provision for doubtful debts account provision for discount on debtors account and final A/c.

Personal Note:-

Question 11: (B/S, Incorrect P/L) [SM-ILL.7][PEQ-May.25, Nov.19 (5 Marks)]

The balance sheet of Thapar on 1st January, 2022 was as follows:

Particulars	Rs.	Particulars	Rs.
Sundry Creditors	15,000	Plant & Machinery	30,000
Expenses Payable	1,500	Furniture & Fixture	3,000
Capital	50,000	Stock	13,000
		Sundry Debtors	14,000
		Cash at Bank	6,500
	66,500		66,500

During 2022, his Profit and Loss Account revealed a net profit of Rs. 15,300. This was after allowing for the following:

(a) Interest on capital @ 6% p.a.
(b) Depreciation on Plant and Machinery @ 10% and on Furniture and Fixtures @ 5%.
(c) A provision for Doubtful Debts @ 5% of the debtors as at 31st December, 2022.

But while preparing the Profit and Loss Account he had forgotten to provide for (1) outstanding expenses totaling Rs. 1,800 and (2) prepaid insurance to the extent of Rs. 200.
His current assets and liabilities on 31st December, 2022 were : Stock Rs. 14,500; Debtors, Rs. 20,000; Cash at Bank, Rs. 10,350 and Sundry Creditors Rs. 11,400.
During the year he withdraw Rs. 6,000 for domestic use. Draw up his Balance Sheet at the end of the year.

[Revised N.P. 13,700/-, B/S total- 73,900/-]

Personal Note:-

Question 12: (Missing figure) [SM-PQ.5]

Mr. Birla is a proprietor engaged in business of trading electronics. An extract from his Trading & P&L account is as follows:

Trading and P&L A/c for the year ended 31st March, 2022

Particulars	Rs.	Particulars	Rs.
To Cost of Goods Sold	45,00,000	By Sales	C
To Gross Profit c/d	D		
	F		F
To Rent A/c	26,00,000	By Gross Profit b/d	D
To Office Expenses	13,00,000	By Miscellaneous Income	E
To Selling Expenses	B		
To Commission to Manager (on Net Profit before charging such commission)	2,00,000		
To Net Profit	A		
	G		60,00,000

Commission is charged at the rate of 10%.
Selling Expenses amount to 1% of total sales.
You are required to compute the missing figures.

[A N.P.-18,00,000/-, B Selling exp.- 1,00,000/-, C- Sales- 1,00,00,000/-, D Gross pft.- 55,00,000/-, E Misc. Income- 5,00,000/-, F 1,00,00,000/-, G-60,00,000/-]

Personal Note:-

Question 13: **(COGS & Amt. Paid to Crs.)** **[SM-ILL.1]**

Trial Balance for financial the year (FY) ended 31st March 2022 of M/s Deepakshi shows following details:

Particulars	Debit (Rs.)	Credit (Rs.)
Purchase & Sales	10,00,000	12,00,000
Debtors & Creditors	5,00,000	4,00,000
Opening Stock	2,00,000	
Closing Stock	3,00,000	
Other Expenses & Incomes	7,00,000	9,00,000
Fixed Assets & Long Term Liabilities	25,00,000	6,00,000
Capital		21,00,000
	52,00,000	52,00,000

Additional Information : Creditor's Balance as on 1st April, 2021 is Rs. 3,00,000.

You are required to calculate COGS and Amount paid to creditor.

[Cost of good sold- 12,00,000/-, Amt. paid to creditors- 12,00,000/-]

Personal Note:-

Question 14: **(Mgr. Commision)** **[May 1998- 20 Marks]**

From the following balances and information, prepare Trading and Profit and Loss Account of Mr. X for the year ended 31st March, 2022 and a Balance Sheet as on that date:

	Dr.	Cr.
	Rs.	Rs.
X's Capital Account	-	10,000
Plant and Machinery	3,600	-
Depreciation on Plant and Machinery	400	-
Repairs to Plant	520	-
Wages	5,400	-
Salaries	2,100	-
Income-tax of Mr. X	100	-
Cash in Hand and at Bank	400	-
Land and Building	14,900	-
Depreciation on Building	500	-
Purchases	25,000	-
Purchases Return	-	300
Sales	-	49,800
Bank Overdraft	-	760
Accrued Income	300	-
Salaries Outstanding	-	400
Bills Receivable	3,000	-
Provision for Bad Debts	-	1,000
Bills Payable	-	1,600
Bad Debts	200	-
Discount on Purchases	-	708
Debtors	7,000	-
Creditors	-	6,252
Opening Stock	7,400	-
	70,820	70,820

Information:

(i) Stock on 31st March, 2022 was Rs. 6,000.

(ii) Write off further Rs. 600 for Bad Debt and maintain a provision for Bad Debts at 5% on Debtors.

(iii) Goods costing Rs. 1,000 were sent to customer for Rs. 1,200 on 31st March, 2022 on sale or return basis. This was recorded as actual sales.

(iv) Rs. 240 paid as rent of the office were debited to Landlord account and were included in the list of debtors.

(v) General Manager is to be given commission at 10% of net profit after charging the commission of the works manager and his own.

(vi) Works manager is to be given commission at 12% of net profit before charging to commission of General Manager and his own.

[Answer: GP =18,100, NP = 12,000, B/S Total = 33,912][Commission WM- 1800, GM-1200]

Personal Note:-

Question 15: **(SM ILL. 13)[PEQ-JAN.26][May-2005- 20 Marks, RTP May-18, Nov-19 & 21]**

The following are the balances as at 31st March, 2022 extracted from the books of Mr. XYZ.

	Rs.		Rs.
Plant and Machinery	19,550	Bad debts	1,100
Furniture and Fittings	10,250	Bad debt recovered	450
Bank Overdraft	80,000	Salaries	22,550
Capital Account	65,000	Salaries payable	2,450
Drawings	8,000	Prepaid rent	300
Purchases	1,60,000	Rent	4,300
Opening Stock	32,250	Carriage inward	1,125
Wages	12,165	Carriage outward	1,350
Provision for doubtful debts	3,200	Sales	2,15,300
Provision for Discount		Advertisement Expenses	3,350
on debtors	1,375	Printing and Stationery	1,250
Sundry Debtors	1,20,000	Cash in hand	1,450
Sundry Creditors	47,500	Cash in Bank	3,125
		Office Expenses	10,160
		Int. paid on loan	3,000

Additional Information:

1. Purchases include sales return of Rs. 2,575 and sales include purchase return of Rs. 1,725.
2. Goods withdrawn by Mr. XYZ for own consumption Rs. 3,500 included in purchases.
3. Wages paid in the month of April for installation of Plant and Machinery amounting to Rs. 450 were included in wages account.
4. Free samples distributed for Publicity costing Rs. 825.
5. Create a provision for doubtful debts @ 5% and provision for discount on debtors @ 2.5%.
6. Depreciation is to be provided on Plant and Machinery @ 15% p.a. and on furniture and fittings @ 10% p.a.
7. **Bank overdraft is secured against hypothecation of stock. Bank overdraft outstanding as on 31.3.2022 has been considered as 80% of Sanctioned overdraft limit and sanctioned O/D limit is 80% of the value of Stock.**

Prepare a trading and Profit Loss Account for the year ended 31st March, 2022, and a Balance Sheet as on that date. Also show the rectification entries.

[Answer: GP =1,39,535, NP = 83,800, B/S Total = 2,67,250]

Personal Note:-

Question 16:

From the following balances and adjustments obtained from the books of Sudharkar Brothers, you are required to prepare Final Accounts for the year ending 31st March, 2022 :

	Rs.
Opening Stock	37,000
Purchases	1,23,500
Wages	28,000
Sales	2,49,000
Depreciation on Plant and Machinery	2,000
Repairs	1,600
Salaries	4,000
Depreciation on Building	2,500
Bad Debts	1,000
Provision for Bad Debts	6,000
Discount (Cr.)	4,000
Plant and Machinery	18,000
Cash in Hand	2,000
Land and Building	74,500
Accrued Income	1,500
Bills Receivable	10,000
Debtors	35,000
Creditors	23,300
Capital	50,000
Bank Overdraft	3,800
Outstanding Salaries	2,000
Bills Payable	3,000
Income Tax	500

Additional Information :

(i) **Works Manger is to be given commission at 5% on income after charging the commission of General Manager and his own commission.**

(ii) **Closing stock was Rs. 30,000**

(iii) **Write-off Rs. 3,000 as bad debts and maintain a provision of 5% on Debtors.**

(iv) **Goods Costing Rs. 5,000 was sent to a customer on sale or return basis. Those were recorded as actual sale. The rate of gross profit was 1/6 of a sales.**

(v) **General Manager is to be given a comission at 10% on income after charging the commission of Works Manager and his own commission.**

(vi) **Rs. 1,200 paid as rent of the office was debited to Landlord Account and were included in the debtors.**

[G.P = 89,500, N.P. Before Comm.- 82,960, N.P. = 72,139, W.M. Comm.=3,607, G.M. Comm. = 7,214
B/S Total= 1,64,560]

Personal Note:-

Question 17: (Advance from customer) [SM-PQ.4]

Mr. Kotriwal is engaged in business of selling magazines. Several of his customers pay money in advance for subscribing his magazines. Information related to year ended 31st March 2021 has been given below:

On 1.4.2020 he had a balance of Rs. 2,00,000 advance from customers of which Rs. 1,50,000 is related to year 2020-21 while remaining pertains to year 2021-22. During the year 2020-21 he made cash sales of Rs. 5,00,000. You are required to compute:

i) Total income for the year 2020-21.

ii) Total money received during the year if the closing balance in advance from customers account is Rs. 1,70,000.

[Total Income for the year- 6,50,000, Advance received from customer- 1,20,000/-, Total money received during the year- 6,20,000/-]

Personal Note:-

Question 18: [SM-ILL.12]

The following is the schedule of balances as on 31.3.22 extracted from the books of Shri Gavaskar, who carries on business under the same name and style of Messrs Gavaskar Viswanath & Co., at Bombay:

Particulars	Dr. Rs.	Cr. Rs.
Cash in hand	14,000	
Cash at bank	26,000	
Sundry Debtors	8,60,000	
Stock on 1.4.2021	6,20,000	
Furniture & fixtures	2,14,000	
Office Equipment	1,60,000	
Buildings	6,00,000	
Motor Car	2,00,000	
Sundry Creditors		4,30,000
Loan from Viswanath		3,00,000
Provision for bad debts		30,000
Purchases	14,00,000	
Purchase Returns		26,000
Sales		23,00,000
Sales Returns	42,000	
Salaries	1,10,000	
Rent for Godown	55,000	
Interest on loan from Viswanath	27,000	
Rates & Taxes	21,000	
Discount allowed to Debtors	24,000	
Discount received from creditors		16,000
Freight on purchases	12,000	
Carriage Outwards	20,000	
Drawings	1,20,000	
Printing and Stationery	18,000	
Electricity Charges	22,000	
Insurance Premium	55,000	
General office expenses	30,000	
Bad Debts	20,000	
Bank charges	16,000	
Motor car expenses	36,000	
Capital A/c		16,20,000
TOTAL	47,22,000	47,22,000

Prepare Trading and Profit and Loss Account for the year ended 31st March 2022 and the Balance Sheet as at that date after making provision for the following:

1. **Depreciate: (a) Building used for business by 5 percent; (b) Furniture and fixtures by 10 percent; One steel table purchased during the year for Rs. 14,000 was sold for same price but the sale proceeds were wrongly credited to Sales Account; (c) Office equipment by 15 percent; Purchase of a typewriter during the year for Rs. 40,000 has been wrongly debited to purchase; and (d) Motor car by 20%.**
2. **Value of stock at the close of the year was Rs. 4,40,000.**
3. **Two month's rent for godown is outstanding.**
4. **Interest on loan from Viswanath is payable at 12 percent per annum, this loan was taken on 1.5.2021.**
5. **Reserve for bad debts is to be maintained at 5 percent of Sundry Debtors.**
6. **Insurance premium includes Rs. 40,000 paid towards proprietor's life insurance policy and the balance of the insurance charges cover the period from 1.4.2021 to 30.6.22.**
7. **Contingent liability with respect to discounted Bill of Rs. 100000.**

[G.P.- 7,18,000/-, N.P.- 1,73,000/-, Balance sheet total- 23,80,000/-]

Personal Note:-

Question 19: **[PEQ. JAN.25, 15Marks(Similar)][PEQ Dec.23, 15Marks(Similar)][SM-PQ.1][Nov. 94 – 20 Marks]**

From the following particulars extracted from the books of Ganguli, prepare trading and profit and loss account and balance sheet as at 31st March, 2022 after making the necessary adjustments:

	Rs.		Rs.
Ganguli's capital account(Cr.)	5,40,500	Interest received	7,250
Stock on 1.4.2021	2,34,000	Cash with Traders Bank Ltd.	40,000
Sales	14,48,000	Discount received	14,950
Sales return	43,000	Investments (at 5%) as on 1.4.2021	25,000
Purchases	12,15,500	Furniture as on 1.4.2021	9,000
Purchases return	29,000	Discount allowed	37,700
Carriage inwards	93,000	General expenses	19,600
Rent	28,500	Audit fees	3,500
Salaries	46,500	Fire insurance premium	3,000
Sundry debtors	1,20,000	Travelling expenses	11,650
Sundry creditors	74,000	Postage and telegrams	4,350
Loan from Dena Bank Ltd. (at 12%)	1,00,000	Cash in hand	1,900
Interest paid	4,500	Deposits at 10% as on 1-4-2021 (Dr.)	1,50,000
Printing and stationery	17,000	Drawings	50,000
Advertisement	56,000		

Adjustments:

(1) Value of stock as on 31st March, 2022 is Rs. 3,93,000. This includes goods returned by customers on 31st March, 2022 to the value of Rs. 15,000 for which no entry has been passed in the books.

(2) Purchases include furniture purchased on 1st January, 2022 for Rs. 10,000.

(3) Depreciation should be provided on furniture at 10% per annum.

(4) The loan account from Dena bank in the books of Ganguli appears as follows:

	Rs.			Rs.
31.3.2022 To Balance c/d	1,00,000	1.4.2021 31.3.2022	By Balance b/d By Bank	50,000 50,000
	1,00,000			1,00,000

(5) Sundry debtors include Rs. 20,000 due from Robert and sundry creditors include Rs. 10,000 due to him.

(6) Interest paid include Rs. 3,000 paid to Dena bank.

(7) Interest received represents Rs. 1,000 from the sundry debtors and the balance on investments and deposits.

(8) Provide for interest payable to Dena bank and for interest receivable on investments and deposits.

(9) Make provision for doubtful debts at 5% on the balance under sundry debtors. No such provision need to be made for the deposits.

[G.P.- 2,79,500/-, N.P.- 70,500/-, Balance sheet total- 7,28,000/-]

Personal Note:-

Question 20: **[SM-ILL.13][July-21(5Marks)]**

Crimpson Ltd.'s profit and loss account for the year ended 31st December, 2022 includes the following information:

(i)	**Depreciation**	**57,500**
(ii)	**Bad Debts written off**	**21,000**
(iii)	**Increase in provision for doubtful debts**	**18,000**
(iv)	**Proposed dividend**	**5,000**
(v)	**Retained profit for the year**	**20,000**
(vi)	**Liability for tax**	**4,000**

State which one of the items (i) to (vi) above are –

(a) transfer to provisions;

(b) transfer to reserves; and

(c) neither related to provision nor reserves

[Ans.: (a) Trf. to prov. (i), (iii), (vi)

(b) Trf. to reserves (v)

(c) Neither related to prov. nor reserves- (ii), (iv)]

Personal Note:-

Question 21: **[July-21(10Marks)]**

Karuna decided to start business of fashion garments under the name of M/s. Designer Wear on 1st April, 2021. She had a saving of about Rs. 10,00,000. She invested Rs. 3,00,000 out of her savings and borrowed equal amount from bank. She purchased a commercial space for Rs. 5,00,000 and further spent Rs. 1,00,000 on its renovation to make it ready for business.

Loan and interest repaid by her in the first year are as follows:

30th June, 2021 - Rs. 15,000 principal + Rs. 9,000 interest
30th September, 2021 - Rs. 15,000 principal + Rs. 8,550 interest
31st December, 2021 - Rs. 15,000 principal + Rs. 8,100 interest
31stMarch, 2022 - Rs. 15,000 principal + Rs. 7,650 interest

In view of further capital requirement, she transferred Rs. 2,00,000 from her saving bank account to the bank account of the business. She paid security deposit of Rs. 7,000 for telephone connection. Furniture of Rs. 10,000 was purchased, All payments were made by cheque and all receipts in cash were deposited in the bank.

At the end of the year, her business showed the following results:

Particulars	Amount	Particulars	Amount
Total Sales	20,00,000	Total Purchases	17,00,000
Electricity Expenses paid	40,000	Telephone Charges	50,000
Cartage Outwards	60,000	Travelling Expenses	45,000
Entertainment Expenses	5,000	Maintenance Expenses	25,000
Misc. Expenses	15,000	Electricity Expenses Payable	20,000

Other Information:

(i) She withdrew Rs. 5,000 by cheque each month for her personal expenses.
(ii) Depreciation on building @ 5% p.a. and on furniture @ 10% p.a.
(iii) Closing stock in hand as on 31st March, 2022: Rs. 5,50,000

Prepare trading account, profit and loss account for the year ended 31-3-2022 and Balance Sheet as on that date.

[G/P Rs. 8,50,000 N/P Rs. 5,25,700, Balance Sheet Rs. 12,25,700]

Personal Note:-

Question 22: **[RTP Nov. 20 & 22]**

The following is the Trial Balance of T on 31st March, 2022

	Dr. Rs.	Cr. Rs.
Capital	-	6,00,000
Drawings	70,000	-
Fixed Assets (Opening)	1,40,000	-
Fixed Assets (Additions 01.10.2021)	2,00,000	-
Opening Stock	60,000	-
Purchases	16,00,000	-
Purchases Returns	-	69,000
Sales	-	22,00,000
Sales Returns	99,000	-
Debtors	2,50,000	-
Creditors	-	2,20,000
Expenses	50,000	-
Fixed Deposit with Bank	2,00,000	-
Interest on Fixed Deposit	-	20,000
Cash	-	8,000
Suspense A/c	-	2,000
Depreciation	14,000	-
Rent (17 months upto 31.8.2022)	17,000	-
Investments 12% (01.8.2021)	2,50,000	-
Bank Balance	1,69,000	-
	31,19,000	31,19,000

Stock on 31st March, 2022 was valued at Rs. 1,00,000. Depreciation is to be provided at 10% per annum on fixed assets purchased during the year. A scrutiny of the books of account revealed the following matters :

(i) **Rs. 20,000 drawn from bank was debited to Drawings account, but out of this amount withdrawn Rs. 12,000 was used in the business for day-to-day expenses.**

(ii) **Purchase of goods worth Rs. 16,000 was not recorded in the books of account upto 31.03.2022, but the goods were included in stock.**

(iii) **Purchase returns of Rs. 1,000 was recorded in Sales Return Journal and the amount was correctly posted to the Party's A/c on the correct side.**

(iv) **Expenses include Rs. 6,000 in respect of the period after 31st March, 2022.**

Give the necessary Journal Entries in respect of (i) to (iv) and prepare the Final Accounts for the year ended 31st March, 2022.

[GP - 5,96,000; NP - 5,44,000; B/S - 13,30,000]

Personal Note:-

HOME WORK QUESTIONS

Question 23: (Opening Entry) **[SM.ILL.8]**

From the given below balance sheet prepare the relevant opening entry.

BALANCE SHEET As at 31st December, 2022

Liabilities	Rs.	Assets	Rs.
Mahendra & Sons	5,60,000	Cash in hand	43,000
Capital	20,00,000	Cash at Bank	2,67,500
		Trade Receivable	7,49,500
		Inventory	9,00,000
		Machinery and Equipment	6,00,000
	25,60,000		25,60,000

Personal Note:-

Question 24: (Closing Entry) **[SM-ILL.5]**

The following is the Trial Balance of C. Wanchoo on 31st Dec. 2022.

Trial Balance on 31st December, 2022

	Dr. (Rs.)	Cr. (Rs.)
Capital Account		10,00,000
Inventory Account	2,00,000	
Cash in hand	1,44,000	
Machinery Account	7,36,000	
Purchases Account	18,20,000	
Wages Account	10,00,000	
Salaries Account	10,00,000	
Discount Allowed A/c	50,000	
Discount Received A/c		30,000
Sundry Office Expenses Account	6,00,000	
Sale Account		50,00,000
Sums owing by customer (Trade Receivable)	8,50,000	
Trade Payable (sums owing to suppliers)		3,70,000
Total	64,00,000	64,00,000

Value of Closing Inventory on 31.12.2022 was Rs. 2,70,000/-.

Pass Closing Entries and Prepare Trading and Profit & Loss Account and Balance Sheet.

[GP – 22,50,000; NP – 6,30,000; BIS – 20,00,000]

Personal Note:-

Question 25: (GST) **[SM-ILL.9]**

Shri Mittal gives you the following Trial Balance and some other information:

Trial Balance as on 31st December, 2022

	Dr. Rs.	Cr. Rs.
Capital		8,70,000
Purchase and Sales	6,05,000	12,10,000
Opening Stock	72,000	
Debtors and Creditors	90,000	1,70,000
14% Bank Loan (Loan taken at year end)		2,00,000
Overdrafts (O/D taken at year end)		1,12,000
Salaries	2,70,000	
Advertisements	1,10,000	
Other expenses	60,000	
Returns	40,000	30,000
Furniture	4,50,000	
Building	8,90,000	
Cash in Hand	2,000	
Input CGST	9,000	
Input SGST	9,000	
Output IGST		15,000
	26,07,000	**26,07,000**

Closing Inventory on 31st Dec, 2022 was valued at Rs.1,00,000. Prepare his final accounts.

[G.P.- 6,23,000/-, N.P.- 1,83,000/-, Balance sheet total- 15,35,000/-]

Personal Note:-

Question 26: (Basic) **[SM-PQ.3]**

From the following Trial Balance prepare a Trading and Profit and Loss Account for the year ending 31st March, 2022 and a Balance Sheet as on that date:

	Rs.		Rs.
Debit Balance:			
Trade Receivables	3,50,000	Salaries	2,20,000
Inventory 1st April, 2021	5,00,000	Purchases	12,50,000
Cash in Hand	5,60,000	Plant and Machinery	15,70,000
Wages	3,00,000	**Credit Balance:**	
Bad Debts	50,000	Capital	25,00,000
Furniture and Fixtures	1,50,000	Trade Payable	9,00,000
Depreciation	1,50,000	Sales	17,00,000

On 31st March, 2022 the Inventory was values at Rs. 10,00,000.

[G.P.- 6,50,000/-, N.P.- 2,30,000/-, Balance sheet total- 36,30,000/-]

Personal Note:-

Question 27: (Basic) **[SM-ILL.6]**

Given below Trial Balance of M/s Dayal Bros. as on 31st March, 2022:

	Debit Balances Rs.	Credit Balances Rs.
Capital Account		7,00,000
Land and Building	3,00,000	
14% Term Loan (Loan taken at year end)		4,00,000
Loan from M/s D & Co.		4,60,000
Trade Receivable	4,20,000	
Cash in hand	20,000	
Inventories In Trade	6,00,000	
Furniture	2,00,000	
Trade Payable		40,000
Advances to Suppliers	1,00,000	
Net Profit		1,00,000
Drawings	60,000	
	17,00,000	**17,00,000**

Prepare Balance Sheet as on 31st March, 2022.

[Total of Balance Sheet- 16,40,000]

Personal Note:-

Question 28: (PDD)

Following are the extracts from the Trial Balance as at 31st March 2022:

Particulars	Dr. (Rs.)	Cr.(Rs.)
Sundry Debtors	2,05,000	
Bad Debts	3,000	

Additional Information:

(i) After preparing the Trial Balance, it is learnt that Mr. X, a debtor has become insolvent and nothing could be recovered from him and, therefore, the entire amount of Rs. 5,000 due from him was irrecoverable.

(ii) Create 10% provision for doubtful debts.

Required: Pass the necessary journal entries & show the relevant accounts (including final accounts).

[Amt. trans. to PDD 28,000]

Personal Note:-

Question 29: (PDD)

Following are the extracts from the Trial Balance as at 31st March 2022:

Particulars	Dr. (Rs.)	Cr. (Rs.)
Sundry Debtors	2,05,000	
Provision for Doubtful Debts		10,000
Bad Debts	3,000	

Additional Information:

(i) Further Bad Debts Rs. 5,000,

(ii) Maintain the Provision for Doubtful Debts @ 10% on debtors.

Required: Pass the necessary journal entries & show the relevant accounts (including final accounts).

[Amt. trans. to PDD 18,000]

Personal Note:-

Question 30: (Prov. for D/D & Dis.)

Following are the extracts from the Trial Balance as at 31st March, 2022:

Particulars	Dr. (Rs.)	Cr. (Rs.)
Sundry Debtors	2,05,000	
Bad Debts	3,000	
Discount	1,800	

Additional Information:

(i) Create a Provision for Doubtful Debts @ 10% on debtors.

(ii) Create a Provision for Discount on Debtors @ 2% on debtors.

(iii) Additional Discount given to the debtors Rs. 5,000.

Required: Pass the necessary journal entries & show the relevant accounts (including final accounts).

[Amt. trans. to PDD 23,000 & Prov. for Dis. 6,800]

Personal Note:-

Question 31: (Prov. for Dis. & D/D)

Following are the extracts from the Trial Balance of a firm as on 31st March, 2022:

Particulars	Dr. (Rs.)	Cr.(Rs.)
Sundry Debtors	2,05,000	
Provision for Doubtful Debts		10,000
Provision for Discount on Debtors		1,800
Bad Debts	3,000	
Discount	1,000	

Additional Information:

(i) Additional Bad Debts Rs. 4,000

(ii) Additional Discount allowed to Debtors Rs. 1,000

(iii) Maintain a provision for bad debts @ 10% on debtors

(iv) Maintain a provision for discount @ 2% on debtors

Required: Pass the necessary journal entries & show the relevant accounts (including final accounts).

[Amt. trans. to PDD 17,000 & Prov. for Dis. 3,800]

Personal Note:-

Question 32: (Missing Figure) **[Nov-2018, 5 Marks]**

Mr. Fazhil is a proprietor in business of trading. An abstract of his Trading and P & L account is as follows.

Trading and P&L A/c for the year ended 31st March, 2022.

Particulars	(Rs.)	Particulars	(Rs.)
To Cost of Goods sold	22,00,000	By Sales	45,00,000
To Gross Profit C/d	?		
	?		45,00,000
To Salaries Paid	12,00,000	By Gross Profit B/d	?
To General Expenses	6,00,000	By Other Income	45,000
To Selling Expenses	?		
To Commission to Manager (On Net profit before charging such commission)	1,00,000		
To Net Profit	?		?

Selling expenses amount to 1% of total Sales.

You are required to compute the missing figure.

[Ans. GP- 23,00,000, Selling Exp.- 45,000, NP- 4,00,000]

Personal Note:-

Question 33:

The following balance are extracted from the books of Saurab :

	Rs.		Rs.
Cash in hand	960	Drawing	15,000
Cash at bank	26,320	Discount received on purchase	3,200
Land & building	49,000	Wages	45,600
Plant & machinery	30,000	Salaries	9,000
Furniture and fixture	3,500	Bad Debts provision	4,200
Loose tools	3,000	Sales Returns	3,750
Bill receivable	2,600	Bank Charges	430
Purchases adjusted	76,500	Fuel and Water	1,550
Bad debts	750	Rates and Taxes	1,490
Loan to Raj @ 10% p.a.	10,000	Discount (Dr.)	300
Interest from Raj	500	Miscellaneous expenses	3,250
Carriage inward	2,100	Sundry Debtors	77,800
Capital	1,95,600	Sundry Creditors	27,200
Sales	1,96,000	Stock on 31st March, 2022	61,200
Carrige outward	1,400	Fire Insurance	1,200

Adjustment :

Prepare the balance sheet and trading and profit and loss account as on and for the year ended 31st March, 2022, after giving effect to the following adjustments:

(a) Depreciation to be charged on land and building @ 2.5%, on plant and machinery at 10% and furniture and fixture at 10%.

(b) Provision for doubtful debts to be made at 5% and for discount at 2%.

(c) The unexpired amounts to be carried forward are fire insurance Rs. 200 and rates and taxes Rs. 500.

(d) Loose tools were valued at Rs. 1,200 on 31st March, 2022.

(e) Of the sundry debtors Rs. 800 are bad and should be written/off.

(f) Trade expenses Rs. 300 have not yet been paid and wages include Rs. 500 spent on installation of machinery Purchased.

G.P. = 67,000; N.P. = 45,442; B/S = 2,53,542.

Personal Note:-

Question 34:

Prepare the trading and profit and loss account and balance sheet of Ram Chandra from the following particulars as on 31st March, 2022.

	Rs.
Ram Chandra's Capital	2,00,000
Ram Chandra's Drawings	15,000
Purchases	85,000
Investment in Govt. securities	25,000
Interest on securities	1,250
Wages	30,000
Cash in hand	1,000
Cash at Bank	10,000
Sundry Debtors	70,700
legal expenses	2,000
Plant and machinery	1,00,000
Bills receivable	5,000
Bills payable	4,000
Salaries	10,000
Office expenses	4,000
Discount account (Cr.)	1,500
Land and building	42,000
Sales	2,30,000
Stock (1.4.2021)	50,000
Motor car	20,000
Bad debts	1,000
Insurance	1,000
Gas and fuel	2,500
Freight and carriage	4,000
Loose tools	4,000
Factory lighting	3,000
Sundry creditors	40,000
Return inwards	5,000
Return outward	3,000
Creditors for loan	20,000
Furniture and fittings	6,000
Advertisement	1,200
Income tax	1,500
Travelling expenses	850

Adjustment:

1. Stock on 31st March, 2022 was Rs. 45,000.
2. Prepaid Salaries and wages Rs. 1,000 and Rs. 500 respectively
3. Insurance premium was outstanding to the extent Rs. 250.
4. Depreciate plant and machinery by 10% ; furniture (office) by 5% ; loose tools by 15% and motor car by 10%.
5. **Motor Car is used partly for business and partly for personal work of the proprietor. So, ½ of the car depreciation is to be charged to proprietors account.**
6. Write Rs. 700 as bad debts and further provide 5% reserve for doubtful debts.
7. **Charity fund be created by transferring to it Rs. 500.**

G.P. = 99,000; N.P. = 65,850; B/S = 3,13,100.

Personal Note:-

Question 35:

On 31st March, 2022, The trial balance of Mr. Suraj Parkash was as follows :

Particular	Rs.	Particular	Rs.
Salaries	6,400	Sales	81,000
Wags	3,300	Return outward	500
Stock (1.4.2021)	8,500	Sundry Creditors	14,000
Purchase	50,000	Bills payable	4,000
Returns inward	2,300	Discount received	100
Carriage	300	Deposits from customers	5,000
Premises	40,000	Reserve for doubtful debts	400
Plant and machinery	25,000	Loan on mortgage	30,000
Furniture and fitting	6,000	Capital	55,000
Patent rights	2,000		
Dock Charges	2,200		
Expense on purchase	400		
Sundry debtors	30,000		
Bill receivable	3,000		
Factory insurance	400		
Discount allowed	200		
Cash in hand	1,000		
Cash in bank	2,500		
Trade expenses	150		
General expenses	450		
Rates and taxes	3,200		
Bad debts	800		
Repairs	700		
Advertisement	1,200		
	1,90,000		1,90,000

Adjusment :

1. Stock on 31st March, 2022 was Rs. 6,000
2. **Payment vouchers for April 2022, indicate payment of salaries Rs. 1,600 relating to period before 31st March, 2022.**
3. Depreciate premises by 2%, Plant & machinery 10% and furnitures 5%.
4. **Patent right are for a period of 5 year from 1st October, 2021.**
5. Write off Rs. 1,000 and create provision for bad debts at 10% on debtors.
6. Goods worth Rs. 500 were distributed as free samples.
7. **Provide interest on mortgage loan @ 12% p.a. for 3 months. Prepare final account.**

G.P. = 20,600; N.L. = 2,700; B/S = 1,07,800.

Personal Note:-

Question 36: **May-2018, RTP May 20 - 20 Marks]**

The following are the balances extracted from the books of Shri Raghuram as on 31.03.2022, who carries on business under the name and style of M/s Raghuram and Associated at Chennai.

Particulars	Debit (Rs.)	Credit (Rs.)
Capital A/c		14,11,400
Purchases	12,00,000	
Purchase Returns		18,000
Sales		15,00,000
Sales Return	24,000	
Freight Inwards	62,000	
Carriage Outwards	8,500	
Rent of Godown	55,000	
Rates and Taxes	24,000	
Salaries	72,000	
Discount allowed	7,500	
Discount received		12,000
Drawings	20,000	
Printing and Stationery	6,000	
Insurance premium	48,000	
Electricity charges	14,000	
General expenses	11,000	
Bank Charges	3,800	
Bad debts	12,200	
Repairs to Motor vehicle	13,000	
Interest on Loan	4,400	
Provision for Bad debts		10,000
Loan from Mr. Rajan		60,000
Sundry Creditors		62,000
Motor Vehicles	1,00,000	
Land and Buildings	5,00,000	
Office equipment	2,00,000	
Furniture and Fixtures	50,000	
Stock as on 31.03.2021	3,20,000	
Sundry debtors	2,80,000	
Cash at Bank	22,000	
Cash in Hand	16,000	
Total	**30,73,400**	**30,73,400**

Prepare Trading and Profit and Loss Account for the year ended 31.03.2022 and the Balance Sheet as at that date after making provision for the following:

(a) Depreciate Building by 5%, Furniture and Fixtures by 10%, Office Equipment by 15% and Motor Car by 20%.

(b) Value of stock at the close of the year was Rs. 4,10,000

(c) One month rent for godown is outstanding.

(d) Interest on loan from Rajan is payable @10% per annum. This loan was taken on 01.07.2021.

(e) Reserve for bad debts is to be maintained at 5% of Sundry debtors.

(f) Insurance premium includes Rs. 42,000 paid towards proprietor's life insurance policy and the balance of the insurance charges cover the period from 01.04.2021 to 30.06.2022.

[Ans. GP-3,22,000, NP-8,700, B/S- 14,85,200]

Personal Note:-

Question 37: **[May-19- 10 Marks]**

Following particulars are extracted from the books of Mr. Sandeep for the year ended 31st December, 2022.

Particulars	Amount Rs.	Particulars	Amount Rs.
Debit Balances :		Credit Balances	
Cash in hand	1,500	Capital	16,000
Purchase	12,000	Bank overdraft	2,000
Sales return	1,000	Sales	9,000
Salaries	2,500	Purchase return	2,000
Tax and Insurance	500	Reserve for Bad debts	1,000
Bad debts	500	Creditors	2,000
Debtors	5,000	Commission	500
Investments	4,000	Bills payable	2,500
Opening stock	1,400		
Drawings	2,000		
Furniture	1,600		
Bills receivables	3,000		
	35,000		**35,000**

(i) Closing stock was valued at Rs. 4,500
(ii) Salary of Rs.100 and Tax of Rs. 200 are outstanding whereas insurance Rs. 50 prepaid.
(iii) Commission received in advance is Rs. 100
(iv) Interest accrued on investment is Rs. 210
(v) Interest on overdraft is unpaid Rs. 300
(vi) Reserve for bad debts is to be kept at Rs. 1,000
(vii) Depreciation on furniture is to be charged @ 10%

You are required to prepare the final accounts after making above adjustments.

[Ans: GP-1100/-, Net Loss-2500, B/s-18700]

Personal Note:-

Question 38:

From the following trial balance of Rashmi, prepare trading and profit and loss account for the year ended 31st March, 2022 and the balance sheet as on that date:

Debit balances	Rs.	Credit balances	Rs.
Rashmi's drawings	1,000	Rashmi's Capital	88,000
Plant and machinery	50,000	Sales	2,34,000
Fixture and fittings	6,000	Purchase return	2,000
Loose tools	10,000	Discount received	3,200
Cash at bank	10,000	Sundry creditors	12,000
Cash in hand	2,000	Provision for bad debts	1,000
Stock (1.4.2021)	6,000	Sohan Singh	10,000
Purchases	1,10,000		
Sales return	4,000		
Wages	40,000		
Carriage inwards	16,000		
Salaries	20,800		
General expenses and insurance	36,200		
Rent and taxes	7,200		
Postage and telegram	3,000		
Packing and distribution	3,000		
Sundry debtors	24,000		
Manohar Singh	1,000		
	3,50,200		**3,50,200**

The following adjustments be taken into account:

(a) Stock on 31st March, 2022 was valued at Rs. 15,400.

(b) Depreciate plant and machinery at 5% and fixture and fittings at 6% and loose tools are revalued at Rs. 8,000.

(c) Provision for bad and doubtful debts to be kept at 5% on debtors.

(d) Rashmi withdrew Rs. 400 per month which she charged to salary account.

(e) Remuneration of Rs. 1,000 paid to Manohar Singh a temporary employee stands debited to his personal name.

(f) Goods of Rs. 2,000 were received on 29th March, 2022 but purchased invoice was omitted to be recorded in purchase book.

[G.P. = 73,400; N.P. = 5,140; B/S = 1,11,340.]

Personal Note:-

Question 39:

On 31st March, 2022, the following trial balance was extracted from the books of Mr. Deepak Kumar:

Debit balances	Rs.	Credit balances	Rs.
Sundry debtors	20,100	Capital	28,000
Drawings	3,000	Loan on mortgage	9,500
Bills receivable	6,882	Rent received	250
Interest on loan	300	Bills payable	2,614
Cash at bank	3,555	Discount received	540
Motor van	10,000	Sales	1,10,243
Stock on 1st April, 2021	6,839	Sundry creditors	10,401
Cash in hand	2,050	Bad debts reserve	710
Land and building	12,000	Return outwards	1,346
General expenses	3,489		
Advertising	3,264		
Rent, rates, taxes and insurance	2,891		
Salaries	9,097		
Bad debts	525		
Purchases	66,458		
Returns inwards	7,821		
Carriage inwards	2,929		
Carriage outwards	2,404		
	1,63,604		**1,63,604**

Prepare Trading and Profit & Loss Account for the year ending 31st march, 2022 and Balance Sheet as on that date after making following adjustments:

(i) Closing stock is valued at Rs. 6,250.

(ii) Depreciate land and building at 2%, motor van at 20%.

(iii) Salaries Rs. 750 and Rates Rs. 350 are outstanding.

(iv) Goods costing Rs. 500 were sent to a customer on sale or return for Rs. 600 and treated as actual sales.

(v) Goods costing Rs. 1,000 were taken by proprietor for private use, had been treated as credit sales.

(vi) Prepaid insurance Rs. 150.

(vii) Provision for bad debts is to be maintained at 5% on debtors.

(viii) Provide interest on loan on mortgage 6% p.a. for 6 months.

(ix) Provide for manager's commission at 10% on net profits after charging such commission.

G.P. = 33,692; N.P. = 8,020; B/S = 56,722.

Personal Note:-

Question 40:

The following is the Trial Balance of Mr. Amit as at 31st March, 2022:

Particulars	Dr. (Rs.)	Cr. (Rs.)
Opening Stock	75,000	-
Sales/Purchases	5,25,000	6,30,000
Returns	10,000	5,000
Wages	23,500	-
Carriage Inwards	500	-
Carriage Outwards	350	-
Rent	3,000	-
Insurance	3,600	-
Salaries	11,200	-
Selling & Distribution Expenses	27,600	-
Commission	-	3,750
Interest	2,500	3,000
Bad Debts/Bad Debts Recovered	5,000	2,500
Discount	2,000	1,000
Provision for Doubtful Debts	-	10,000
Provision for Discount on Debtors	-	1,800
Buildings	60,000	-
Plant & Machinery	2,10,000	-
Furniture & Fixtures	30,000	-
12% Investments (Purchased on 1.7.2021)	50,000	-
Debtors/Creditors	2,12,000	1,00,000
Bills Receivable/Bills Payable	10,000	5,600
Cash in Hand	5,000	-
Cash at Bank	50,000	-
Loose Tools	3,750	-
Capital/Drawings	10,650	5,19,000
Income Tax paid	1,000	-
10% Loan from Bank (taken on 1.7.2021)		50,000
	13,31,650	13,31,650

Additional information:

(a) Closing Stock as on 31st March 2022 was Rs. 93,600. Loose Tools are valued at Rs. 1,250.

(b) Rent is payable at the rate of Rs. 300 per month. Insurance Premium was paid for the year ending on 30th June, 2022.

(c) One-third of the commission received is in respect of work to be done next year.

(d) Provide for depreciation on Plant & Machinery @ 10% p.a. Write 10% off the Furniture & Fixtures. Depreciate Building by 5%.

(e) Debtors include Shyam for dishonoured bill of Rs. 10,000. Half the amount of Shyam's bills is irrecoverable. Create Provision for discount on Debtors @ 2%. Create a Provision for Doubtful debts @ 10%.

(f) A fire occurred on 25th March 2022 in the godown and Stock of Rs. 1,000 was destroyed. It was fully insured but the insurance company admitted the claim to be extent of 60% only.

(g) Goods costing Rs. 2,000 were taken by the proprietor for his personal use but no entry has been made in the books of accounts.

(h) Goods costing Rs. 3,000 were distributed as free samples but no entry has been made in the books of accounts.

(i) Manager is entitled to a commission of 5% on Net Profit after charging his commission.

(j) Wages include a sum of Rs. 4,000 spent on the erection of a cycle shed for employees and customers.

(k) Remuneration of Rs. 2,000 paid to Ramu, a temporary employee, stands debited to his personal account.

(l) A machine costing Rs. 1,90,000 was purchased on 1st July 2021, Wages Rs. 10,000 paid for its erection have been debited to Wages Account.

(m) A furniture costing Rs. 45,000 was purchased on 1st July 2021 but it was not recorded in the books as no payment was made of it. Wages Rs. 5,000 paid for its erection have been debited to Wages Account.

Required: Prepare Trading and Profit and Loss Account for the year ending on 31st March, 2022 and a Balance Sheet as at 31st march, 2022.

[G.P. = 1,19,600; N.P. = 20,000; B/S = 7,30,050.]

Personal Note:-

Question 41:

Following are the balance of Diwan Singh as on 31st March, 2022.

	Rs.		Rs.
Taxes and insurance	11,200	Coal consumed	67,180
Creditors	79,200	Plant & machinery	2,50,000
Provision for doubtful debts	4,350	Wages	67,800
Bad debts	3,920	Land & building	1,38,400
General charges	10,000	Salaries	28,630
Advertisement	38,000	Debtors	80,000
Rent received	1,380	Sales	7,50,000
Cash in hand	5,100	Cash at Bank	20,000
Purchases	6,32,200	Stock, on 1st April, 2021	2,50,000
Motor lorry	32,500		
carriage on purchases	23,000	Capital	8,94,000
Repairs & renewals	12,000	Drawings	63,000
Allowance received from creditors	24,000	Stock of coal	20,000

Prepare trading and profit and loss account for the year ended 31st March, 2022 and balance sheet as on that date after making the following adjustment :

(i) Stock on 31st March, 2022 was Rs. 3,00,000

(ii) Transfer Rs. 30,000 from Purchases and Rs. 2,500 from wages account to land and building account.

(iii) Increase the provision for doubtful debts to Rs. 5,430.

(iv) Write off one half of advertisement expenses

(v) Interest on capital is to be allowed @ 5% p.a.

(vi) Write off 10% on motor lorry and plant and machinery.

G.P. = 42,320; N.L. = 91,080; B/S = 8,63,820.

Personal Note:-

Question 42: **[MTP SEP. – 24, 10 Marks][RTP-May-22]**

Mr. Bansal submitted to you the following trial balance, which he has not been able to agree. Rewrite the trial balance and prepare trading and profit and loss account for the year ended 31.3.2022 and a balance sheet as on that date after giving effect to the undermentioned adjustments:

Particulars	**Dr.**	**Cr.**
	Rs.	**Rs.**
Capital	-	16,000
Opening stock	17,500	-
Closing stock	-	18,790
Drawings	3,305	-
Returns inward	-	550
Carriage inward	1,240	-
Deposit with X	-	1,400
Returns outward	840	-
Carriage outward	-	725
Rent paid	800	-
Rent outstanding	150	-
Purchases	13,000	-
Sundry debtors	5,000	-
Sundry creditors	-	2,200
Furniture	1,500	-
Sales	-	29,000
Wages	850	-
Cash	1,370	-
Advertisement	950	
	46,505	**68,665**

Adjustments:

1. Write off Rs. 600 as bad debt and make a provision for doubtful debts at 5% on balance sundry debtors.
2. **Stock valued at Rs. 2,000 was destroyed by fire on 25th March, 2022, but insurance company admitted a claim for Rs. 1,500 only and paid the sum in April, 2022.**
3. Depreciation to be provided on furniture at 10% per annum.

[Revised TB Total 48,190; GP 17,490; NP 13,545; B/S 28,590]

Personal Note:-

Question 43: **[MTP SEP 24 – 12 Marks][MTP-May 22-15 Marks, RTP-Nov.18 & May-21]**

The following is the trial balance of Manan as at 31st March 2022:

	Dr. (Rs.)	Cr. (Rs.)
Manan's capital account	-	1,53,380
Stock 1st April, 2021	93,600	-
Sales	-	7,79,200
Returns inward	17,200	-
Purchases	6,43,400	-
Returns outward	-	11,600
Carriage inwards	39,200	-
Rent & taxes	9,400	-
Salaries & wages	18,600	-
Sundry debtors	48,000	-
Sundry creditors	-	29,600
Bank loan @ 14% p.a.	-	40,000
Bank interest	2,200	-
Printing and stationary expenses	28,800	-
Bank balance	16,000	-
Discount earned	-	8,880
Furniture & fittings	10,000	-
Discount allowed	3,600	-
General expenses	22,900	-
Insurance	2,600	-
Postage & telegram expenses	4,660	-
Cash balance	760	-
Travelling expenses	1740	-
Drawings	60,000	
	10,22,660	10,22,660

The following adjustments are to be made:

(1) **Included amongst the debtors is Rs. 6,000 due from Rahul and included among the creditors Rs. 2,000 due to him.**
(2) **Provision for bad and doubtful debts be created at 5% and for discount @ 2% on sundry debtors.**
(3) **Depreciation on furniture & fittings @ 10% shall be written off.**
(4) **Personal purchases of Manan amounting to Rs. 1200 had been recorded in the purchases day book.**
(5) **Interest on bank loan shall be provided for the whole year.**
(6) **A quarter of the amount of printing and stationary expenses is to be carried forward to the next year.**
(7) **Credit purchase invoice amounting to Rs. 800 had been omitted from the books.**
(8) **Stock on 31st March 2022 was Rs. 1,57,200.**

Prepare (i) Trading & profit and loss account for the year ended 31.3.2022 and (ii) Balance sheet as on 31st March, 2022.

[GP 1,55,000; NP 69,006; B/S 2,32,986]

Personal Note:-

Question: 44 **(PEQ-Dec.23, Jan. 25 – 12 Marks)**

From the following schedule of balances extracted from the books of Mr. Piyush, prepare Trading and Profit and Loss Account for the year ended 31st March, 2024 and the Balance Sheet as on that date after making the necessary adjustments:

Particulars	Dr. (Rs.)	Cr. (Rs.)
Capital Account		8,85,000
Stock on 1.4.2023	3,86,000	
Cash in hand	18,500	
Cash in Bank	73,500	
Investment (at 9%) as on 1.4.2023	50,000	
Deposits (at 10%) as on 1.4.2023	3,00,000	
Drawings	78,000	
Purchases	24,95,000	
Sales		29,86,000
Return Inwards	1,10,000	
Return outwards		1,38,000
Carriage inwards	1,26,000	
Rent	66,000	
Salaries	1,15,000	
Sundry Debtors	2,35,000	
Sunday Creditors		1,37,500
Bank Loan (at 12%) as on 1.10.2023		2,00,000
Furniture as on 1.4.2023	25,000	
Interest paid	12,500	
Interest received		28,500
Advertisement	40,300	
Printing & Stationery	32,200	
Electricity Charges	57,700	
Discount allowed	55,200	
Discount received		24,600
Bad debts	18,500	
General expenses	36,800	
Motor Car Expenses	8,500	
Insurance Premium	30,000	
Travelling Expenses	21,800	
Postage & Courier	8,100	
	43,99,600	43,99,600

Adjustments:

(i) The value of stock as on 31st March, 2024 is Rs. 7,65,000. This includes goods returned by customers on 31st March, 2024 to the value of Rs. 25,000 for which no entry has been passed in the books.

(ii) Purchases include one furniture item purchased on 1st January, 2024 for Rs. 10,000. Depreciation @ 10% p.a. is to be provided on furniture.

(iii) One months' rent is outstanding and Rs. 12,000 is payable towards salary.

(iv) Interest paid includes Rs. 9,000 paid against Bank loan and Interest received pertains to Investments and Deposits.

(v) Provide for interest payable on Bank Loan and interest receivable on investments and deposits.

(vi) Make provision for doubtful debts at 5% on the balance under sundry debtors.

(vii) Insurance premium includes Rs. 18,000 paid towards proprietor's life insurance policy.

Personal Note:-

Question: 45 **(MTP JAN. 25, 8 Marks)**

Mr. Dilip furnishes the following trial balance and some other information:

Trial Balance as on 31st March, 2024

Particulars	Rs.	Rs.
Capital		19,50,000
Purchases and Sales	12,90,000	29,10,000
Opening Inventory	3,30,000	
Freights Inward	1,20,000	
Salaries	6,30,000	
Administration Expenses	4,50,000	
Furniture	10,50,000	
Trade receivables and Trade payables	6,30,000	5,70,000
Returns	60,000	36,000
Discount allowed and Received	57,000	27,000
Bad Debts	15,000	
Investments in Government Securities	3,00,000	
Cash in Hand and Cash at Bank	5,67,000	
Input CGST	30,000	
Input SGST	30,000	
Output CGST		24,000
Output SGST		24,000
Output IGST		18,000
	55,59,000	55,59,000

Additional information

Inventory as on 31st march,2024 was Rs. 5,40,000.
Furniture is depreciated at 15% per annum.

Prepare Trading Account, Profit and Loss Account and Balance Sheet as on 31st March, 2024 of Mr. Dilip.

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 23:

Opening Entry on 01-01-2022:

		Dr. Rs.	*Cr.* Rs.
Cash A/c	Dr.	43,000	
Bank A/c	Dr.	2,67,500	
Trade receivables	Dr.	7,49,500	
Inventory A/c	Dr.	9,00,000	
Machinery and Equipment A/c	Dr.	6,00,000	
To Mahendra & Sons A/c			5,60,00
To Capital A/c			20,00,00
(Being the balances brought forward)		**25,60,000**	**25,60,00**

Solution 24:

Date 2022	Particulars	L.F.	Rs.	Rs.
Dec. 31	Trading Account	Dr.	30,20,000	
	To Inventory Account			2,00,000
	To Purchase A/c			18,20,000
	To Wages A/c			10,00,000
	(Being the accounts in the Trial Balance which have to be transferred to the Trading Account debit side)			
Dec. 31	Sales Account	Dr.	50,00,000	
	To Trading A/c			50,00,000
	(Being the amount of Sales transferred to the credit of Trading Account)			
Dec. 31	Inventory (Closing) A/c	Dr.	2,70,000	
	To Trading A/c			2,70,000
	(Being the value of Inventory on hand on 31st Dec. 2022)			
Dec. 31	Trading A/c	Dr.	22,50,000	
	To Profit and Loss A/c			22,50,000
	(Being the transfer of gross profit.)			
Dec. 31	Profit and Loss A/c	Dr.	16,50,000	
	To Discount Allowed Account			50,000
	To Salaries A/c			10,00,000
	To Sundry Office Expenses A/c			6,00,000
	(Being the various expense accounts transferred to the P & L Account)			
Dec. 31	Discount Received A/c	Dr.	30,000	
	To P & L Account			30,000
	(Being the credit balance of discount received transferred to Profit and Loss A/c)			
Dec. 31	Profit and Loss A/c	Dr.	6,30,000	
	To Capital A/c			6,30,000
	(Being the transfer to Net Profit to the Capital Account)			
			1,28,50,000	**1,28,50,000**

C. WANCHOO
Trading Account of the year ended December 31, 2022

Particulars	Rs.	Particulars	Rs.
To Inventory A/c	2,00,000	By Sales A/c	50,00,000
To Purchases	18,20,000	By Inventory (Closing)	2,70,000
To Wages	10,00,000		
To Gross profit trfd. to P & L A/c	22,50,000		
	52,70,000		**52,70,000**

Profit and Loss Account for the year ended December 31, 2022

Particulars	Rs.	Particulars	Rs.
To Salaries	10,00,000	By Gross profit trfd. From the Trading	
To Discount Allowed	50,000	Account	22,50,000
To Sundry Office Expenses	6,00,000	By Discount Received	30,000
To Net Profit transferred to Capital A/c	6,30,000		
	22,80,000		**22,80,000**

Balance Sheet of C. Wanchoo
as at December 31, 2022

Liabilities		Amount Rs.	Assets	Amount Rs.
Trade payables		3,70,000	Cash in Hand	1,44,000
Capital	10,00,000		Trade receivables	8,50,000
Add: Net Profit	6,30,000	16,30,000	Inventories	2,70,000
			Machinery	7,36,000
		20,00,000		20,00,000

Solution 25:

In the books of Shri Mittal
Trading Account for the year ended 31st March, 2022

Particulars		Amount Rs.	Particulars		Amount Rs.
To Opening inventory		72,000	By Sales	12,10,000	
To Purchases	6,05,000		*Less:* Returns	(40,000)	11,70,000
Less: Returns	(30,000)	5,75,000	By Closing inventory		1,00,000
To Gross Profit		6,23,000			
		12,70,000			**12,70,000**

Profit and Loss Account
For the year ended 31st March, 2022

Particulars	Amount Rs.	Particulars	Amount Rs.
To Salaries	2,70,000	By Gross profit	6,23,000
To Advertisement	1,10,000		
To Other expenses	60,000		
To Net profit	1,83,000		
	6,23,000		**6,23,000**

Balance Sheet as on 31st March, 2022

Liabilities	Rs.	Amount Rs.	Assets	Amount Rs.
Capital	8,70,000		Building	8,90,000
Add: Net profit	1,83,000	10,53,000	Furniture	4,50,000
14% Bank Loan		2,00,000	Trade receivables	90,000
Trade payables		1,70,000	Closing inventory	1,00,000
Overdrafts		1,12,000	Cash in hand	2,000
			Input SGST (WN)	3,000
		15,35,000		**15,35,000**

Note: 1. As loan and overdraft taken at year end so no interest shown.
2. Output IGST liability is paid by utilizing Input CGST of Rs. 9,000 and Input SGST of Rs. 6,000. Thereafter, closing balance. If Input SGST of Rs. 3000 is reported in Balance sheet.

Solution 26:

Trading and Profit and Loss Account for the year ending 31st March, 2022			
Particulars	Rs.	Particulars	Rs.
To Opening Inventory	5,00,000	By Sales	17,00,000
To Purchases	12,50,000	By Closing Inventory	10,00,000
To Wages	3,00,000		
To Gross Profit	6,50,000		
	27,00,000		27,00,000
To Bad Debts	50,000	By Gross Profit	6,50,000
To Depreciation	1,50,000		
To Salaries	2,20,000		
To Net Profit transferred. to Capital A/c	2,30,000		
	6,50,000		**6,50,000**

Balance Sheet as at 31st March, 2022

Liabilities	Rs.	Rs.	Assets	Rs.
Trade payables		9,00,000	Current Assets	
			Cash in Hand	5,60,000
Capital:			Trade receivables	3,50,000
Opening Balance	25,00,000		Closing Inventory	10,00,000
Add : Net Profit	2,30,000	27,30,000	Fixed Assets	
			Furniture & Fixtures	1,50,000
			Plant & Machinery	15,70,000
		36,30,000		**36,30,000**

Solution 27:

In the Books of M/s Dayal Bros.
Balance Sheet as on 31st March, 2022

Liabilities	Rs.	Amount Rs.	Assets	Amount Rs.
Capital: Opening Balances	7,00,000		Land & Building	3,00,000
Add: Net Profit	1,00,000		Furniture	2,00,000
	8,00,000		Inventories in Trade	6,00,000
Less: Drawing	(60,000)	7,40,000	Trade rceivables	4,20,000
14% Term Loan		4,00,000	Advances to suppliers	1,00,000
Loan from M/s D &Co.		4,60,000	Cash in Hand	20,000
Trade payables		40,000		
		16,40,000		**16,40,000**

Solution 28:

JOURNAL

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Bad Debts A/c Dr. To Debtors (Being the amount due from Mr. X proved to be bad)		5,000	 5,000
	Provision for Doubtful Debts A/c Dr. To Bad Debts A/c (Being the transfer of bad debts to Provision for Doubtful Debts A/c)		8,000	 8,000
	Profit & Loss A/c Dr. To Provision for Doubtful Debts A/c (Being the provision for doubtful debts created out of P/L A/c)		28,000	 28,000

SUNDRY DEBTORS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d	2,05,000	By Bad Debts A/c By Balance c/d	5,000 2,00,000
	2,05,000		**2,05,000**

BAD DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d To Sundry Debtors	3,000 5,000	By Provision for Doubtful Debts A/c	8,000
	8,000		**8,000**

PROVISION FOR DOUBTFUL DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Bad debts	8,000	By Profit & Loss A/c	28,000
To Balance c/d	20,000		

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2022

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Provision for Doubtful Debts	28,000		

BALANCE SHEET AS AT 31 ST MARCH, 2022

Liabilities	Rs.	Assets		Rs.
		Current Assets:		
		Sundry Debtors	2,05,000	
		Less: Additional Bad Debts	5,000	
			2,00,000	
		Less: Prov. for Doubtful Debts	20,000	1,80,000

Solution 29:

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Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Bad Debts A/c Dr. To Sundry Debtors A/c (Being the additional bad debts recorded)		5,000	 5,000
	Provision for Doubtful Debts A/c Dr. To Bad Debts A/c (Being bad debts, transferred to Provision for doubtful debts A/c)		8,000	 8,000
	Profit & Loss A/c Dr. To Provision for Doubtful Debts A/c (Being the amount charged from P & L A/c to maintain provision for doubtful debts @ 10% on debtors)		18,000	 18,000

SUNDRY DEBTORS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d	2,05,000	By Bad Debts A/c By Balance c/d	5,000 2,00,000
	2,05,000		2,05,000

BAD DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d To Sundry Debtors A/c	3,000 5,000	By Provision for Doubtful Debts A/c	8,000
	8,000		8,000

PROVISION FOR DOUBTFUL DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Bad Debts A/c To Balance c/d [10% of (Rs. 2,05,000 - Rs. 5,000)]	8,000 20,000	By Balance b/d By Profit & Loss A/c	10,000 18,000
	28,000		28,000

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31st MARCH, 2022

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Provision for Doubtful Debts	18,000		

BALANCE SHEET AS AT 31st MARCH, 2022

Liabilities	Rs.	Assets		Rs.
		Current Assets-		
		Sundry Debtors	2,05,000	
		Less: Add. bad debts	5,000	
			2,00,000	
		Less: Prov. for Doubtful Debts	20,000	1,80,000

Solution 30:

JOURNAL

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
	Discount Allowed A/c	Dr.		5,000	
	To Sundry Debtors A/c				5,000
	(Being the additional discount allowed to debtors recorded)				
	Provision for doubtful debts	Dr.		3,000	
	To Bad Debts A/c				3,000
	(Being the transfer of bad debts to provision for doubtful debts A/c				
	Provision for Discount on Debtors A/c	Dr.		6,800	
	To Discount Allowed A/c				6,800
	(Being the transfer of discount allowed to provision for doubtful Debts)				
	Profit & Loss A/c	Dr.		23,000	
	To Provision for doubtful debts A/c				23,000
	(Being provision for doubtful debts created out of P/L A/c)				
	Profit & Loss A/c	Dr.		10,400	
	To Provision for discount on debtors A/c				10,400
	(Being provision for discount created out of P/L A/c)				

SUNDRY DEBTORS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d	2,05,000	By Discount Allowed A/c	5,000
		By Balance c/d	2,00,000
	2,05,000		2,05,000

BAD DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d	3,000	By Provision for Doubtful Debts A/c	3,000

PROVISION FOR DOUBTFUL DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Bad Debts A/c	3,000	By Profit and Loss A/c	23,000
To Balance c/d	20,000		

DISCOUNT ALLOWED ACCOUNT

Particulars	Rs.	Particulars	Rs.
To Balance b/d	1,800	By Provision for Discount on Debtors A/c	6,800
To S. Debtors	5,000		
	6,800		6,800

PROVISION FOR DISCOUNT ON DEBTORS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Discount Allowed A/c	6,800	By Profit & Loss A/c	10,400
To Balance c/d	3,600		

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31st MARCH, 2022

Dr.			Cr.
Particulars	**Rs.**	**Particulars**	**Rs.**
To Provision for doubtful debts	23,000		
To Provision for Discount on Debtors	10,400		

BALANCE SHEET AS AT 31st MARCH, 2022

Liabilities	Rs.	Assets		Rs.
		Current Assets:		
		Debtors	2,05,000	
		Less: Additional Discount	5,000	
			2,00,000	
		Less: Provision for Doubtful Debts @ 10%	20,000	
			1,80,000	
		Less: Prov. for Discount @ 2%	3,600	1,76,400

Solution 31:

JOURNAL

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
	Bad Debts A/c	Dr.		4,000	
	Discount A/c	Dr.		1,000	
	To Sundry Debtors A/c				5,000
	(Being the additional bad debts and additional discount on debtors recorded)				
	Provision for Doubtful Debts A/c	Dr.		7,000	
	To Bad Debts A/c				7,000
	(Being the bad debts transferred to Provision for Doubtful Debts A/c)				
	Provision for Discount on Debtors A/c	Dr.		2,000	
	To Discount A/c				2,000
	(Being the discount allowed transferred to Provision for Discount on Debtors A/c)				
	Profit and Loss A/c	Dr.		17,000	
	To Provision for Doubtful Debts A/c				17,000
	(Being the amount charged from Profit & Loss Account to maintain a provision for doubtful debts @10% on debtors i.e., 10% of (7 2,05,000 -1 5,000)				
	Profit and Loss A/c	Dr.		3,800	
	To Provision for Discount on Debtors A/c				3,800
	(Being the amount charged from P & L A/c to maintain a provision for discount @ 2% on good debtors i.e., 2% of (Rs.2,05,000 - 7 5,000 - X 20,000)				

Ledger Accounts:

SUNDRY DEBTORS ACCOUNT

Particulars	Rs.	Particulars	Rs.
To Balance b/d	2,05,000	By Bad Debts A/c	4,000
		By Discount Allowed A/c	1,000
		By Balance c/d	2,00,000
	2,05,000		2,05,000

BAD DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Balance b/d	3,000	By Provision for Doubtful Debts A/c	7,000
To Sundry Debtors	4,000		
	7,000		7,000

PROVISION FOR DOUBTFUL DEBTS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Bad Debts A/c	7,000	By Balance b/d	10,000
To Balance c/d	20,000	By Profit & Loss A/c (b/f)	17,000
[10% of ` 2,05,000 - ` 5,000]			
	27,000		27,000

DISCOUNT ALLOWED ACCOUNT

Dr. **Cr.**

Particulars		Particulars	Rs.
To Balance b/d	1,000	By Provision for Discount on Debtors A/c	2,000
To Sundry Debtors A/c	1,000		
	2,000		2,000

PROVISION FOR DISCOUNT ON DEBTORS ACCOUNT

Dr. **Cr.**

Particulars	Rs.	Particulars	Rs.
To Discount A/c	2,000	By Balance b/d	1,800
To Balance c/d [2% of (2,05,000 - 5,000 - 20,000]	3,600	By Profit & Loss A/c (b/f)	3,800
	5,600		5,600

AN EXTRACT OF PROFIT & LOSS ACCOUNT

For the year ending on 31st March, 2022

Dr. **Cr.**

Particulars	**Rs.**	**Particulars**	
To Provision for Doubtful Debts	17,000		
To Provision for Discount	3,800		

AN EXTRACT OF BALANCE SHEET AS AT 31st MARCH, 2022

Liabilities	**Rs.**	**Assets**		**Rs.**
		Current Assets:		
		Sundry Debtors	2,05,000	
		Less: Additional Bad Debts and Discount	5,000	
			2,00,000	
		Less: Provision for Doubtful debts 10%	20,000	
			1,80,000	
		Less:, Prov. for Discount @ 2%	3,600	1,76,400

Solution 32:

Trading and P&L A/c for the year ended 31st March 2022

Dr. **Cr.**

Particulars	**Rs.**	**Particulars**	**Rs.**
To Cost of Goods Sold	22,00,000	By Sales	45,00,000
To Gross Profit C/d (Sale - COGS)	23,00,000		
	45,00,000		45,00,000
To Salaries A/c	12,00,000	By Gross Profit b/d	23,00,000
To General Expenses	6,00,000	By Other Income	45,000
To Selling Expenses (1% of 45,00,000)	45,000		
To Commission to Manager (on Net profit before charging such commission)	1,00,000		
To Net Profit	4,00,000		
	23,45,000		23,45,000

Solution 33:

TRADING & P/L A/C
FOR THE YEAR ENDED 31st MARCH 2022

PARTICUALARS		AMT.	PARTICUALARS		AMT.
To Adjusted Purchase		76500	By Sales	196000	
To Carriage Inward		2100	(-) Return	(3750)	192250
To Wages	45600				
(-) Installation	(500)	45100			
To Fuel and water		1550			
To Gross profit		67000			
		192250			**192250**
To Loose Tools w/off. (3000-1200)		1800	By Gross profit		67000
To Provision for Bad debts (WN-1)		1200	By Interest from Raj.	500	
To Carriage Out ward		1400	+ Accrued Interest	500	1000
To Salaries		9000	By Discount on purchase		3200
To Bank charges		430			
To Rates & Taxes	1490				
(-) Prepaid	(500)	990			
To Discount		300			
To Misc. Expenses	3250				
(+) Out standing trade Exp.	300	3550			
To Fire Insurance	1200				
(-) Prepaid	(200)	1000			
To Prov. for Discount		1463			
To Depreciation on L&B		1225			
To Depreciation on P&M		3050			
To Depreciation on F&F		350			
To Net profit		45442			
		71200			**71200**

Balance Sheet as on 31st march 2022

Liabilities		Amt.	Assets		Amt.
Capital	1,95,600		Cash		960
(-) Drawing	(15,000)		Bank		26,320
	1,80,600		Land & Building	49,000	
(+) N.P	45,442	2,26,042	(-) Depre.	(1,225)	47,775
			Plant & Machinery	30,000	
Creditors		27,200	(+) Installation	500	
O/S Trade Exp.		300	(-) Depre.	(3050)	27,450
			Furniture & Fixture	3500	
			(-) Depre.	(350)	3,150
			Loose Tools	3000	
			(-) Depre.	(1800)	1,200
			B/R		2,600
			10% Loan to Raj		10,000
			Accrued Interest		500
			Debtors	77,800	
			(-) Baddebts	(800)	
			(-) Prov. for D.D	(3,850)	
				73,150	
			(-) Prov. For Discount	(1463)	71,687
			Closing Stock		61,200
			Prepaid Insurance		200
			Prepaid Rates & taxes		500
		2,53,542			**2,53,542**

Working Note :

1. **Amount of Bad Debt to be trans. to P&L A/c :**

PDD Account			
To B/D	1550	O/B	4200
(750 + 800)		P/L	1200
C/B	3850		

2. It is assumed that loan given to Raj at the beginning of year.

Solution 34:

TRADING & P/L A/C
FOR THE YEAR ENDED 31ST MAR 2022

PARTICULARS		AMT.	PARTICULARS		AMT.
To Opening Stock		50000	By Sales	23000	
To Purchases	85000		(-) Return	(5000)	225000
(-) Return	(3000)	82000	By Closing stock		45000
To Wages	30000				
(-) Prepaid	(500)	29500			
To Gas & Fuel		2500			
To Freight & carriage		4000			
To Factory lighting		3000			
To Gross profit		99000			
		270000			270000
			By Gross profit		99000
To Legal Expense		2000	By Interest on securities on securities		1250
To Salaries	10000		By Discount		1500
(-) Prepaid	(1000)	9000			
To Office Expense		4000			
To Bad debts	1000				
+ New Bad debts	700				
+ Prov. For D.D (New)	3500	5200			
To Insurance	1000				
+ Out standing	250	1250			
To Advertisement		1200			
To Traveling Exp.		850			
To Dep. on P & M		10000			
To Dep. on Motor car (½)		1000			
To Dep. on Loose tools		600			
To Dep. on F& F		300			
To Charity fund		500			
To Net profit		65850			
		1,01,750			**1,01,750**

BALANCE SHEET
AS ON 31ST MAR 2022

Liabilities		Amount	Assets		Amount
Capital	200000		Investment in Govt. sec.		25000
(-) Drawing	(15000)		Cash in hand		1000
(-) Income tax	(1500)		Cash in bank		10000
(-) Dep. on car (½)	(1000)		Debtors	70700	
+ Net profit	65850	248350	(-) New Bad debts	(700)	
Bills payable		4000		70000	
Creditors		40000	(-) Prov. for D.D	(3500)	66500
Creditors for loan		20000	Plant & machine	100000	
Out standing Insurance		250	(-) Dep. 10%	(10000)	90000
Charity fund		500	Bill Receivable		5000
			Land & Building		42000
			Motor car	20000	
			(-) Deprecation	(2000)	18000
			Loose tools	4000	
			(-) Dep.	(600)	3400
			Furniture & fitting	6000	
			(-) Dep.	(300)	5700
			Closing Stock		45000
			Prepaid Salary		1000
			Prepaid Wages		500
		3,13,100			**3,13,100**

Solution 35:

TRADING & P/L A/C
FOR THE YEAR ENDED 31ST MAR. 2022

PARTICULARS		AMT.	PARTICULARS		AMT.
To Opening Stock		8500	By Sales	81000	
To Purchases	50000		(-) Return	(2300)	78700
(-) Return	(500)				
(-) Free sample	(500)	49000	By Closing stock		6000
To Wages		3300			
To Carriage		300			
To Expense on purchase		400			
To Factory Insurance		400			
To Dock Charges		2200			
To Gross profit		20600			
		84700			84700
To Interest on Loan(WN-1)		900	By Gross profit		20600
To Discount all		200			
To Trade Expense		150	By Disc.		100
To General expense		450	By Net loss		2700
To Rates & taxes		3200			
To Bad debts	800				
+ New bad debts	1000				
+ New Prov.	2900				
(-) Old Prov.	(400)	4300			
To Repairs		700			
To Advertisement		1200			
To Salaries	6400				
+ Out standing	1600	8000			
To Depreciation :-					
Premises	800				
P & M	2500				
Furniture	300	3600			
To Patents written off (WN -2)		200			
To Free sample		500			
		23400			23400

BALANCE SHEET
AS ON 31ST MAR 2022

Liabilities		Amt.	Assets		Amt.
Creditors		14000	Premises	40,000	
B/P		4000	(-) Deprecation	(800)	39200
Deposit from customers		5000	P.&M.	25,000	
Loan on mortgage		30,000	(-) Deprecation	(2500)	22500
Out standing Interest		900	Furniture & fit.	6000	
Capital	55000		(-) Depreciation	(300)	5700
(-) Net Loss	(2700)	52300	Patents Right	2000	
			(-) Written off	(200)	1800
			Debtors	30000	
Out standing salary		1600	(-) New bad debt	(1000)	
				29000	
			(-) New prov.	(2900)	26100
			B/R		3000
			Cash in hand		1000
			Cash at bank		2500
			Closing stock		6000
		1,07,800			**1,07,800**

WORKING NOTES

(1) Calculation of Intt. on Loan :

Interest on Mortgage loan $= 30000 \times \frac{12}{100} \times \frac{3}{12}$

$= 900$

(2) Calculation of Patent to be W/off :

Patents 2000

Useful life 5 year.

Depreciation $2000 \times \frac{1}{5} \times \frac{6}{12} = 200$

Solution 36:

M/s Raghuram & Associates

Trading Account for the year ended 31st March 2022

Particulars	Details	Amount	Particulars	Details	Amount
		Rs.			Rs.
To Opening Stock		3,20,000	By Sales	15,00,000	
To Purchases	12,00,000		*Less:* Sales Returns	(24,000)	14,76,000
Less: Purchase Return	(18,000)	11,82,000	By Closing Stock		4,10,000
To Freight		62,000			
To Gross Profit c/d		3,22,000			
		18,86,000			18,86,000

M/s Raghuram & Associates

Profit and Loss Account for the year ended 31st March 2022

Particulars		Amount	Particulars	Amount
To Salaries		72,000	By Gross Profit b/d	3,22,000
To Rent For Godwon	55,000		By Discount Received	12,000
Add: Outstanding	5,000	60,000		
To Provision For Debts Doubtful (W.N.4)		16,200		
To Rates and Taxes		24,000		
To Discount Allowed		7,500		
To Carriage outwards		8,500		
To Printing and stationery		6,000		
To Electricity Charges		14,000		
To Insurance Premium (W.N.1)		4,800		
To Depreciation (W.N.2)		80,000		
To General Expenses		11,000		
To Bank Charges		3,800		
To Interest on loan	4,400			
Add: Outstanding (W.N.3)	100	4,500		
To Motor car expenses (Repairs)		13,000		
To Net Profit transferred to Capital A/c		8,700		
		3,34,000		**3,34,000**

Balance Sheet of M/s Raghuram & Associates
as at 31st March 2022

Liabilities	Details	Amount	Assets	Details	Amount
Capital	14,11,400		Land & Building	5,00,000	
Add: Net Profit	8,700		Less: Depreciation	(25,000)	4,75,000
Less: Drawings	(20,000)		Motor Vehicles	1,00,000	
Less: Proprietor's Insurance Premium	(42,000)	13,58,100	Less: Depreciation	(20,000)	80,000
			Office equipment	2,00,000	
Loan from Rajan	60,000		Less: Depreciation	(30,000)	1,70,000
Add: Outstanding Interest	100	60,100	Furniture & Fixture	50,000	
Sundry Creditors		62,000	Less: Depreciation	(5,000)	45,000
Outstanding Rent		5,000	Stock in Trade		4,10,000
			Sundry Debtors	2,80,000	
			Less: Provision for doubtful debts	(14,000)	2,66,000
			Cash at Bank		22,000
			Cash in Hand		16,000
			Prepaid Ins. (W.N.1)		1,200
		14,85,200			**14,85,200**

Working Notes:

(1) Insurance Premium

	Rs.
Insurance Premium as given in trial balance	48,000
Less: Personal premium	(42,000)
Less: Prepaid for 3 months	6000
$\left(\frac{6,000}{15} \times 3\right)$	(1,200)
Transfer to Profit and Loss A/c	4,800

(2) Depreciation

Building @ 5% on 5,00,000	25,000
Motor Vehicles @ 20% on 1,00,000	20,000
Furniture & Fittings @ 10% on 50,000	5,000
Office Equipment @ 15% on 2,00,000	30,000
Total	80,000

(3) Interest on Loan

Interest on Loan Rs. 60,000 x 10% x 9/12	=	4,500
Less: interest as per Trial Balance	=	(4,400)
Amount (Outstanding) 100		

(4) Provision for bad debts A/c

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
To Bad debts a/c	12,200	By Balance b/d	10,000
To Balance c/d (5% of 2,80,000)	14,000	By P&L A/c	16,200
	26,200		26,200

Solution 37:

Trading & Profit and Loss Account of
Mr. Sandeep for the year ended 31st December, 2022

Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
To Opening Stock		1,400	By Sales	9,000	
To Purchase	12,000		Less: Sales return	(1,000)	8,000
Less: Purchase return	(2,000)	10,000	By Closing stock		4,500
To Gross Profit		1,100			
Total		12,500	Total		12,500
Salary	2,500		By Gross Profit		1,100
Add: Outstanding salary	100	2,600	By Commission	500	
			Less: Advance	(100)	400
Tax & Insurance	500		By Acc. interest		210
Add: Outstanding	200		By Net Loss		2,500
Prepaid insurance	(50)	650			
PDD (WN-1)		500			
Interest on overdraft		300			
Depreciation on furniture		160			
		4,210		4,210	4,210

Balance Sheet of Mr. Sandeep as on 31.3.2022

Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
Capital	16,000		By Furniture	1,600	
Less: drawing	(2,000)		Less: Depreciation	(160)	1,440
Net loss	(2,500)	11,500	Bill receivable		3,000
Bank overdraft	2,000		Investment	4,000	
Add: interest	300	2,300	Add: accrued interest	210	4,210
Creditors		2,000	Debtors	5,000	
Bills payable		2,500	Less: Provision for bad debts	(1,000)	4,000
Outstanding expenses:					
Salary	100		Closing stock		4,500
Tax	200	300	Cash in hand		1,500
Commission received in advance		100	Prepaid insurance		50
		18,700			18,700

Working Note

Provision for D/D Account

To B/D	500	By Balance B/d	1,000
To Balance C/d	1,000	By P/L A/c. (B/F)	500
	1,500		1,500

Solution 38:

Trading and Profit and Loss Account for the year ending 31st March, 2022

Dr.						Cr.
Particulars			Rs.	Particulars		Rs.
To Opening stock			6,000	By Sales	2,34,000	
To Purchases	1,10,000			Less Returns	4,000	2,30,000
Less Returns	2,000			By Closing Stock		15,400
	1,08,000					
Add Unrecorded purchases	2,000		1,10,000			
To Wages			40,000			
To Carriage inwards			16,000			
To Gross profit c/d			73,400			
			2,45,400			2,45,400
To Salaries	20,800			By Gross profit b/d		73,400
Less Drawings @ Rs. 400 p.m.	4,800			By Discount received		3,200
	16,000					
Add Remuneration to Manohar singh	1,000		17,000			
To General expenses and Insurance			36,200			
To Rent and taxes			7,200			
To Postage and telegram			3,000			
To Packing and distribution			3,000			
To Depreciation on:						
Plant and machinery	2,500					
Furniture and fitting	360					
Loose tools	2,000		4,860			
To Provision for bad debts:						
New provision required	1,200					
Less old provision	1,000		200			
To Net profit (transferred to capital account)			5,140			
			76,600			**76,600**

Balance Sheet as on 31st March, 2022

Liabilities			Rs.	Assets		Rs.
Capital		88,000		Plant and machinery	50,000	
Add Net Profit		5,140		Less Depreciation @ 5%	2,500	47,500
		93,140		Fixture and fittings	6,000	
Less Drawings	1,000			Less Depreciation @ 6%	360	5,640
Less Salary	4,800	5,800	87,340	Tools	10,000	
Due to Sohan Singh			10,000	Less Depreciation	2,000	8,000
Sundry creditors		12,000		Closing Stock		15,400
Add Unrecorded purchases		2,000	14,000	Sundry debtors	24,000	
				Less Provision	1,200	22,800
				Cash at bank		10,000
				Cash in hand		2,000
			1,11,340			1,11,340

Solution 39:

Trading and Profit and Loss Account for the year ended 31st March, 2022

Dr. Cr.

Particulars			Rs.	Particulars		Rs.
To opening Stock			6,839	By Sales	1,10,243	
To Purchases		66,458		Less: Returns	7,821	
Less: Returns	1,346			Less: Sales on approved basis	600	
Less: Goods taken by Proprietor	1,000	2,346	64,112	Less: Goods taken by proprietor but treated as sales	1,000	1,00,822
To Carriage inward			2,929	By Stock with customers(at cost)		500
To Gross profit c/d			33,692	By Closing Stock		6,250
			1,07,572			**1,07,572**
To Carriage outwards			2,404	By Gross profit b/d		33,692
To Interest on loan		300		By Discount received		540
Add: Interest Outstanding		285	585	By Rent Received		250
To Salaries		9,097				
Add: Outstanding salaries		750	9,847			
To Rent, rates, taxes and Insurance		2,891				
Add: Outstanding rates		350				
		3,241				
Less: Prepaid insurance		150	3,091			
To Advertisement			3,264			
To General expenses			3,489			
To Depreciation on :						
Motor Van		2,000				
Land and building		240	2,240			
Provision for bad debts (WN-1)			740			
To Manager's commission (8,822 x $\frac{10}{110}$)			802			
To Net profit (transferred to capital Account)			8,020			
			34,482			**34,482**

Balance Sheet as on 31st March, 2022

Liabilities		Rs.	Assets		Rs.
Capital	28,000		Land and buildings	12,000	
Add: Net Profits	8,020		Less: Depreciation @ 2%	240	11,760
	36,020		Motor van	10,000	
Less: Drawings	3,000		Less: Depreciation @ 20%	2,000	8,000
Goods taken	1,000	32,020	Closing stock		6,250
Loan on mortgage		9,500	Stock with customers		500
Outstanding interest		285	Sundry debtors	20,100	
Sundry creditors		10,401	Less: Sales on approval	600	
Bills payable		2,614		19,500	
Outstanding salary		750	Less: Goods taken by Prop.	1,000	
Outstanding rates		350		18,500	
Outstanding Commission		802	Less: New provision @ 5%	925	17,575
			Bills receivable		6,882
			Cash at bank		3,555
			Cash in hand		2,050
			Prepaid insurance		150
		56,722			**56,722**

Working Note :-

PDD Account

To B/D	525	By O/B	710
To Balance C/d	925	By P/L A/c. (B/F)	740
	1,450		**1,450**

Solution 40:

TRADING AND PROFIT & LOSS ACCOUNT
for the year ended 31st March, 2022

Dr.					Cr.
Particulars		**Rs.**	**Particulars**		**Rs.**
To Opening Stock		75,000	By Sales	6,30,000	
To Purchases	5,25,000		Less: Returns	10,000	6,20,000
Less: Returns	5,000		By Closing		93,600
Less: Goods destroyed by fire	1,000				
Less: Goods taken for personal use	2,000				
Less: Goods distributed as free samples	3,000	5,14,000			
To wages	23,500				
Less: Cost of Erection of a Cycle shed (Building)	4,000				
Less: for erection of new machine	10,000				
Less: for erection of furniture	5,000	4,500			
To Carriage Inwards		500			
To Gross Profit c/d		1,19,600			
		7,13,600			7,13,600
To Carriage Outward		350	By Gross Profit b/d		1,19,600
To Rent Paid	3,000		By Discount		1,000
Add: Outstanding	600	3,600	By Bad Debts Recovered		2,500
To Insurance Paid	3,600		By Interest Received	3,000	
Less: Prepaid ($\frac{3600}{12}$ x 3)	900	2,700	Add: Accrued but not due	1,500	4,500
To Salaries	11,200		By Commission Received	3,750	
Add: Salary to Mr. Ramu	2,000	13,200	Less: unaccrued (1/3)	1,250	2,500
To Bad Debts	5,000				
Add: Further B/D	5,000				
Add: New Provision	20,000				
Less: Old Provision	10,000	20,000			
To Discount	2,000				
Add: New Provision	3,600				
Less: Old Provision	1,800	3,800			
To Interest Paid	2,500				
Add: Outstanding	1,250	3,750			
To Selling & Distribution Expenses		27,600			
To Depreciation on New Plant & Machinery [Rs. 2,00,000 x 10/100 x 9/12]		15,000			
To Depreciation on Old Plant & Machinery [Rs. 20,000 x 10/100 x 12/12]		2,000			
To Dep. on Furniture & Fixtures [Rs. 80,000 x 10/100 x 12/12]		8,000			
To Dep. on Buildings [Rs. 64,000 x 5/100 x 12/12]		3,200			
To Loss on Revaluation of Loose tools		2,500			
To Loss of Stock by Fire		400			
To Sales Promotion expenses (Adv.)		3,000			
To Manager's Commission [21,000 x 5/105]		1,000			
To Net Profit t/f to Capital A/c		20,000			
		1,30,100			**1,30,100**

BALANCE SHEET AS AT 31ST MARCH, 2022

Liabilities		Rs.	Assets		Rs.
Capital Account:			**Fixed Assets:**		
Opening Balance	5,19,000		Plant & Machinery	20,000	
Add: Net Profit	20,000		Add: New Machinery (1/7/21)	1,90,000	
Less: Drawings	10,650		Add: Erection of Machinery	10,000	
Less: Goods taken for personal use	2,000		Less: Depreciation @ 10% Pa.	17,000	2,03,000
Less: Income Tax	1,000	5,25,350	Furniture & Fixtures	30,000	
Loans:			Add: New Furniture (1/7/21)	45,000	
Loan from Bank	50,000		Add: Erection of Furniture	5,000	
Add: Outstanding Interest	1,250	51,250	Less: Depreciation @ 10%	8,000	72,000
Current Liabilities:			Building	60,000	
Creditors		1,00,000	Add: Cost of Cycle shed	4,000	
Bills Payable		5,600	Less: Depreciation @ 5%	3,200	60,800
Outstanding Rent		600	12% Investments		50,000
Unaccrued Commission		1,250	**Current Assets:**		
Manager's Commission Outstanding		1,000	Closing Stock		93,600
Supplier of Furniture		45,000	Debtors	2,12,000	
			Less: Bad Debts	5,000	
			Less: Salary to Mr. Ramu	2,000	
				2,05,000	
			Less: Provision for doubtful debts @ 10% on [2,05,000 – 5000 (Good Debt)]	20,000	
				1,85,000	
			Less: Provision for Discount @ 2% (Note)	3,600	1,81,400
			Interest accrued but not due		1,500
			Cash in hand		5,000
			Cash at Bank		50,000
			Bills Receivable		10,000
			Prepaid Insurance		900
			Loose Tools [Rs.3,750 - Rs.2,500]		1,250
			Insurance Company (claim)		600
		7,30,050			**7,30,050**

Note:-

1. No Provision for Discount is required on Shyam's Balance of Rs. 5000. Hence Provision is made @ 2% on 1,85,000 – 5000 = 1,80,000/-
2. On P&M, Depreciation is charged on Prop. basis since p.a. word is given and on F&F and B/d. Depreciation is charged for full year since p.a. word is not given.

Solution 41:

TRADING & P/L A/C
FOR THE YEAR ENDED 31ST MARCH 2022

Particulars		Amount (Rs.)	Particulars	Amount (Rs.)
To Opening Stock		2,50,000	By Sales	7,50,000
To Purchases	6,32,200		By Closing Stock	3,00,000
(-) Land & Building	(30,000)	6,02,200		
To Carriage on Purchase		23,000		
To Coal Consumed		67,180		
To Wages	67,800			
(-) Land & Building	(2,500)	65,300		
To Gross Profit		42,320		
		10,50,000		**10,50,000**
To Taxes & Insurance		11,200	By Gross Profit	42,320
To General Charges		10,000	By Rent Received	1,380
To Advertisement (38,000- 19,000)		19,000	By Allowance Received	24,000
To Repairs & Renewals		12,000	By Net Loss	91,080
To Salaries		28,630		
To Prov. for Doubtful Debts (WN)		5,000		
To Interest on Capital		44,700		
To Depreciation on Motor Lorry		3,250		
To Depreciation on Plant & Machinery		25,000		
		1,58,780		**1,58,780**

BALANCE SHEET
AS ON 31ST MARCH 2022

Liabilities		Amount Rs.	Assets		Amount Rs.
Capital	8,94,000		Cash		5,100
(-) Drawings	(63,000)		Motor Lorry	32,500	
+ Interest on Capital @ 5%	44,700		(-) Depreciation	(3,250)	29,250
(-) Net Loss	(91,080)	7,84,620	Plant & Machine	2,50,000	
Creditors		79,200	(-) Depreciation	(25,000)	2,25,000
			Land & Building	1,38,400	
			+ Purchases	30,000	
			+ Wages	2,500	1,70,900
			Debtors	80,000	
			(-) Prov. for Doubtful Debts	(5,430)	74,570
			Bank		20,000
			Stock of Coal		20,000
			Closing Stock		3,00,000
			Advertisement	38,000	
			(-) Written Off	(19,000)	19,000
		8,63,820			**8,63,820**

PROVISION FOR DOUBTFUL DEBTS A/C.

Particulars	Amount	Particulars	Amount
To Bad debts	3,920	By Balance b/d	4,350
To Balance C/d	5,430	By P/L A/c	5,000

Solution 42:

Redrafted Trial Balance of Mr. Bansal as on 31st March, 2022

Particulars	Dr. Rs.	Cr. Rs.
Capital	-	16,000
Opening stock	17,500	-
Drawings	3,305	-
Returns inward	550	-
Carriage inward	1,240	-
Deposit with X	1,400	-
Returns outward	-	840
Carriage outward	725	-
Rent Paid	800	-
Rent outstanding	-	150
Purchases	13,000	-
Sundry debtors	5,000	-
Sundry Creditors	-	2,200
Furniture	1,500	-
Sales	-	29,000
Wages	850	-
Cash	1,370	-
Advertisement	950	-
	48,190	**48,190**

Note :-Since Purchase is given in TB so closing stock will not appear in TB

Trading and Profit and Loss Account of Mr. Bansal
for the year ended 31st March, 2022

Dr. Particulars	Rs.	Rs.	Particulars	Rs.	Cr. Rs.
To Opening stock		17,500	By Sales	29,000	
To Purchases	13,000		Less: Returns inward	(550)	28,450
Less: Returns outward	(840)	12,160	By Stock destroyed by fire		2,000
To Wages		850	By Closing stock		18,790
To Carriage inward		1,240			
To Gross profit		17,490			
		49,240			**49,240**
To Carriage outward		725	By Gross profit		17,490
To Rent		800			
To Advertisement		950			
To Bad debts		600			
To Provision for doubtful debts (5% of Rs. 4,400)		220			
To Loss of stock by fire		500			
To Depreciation on furniture (10% of Rs. 1,500)		150			
To Net profit		13,545			
		17,490			**17,490**

Balance Sheet of Mr. Bansal
as at 31st March, 2022

Liabilities		Rs.	Assets		Rs.
Capital	16,000				
Add: Net profit	13,545		Furniture	1,500	
	29,545		Less: Depreciation	150	1,350
Less: Drawings	3,305	26,240	Deposit with X		1,400
Sundry creditors		2,200	Closing Stock		18,790
Outstanding rent		150	Sundry debtors	5,000	
			Less: Bad debts	600	
				4,400	
			Less: Provision for Doubtful Debts	200	4,180
			Insurance claim receivable		1,500
			Cash		1,370
		28,590			**28,590**

Solution 43:

Trading and Profit and Loss Account of Mr. Manan
for the year ended 31st March, 2022

Particulars	Rs.	Amount Rs.		Rs.	Amount Rs.
To Opening stock		93,600	By Sales	7,79,200	
To Purchases	6,43,400		Less: Returns	17,200	7,62,000
Add: Omitted invoice	800		By Closing stock		1,57,200
	6,44,200				
Less: Returns	11,600				
	6,32,600				
Less: Drawings	1,200	6,31,400			
To Carriage		39,200			
To Gross profit c/d		1,55,000			
		9,19,200			**9,19,200**
To Rent and taxes		9,400	By Gross profit b/d		1,55,000
To Salaries and wages		18,600	By Discount		8,880
To Bank interest	2,200				
Add: Due	3,400	5,600			
To Printing and stationary	28,800				
Less: C/F to next year (1/4)	7,200	21,600			
To Discount allowed		3,600			
To General expenses		22,900			
To Insurance		2,600			
To Postage & telegram expenses		4,660			
To Travelling expenses		1,740			
To Provision for bad debts [W.N.(2)]		2,300			
To Provision for discount on debtors [W.N.(2)]		874			
To Depreciation on furniture & fittings		1,000			
To Net profit		69,006			
		1,63,880			**1,63,880**

Balance Sheet of Manan as at 31st March, 2022

Liabilities	Rs.	Rs.	Assets	Rs.	Rs.
Capital	1,53,380		Furniture & fittings	10,000	
Add: Net profit	69,006		Less: Depreciation	1000	9,000
	2,22,386		Sundry debtors (W.N.1)	46,000	
Less: Drawings:			Less: Provision for bad&		
Cash 60,000			doubtful debts (W.N.2)	2,300	
Goods 1,200	61,200	1,61186		43,700	
Bank loan		40,000	Less: Provision for discount		
Bank interest due		3,400	(W.N.2)	874	42,826
Sundry creditors (W.N.3)		28,400	Stock		1,57,200
			Printing & stationary(C/F to Next Year)		7,200
			Bank balance		16,000
			Cash balance		760
		2,32,986			**2,32,986**

Working Notes:

(1)	Sundry debtors	
	Balance as per trial balance	48,000
	Less: Due to Rahul	2,000
		46,000
(2)	Provision for bad & doubtful debts:	
	@ 5% on Rs. 46,000	2,300
	Provision for discount:	
	2% on Rs. 43,700 (46,000 -2,300)	874
(3)	Sundry creditors	
	Balance as per trial balance	29,600
	Less: Set off in respect of Rahul	2,000
		27,600
	Add: Purchase invoice omitted	800
		28,400

Solution: 44

In the books of Mr. Piyush

Trading and Profit & Loss Account for the year ended 31st March, 2024

Particulars	Amount (Rs.)	Amount (Rs.)	Particulars	Amount (Rs.)	Amount (Rs.)
To Opening stock		3,86,000	By Sales	29,86,000	
To Purchases	24,95,000		Less: Returns	(135,000)	28,51,000
Less: Transfer to furniture A/c	(10,000)		By closing stock		7,65,000
	24,85,000				
Less: Returns	(1,38,000)	23,47,000			
To Carriage inwards		1,26,000			
To Gross profit c/d		7,57,000			
		36,16,000			36,16,000
To Salaries	1,15,000		By Gross profit b/d		7,57,000
Add: Outstanding	12,000	1,27,000	By Interest		34,500
			By Discount received		24,600
To Rent	66,000				
Add: Outstanding	6,000	72,000			
To Advertisement		40,300			
To Printing & stationery		32,200			
		57,700			
To Electricity charges					
To Interest (Rs. 12,500 + 3000)		15,500			
To Discount allowed		55,200			
To Bad Debts	18,500				
Add: Provision for Doubtful Debts	10,500	29,000			
To General expenses		36,800			
To Motor Car expenses		8,500			
To Insurance premium	30,000				
Less: Drawings	18,000	12,000			
To Travelling expenses		21,800			

To Postage & courier		8,100			
To Depreciation on furniture (WN 4)		2,750			
To Capital A/c (Net profit transferred)		2,97,250			
		8,16,100			8,16,100

Balance Sheet as at 31st March,2024

Liabilities	Amount (Rs.)	Amount (Rs.)	Assets	Amount (Rs.)	Amount (Rs.)
Capital account:			Furniture	25,000	
Balance on 1st April,2023	8,85,000		Additions during the year	10,000	
Add: Net profit	2,97,250			35,000	
	11,82,250		Less: Depreciation	(2,750)	32,250
Less: Drawings	(78,000)		9% Investments		50,000
Less: Insurance premium	(18,000)	10,86,250			
12% Bank Loan		2,00,000	10% Deposits		3,00,000
Interest accrued on bank loan (W.N.2)		3,000	Interest accrued on investment & deposits (W N. 3)		6,000
Sundry creditors		1,37,500	Stock in trade		7,65,000
Outstanding Rent		6,000	Sundry debtors (W N. 1)		1,99,500
Outstanding Salary		12,000	Cash in hand		18,500
			Cash at Bank		73,500
		14,44,750			14,44,750

Working Notes:

		Amount (Rs.)
1.	Calculation of sundry debtors at the end	
	Sundry debtors as per trial balance	2,35,000
	Less: Sales returns not recorded	(25,000)
	Adjusted balance of sundry debtors	2,10,000
	Provision for doubtful debts @ 5%	(10,500)
		1,99,500
2.	Interest Payable on bank loan:	
	Annual interest @12% for 6 months on Rs. 2,00,000	12,000
	Less: Interest paid	(9,000)
	Unpaid interest	3,000
3.	Interest accrued on investments and deposits:	
	Annual interest on investments @ 9%	4,500
	Annual interest on deposits @ 10%	30,000
		34,500
	Less: Interest received on investments and deposits	(28,500)
	Accrued interest	6,000

4.	Depreciation on Furniture:	
	Depreciation @ 10% p.a. on Opening Balance Rs. 25000	2,500
	On new purchase of Rs. 10,000 for 3 months (Jan to March)	250
	Depreciation to be charged	2,750

Solution 45:

In the books of Mr. Dilip

Trading Account for the year ended 31st March, 2024

Particulars		Amount (Rs.)	Particulars		Amount (Rs.)
To Opening Inventory		3,30,000	By Sales	29,10,000	
To Purchases	12,90,000		Less: Returns	(60,000)	28,50,000
Less: Returns	(36,000)	12,54,000	By Closing Inventory		5,40,000
To Freight Inwards		1,20,000			
To Gross profit		16,86,000			
		33,90,000			33,90,000

Profit and Loss Account for the year ended 31st March, 2024

Particulars	Rs.	Particulars	Rs.
To Depreciation	1,57,500	By Gross profit	16,86,000
To Salaries	6,30,000	By Discount received	27,000
To Administration expenses	4,50,000		
To Discount allowed	57,000		
To Bad debts	15,000		
To Net profit	4,03,500		
	17,13,000		17,13,000

Balance Sheet as at 31st March, 2024

Liabilities		Amount (Rs.)	Assets		Amount (Rs.)
Capital	19,50,000		Furniture	10,50,000	
Add: Net profit	4,03,500	23,53,500	Less: Depreciation	(1,57,500)	8,92,500
Trade payables		5,70,000	Closing Inventory		5,40,000
Output IGST		6,000	Trade receivables		6,30,000
			Investment in Govt Securities		3,00,000
			Cash in Hand and Cash at Bank		5,67,000
		29,29,500			29,29,500

Working Note:

Summary of Output and Input GST liability (as per trial balance)

	OUTPUT GST (Rs.)	INPUT GST (Rs.)
CGST	24,000	30,000
SGST	24,000	30,000
IGST	18,000	

Output liability (Tax head)	Tax Payable	Paid through ITC			Tax Liability
		IGST	CGST	SGST	
CGST	24,000		24,000		
SGST	24,000			24,000	
IGST	18,000		6,000	6,000	6,000

In the above solution, it is assumed that balance IGST liability of Rs. 6,000 (after utilising CGST and SGST) is not paid off in cash.

Alternatively, it can also be assumed that the balance liability of Rs. 6,000 is paid off in cash. Accordingly, Output IGST liability of Rs. 6,000 shall not appear under liability side of the balance sheet and amount of cash at bank is reported as Rs. 5,61,000.

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. The income statement shows either net profit or net loss for a particular period.
2. Gains from the sale or exchange of assets are not considered as the revenue of the business.
3. The salary paid in advance is not an expense because it neither reduces assets nor increase liabilities.
4. A loss is an expenditure which does not bring any benefit to the concern.
5. All liabilities which become due for payment in one year are classified as long-term liabilities.
6. The term current asset is used to designate cash and other assets or resources which are reasonably expected to be realized or sold or consumed within one year.
7. An asset gives rise to expenditure when it is acquired and to an expense when it is consumed.
8. If the balance of an account on the debit side of the trial balance where the benefit has already expired then it is treated as an expense.
9. Sales less cost of goods sold = gross profit.
10. If the debit side of the trading account exceeds its credit side then the balance is termed as gross profit.
11. The provision for bad debts is debited to Sundry Debtors Account.
12. The provision for discount on creditors is often not provided in keeping with the principle of conservatism.
13. The debts written off as bad, if recovered subsequently are credited to Debtors Account.
14. The adjustment entry in respect of income received in advance is debit Income received in advance account and credit income account.
15. Premium paid on the life policy of a proprietor is debited to profit and loss account.
16. Depreciation account appear in the trial balance is taken only to profit and loss account.
17. Personal purchases included in the purchases day book are added to the sales account in the Trading account.
18. Medicines given to the office staff by a manufacturer of medicines will be debited to salaries account.
19. Goods worth Rs. 600 taken by the proprietor for personal use should be credited to Capital Account.
20. If Closing Stock appears in the Trial Balance, the Closing inventory is then not entered in Trading Account. It is only shown in the Balance Sheet.

Answer:

1. **True:** Profit and loss account shows either net profit or net loss for a particular period.
2. **False:** Gains from the sale or exchange of assets are considered as the revenue of the business. But this revenue not in the ordinary course of business so it is capital receipts.
3. **True:** The salary paid in advance is an asset it is not an expense because it neither reduces assets or nor increase liabilities.
4. **True:** A loss is an expenditure of the business which does not bring any gain to the business.
5. **False:** All liabilities which become due for payment in one year are classified as current liabilities.
6. **True:** Current assets are all the assets which are expected to be realized or sold or consumed within one year.
7. **True:** When an asset is purchase capital expenditure is incurred and when the asset is put to use expenses are incurred in consumption.
8. **True:** Debit balance of accounts are treated as expenses whose benefit is already received or expired.
9. **True:** Gross profit is obtained by deducting cost of goods sold from sales.
10. **False:** If the debit side of the trading account exceeds its credit side then the balance is termed as gross loss.
11. **False:** The provision for bad debts is debited to debited to Profit and loss Account, in Balance Sheet it is shown either on liability side or deducted from the head Debtors.
12. **True:** According to the provision of conservatism provision is maintained for the losses to be incurred in future. Discount on creditors is an income so provision in not maintained.
13. **False:** The debts written off as bad, if recovered subsequently are credited to Bad Debts Recovered Account and becomes an income.
14. **False:** Income received in advance A/c is credited and Income A/c is debited.
15. **False:** Premium paid on the life policy of a proprietor is to be debited to capital account, as it is personal expense.
16. **True:** Depreciation is charge on each of the asset on a certain percentage. Depreciation is charged to profit and loss account and should be debited to profit & loss account by crediting the respective assets. If it appears in trial balance then it is taken only to profit and loss account.

17. **False:** Personal purchases included in the purchases day book are deducted from the purchases account in the Trading account.
18. **True:** Any benefit given to the staff is debited to the salary account.
19. **False:** Goods taken by the proprietor for personal use should be credited to Purchase Account as less goods are left in the business for sale.
20. **True:** The closing Stock appears in the trial balance only when it is adjusted against purchases by passing the entry. In this case, closing stock is not entered in Trading Account and is shown only in Balance Sheet.

MULTIPLE CHOICE QUESTIONS (SM)

(1) A debit to an account may
(a) increase expense. (b) decrease an asset.
(c) increase a liability. (d) increase income.

(2) Prepayment of insurance premium will appear in the Balance Sheet and in the Insurance Account respectively as:
(a) a liability and a debit balance. (b) an asset and a debit balance.
(c) an asset and a credit balance. (d) a liability and a credit balance.

3) Gross profit is the difference between:
(a) sales and purchases (b) sales and cost of sales.
(c) sales and total expenses. (d) Sales and total liabilities.

(4) Payment made to a creditor subject to cash discount will :
(a) reduce a liability, reduce an asset and add to expenses.
(b) reduce a liability, add to an asset, and add to revenue.
(c) reduce an asset, reduce a liability, and add to revenue.
(d) reduce a liability, reduce an asset and decrease expenses.

(5) A customer returns goods already charged to him. We should:
(a) debit his account. (b) credit his account.
(c) make no entry on his account. (d) None of the above.

(6) Capital is the difference between
(a) Income and expenses (b) Sales and Cost of goods sold
(c) Assets and liabilities (d) None of the above.

(7) The capital of a sole trader would change as a result of:
(a) A creditor being paid his account by cheque. (b) Raw materials being purchased on credit.
(c) Fixed assets being purchased on credit. (d) Wages being paid in cash.

(8) A decrease in the provision for doubtful debts would result in:
(a) An increase in liabilities. (b) A decrease in working capital.
(c) An increase in net profit. (d) None of the three.

(9) A Company wishes to earn a 20% profit margin on selling price. Which of the following is the profit mark up on cost, which will achieve the required profit margin?
(a) 33% (b) 25% (c) 20% (d) 30%

(10) If sales is Rs. 2,000 and the rate of gross profit on cost of goods sold is 25%, then the cost of goods sold will be
(a) Rs. 2,000. (b) Rs. 1,500. (c) Rs. 1,600. (d) Rs. 1,000.

(11) Sales for the year ended 31st March, 2020 amounted to Rs.10,00,000. Sales included goods sold to Mr. A for Rs.50,000 at a profit of 20% on cost. Such goods are still lying in the godown at the buyer's risk. Therefore, such goods should be treated as part of
(a) Sales. (b) Closing Inventory.
(c) Goods in transit. (d) None of the above.

(12) If sales revenues are Rs.4,00,000; cost of goods sold is Rs.3,10,000 and expenses are Rs.60,000, the gross profit is
(a) Rs. 30,000. (b) Rs. 90,000.
(c) Rs. 3,40,000. (d) Rs. 4,00,000.

MCQs ANSWER

1.	(a)	2.	(c)	3.	(b)	4.	(c)	5.	(b)	6.	(c)
7.	(d)	8.	(c)	9.	(b)	10.	(c)	11.	(a)	12.	(b)

THEORETICAL QUESTIONS

Question 1 : **(SM)**

Write Shorts notes on:
(a) Balance Sheet
(b) Trading account
(c) Closing entries

Answer :

(a) Balance Sheet :
- Balance sheet is a statement which sets out the **assets and liabilities** of a firm or an institution as **at a certain date**.
- Since even a **single transaction will make a difference to assets or liabilities**, the balance sheet is **true only at a particular point of time**. That is the significance of the word **"as at".**

(b) Trading account :
- At the end of the year, it is necessary **to ascertain the net profit or the net loss**. For this purpose, it is **first necessary to know the gross profit or gross loss** with the helps to Trading A/c.
- **Gross Profit** is the **difference** between the selling price and the cost of the goods sold.

(c) Closing entries:
- At the **end of year**, the balance of all **nominal accounts** are transferred either to Trading account or Profit & Loss account by passing an entry.
- These entries known as closing entries.

Question 2 : **(SM)**

Distinguish between Provision and reserve Fund.

Answer :

Provision	Reserve Fund
Provision means "any amount **written off** or retained by way of **providing for** depreciation, renewal or **diminution in the value of assets** or **retained by way of providing for any known liability** of which the **amount cannot be determined with substantial accuracy**."	**Reserve Fund:** It signifies the **amount standing to the credit of the reserve that is invested outside the business in securities** which are **readily realizable** e.g., when the amounts set apart for replacement of an asset are invested periodically in government securities or shares. The account to which these amounts are annually credited is described as the Reserve Fund.

HOME WORK DISCUSSION VIDEO QR CODE

TOPICS	QR CODE	QUESTION NO.	QR CODE
Final Account		Q. 21 → Q. 48	
		Q. 33 → Q. 35	
		Q. 34 → Q. 37	
		Q. 35 → Q. 38	
		Q. 37 → Q. 40	
		Q. 38 → Q. 41	
		Q. 39 → Q. 42	
		Q. 40 → Q. 43	
		Q. 41 → Q. 47	
		Q. 42 → Q. 49	
		Q. 43 → Q. 50	

YOUTUBE REVISION VIDEO QR CODE

TOPIC		LECTURE	QR CODE
Final Account		Part 1	
		Part 2	
		Part 3	

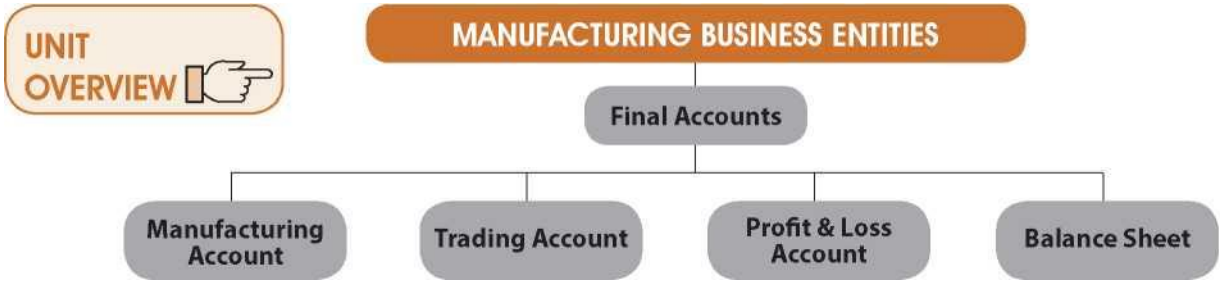
THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Final Account	Discussion of Theory Questions	

Space for Personal Note:-

CHAPTER : 7 – PREPARATION OF FINAL ACCOUNTS OF SOLE PROPRIETORS
UNIT : 2 - FINAL ACCOUNTS OF MANUFACTURING ENTITIES

FINAL ACCOUNTS OF MANUFACTURING ENTITIES



INTRODUCTION

- The manufacturing entities generally prepare a **separate Manufacturing Account** as a part of Final accounts in addition to Trading Account, Profit and Loss Account and Balance Sheet.
- The **objective** of preparing Manufacturing Account is to determine **manufacturing costs of finished goods**.
- It is, therefore, debited with the cost of materials, manufacturing wages and expenses incurred **directly or indirectly** on manufacture.
- Manufacturing costs of finished goods are then transferred from the Manufacturing Account to Trading Account.
  a) **Trading account** shows Gross Profit while Manufacturing Account shows cost of goods sold which includes direct expenses.
  b) **Manufacturing account** deals with the raw material, and work in progress while the trading account would deal with finished goods only.

Direct Manufacturing Expenses

Direct manufacturing expenses are costs, **other than material or wages**, which are incurred **for a specific product or saleable service.**

Examples of direct manufacturing expenses are (i) Royalties for using license or technology if based on units produced, (ii) Hire charge of the plant and machinery used on hire, if based on units produced, etc.

When royalty or hire charges are based on units produced, these expenses directly vary with production.

INDIRECT MANUFACTURING EXPENSES OR OVERHEAD EXPENSES

These are also called Manufacturing overhead, Production overhead, Works overhead, etc.

Overhead is defined as total cost of indirect material, indirect wages and indirect expenses.

Overhead = Indirect Material + Indirect Wages + Indirect Expenses

Indirect material means materials which **cannot be linked directly with the units produced**, for example, stores consumed for repair and maintenance work, small tools, fuel and lubricating oil, etc.

Indirect wages are those which cannot be directly linked to the units produced, for example, wages for maintenance works, wages of supervisor, wages of security guards etc.

Indirect expenses are those which cannot be directly linked to the units produced, for example, training expenses, depreciation of plant and machinery, depreciation of factory shed, insurance premium for plant and machinery, factory shed, etc.

BY-PRODUCTS

- In most manufacturing operations, the production of the main product is accompanied by the production of a subsidiary product which has a value on sale.
- The subsidiary product is termed as a by-product because its production is not consciously undertaken but results out of the production of the main product.
- It is usually very difficult to ascertain the cost of the product. Moreover, its value usually forms a very small percentage of the main product.
- By-product is a secondary product. This is produced from the same raw materials, which are used for producing the main product and without incurring any additional expenses from the same production process in which the main product is produced.
- Some examples of by-product are given below:
  (i) Molasses is the by-product in sugar manufacturing;
  (ii) Butter milk is the by-product of a dairy which produces butter and cheese, etc.
- By-product are **generally valued at net realizable value,** if their costs cannot be separately identified.
- It is often treated, as “Miscellaneous income" but the correct treatment would be to credit the sale value of the by-product to Manufacturing Account so as to reduce the cost of manufacture of main product.

The following general rules may be observed :

(a) The Manufacturing Account should have columns showing the quantities and values. Frequently, all the quantities are not given and the quantities applicable to one or more of the items would have to be worked out. For example, if the question does not state the total number of items sold, the quantity can be worked out by adding opening inventory and units manufactured and deducting closing inventory.
It is, therefore, useful to have quantity columns in the account so that it can be seen that both sides balance.

(b) The Manufacturing Account will show the quantity of raw materials in inventory at the beginning and at the end of the year and the purchases during the year. As regards finished goods, it will only show the quantity manufactured and, as regards work-in-progress, the opening and closing amounts.

(c) The Trading Account will show the quantities of finished goods manufactured and sold and the opening and closing inventory. It will not show the quantity of raw materials or work-in-progress.

Note : Nowadays manufacturing business entity does not prepares manufacturing account as part of its final accounts. Even the items of manufacturing account are shown either in trading account (in case of non-corporate entities) or in Statement of profit and loss (in case of corporate entities).

Manufacturing A/c

(For the year ended .....)

Dr. **Cr.**

Particular		Units	Amt.	Particular		Units Rs.	Amt. Rs.
To	**Raw Material**			By	By-products at net		
	Consumed :				realisable value		
	Opening Stock	.....		By	Closing Work in Process		
	Add : Purchase less Return			By	Trading A/c -		
	Less : Closing Stock	.....			**'Cost of Production or manufacturing trf, to trading a/c'**		
To	Direct Wages	……					
To	Direct expenses		.....				
	Prime Cost		.....				
To	Indirect material/labour						
To	Indirect expenses	.....					
	Repairs & Maintenance	.....					
	Depreciation	.....	.....				
	Factory Cost		.....				
To	Opening-Work-in Progress (Semi finished or semi final goods)		.....				

Some useful formula's :

1. **Cost of finished goods produced/manufactured** = Refer Manufacturing account.
2. **Cost of finished goods sold** = COP + Op. stock of FG – Cl. stock of FG.
3. **Prime Cost** = Direct Material + Direct Wages + Direct Exp.
4. **Raw materilas consumed =** O/S of R/M (+) Purchases less Return of R/M (-) C/S of R/M

CLASS WORK QUESTIONS

Question 1: **[SM-ILL.2] [PEQ-Sep.25, Nov.19(5 Marks)]**

Mr. Vimal runs a factory which produces toilet soaps. Following details were available in respect of his manufacturing activities for the year ended on 31.3.2022:

Opening Work-in-Process (10,000 units)	16,000
Closing Work-in-Process (12,000 units)	20,000
Opening Stock of Raw Materials	1,70,000
Closing Stock of Raw Materials	1,90,000
Purchases	8,20,000
Hire charges of machine @ Re.0.60 per unit manufactured	
Hire charges of factory	2,20,000
Direct wages-Contracted @ Re.0.80 per unit manufactured and @ Re.0.40 per unit of Closing W.I.P.	
Repairs and Maintenance	1,80,000
Units produced – 5,00,000 units	

You are required to prepare a Manufacturing Account of Mr. Vimal for the year ended 31.3.2022.

[Cost of goods produced – 19,00,800/-]

Personal Note:-

Question 2: **[SM-PQ-2][Nov-20-10 Marks]**

Following are the Manufacturing A/c, Creditors A/c and Trading A/c provided by Ms. Shivi related to 2021-22. There are certain figures missing from these accounts.

Raw Material A/c

Date	Particulars	Amount	Date	Particular	Amount
	To opening stock A/c	1,00,000		By Raw Material Consumed	……
	To Creditors A/c	……..		By Closing Stock A/c	…….

Creditors A/c

Date	Particulars	Amount	Date	Particulars	Amount
	To Bank A/c	22,00,000		By Balance b/d	15,00,000
	To Balance c/d	6,00,000			

Manufacturing A/c

Particulars	Amount	Particulars	Amount
To Raw Material Consumed	…….	By Trading A/c	17,94,000
To Wages	3,50,000		
To Depreciation	2,00,000		
To Direct Expenses	2,44,000		

Additional Information:

1) **Purchase of machinery worth Rs. 10,00,000 has been omitted. Machinery are chargeable at a depreciation rate of 10%.**

2) **Wages include the following :**
Paid to Factory Workers - Rs. 3,00,000
Paid to labour at office - Rs. 50,000

3) Direct Expenses include following:

- **Electricity charges of Rs.80,000 of which 30% pertained to office**
- **Fuel Charges of Rs.20,000**
- **Freight Inwards of Rs. 35,000**
- **Delivery charges to customers - Rs.20,000.**

You are required to prepare Revised Manufacturing A/c and Raw Material A/c.

[Closing Stock of R/M – Rs. 4,00,000, COP- Rs. 18,00,000]

Personal Note:-

Question 3:

From the following prepare: (a) manufacturing Account; (b) Trading and Profit & Loss Account ; and (c) Balance Sheet.

TRIAL BALANCE AS AT 31ST MARCH 2022

	Rs.		Rs.
Opening Stocks:		Insurance (Factory)	7,000
Raw Materials	57,100	Insurance (General)	800
Finished goods	5,60,000	Bad Debts	4,100
Work-in-Progress	10,000	General Expenses	29,420
Wages	2,00,000	Carriage Outwards	94,240
Purchases	8,82,740	Other Assets	11,38,840
Carriage Inward	36,860	Drawings	10,000
Repairs	60,000	Sales	17,40,000
Salaries (Factory)	21,000	Profit and Loss Balance (Op)	1,20,000
Salaries (General)	10,000	Capital	13,10,000
Rates and Taxes	22,400	Sale of Scrap	10,000
Travelling Expenses	35,500		

Closing stocks: Raw Materials Rs. 52,720, Finished Goods Rs. 3,43,240 , Work in progress Rs. 1,00,000.

[COP- Rs. 11,11,980, G.P- Rs. 4,11,260 , NP- Rs. 2,14,800, Balance Sheet- Rs. 16,34,800]

Personal Note:-

Question 4: **(RTP JAN. 25)[SM-ILL.3][Dec-21(15 Marks)]**

On 31st March, 2022 the Trial Balance of Mr. White were as follows:

Trial Balance as on 31st March 2022

Particulars	Dr. Rs.	Particulars	Cr. Rs.
Stock on 1st April 2021			
Raw Materials	21,000	Sundry Creditors	15,000
Work in Progress	9,500	Bills Payable	7,500
Finished goods	15,500	Sale of Scrap	2,500
Sundry Debtors	24,000	Commission Received	450
Carriage on Purchases	1,500	Provision for doubtful debts	1,650
Bills Receivable	15,000	Capital Account	1,00,000
Wages	13,000	Sales	1,67,200
Salaries	10,000	Bank Overdraft	8,500
Telephone, Postage etc.	1,000		
Repairs to Office Furniture	350		
Cash at Bank	17,000		
Office Furniture	10,000		
Repairs to Plant	1,100		
Purchases	85,000		
Plant and Machinery	70,000		
Rent	6,000		
Lighting	1,350		
General Expenses	1,500		
	3,02,800		3,02,800

The following additional information is available:

Stocks on 31st March, 2022 were:

Raw Materials Rs. 16,200

Finished goods Rs. 18,100

Semi-finished goods Rs. 7,800

Salaries and wages unpaid for March 2022 were respectively, Rs. 900 and Rs. 2,000

Machinery is to be depreciated by 10% and office furniture by 7½ %

Provision for doubtful debts is to be maintained @ 1% of sales

Office premises occupy 1/4 of total area.

Lighting is to be charged as to 2/3 to factory and 1/3 to office.

Prepare the Manufacturing Account Trading Account, Profit and Loss Account and the Balance Sheet relating to 31st March 2022.

[COP- Rs. 1,19,000, GP- Rs. 50,800, NP- Rs. 34,778, Balance Sheet – Rs. 1,68,678]

Personal Note:-

HOME WORK QUESTIONS

Question 5:

From the following information, Calculate (a) The Cost of Raw Materials Consumed. (b) The Manufacturing Cost of Finished Goods produced. (c) The Manufacturing Cost of Finished Goods available for sale. (d) The Manufacturing Cost of Finished Goods Sold.

	Opening	Closing
Stock of Raw Materials	1,00,000	2,00,000
Work-in-progress	3,00,000	4,00,000
Stock of Finished Goods	5,00,000	6,00,000

During the year Manufacturing Overhead Expenses amounted to Rs. 1,00,000, Manufacturing Wages to Rs. 2,00,000 and Purchases of Raw Materials to Rs. 7,20,000. Sale of Scrap Rs. 20,000. Freight and Carriage inward Rs. 10,000, Returns of Raw-Materials Rs. 20,000. There were no other direct expenses.

Personal Note:-

Question 6: **[SM-PQ.1]**

Mr. Pankaj runs a factory which produce motor spares of export quality. The following details were obtained about his manufacturing expenses for the year ended on 31.3.2022.

			Rs.
W.I.P.	**- Opening**		**3,90,000**
	- Closing		**5,07,000**
Raw Materials	**- Purchases**		**12,10,000**
	- Opening		**3,02,000**
	- Closing		**3,10,000**
	- Returned		**18,000**
	- Indirect material		**16,000**
Wages	**- direct**		**2,10,000**
	- indirect		**48,000**
Expenses		**- Royalty on production**	**1,30,000**
		- Repairs and maintenance	**2,30,000**
		- Depreciation on factory shed	**40,000**
		- Depreciation on plant & machinery	**60,000**
By-product at selling price			**20,000**

You are required to prepare Manufacturing Account of Mr. Pankaj for the year ended on 31.3.2022.

[Ans. COP-17,81,000]

Personal Note:-

Question 7: **[SM-ILL.1]**

1,00,000 units were produced in a factory. Per unit material cost was Rs.10 and per unit labour cost was Rs. 5. That apart it was agreed to pay royalty @ Rs. 3 per unit to the Japanese collaborator who supplied technology. Calculate Prime Cost.

[Ans. 18,00,000]

Personal Note:-

Question 8: **(MTP JAN. 25, 5 Marks)(June -24, 5 Marks)**

From the following information, prepare a Manufacturing Account for the year ending on 31st March 2022.

	Rs.		Rs.
Work-in-progress (1.4.2021)	4,000	Wages	20,000
Raw-material (31.3.2022)	90,000	Salary of Works Manager	8,000
Carriage Inward	3,000	Power, Electricity & water	6,000
Freight Inward	2,000	Fuel	4,000
Returns Outward	2,200	**Depreciation:**	
Sales of Scrap	1,000	On Plant & machinery	8,000
Work-in-progress (31.3.2022)	5,000	On Factory Building	4,000
Raw-Materials (1.4.2021)	74,000	**Repairs & Insurance:**	
Raw Material Purchased	45,000	- Plant & Machinery	6,000
		- Factory Building	2,000
		Factory Rent & Taxes	10,000
		General Expenses (Factory)	2,000

[Ans. COP- Rs. 99,800]

Personal Note:-

Question 9:

From the following particulars prepare manufacturing account for the year ended 31.12.22.

Particulars	Rs.	Particulars	Rs.
Opening Stock :		Carriage Inward	400
Raw Materials	3,200	Cost of Design	780
Work-in-progress	1,700	Materials returned	1,100
Closing Stock :		Depreciation of factory premises	750
Raw Materials	4,600	Water, Fuel & Power	5,200
Work-in-progress	2,100	Supervisor's salary	9,300
Wages	22,500	Salary of Gatekeeper	1,400
Purchases of Raw materials	36,350	Repairs to Plant	3,000
Factory Rent	8,100	Depreciation on Plant	1,300
Royalty on Production	600		

Adjustment : Wages outstanding Rs. 700.

[COP-87,480]

Personal Note:-

Question 10:

From the following particulars prepare manufacturing account for the year ended 31st Dec. 2022.

Particulars	Rs.	Particulars	Rs.
Raw material as on 1 Jan. 2022	25,000	Depreciation of plant	1,000
as on 31st Dec. 2022	20,000	Factory repairs	700
Purchase of Raw material	40,000	Factory rent	1,500
Work-in-progress			
On 1 Jan. 2022	1,500		
On 31st Dec. 2022	1,000		
Carriage inward	500		
Manufacturing wages	1,000		
Factory lighting	800		
Power	1,000		
Factory Insurance	500		

[COP 52,500]

Personal Note:-

Question 11:

From the following particulars prepare manufacturing account and a trading account for the year ending 31st December, 2022.

Particulars	Rs.	Particulars	Rs.
Purchases :-		Carriage outward	9,600
Raw materials	4,28,800	Return inward	32,000
Finished goods	46,400	Return outward of finished goods	4,000
Sales	12,80,000	Wages	1,90,400
Office expenses	64,000	Salaries	46,000
Carriage inward		Fuel and power	31,200
Raw materials	22,000	Depreciation on Plant	13,600
Finished goods	2,400	Factory repairs	25,600
Stock on 1-1-2022		Stock on 31-12-2022	
Raw materials	96,000	Raw materials	84,000
Finished goods.	1,40,000	Finished goods	1,20,000

[COP 7,23,600; GP 4,59,600]

Personal Note:-

Question 12:

From the following balance compile a manufacturing, trading and profit and loss account of M/s. Ram Bros. for the year ended 31st December, 2022.

Particulars	Rs.	Particulars	Rs.
Balances		Factory light and water	975
Raw materials :		Power	3,500
on 1-1-22	650	Factory insurance	750
on 31-12-22	870	Factory rent	810
Purchases of raw materials	23,230	Office insurance	1,210
Work-in-Progress		Office salaries	950
on 1-1-22	990	Sales	42,000
on 31-12-22	750	**Depreciation :**	
Finished goods :		Plant	700
on 1-1-22	810	Office furniture	50
on 31-12-22	920	Trade expenses	40
Carriage inwards	210	Repairs to plant	190
Carriage outwards	795	Office light	150
Manufacturing wages	5,975	Interest on loan (Dr.)	90
Stores consumed	895		

[COP 37,255; GP 4,855; NP 1,570]

Personal Note:-

Question 13: **[SM-PQ.3][May-22(20Marks)]**

The following is the trial balance of Mr. Pandit for the year ended 31st March, 2022:

Trial Balance as on 31st March 2022

Particulars	Dr. (Rs.)	Particulars	Cr. (Rs.)
Opening Stock:			
Raw Materials	**1,50,000**	**Sundry Creditors**	**50,000**
Finished goods	**75,000**	**Purchase Returns**	**5,000**
Purchase of Raw Materials	**5,00,000**	**Capital**	**1,00,000**
Land & Building	**1,00,000**	**Bills Payable**	**24,000**
Loose tools	**30,000**	**Long-Term Loan**	**2,00,000**
Plant & Machinery	**30,000**	**Provision for Bad Doubtful Debts**	**2,000**
Investments	**25,000**	**Sales**	**8,50,000**
Cash in Hand	**20,000**	**Bank Overdraft**	**23,000**
Cash at Bank	**5,000**		
Furniture & Fixtures	**15,000**		
Bills Receivable	**15,000**		
Sundry Debtors	**40,000**		
Drawings	**20,000**		
Salaries	**20,000**		
Coal and Fuel	**15,000**		
Factory rent & rates	**20,000**		
General Expenses	**4,000**		
Advertisement	**5,000**		
Sales Return	**10,000**		

Bad Debts	**4,000**		
Direct Wages (Factory)	**80,000**		
Power	**30,000**		
Interest Paid	**7,000**		
Discount Allowed	**3,000**		
Carriage Inwards	**15,000**		
Carriage Outwards	**7,000**		
Commission Paid	**5,000**		
Dividend Paid	**4,000**		
	12,54,000		**12,54,000**

Additional Information:

Stock of finished Goods at the end of the year Rs. 1,00,000

A provision for doubtful depts. at 5% on Sundry Debtors

Interest on Capital at 5% p.a.

Depreciation on building Rs. 1,000 and Rs. 3,000 on Machinery to be provided

Accrued commission Rs. 12,500

Interest has accrued on investment Rs. 15,000

Salary Outstanding Rs. 2,000

Prepaid Interest Rs. 1,500

You are required to prepare Manufacturing, Trading and Profit and Loss Account for the year ended 31st March, 2022

[COP - 8,08,000; GP - 57,000; NP - 19,000; B/S - 4,03,000]

Personal Note:-

SOLUTION OF HOME WORK QUESTIONS

Solution 5:

COST OF RAW-MATERIALS CONSUMED

		Rs.
A	Opening Stock of Raw-Materials	1,00,000
B	Add: Purchases	7,20,000
C	Less: Returns Outwards	20,000
D	Less: Closing Stock of Raw-Materials	2,00,000
E	Cost of Raw-Materials consumed (A + B - C – D)	6,00,000

MANUFACTURING COST OF FINISHED GOODS PRODUCED

	Rs.
Cost of Raw-Materials consumed	6,00,000
Add: Freight Inward	10,000
Add: Manufacturing Wages	2,00,000
Add: Manufacturing Overheads	1,00,000
Add: Opening Stock of WIP	3,00,000
Less: Closing Stock of WIP	4,00,000
Less: Sale of Scrap	20,000
Manufacturing Cost of Finished Goods produced	7,90,000

MANUFACTURING COST OF FINISHED GOODS AVAILABLE FOR SALE

		Rs.
A	Manufacturing Cost of Finished Goods produced	7,90,000
B	Add: Opening Stock of Finished Goods	5,00,000
C	Manufacturing Cost of Finished Goods available for sale (A + B)	12,90,000

MANUFACTURING COST OF GOODS SOLD

		Rs.
A	Manufacturing Cost of Finished Goods produced	7,90,000
B	Add: Opening Stock of Finished Goods	5,00,000
C	Less: Closing Stock of Finished Goods	6,00,000
D	Manufacturing Cost of Finished Goods Sold (A + B – C)	6,90,000

Solution 6:

In the Books of Mr. Pankaj

Manufacturing Account for the year ended on 31.3.2022

Particulars	**Rs.**	**Amount Rs.**	**Particulars**	**Amount Rs.**
To Opening W.I.P.		3,90,000	By Closing W.I.P	5,07,000
To Raw Material Consumed:			By By-Products	20,000
Opening Inventory	3,02,000		By Trading A/c- Cost of	17,81,000
Purchases	12,10,000		finished Goods transferred	
	15,12,000			
Less: Return	(18,000)			
	14,94,000			
Less: Closing inventory	(3,10,000)			
		11,84,000		
To Direct Wages		2,10,000		
To Direct expenses				
Royalty		1,30,000		
To Manufacturing Overhead :				
Indirect Material	16,000			
Indirect Wages	48,000			
Repairs & Maintenance	2,30,000			
Depreciation on factory Shed	40,000			
Depreciation on plant & Machinery	60,000	3,94,000		
		23,08,000		23,08,000

Solution 7:

In this case Manufacturing Cost comprises of –

Raw Material consumed	(1,00,000 × Rs.10)	Rs. 10,00,000
Direct Wages	(1,00,000 × Rs.5)	Rs. 5,00,000
Direct Expenses	(1,00,000 × Rs.3)	Rs. 3,00,000
		Rs. 18,00,000

Solutions 8:

Dr. **Cr.**

Particulars		Rs.	Particulars	Rs.
To Opening WIP		4,000	By Sale of Scrap	1,000
To Raw-Materials consumed			By Closing WIP	5,000
Opening Stock	74,000		By Trading A/c (Cost of Goods	99,800
Add: Purchases	45,000		manufactured transferred)	
Less: Returns Outwards	(2,200)			
Less: Closing Stock	(90,000)	26,800		
To Wages		20,000		
To Carriage Inward		3,000		
To Freight Inward		2,000		
To Salary of Works Mangers		8,000		
To Power, Electricity & Water		6,000		
To Fuel		4,000		
To Depreciation				
- On Plant & Machinery		8,000		
- On Factory Building		4,000		
To Repairs & Insurance				
- On Plant & Machinery		6,000		
- On Factory Building		2,000		
To Factory Rent & Taxes		10,000		
To General Expenses		2,000		
		1,05,800		**1,05,800**

Solution 9:

Manufacturing Account

for the year ended 31.12.22

Dr. **Cr.**

Particulars			Rs.	Particulars	Rs.
To Raw materials consumed :				By Closing WIP	2,100
Opening Stock		3,200		By Trading A/c	
Add : Purchases		36,350		(Cost of Production transferred)	87,480
		39,550			
Less : Returns	1,100				
Closing stock	4,600	5,700	33,850		
To wages		22,500			
Add : Outstanding		700	23,200		
To Carriage Inward			400		
To Royalty on Production			600		
To Cost of Design			780		
To Factory rent			8,100		
To Depreciation on plant			1,300		
To Depreciation on premises			750		
To Water, Fuel & water			5,200		
To Supervisor's salary			9,300		
To Gatekeeper's salary			1,400		
To Repairs to Plant			3,000		
To Work-in-progress (O/S)			1,700		
			89,580		**89,580**

Solution 10:

Manufacturing Account
for the year ended 31st Dec. 2022

Particulars		Rs.	Particulars	Rs.
To cost of material consumed			By Closing WIP	1,000
Opining stock	25,000		By Trading A/c	52,500
Add : Purchases	40,000		(Cost of production	
	65,000		transferred)	
Less : Closing stock	20,000	45,000		
To Manufacturing wages		1,000		
To Carriage inward		500		
To Factory Lighting		800		
To Power		1,000		
To Factory Insurance		500		
To Depreciation of Plant		1,000		
To Factory repairs		700		
To Factory rent		1,500		
Opening stock of Work-in-Progress		1,500		
		53,500		**53,500**

Solution 11:

Manufacturing A/c and Trading A/C
for the year ended 31st December, 2022

Dr. **Cr.**

Particulars		Rs.	Particulars		Rs.
TO COST OF MATERIALS CONSUMED :			By Trading A/c (Cost of Production Transferred)		7,23,600
Opening stock	96,000				
Add : Purchases	4,28,800				
Less : Closing stock	(84,000)	4,40,800			
To Wages		1,90,400			
To Carriage Inward for materials		22,000			
To Fuel and power		31,200			
To Depreciation on Plant		13,600			
To Factory Repairs		25,600			
		7,23,600			7,23,600
To Opening stock of finished goods		1,40,000			
To Purchases	46,400			Rs.	
To Cost of production	7,23,600		By sales	12,80,000	
	7,70,000		Less : Returns	(32,000)	12,48,000
Less : Return outward	(4,000)	7,66,000	By Closing stock		1,20,000
To carriage inward for finished stock		2,400			
To P/L A/c(Gross profit transferred)		4,59,600			
		13,68,000			**13,68,000**

Note: Salary and office expenses are administrative expenses will be shown in P/L account.

Solution 12:

Manufacturing A/c and Trading & P/L A/C
for the year ended 31.12.22

Dr. **Cr.**

Particulars		Rs.	Particulars	Rs.
To Cost of Materials Consumed :			By Closing WIP	750
Opening Stock	650		By Trading A/c	37,255
Add : Purchases	23,230		(Cost of production	
	23,880		transferred)	
Less :Closing stock	(870)	23,010		
To Carriage inwards		210		
To Manufacturing wages		5,975		
To Factory Overheads :				
Stores Consumed		895		
Factory Light & Water		975		
Power		3,500		
Factory Insurance		750		
Factory Rent		810		
Depreciation on Plant		700		
Repairs to Plant		190		
Opening Stock of Work-in-Progress		990		
		38,005		38,005
TO COST OF GOODS SOLD :	Rs.	Rs.		Rs.
Opening stock of finished goods	810		By Sales	42,000
Add : Cost of Production	37,255	38,065	By Closing Stock	920
To Gross Profit C/d		4,855		
		42,920		42,920
			By Gross Profit B/d	
To Office insurance		1,210		4,855
To Office salary		950		
To Depreciation on furniture		50		
To Office Light		150		
To Interest on loan		90		
To Carriage outward		795		
To Trade Expenses		40		
To Net profit		1,570		
		4,855		**4,855**

Solution 13:

In the books of Mr. Pandit
Manufacturing Account for the year ended 31st March 2022

Particulars		Rs.	Particulars	Rs.
To Opening Stock of Raw Materials		1,50,000	By Cost of Manufactured goods transferred to Trading A/c	8,08,000
To Purchase	5,00,000			
Less: Purchase Return	5,000	4,95,000		
To Carriage Inwards		15,000		
To Direct Wages		80,000		
To Power		30,000		
To Coal and fuel		15,000		
To Factory Rent and Rates		20,000		
To Depreciation on Machinery		3,000		
		8,08,000		**8,08,000**

Trading Account for the year ended 31st March 2022

Particulars	Rs.	Particulars		Rs.
To Opening Stock of finished goods	75,000	By Sales	8,50,000	
To Cost of goods transferred from		*Less*: Sales Return	10,000	8,40,000
Manufacturing A/c	8,08,000	By Closing Stock		1,00,000
To Gross Profit c/d	57,000			
	9,40,000			**9,40,000**

Profit and Loss Account for the year ended 31st March 2022

Particulars		Rs.	Particulars	Rs.
To Carriage Outward		7,000	By Gross Profit b/d	57,000
To Discount Allowed		3,000	By Commission (Accrued)	12,500
To Commission Paid		5,000	By Accrued Interest	15,000
To Dividend Paid		4,000		
To General Expenses		4,000		
To Advertisement		5,000		
To Salaries	20,000			
Add: Outstanding	2,000	22,000		
To Interest Paid	7,000			
Less: Prepaid	(1,500)	5,500		
To Provision for Bad & Doubtful Debts	2,000			
Add: Bad Debts	4,000			
Less: Old Provision for Doubtful Debts	(2,000)	4,000		
To Depreciation on Building		1,000		
To Interest on Capital @ 5% p.a.		5,000		
To Net Profit *c*/d		19,000		
		84,500		**84,500**

Balance Sheet as on 31st March 2022

Capital and Liabilities		Rs.	Assets		Rs.
Capital	1,00,000		Plant & Machinery	30,000	
Add: Net Profit	19,000		*Less*: Depreciation	3,000	27,000
	1,19,000		Land & Building	1,00,000	
Add: Interest on Capital	5,000		*Less*: Depreciation	1,000	99,000
	1,24,000		Furniture & Fixtures		15,000
Less: Drawings	20,000	1,04,000	Investments		25,000
Bills Payable		24,000	Closing Stock		1,00,000
Sundry Creditors		50,000	Loose Tools		30,000
Salary Outstanding		2,000	Sundry Debtors	40,000	
Long-Term Loans		2,00,000	*Less*: Provision for Bad &		
Bank Overdraft		23,000	Doubtful Debts	2,000	38,000
			Bills Receivable		15,000
			Accrued Commission		12,500
			Accrued Interest		15,000
			Prepaid Interest		1,500
			Cash in Hand		20,000
			Cash at Bank		5,000
		4,03,000			**4,03,000**

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. By-products valued at cost or net realisable value whichever is lower.
2. The manufacturing account is prepared to ascertain the profit or loss on the goods produced.
3. If there remain unfinished goods at the beginning and at the end of the accounting period, cost of such un-finished goods is shown in the Manufacturing Account.
4. Raw Material Consumed = Opening inventory of Raw Materials + Purchases – Closing inventory of Raw Materials.
5. The Trading Account will show the quantities of finished goods, raw materials and work-in-progress.
6. Overhead is defined as total cost of direct material, direct wages and direct expenses.
7. Manufacturing A/c is prepared by an enterprise engaged in trading Activities.

Answer :

1. **False:** By-products generally have insignificant value as compared to the value of main product. Therefore, they are generally valued at net realizable value.
2. **False:** The objective of preparing Manufacturing Account is to determine manufacturing costs of finished goods for assessing the cost effectiveness of manufacturing activities.
3. **True:** Manufacturing account deals with the raw material, and work in progress.
4. **True:** Raw Material consumed is arrived at after adjustment of opening and closing inventory of raw materials and purchases.
5. **False:** The Trading Account will show the quantities of finished goods manufactured and sold and the opening and closing inventory. It will not show the quantity of raw materials or work-in-progress.
6. **False:** Overhead is defined as total cost of indirect material, indirect wages and indirect expenses.
7. **False:** Manufacturing A/c is prepared by an enterprise engaged in Manufacturing Activities.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

1. Net profit is reflected in higher cash balances and net loss is reflected in lower net worth.
2. Profit and loss account shows the financial position of the concern.
3. A profit and loss account is a point statement whereas a balance sheet is a period statement.
4. Fixed assets are stated in the balance sheet at their market value.
5. Trial balance is prepared after preparing the profit and loss account.
6. The provision for discount on debtors is calculated before deducting the provision for doubtful debts from debtors.
7. Provision for doubtful debts is debited to sundry debtors account.
8. Freight and cartage expenses paid on purchases of goods is added to the amount of purchase.
9. The debit balance in the profit & loss account is surplus.
10. Debit balance of profit and loss account is a real asset.
11. Assets and Liabilities of a particular accounting period are shown in the balance sheet.
12. Under the 'liquidity approach' assets which are most liquid are presented at the bottom of the balance sheet.
13. The value of human resources is generally shown as asset in the Balance Sheet.
14. A withdrawal of cash from the business by the proprietor should be charged to profit and loss account as an expense.
15. The proprietor of a shop feels that he has made a loss due to closing stock being zero.
16. Closing stock will never appear in the trial.
17. Income Statement is prepared to ascertain the financial position but Balance Sheet is prepared to ascertain financial performance at the end of a given accounting period.
18. Income Statement is prepared on the basis of closing entries relating to Nominal and Real Accounts but Balance Sheet is prepared on the basis of balances of Real and Nominal Accounts.
19. Gross Profit means excess of all revenue over all expenses.
20. Operating Profit means excess of operating revenues over all expenses and losses.
21. Net Profit means excess of all operating revenues over all expenses and losses.

22. Depreciable fixed assets are valued at Cost.
23. Current assets are usually valued at Net Realizable Value or Cost whichever is higher.
24. Under order of liquidity the most liquid assets is shown last and least urgent payment is shown first.
25. The company as defined under Companies Act, 2013 prepares Balance Sheet in the Order of liquidity.
26. Under order of performance least liquid asset is shown last and most urgent payment is shown first.
27. In Trading Account, Returns having debit balance and credit balance are shown by way of deduction from amount of purchases and sales respectively.
28. If Closing Stock, Outstanding Expenses, Prepaid Expenses and Accrued Income and Unaccrued Income appear inside the Trial Balance, these appear only in Income Statement and not in the Balance Sheet.
29. If Depreciation, Interest on Capital, Interest on Drawings appear inside the Trial Balance, these will appear in only in the Balance Sheet and not in Income Statement.
30. Provision for Doubtful Debt is calculated after deducting additional bad debts and additional discount appearing outside the trial balance and Provision for Discount on Debtors.
31. If opening entry and adjusting entries are not passed both trial balance and balance sheet will not be tallied.
32. Reserve for Discount on Creditors has credit balance.
33. Bank Account, Provision for Doubtful Debts, Provision for Discount on Debtors, Reserve for Discount on Creditors, Provision for Depreciation are Nominal Accounts.
34. Bills Receivable Account and Bills Payable Account are Real Accounts.
35. Prepaid Insurance, Accrued Interest, Commission received in advance and Closing Stock are Nominal Accounts.
36. Manufacturing A/c is prepared to ascertain the cost of goods sold.
37. Manufacturing A/c is closed by transferring its balance to the credit of Profit & Loss A/c.
38. Opening and Closing Stock of Raw Mate rials, Work in Progress and Finished Goods are considered while preparing Manufacturing A/c.
39. A Balance Sheet is a statement of assets and liabilities of an enterprise for a particular accounting period.
40. The least liquid asset is shown first and the least urgent payment to be made is shown last in order of permanence.
41. Contingent liability is an ascertained liability but its amount and due date are indeterminate.

Answer:

1. **False:** Net profit may not be reflected in higher cash balance because of credit transactions. On the other hand, cash may increase because of fresh loan or fresh capital. Net worth is the sum of capital, reserves and profit and loss account balance. Net worth is reduced by net loss. But net worth may also be reduced by withdrawal by the proprietor/partners. So lower net worth may not necessarily reflect net loss.
2. **False:** Profit and loss account shows the financial performance of a concern for a particular accounting period.
3. **False:** A profit and loss account is a periodic statement and a balance sheet is a point statement.
4. **False:** Fixed assets are stated in the balance sheet at cost less depreciation.
5. **False:** Trial balance is prepared before preparing the profit and loss account.
6. **False:** The provision for discount on debtors is calculated after deducting the provision for doubtful debts from debtors.
7. **False:** Provision for doubtful debts is debited to profit and loss account. In the balance sheet, it is shown as deduction from 'Debtors'.
8. **False:** Freight & Cartage expenses are not added to the amount of purchases but are shown separately in the trading account.
9. **False:** The debit balance in the Profit and Loss account is deficit or loss because expenses are more than revenues.
10. **False:** Debit balance of profit and loss account is a fictitious asset.
11. **False:** Assets and Liabilities at a particular date are shown in the Balance Sheet.
12. **False:** Under the 'liquidity approach' assets which are most liquid are presented first.
13. **False:** It is not shown in the balance sheet as per money measurement concept because it cannot be measured in monetary terms.
14. **False:** Such Cash withdrawal should be treated as drawings and not a business expense chargeable to profit and loss account. Such drawings should be deducted from the proprietors capital.
15. **False:** The level of closing stock does not directly determine the profits of a business. The operational efficiency and other factors affecting cost determine the profits. The whole stock might have been sold out.

16. **False:** Closing stock may appear in the trial balance if an adjusting entry relating to closing stock has already been passed. If closing stock appears in trial balance it will appear only on the asset side of the Balance Sheet.
17. **False:** Income Statement is prepared to ascertain the Financial performance for a given accounting period but Balance Sheet is prepared to ascertain financial Position at the end of a given accounting period.
18. **False:** Income Statement is prepared on the basis of closing entries relating to Nominal Accounts but Balance Sheet is prepared on the basis of balances of Real and Personal Accounts.
19. **False:** Gross Profit means excess of direct operating revenue over direct operating expenses.
20. **False:** Operating Profit means excess of operating revenues over operating expenses and losses.
21. **False:** Net Profit means excess of all revenue (whether operating or non-operating) over expenses and losses (whether operating or non-operating).
22. **False:** Depreciable fixed assets are valued at Cost less Depreciation.
23. **False:** Current assets are usually valued at Net Realizable Value or Cost whichever is lower.
24. **False:** Under order of liquidity the most liquid assets is shown first and least urgent payment is shown last.
25. **False:** The company as defined under Companies Act, 2013 prepares Balance Sheet in the Order of Permanence.
26. **False:** Under order of performance least liquid asset is shown first and most urgent payment is shown last.
27. **False:** In Trading Account Returns having debit balance (i.e. SR) and credit balance (i.e. PR) are shown by way of deduction from amount of sales and purchases respectively.
28. **False:** If Closing Stock, Outstanding Expenses, Prepaid Expenses and Accrued Income and Unaccrued Income appear inside the Trial Balance, these appear only in the Balance Sheet and not in Income Statement.
29. **False:** If Depreciation, Interest on Capital, Interest on Drawings appear inside the Trial Balance, these will appear in Income Statement and not in the Balance Sheet.
30. **False:** Provision for Doubtful Debt is calculated after deducting additional bad debts and additional discount appearing outside the trial balance but before deducting Provision for Discount on Debtors
31. **False:** if opening entry and adjusting entries are not passed both trial balance and balance sheet will be tallied.
32. **False:** Reserve for Discount on Creditors has debit balance.
33. **False:** Bank Account, Provision for Doubtful Debts, Provision for Discount on Debtors, Reserve for Discount on Creditors, are Personal Accounts but Provision for Depreciation is Real Account.
34. **False:** Bills Receivable Account and Bills Payable Account are Personal Account.
35. **False:** Prepaid Insurance, Accrued Interest, Commission received in advance are Personal Accounts but Closing Stock is Real Account.
36. **False:** Manufacturing A/c is prepared to ascertain the cost of goods manufactured.
37. **False:** Manufacturing A/c is closed by transferring its balance to the debit of Trading A/c.
38. **False:** Opening and Closing Stock of Raw Materials and Work in Progress are considered while preparing Manufacturing A/c. Finished Goods Stock is shown in Trading A/c.
39. **False:** A Balance Sheet is a statement of assets and liabilities of an enterprise at a particular date.
40. **False:** The least liquid asset is shown first and the least urgent payment to be made is shown first in order of permanence.
41. **False:** Contingent liability is an unascertained liability but its amount and due date are indeterminate.

MULTIPLE CHOICE QUESTIONS (SM)

1. Under-statement of closing work in progress in the period will
   (a) Understate cost of goods manufactured in that period.
   (b) Overstate current assets.
   (c) Understate net income in that period.
   (d) None of the three.

2. Sales is equal to
   (a) Cost of goods sold – Gross profit.
   (b) Cost of goods sold + Gross profit.
   (c) Gross profit – Cost of goods sold.
   (d) Net profit + cost of goods sold.

3. Indirect Manufacturing expenses are also called
   (a) Manufacturing overhead. (b) Production overhead.
   (c) Works overhead. (d) All the three.

4. Sale value of the by-product is credited to
   (a) Manufacturing account. (b) Capital account.
   (c) Overheads account. (d) Trading account.

5. Manufacturing account shows
   (a) Total cost of manufacturing the finished products.
   (b) It provides details of factory cost.
   (c) It facilitates reconciliation of financial books with cost records.
   (d) All the three.

MCQs ANSWER

1.	(c)	2.	(b)	3.	(d)	4.	(a)	5.	(d)

THEORETICAL QUESTIONS

Question 1 : **(SM)**

Write short note on By-Products.

Answer :

By-Products :

- By-Products generally have **insignificant value** as compared to the value of main product.
- They are **generally valued at net realizable value,** if their costs cannot be separately identified.
- **Accounting :** The sale value of the by-product shall be credited to Manufacturing Account so as to reduce the cost of manufacture of main product.

Question 2 : **(SM)**

Differentiate between Direct Manufacturing Expenses and Indirect Manufacturing expenses

Answer.

Direct Manufacturing Expenses	Indirect Manufacturing Expenses
Direct manufacturing expenses are costs, **other than material or wages**, which are incurred for a **specific product or saleable service**.	Indirect Manufacturing expenses are also called **Manufacturing overhead, Production overhead, Works overhead, etc**. Overhead is defined as total **cost of indirect material, indirect wages and indirect expenses**.

THEORY QUESTION VIDEO QR CODE

TOPIC	LECTURE	QR CODE
Final Accounts of Manufacturing Entities	Discussion of Theory Questions	

Space for Personal Note:-

SOME IMPORTANT ACCOUNTING TERMS

Some Important concepts :

1. **Business entity concept or Entity Concept :**
   - ❖ As per this concept Business & Business man are **two different persons**.
   - ❖ Accounting Records are kept from the **business point of view** and not from businessman's point of view.
   - ❖ Due to this concept only business transactions are recorded in books of accounts and personal expenses of proprietor is not recorded.
   - ❖ Due to this transaction proprietor (owner) is also treated is an owner and transactions with proprietor is recorded. i.e. Entry of Capital and Drawing is done due to this concept.

2. **PERIODICITY CONCEPT :**
   - Accounting is not done from the inception to the end of entity.
   - The economic life of an enterprise is divided small period and Accounts should be prepared for a particular period, usually the period is for 12 months.
   - It generally starts from 1st April and ends on 31st March, Called Accounting year or Financial year.

3. **Money Measurement Concept :**
   - ❖ In accounting only those transactions are recorded which are capable of being expressed in terms of money is recorded.
   - ❖ Non-monetary transactions are not recorded. Ex. Competency, Skill, Honesty etc. of a person is not recorded.

4. **Matching Concept :**
   - ❖ The expenses incurred in an accounting period should be matched with the revenue recognized during that period.
   - ❖ It means Income is recorded in a particular year then all expense to earn that revenue should also be recorded to calculate correct profit.

5. **System of Accounting :** There are following **3 methods** of accounting :
   - i) **Cash Basis** : Income, Expense, Assets and liabilities are recorded **in the period in which actual receipts or actual payments** are made.
   - ii) **Accrual / Mercantile Basis** :
     - Income, Expense, Assets and Liabilities are recorded **in the year to which transactions relates.**
     - Payment of money or Receipt of money is irrelevant.

   Example :
   Qu. Suppose year ends on 31st March. If salary for the month of March 2019 (2018-19) is paid on April 2019 (2019-20). Which year salary shall be recorded as expense – 2018-19 or 2019-20 ?
   Answer :
   Salary relates to year 2018-2019 but paid in year 2019-20.
   If we follow **cash system** then it is recorded in the year 2019-20
   If we follow **accrual concept** then it is recorded in the year 2018-19.

   NOTE : The most logical method is Accrual method.

6. **Dual Aspect concept or Double entry system :**
   - ❖ Every transaction will have two aspects. One is debited and another is credited.
   - ❖ Total of debit shall always be equal to total of credit.

ENTITY : An Entity means an **economic unit** that performs **economic activities**.

TRANSACTION :
- A Transaction is an **exchange** in which **each participant receives or sacrifice value** which are valued in terms of money.
- It may be either **cash or credit.**
- Ex. Goods purchased for cash or on credit, Salary paid or payable, Interest received or receivable.

EVENT :
- An event is a happening of consequence to an entity.

Account : The individual record of a person or thing or an item of income or an expense is called an account.

ENTRY : Recording of transaction or event in **primary books of account (i.e. Journal)**, is called entry. An entry is passed **on the basis of source documents** i.e. vouchers.

ASSETS : Assets refers to –
- **physical object (tangible) or right (intangible)**,
- **owned / controlled** by the enterprises and
- from which **future economic benefits** are expected to flow to the enterprises.

Assets can be classified as -
I. Fixed Assets - Tangible/ Intangible Assets
II. Current Assets

I. Fixed Assets : Asset held with the intention of being used for the purpose of **producing or providing goods or services** and is **not held for sale** in the normal course of business.

a) Tangible Assets :
- Those fixed assets which can be **seen or touched** i.e. having physical existence is called tangible assets.
- It may be **movable assets** (vehicle, furniture, machinery, equipment etc.) or **immovable assets** (Land, Building etc.)

b) Intangible Assets : Those fixed assets which **can't be touched or seen**. These are usually the rights to use, produce or provide the goods or services. Ex. :- Goodwill, Patents, Copyright etc.

II. CURRENT ASSETS : Current assets are those assets which are held :
a) In the form of **cash**;
b) For their **conversion** into cash, as early as possible (usually **within one year** from the date of balance sheet) Ex. Debtors, B/R and
c) For their **consumption** in the production of goods. Ex. Stock of Raw Material.

LIABILITIES : Any amount which the business is **require to pay to the outsider**. It is basically financial obligations of an enterprises **other than capital**. It is also called as **"Outside / External liability".**

Liability may be –
I. Long term liability
II. Current liability

Long Term Liability : Amount which is payable **after one year from the date of balance sheet**, is categorize as long term liability. Eg. Long term loan etc.

Current Liability : Any Amount which is **payable within one year** from the date of the balance sheet) is called current liability.
Ex. Creditors, Bills Payable, Outstanding exp., Bank overdraft etc.

CAPITAL/EQUITY/OWNER'S FUND :
- Any **amount, goods or any other assets** which the **owner** or proprietor or businessman **invest in the business,** is called capital.
- It is also used to refer the **interest of owners in the total assets** of an enterprise (business).

BALANCE SHEET AS ON 31/03/2019

Liabilities	Amount	Assets	Amount
Capital	6,00,000	Building	4,00,000
Loan	3,00,000	Furniture	3,00,000
Creditor	1,00,000	Stock	1,00,000
		Cash	2,00,000
TOTAL	**10,00,000**	**TOTAL**	**10,00,000**

It means out of Total Asset of Rs. 10,00,000, Rs. 6,00,000 invested by Proprietor.

DRAWINGS :

- ❖ Drawing refer to the total amount of **cash or goods or any other asset withdrawn** by the owner.
- ❖ Further if **business makes payment on behalf of owner** for his personal purpose, it is also called as Drawing. For ex. Electricity bill of proprietor's home paid by business.

ACCOUNT RECEIVABLE : It **includes** both **Trade Debtor and Bills Receivable.**
DEBTORS :- Person from whom amounts are **due for goods sold or services rendered** is termed as debtors/ customer / trade debtors / book debts.

BILLS RECEIVABLE (B/R) : If the **goods are sold** to customer **on credit** then a document may be drawn upon him in which customer is ordered to make payment for unpaid amount after certain time. The document shall be signed (i.e. customer accepts to make payment) by customer. This document is called B/R. It is our **Asset**.

ACCOUNT PAYABLE : It includes both **Trade creditor and B/P.**

CREDITORS :- Amount **owed** by an enterprise on account of **goods purchased or services received** is termed as trade creditors creditors.

BILLS PAYABLE (B/P): If we **purchase goods on credit** then the seller (i.e. creditor) may draw a document on us to make payment of unpaid amount and we have to accept it. The bill accepted by us is called B/P. It is our **Liability.**

Example of B/R & B/P :
Suppose Mr. X sold goods to Mr. Y for Rs. 10000 on credit for 3 months.
Now Mr. X draws a document in which he orders Y to make payment after 3 months.
This document is accepted (signed) by Y. This document is B/R for X and B/P for Y.

REVENUE / INCOME : It refers to the amount charged for the

- Goods sold; or
- Services rendered; or
- Permitting others to use the enterprise's resources yielding interest, dividend, royalty etc.

EXPENDITURE :- Incurring a liability or payment of cash **for the purpose of obtaining assets, goods or services**. It may be revenue exp. Or capital exp. (i.e. asset)

EXPENSE OR EXPIRED COST :-

- ❖ A **cost** relating to the operations of an accounting period or to the revenue earned during the period, the benefits of which do not extend beyond that period.
- ❖ In other words, Expense is that **portion of the expenditure which has been consumed during the current accounting period to earn revenue**.
- ❖ Since expenses are the cost of goods and services used up, they are also called expired cost.
- ❖ Ex. Purchase, Salaries, Advertisement, Repairs, Electricity Exp. etc.

COST : The **amount of expenditure** incurred on any product or activity.

NET PROFIT : **Excess** of Revenue over related cost i.e. Expense.

Gain : A Mondatory benefit or profit resulting from a transaction or group of transactions.

GOODS :

- ❖ It refers to the items in which the **enterprise deals in**. i.e. Any thing that the business purchase for the purpose of **resale in the ordinary course of business**.
- ❖ Ex. If furniture dealer purchased **furniture** then it is **goods** for him. But if Medicine dealer purchased furniture then it is **assets** for him.
- ❖ Goods may be **Classified** into – Purchase, Sale, Purchase return, Sales return and Stock.

PURCHASE :

- ❖ When the goods are **purchased either for resale or for production** of finished goods (e.g. raw material), it is called "Purchase".
- ❖ It may be for cash or credit.
- ❖ **Purchase of assets** will not be treated as Purchase. In this case Asset A/c will be debited.

SALES :

- ❖ When the goods are **sold or services are rendered**, it is called sale.
- ❖ It may be for **cash or credit**.
- ❖ **Sale of assets** will not be treated as Sale. In this case Asset A/c will be credited.

TURNOVER :- Total sales during a particular accounting period is called turnover.

PURCHASE RETURN OR RETURN OUTWARD : If the purchased goods are **returned to supplier**, it is called P/R or R/O. For Ex. Purchased goods may be returned due to defective quality of goods or goods are not as per order etc.

SALES RETURN OR RETURN INWARD : If the sold goods are **returned from customer**, it is called S/R or R/I.

STOCK OR INVENTORY :- Inventories are assets :

- **held for sale** in the ordinary course of business (finished goods); or
- in the **process of production** for such sale (semi finished goods); or
- in the form of **material to be consumed** in the production of goods (raw material).

The stock at the end of accounting year is called **closing stock**. The same stock at the beginning of next accounting period is called **opening stock.**

TRADE DISCOUNT :-

1. It is offered **to increase the volume** of sale. It may be allowed on purchase of large quantity i.e. in bulk.
2. It is calculated **on list (MRP) price.**
3. It is allowed both on **credit as well as cash transactions**.
4. It is **not recorded** in books of account. It means entry of sales or purchase is made on "Net Amount".
5. It is shown by way of deduction in the invoice itself.
6. It may vary with the quantity purchased.

CASH DISCOUNT :- This discount is given to customer for making prompt or early payment. In other words this discount is allowed only if the customer pays within specified period.

1. It is offered to those customer who makes **prompt or early payment** i.e. payment within specific period.
2. It is calculated on **actual price paid / received.**
3. It is **recorded** in books of account.
4. If **trade and cash both discounts are given** then first calculate trade discount and after deducting trade discount, cash discount will be calculated on net amount.
5. It is not shown in the invoice.
6. It may vary with the period within which the payment is made.

CARRIAGE :

- **Carriage Inward :** Carriage on purchase
- **Carriage Outward :** Carriage on purchase

ADJUSTMENTS : At the end of accounting year, following adjustment entries may be passed due to Accrual Concept :

i) **Prepaid Expense or Unexpired Expense :** Payment for expense in an accounting period, the benefit for which will accrue in the subsequent accounting period(s). It is our **Asset.**

ii) **Outstanding Expense or Exp. Due but not paid** : Expense due in current year but not paid. It is our **Liability**.

iii) **Accrued Income or Outstanding Income or Income Receivable :** Income due in current year but not yet received. It is our **Asset**.

iv) **Unearned Income or Prepaid Income or Income Received in Advance :** Income relating to next year received in current year. It is our **Liability.**

INSOLVENT :- The person whose total liabilities exceeds his total assets, is called insolvent. In this case court appoints official receiver to sale his assets and dispose of liabilities.

- **Bad Debt :** The amount which could not be received from insolvent debtors is called Bad debts. It is a **loss**.
- **Bad Debt Recovered :** If bad debts of earlier years, recovered in subsequent year, it is called Bad Debt Recovered. It is an **Income.**

PRUDENCE : According to this concept :

i) **Incomes or Profits should not be anticipated.** It is recorded only when it becomes certain to realise.

ii) **Provision** should be made for **all known liabilities and losses**, even though the amount cannot be determined with certainty. Provisions are made on estimated basis.

PROVISION : When a part of profit is set aside either **for expected loss** (eg. Provision for doubtful debt) **or estimated liability** (eg. Provision for tax), is known as provision.

Examples of various expenses, incomes, Assets and Liabilities	
DIRECT EXPENESE (DEBIT)	**DIRECT INCOME (CREDIT)**
Purchase क्रय	Sales विक्रय
Wages मजदूरी	
Carriage / Freight / Cartage Inward आन्तरिक गाड़ीभाड़ा	
Expense on purchase खरीद पर व्यय	
INDIRECT EXPENSES (DEBIT)	**INDIRECT INCOME (CREDIT)**
Printing and Stationery छपाई एवं स्टेषनरी	Cash Discount Received रोकड़ बट्टा प्राप्त
Postage and Telegram डाक एवं तार	Bad debts Recovered डूबत ऋण वसूली
Legal Expenses वैधानिक व्यय	Income from Investments विनियोग से आय
Trade Expenses व्यापारिक व्यय	Commission Received कमीषन प्राप्त
Audit Fees अंकेक्षण शुल्क	Interest Received ब्याज प्राप्त
Telephone Expenses टेलीफोन व्यय	Gain on Sale of Fixed Assts स्थायी सम्पत्तियों के विक्रय से लाभ
General Expenses सामान्य व्यय	MISC. Receipts विविध प्राप्तियॉ
Cash Discount Allowed रोकड़ बट्टा दिया	
Interest on Capital पूंजी पर ब्याज	
Interest on Loans ऋण पर ब्याज	
Discount or Rebate on Bills of Exchange विनिमय विपत्र पर बट्टा या छूट	
Bad debts डूबत ऋण	
Carriage outward बाह्य गाड़ीभाड़ा	
Advertising Expenses विज्ञापन व्यय	
Depreciation on Fixed Assets स्थायी सम्पत्ति पर ह्रास	
Insurance check	
Sundry / Misc. Expenses विविध व्यय	
Loss on sale of Assets सम्पत्तियों के विक्रय से हानि	
Taxes & Duties (Excise Duty, Custom Duty, Sales Tax etc.)	

LIABILITIES (CREDIT) दायित्व	**ASSETS (DEBIT) सम्पत्ति**
Creditors लेनदार	Cash in hand & Cash at Bank
General reserve सामान्य संचय	हस्तस्थ रोकड़, बैक में रोकड
Bills Payable देय विपत्र	Debtors / Book Debts देनदार / पुस्त ऋण
Bank Overdraft बैंक अधिविकर्ष	Stock / Inventory स्कन्ध
Outstanding Expenses अदत्त व्यय	Bills Receivable [B/R] प्राप्य विपत्र
Income Receive in Advance अग्रिम में आय प्राप्त	Prepaid Expenses पूर्वदत्त व्यय
Sort term Loan, Long term loan, Mortgage अल्पकालीन, दीर्घकालीन ऋण, बंधक	Accrued Income उपार्जित आय
Capital पूंजी	Investment विनियोग
	Advance / Loan to..... को अग्रिम / ऋण .....को
	Land & Building भूमि और भवन
	Plant & Machinery प्लान्ट और मषीनरी
	Tools & Equipments & Loose Tools
	Furniture & Fittings फर्नीचर एवं फिटिंग
	Vehicles – truck, car, tempo, scooter, cycles
	Goodwill, Patents, Trademark, Copy right ख्याति, पेटेन्ट, व्यापारिक चिन्ह, कॉपी राईट

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Some Important accounting Terms	Discussion of Accounting Terms	

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	Interview of Aman Dulani	
	Interview of CA - Foundation Dec. 2021 (Scored 92 Marks : Samkit Sankhla)	
	Interview of CA - Foundation Nov. 2020 Toppers	
	Interview of CA - Foundation Nov. 2019 AIR - 1 : Saina Agrawal	
	Interview of CA - Foundation Jan. 2025 Toppers	
	45 days Strategy	

Space for Personal Note:-